Book-Entry Only **Rating: S&P Global Ratings: "AAA"**
New Issue **Not Bank-Qualified**

In the opinion of Barnes & Thornburg LLP, Bond Counsel to the City according to laws, regulations, rulings and decisions in effect on the date of delivery of the Series 2018D Bonds, except as described herein, as of the date of issuance, the Series 2018D Bonds bear interest which is excludable from gross income for federal income tax purposes and is excludable, to the same extent, from taxable net income of individuals, estates and trusts for State of Minnesota income tax purposes. Interest on the Series 2018D Bonds is not treated as a preference item for purposes of the alternative minimum tax imposed by the Internal Revenue Code of 1986, as amended (the "Code") on individuals or corporations; however, for taxable years that began before January 1, 2018, interest on the Series 2018D Bonds will be included in "adjusted current earnings" in computing alternative minimum taxable income for purposes of the alternative minimum tax imposed by the Code on certain corporations. The corporate alternative minimum tax has been repealed for taxable years beginning on or after January 1, 2018. Interest on the Series 2018D Bonds is not an item of tax preference for purposes of determining the Minnesota alternative minimum tax imposed on individuals, estates, or trusts and interest on the Series 2018D Bonds is subject to the Minnesota franchise tax measured by income and imposed on corporations and financial institutions. No opinion will be expressed regarding other state or federal tax consequences caused by the receipt or accrual of interest on or arising with respect to the ownership of the Series 2018D Bonds. See "TAX EXEMPTION" in this Official Statement.

$7,710,000
CITY OF SAINT PAUL, MINNESOTA
SEWER REVENUE BONDS
SERIES 2018D
(GREEN BONDS)

The City of Saint Paul, a home-rule city and political subdivision of the State of Minnesota (the "City"), is issuing its Sewer Revenue Bonds, Series 2018D (Green Bonds) (the "Series 2018D Bonds"), in the original aggregate principal amount of $7,710,000. Proceeds of the Series 2018D Bonds will be used by the City to (i) finance capital improvements to the City's Sewer System, and (ii) pay costs of issuance relating to the Series 2018D Bonds. The Series 2018D Bonds are not secured by a debt service reserve fund. **The Series 2018D Bonds will be special, limited obligations of the City payable solely from and secured by a first charge and lien upon the Revenues of the Sewer System of the City. The Series 2018D Bonds and the Parity Bonds (defined herein) are not general obligations of the City and the full faith and credit and taxing power of the City is not pledged to the payment of the Series 2018D Bonds. Capitalized terms used on this cover shall have the meaning set forth in the Resolution. See "APPENDIX D - EXCERPTS OF THE RESOLUTION" in this Official Statement**

The Series 2018D Bonds are issuable in fully registered form and will be initially registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York ("DTC"). Purchases of beneficial ownership interests in the Series 2018D Bonds will be made in book-entry form only, in principal amounts of $5,000 or whole multiples thereof. Beneficial owners of the Series 2018D Bonds will not receive physical bond certificates. The City Treasurer is acting as paying agent and registrar for the Series 2018D Bonds. The Series 2018D Bonds are subject to optional and mandatory redemption as more fully described herein under the heading "THE SERIES 2018D BONDS." The Series 2018D Bonds are scheduled to mature as set forth on the inside front cover hereof.

This cover page contains certain information for quick reference only. This cover page is not intended to be a summary of the Series 2018D Bonds or the security therefor. An investment in the Series 2018D Bonds is subject to certain risks. See "INVESTMENT CONSIDERATIONS" herein. Investors must read the entire Official Statement, including the Appendices hereto.

The maturity schedule for the Series 2018D Bonds is set forth herein.

The Series 2018D Bonds are offered when, as and if issued by the City, subject to prior sale, to withdrawal or modification of the offer without notice, and to the opinion as to validity of the Series 2018D Bonds and tax exemption of the Series 2018D Bonds by Barnes & Thornburg LLP as Bond Counsel to the City, and certain other conditions. Barnes & Thornburg LLP has assisted the City in the preparation of this Official Statement. The Series 2018D Bonds were bought by Piper Jaffray & Co. at a competitive sale on September 19, 2018. Springsted Incorporated, Saint Paul, Minnesota is acting as municipal advisor to the City with respect to the sale of the Series 2018D Bonds. It is expected that delivery of the Series 2018D Bonds will be made through the facilities of DTC on or about October 10, 2018.

PiperJaffray®

This Official Statement is dated September 26, 2018

MATURITY SCHEDULE

$7,710,000
City of Saint Paul, Minnesota
Sewer Revenue Bonds
Series 2018D
(Green Bonds)

Maturity Schedule

Serial Bonds

Maturity Date (December 1)	Principal Amount	Interest Rate	Yield	Price	CUSIP**
2019	$215,000	5.000%	1.900%	103.482%	793071 RQ6
2020	270,000	5.000	2.000	106.256	793071 RR4
2021	280,000	5.000	2.050	108.928	793071 RS2
2022	295,000	5.000	2.150	111.233	793071 RT0
2023	310,000	2.500	2.230	101.303	793071 RU7
2024	320,000	5.000	2.280	115.503	793071 RV5
2025	335,000	5.000	2.370	117.182	793071 RW3
2026	350,000	3.000	2.480	103.810	793071 RX1
2027	360,000	5.000	2.570	119.682	793071 RY9
2028	380,000	5.000	2.640*	119.054	793071 RZ6
2029	400,000	3.000	3.000	100.000	793071 SA0
2030	410,000	3.000	3.120	98.792	793071 SB8
2031	420,000	3.125	3.220	98.986	793071 SC6
2032	435,000	3.125	3.300	98.032	793071 SD4
2033	450,000	3.250	3.400	98.233	793071 SE2
2034	465,000	3.375	3.450	99.074	793071 SF9
2035	480,000	3.375	3.500	98.395	793071 SG7
2038	530,000	3.500	3.640	98.010	793071 SK8

Term Bond

$1,005,000 3.500% Series 2018D Term Bonds Maturing December 1, 2037
Price of 98.485% to Yield of 3.610%
CUSIP: 793071 SJ1**

* *Yield to optional redemption date of December 1, 2027.*

** *CUSIP is a registered trademark of the American Bankers Association ("ABA"). CUSIP data is provided by CUSIP Global Services, managed by S&P Global Market Intelligence on behalf of ABA. The CUSIP numbers listed above are being provided solely for the convenience of Holders of the Series 2018D Bonds only at the time of issuance of the Series 2018D Bonds and neither the City nor the Purchaser makes any representation with respect to such numbers or undertake any responsibility for their accuracy now or at any time in the future.*

CITY OFFICIALS

Mayor of the City of Saint Paul
Melvin Carter

City Council of the City of Saint Paul

Council Members	Ward
Amy Brendmoen	Ward 5 – President of the Council
Dai Thao	Ward 1
Rebecca Noecker	Ward 2
Chris Tolbert	Ward 3
Mitra Nelson	Ward 4
Daniel Bostrom	Ward 6
Jane L. Prince	Ward 7

Bond Counsel to the City
Barnes & Thornburg LLP
Saint Paul, Minnesota

Municipal Advisor
Springsted Incorporated
Saint Paul, Minnesota

Paying Agent and Registrar
Treasurer of the City of Saint Paul
Saint Paul, Minnesota

For purposes of compliance with Rule 15c2-12 of the Securities and Exchange Commission, this document, as the same may be supplemented or corrected by the City from time to time (collectively, the "Official Statement"), may be treated as an Official Statement with respect to the Series 2018D Bonds described herein that is deemed final as of the date hereof (or of any such supplement or correction) by the City, except for the omission of certain information referred to in the succeeding paragraph.

This Official Statement shall constitute the "Final Official Statement" of the City with respect to the Series 2018D Bonds, as that term is defined in Rule 15c2-12.

The City designates the senior managing underwriter of the syndicate to which the Series 2018D Bonds are awarded as its agent for purposes of distributing copies of the Final Official Statement to each Participating Underwriter. Any underwriter delivering a Proposal with respect to the Series 2018D Bonds agrees thereby that if its bid is accepted by the City (i) it shall accept such designation and (ii) it shall enter into a contractual relationship with all Participating Underwriters of the Series 2018D Bonds for purposes of assuring the receipt by each such Participating Underwriter of the Final Official Statement.

THE SERIES 2018D BONDS HAVE NOT BEEN REGISTERED UNDER THE SECURITIES ACT OF 1933, AS AMENDED, IN RELIANCE UPON AN EXEMPTION CONTAINED IN SUCH ACT. THE REGISTRATION OR QUALIFICATION OF THE SERIES 2018D BONDS IN ACCORDANCE WITH THE APPLICABLE PROVISIONS OF LAWS OF THE STATES IN WHICH THE SERIES 2018D BONDS HAVE BEEN REGISTERED OR QUALIFIED AND THE EXEMPTION FROM REGISTRATION OR QUALIFICATION IN OTHER STATES CANNOT BE REGARDED AS A RECOMMENDATION THEREOF. NEITHER THESE STATES NOR ANY OF THEIR AGENCIES HAVE PASSED UPON THE MERITS OF THE SERIES 2018D BONDS OR THE ACCURACY OR COMPLETENESS OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

IN CONNECTION WITH THE OFFERING OF THE SERIES 2018D BONDS, A PURCHASER MAY OVER-ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICE OF THE SERIES 2018D BONDS AT LEVELS ABOVE THOSE WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZATION, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

No dealer, broker, sales person or other person has been authorized by the City to give any information or to make any representations with respect to the Series 2018D Bonds, other than as contained in the Official Statement or the Final Official Statement, and if given or made, such other information or representations must not be relied upon as having been authorized by the City.

Certain information contained in this Official Statement may have been obtained from sources other than records of the City and, while believed to be reliable, is not guaranteed as to completeness or accuracy. The information and expressions of opinion in the Official Statement are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the City since the date hereof.

CAUTIONARY STATEMENTS REGARDING FORWARD-LOOKING STATEMENTS

THIS OFFICIAL STATEMENT CONTAINS STATEMENTS WHICH SHOULD BE CONSIDERED "FORWARD-LOOKING STATEMENTS," MEANING THEY REFER TO POSSIBLE FUTURE EVENTS OR CONDITIONS. SUCH STATEMENTS ARE GENERALLY IDENTIFIABLE BY THE WORDS SUCH AS "PLAN," "EXPECT," "ESTIMATE," "BUDGET," OR SIMILAR WORDS. THE ACHIEVEMENT OF CERTAIN RESULTS OR OTHER EXPECTATIONS CONTAINED IN SUCH FORWARD-LOOKING STATEMENTS INVOLVE KNOWN AND UNKNOWN RISKS, UNCERTAINTIES, AND OTHER FACTORS WHICH MAY CAUSE ACTUAL RESULTS, PERFORMANCE, OR ACHIEVEMENTS DESCRIBED TO BE MATERIALLY DIFFERENT FROM ANY FUTURE RESULTS, PERFORMANCE, OR ACHIEVEMENTS EXPRESSED OR IMPLIED BY SUCH FORWARD-LOOKING STATEMENTS. THE CITY DOES NOT EXPECT OR INTEND TO ISSUE ANY UPDATES OR REVISIONS TO THOSE FORWARD-LOOKING STATEMENTS.

References herein to laws, rules, regulations, resolutions, agreements, reports, and other documents do not purport to be comprehensive or definitive. All references to such documents are qualified in their entirety by reference to the particular document, the full text of which may contain qualifications of and exceptions to statements made herein.

Any CUSIP numbers for a Series 2018D Bond included in this Official Statement are provided for convenience of the owners and prospective investors. The CUSIP numbers for the Series 2018D Bonds have been assigned by an organization unaffiliated with the City. The City is not responsible for the selection of the CUSIP numbers and makes no representation as to the accuracy thereof as printed on the Series 2018D Bonds or as set forth in this Official Statement. No assurance can be given that the CUSIP numbers for the Series 2018D Bonds will remain the same after the date of issuance and delivery of the Series 2018D Bonds.

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$7,710,000
City of Saint Paul, Minnesota
Sewer Revenue Bonds
Series 2018D
(Green Bonds)

SUMMARY STATEMENT

The following summary is qualified in its entirety by reference to the detailed information and financial statements appearing elsewhere in this Official Statement. No person is authorized to detach this Summary Statement from this Official Statement or to otherwise use it without this entire Official Statement.

The Issuer ..... The City of Saint Paul, Minnesota (the "City"), will issue the Series 2018D Bonds (as described herein). The City is the capital of the State of Minnesota and county seat of Ramsey County. The City had an estimated population in 2017 of 309,180 as determined by the Minnesota State Demographic Center. See "APPENDIX A – GENERAL INFORMATION CONCERNING THE CITY" in this Official Statement.

The Series 2018D Bonds..... The City will issue its Sewer Revenue Bonds, Series 2018D (Green Bonds) (the "Series 2018D Bonds"), in the original aggregate principal amount of $7,710,000. The proceeds of the Series 2018D Bonds will be used by the City to (i) finance capital improvements to the City's Sewer System, and (ii) pay costs of issuance relating to the Series 2018D Bonds. See also "AUTHORITY AND PURPOSE" and "SOURCES AND USES OF FUNDS" in this Official Statement.

Authority for Issuance..... The Series 2018D Bonds are being issued by the City pursuant to (i) Minnesota Statutes, Chapter 475, as amended (the "Municipal Debt Act"), (ii) the City Charter, (iii) the 1988 General Resolution pledging Revenues of the Sewer System, and (iv) a supplemental resolution adopted on September 19, 2018 by the City Council authorizing the sale of the Series 2018D Bonds (collectively, the "Resolution"). See "AUTHORITY AND PURPOSE" in this Official Statement.

Green Bonds..... The City is issuing the Series 2018D Bonds as "Green Bonds" based upon the environmental benefits of the capital projects to be financed with proceeds of the Series 2018D Bonds. The City has designated the capital projects to be financed with the Series 2018D Bonds as "Green Projects" due to the fact that such projects are environmentally friendly. The purpose of the designation of the Series 2018D Bonds is to allow investors to invest directly in projects that are beneficial to the environment. See "AUTHORITY AND PURPOSE - *Green Bonds Designation*" in this Official Statement.

Principal and Interest..... Interest on the Series 2018D Bonds is payable semi-annually on June 1 and December 1, commencing June 1, 2019, to the registered owners of the Series 2018D Bonds as such appear of record in the bond register as of the close of business on the fifteenth (15th) day (whether or not a business day) of the immediately preceding month at the rate or rates set forth on the inside front cover hereof. Principal of the Series 2018D Bonds is payable annually on each December 1 as set forth on the inside front cover hereof in this Official Statement. See "THE SERIES 2018D BONDS" in this Official Statement.

Security for the Series 2018D Bonds ..... The Series 2018D Bonds are special, limited obligations of the City payable solely from and secured by a first charge and lien upon the Revenues of the Sewer System of the City. *The Series 2018D Bonds are not secured by any amounts in the Reserve Account that secures certain other Parity Bonds (defined herein) of the City issued*

under the provisions of the Resolution. The Reserve Requirement for the Series 2018D Bonds will be $0. The Series 2018D Bonds do not have any right title or interest in any amounts in the Reserve Account. *The full faith and credit and taxing power of the City are not pledged to pay debt service on the Series 2018D Bonds, and the City does not have the authority to levy ad valorem property taxes in order to pay debt service on the Series 2018D Bonds.* See "THE SERIES 2018D BONDS" in this Official Statement.

Optional Redemption ..... The City may elect on December 1, 2027, and on any day thereafter, to prepay Series 2018D Bonds due on or after December 1, 2028. See "THE SERIES 2018D BONDS - Optional Redemption" in this Official Statement.

Mandatory Redemption .....The Series 2018D Bonds are subject to mandatory sinking fund redemption as set forth on the inside front cover of this Official Statement. See also "THE SERIES 2018D BONDS - Mandatory Sinking Fund Redemption" in this Official Statement.

Financial Statements ..... Excerpts from the City's 2017 Audited Comprehensive Annual Financial Report of the City are attached to this Official Statement as APPENDIX F. See "SEWER SYSTEM FINANCIAL STATEMENTS AND COVERAGE STATEMENT" and "APPENDIX F - EXCERPTS FROM AUDITED FINANCIAL STATEMENTS OF THE CITY FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017" in this Official Statement.

Delivery Information..... It is expected that delivery of the Series 2018D Bonds will be made on or about October 10, 2018, through the facilities of DTC in New York, New York, against payment therefor.

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OFFICIAL STATEMENT

$7,710,000
CITY OF SAINT PAUL, MINNESOTA
SEWER REVENUE BONDS
SERIES 2018D
(Green Bonds)

INTRODUCTION

General

This Official Statement contains certain information relating to the City of Saint Paul, Minnesota (the "City" or the "Issuer") and its Sewer Revenue Bonds, Series 2018D (Green Bonds) (the "Series 2018D Bonds"), in the original aggregate principal amount of $7,710,000. The Series 2018D Bonds are issued pursuant to (i) Minnesota Statutes, Chapter 475, as amended (the "Municipal Debt Act"); (ii) the City Charter; (iii) the 1988 General Resolution pledging Revenues of the Sewer System; and (iv) a supplemental resolution adopted on September 19, 2018 by the City Council authorizing the sale of the Series 2018D Bonds (collectively, the "Resolution"). The Series 2018D Bonds are special, limited obligations of the City payable solely from and secured by a first charge and lien upon the Revenues (as defined below) of the City's sewer system (the "Sewer System"). The Series 2018D Bonds are not general obligations of the City and the full faith and credit and taxing power of the City are not pledged to pay debt service on the Series 2018D Bonds. The City does not have the authority to levy ad valorem property taxes in order to pay debt service on the Series 2018D Bonds.

The Resolution defines Revenues of the Sewer System as follows: all amounts received from the operation of or in connection with the Sewer System, including (a) sanitary sewer service charges or surcharges, storm sewer system charges, sewer availability charges, all other Sewer System charges or surcharges imposed on Sewer System users or City property owners, assessments, penalties or interest due on delinquent amounts, (b) earnings on money held in any fund or account, (c) money received upon the sale, lease, transfer, conveyance or other disposition of any real or personal property which is part of the Sewer System, and (d) any other revenues of whatever kind and from whatever source derived arising from the Sewer System; but excluding assessments for Sewer System improvements dedicated to other uses which preclude the application of such assessments to the payment of the Series 2018D Bonds (collectively, the "Revenues").

All capitalized terms used but not defined herein shall have the meaning set forth in the Resolution, unless the context clearly requires another meaning. See "APPENDIX D - EXCERPTS OF THE RESOLUTION" in this Official Statement for certain excerpts and definitions contained in the Resolution.

Periodically, the City updates its investor relations website (www.stpaulbonds.com) with information regarding prospective financings and financial information. Inquiries may also be directed to Mr. Todd Hurley, Director, Office of Financial Services, 700 City Hall, 15 West Kellogg Boulevard, Saint Paul, Minnesota 55102, or by telephoning (651) 266-8549. Inquiries may also be made to Springsted Incorporated, Municipal Advisor to the City, 380 Jackson Street, Suite 300, Saint Paul, Minnesota 55101-2887, by telephoning (651) 223-3000, or by emailing bond_services@springsted.com ("Springsted").

THE SERIES 2018D BONDS

General Description

The Series 2018D Bonds are dated as of the date of delivery and will mature on the dates and in the principal amounts and bear interest at the rates per annum set forth in the maturity schedule on the inside front cover of this Official Statement. Interest on the Series 2018D Bonds is payable on each June 1 and December 1, commencing June 1, 2019. Interest will be payable to the holder (initially Cede & Co.) registered on the books of the registrar on the fifteenth day of the calendar month next preceding such interest payment date. The Treasurer of the City will serve as Registrar and Paying Agent for the Series 2018D Bonds. Interest on the Series 2018D Bonds will be calculated on the basis of a 360-day year of twelve thirty-day months. The Series 2018D Bonds are issued in book-entry form.

Optional Redemption

The City may elect on December 1, 2027, and on any day thereafter, to redeem the Series 2018D Bonds maturing on or after December 1, 2028. Redemption may be in whole or in part and if in part at the option of the City and in such manner as the City shall determine. If less than all Series 2018D Bonds of a maturity are called for redemption, the City will notify DTC of the particular amount of such maturity to be redeemed. DTC will determine by lot the amount of each participant's interest in such maturity to be redeemed and each participant will then select by lot the beneficial ownership interests in such maturity to be redeemed. All redemptions shall be at a price of par plus accrued interest to the date of redemption.

Mandatory Sinking Fund Redemption

Series 2018D Bonds. Series 2018D Bonds maturing on December 1, 2037 are subject to mandatory sinking fund redemption and payment at a price of par plus accrued interest, without premium, on the dates and in the amounts set forth below:

$1,005,000 Series 2018D Term Bonds Maturing December 1, 2037

Sinking Fund Date (December 1)	Principal Amount
2036	$495,000
2037*	510,000

**Maturity*

Notice of Redemption

Mailed notice of redemption shall be given to the paying agent (if other than a City officer) and to each affected Holder. If and when the City shall call any of the Series 2018D Bonds for redemption and payment prior to the stated maturity thereof, the Bond Registrar shall give written notice in the name of the City of its intention to redeem and pay such Series 2018D Bonds at the office of the Bond Registrar. Notice of redemption shall be given by first class mail, postage prepaid, mailed not less than thirty (30) days prior to the redemption date, to each Holder of Series 2018D Bonds to be redeemed, at the address appearing in the Bond Register. All notices of redemption shall state: (i) the redemption date; (ii) the redemption price; (iii) if less than all outstanding Series 2018D Bonds are to be redeemed, the identification (and, in the case of partial redemption, the respective principal amounts) of the Series 2018D Bonds to be redeemed; (iv) that on the redemption date, the redemption price will become due and payable upon each such Series

2018D Bond, and that interest thereon shall cease to accrue from and after said date; (v) the place where such Series 2018D Bonds are to be surrendered for payment of the redemption price (which shall be the office of the Bond Registrar); and (vi) include a statement that the redemption so noticed is conditioned on sufficient funds being held by the City on or before noon on the applicable redemption date to pay the full redemption price, and if at such time the amount so held is not sufficient to pay all amounts required to effect the noticed redemption in full, the redemption shall be cancelled, with all Series 2018D Bonds tendered for such redemption being returned to the holders thereof and no liability on the part of the City shall arise as a result of such cancellation.

Registration

The City Treasurer will be appointed as the initial bond registrar and paying agent (the "Registrar" and the "Paying Agent") for the Series 2018D Bonds. The City Treasurer will serve as Registrar unless and until a successor Registrar is duly appointed. A successor Registrar must be an officer of the City or a bank or trust company eligible for designation as Registrar pursuant to applicable law and may be appointed pursuant to any contract the City and such successor Registrar may execute. The Registrar will also serve as Paying Agent unless and until a successor Paying Agent is duly appointed. Principal and interest on the Series 2018D Bonds will be paid to the holder registered on the books of the Registrar (the "Holder" or "Registered Holder," or "Bondholder") on the fifteenth day of the calendar month next preceding each interest payment date (initially Cede & Co., as nominee of The Depository Trust Company).

The interest on the Series 2018D Bonds and, upon surrender of each Series 2018D Bond, the principal amount thereof, is payable by check or draft issued by the Registrar. Each Series 2018D Bond will be dated as of the last interest payment date preceding the date of authentication to which interest on the Series 2018D Bonds has been paid or made available for payment, unless: (i) the date of authentication is an interest payment date to which interest has been paid or made available for payment, in which case the Series 2018D Bonds will be dated as of the date of authentication; or (ii) the date of authentication is prior to the first interest payment date, in which case the Series 2018D Bonds will be dated as of the date of original issue.

Book-Entry System

The Series 2018D Bonds will be initially issued in the form of a separate single typewritten or printed fully registered Series 2018D Bond for each maturity of the Series 2018D Bonds. Upon initial issuance, the ownership of each Series 2018D Bond will be registered in the registration books kept by the Registrar in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York, and its successors and assigns ("DTC"). See "APPENDIX E - THE DEPOSITORY TRUST COMPANY" in this Official Statement.

AUTHORITY AND PURPOSE

Generally. The Series 2018D Bonds are being issued by the City pursuant to (i) the Municipal Debt Act, (ii) the Resolution, and (iii) the City Charter. Proceeds of the Series 2018D Bonds will be used by the City to (a) finance capital improvements to the City's Sewer System, and (b) pay costs of issuance relating to the Series 2018D Bonds.

Green Bonds Designation. The City is issuing the Series 2018D Bonds as "Green Bonds" based upon the environmental benefits of the capital projects to be financed with proceeds of the Series 2018D Bonds. The City has designated the capital projects to be financed with the Series 2018D Bonds as "Green Projects" due to the fact that such projects are designed to be environmentally beneficial in the broad

category of clean water and sustainable waste management. The purpose of the "Green Bond" designation is to allow holders of the Series 2018D Bonds to invest directly in projects that are beneficial to the environment and is not intended to provide or imply that a holder of the Series 2018D Bonds is entitled to any additional security. While the City will take steps to ensure compliance with the principles of Green Bonds in effect as of the issuance of the Series 2018D Bonds, the City does not make any representation that the Series 2018D Bonds will comply with any future changes to the principles of Green Bonds enacted by the International Capital Market Association after the date of issuance of the Series 2018D Bonds.

The City's Office of Financial Services will track the use of the proceeds of the Series 2018D Bonds and the City will post to EMMA an annual update regarding the use of the proceeds of the Series 2018D Bonds until they are fully expended. Once all proceeds of the Series 2018D Bonds have been expended, the City will not post any further updates to EMMA regarding the expenditure of the Series 2018D proceeds.

SOURCES AND USES OF FUNDS

The following table shows the estimated sources and uses (rounded to the nearest dollar) for the Series 2018D Bonds described above and the proposed uses of the available funds.

Sources of Funds	
Principal Amount of Series 2018D Bonds	$7,710,000
Net Original Issue Premium	286,811
Total Sources of Funds	$7,996,811
Uses of Funds	
Deposit to Project Construction Account	$7,874,688
Costs of Issuance[(1)]	122,123
Total Uses of Funds	$7,996,811

(1) *Includes estimated issuance costs for Bond Counsel, Rating Agency, the Municipal Advisor, Purchaser's Discount, and other miscellaneous costs associated with the issuance of the Series 2018D Bonds.*

SECURITY AND FINANCING

The Series 2018D Bonds are special, limited obligations of the City payable solely from and secured by a first and prior lien upon the revenues of the Sewer System on a parity of lien with the City's outstanding: (i) $2,820,000 Sewer Revenue Refunding Bonds, Series 2009I, dated October 1, 2009; (ii) $8,610,000 Sewer Revenue Bonds, Series 2010D, dated March 3, 2010, (iii) $8,900,000 Sewer Revenue Bonds, Series 2011C, dated April 4, 2011; (iv) $8,815,000 Sewer Revenue Bonds, Series 2012C, dated April 2, 2012; (v) $11,515,000 Sewer Revenue and Refunding Bonds, Series 2013D, dated April 8, 2013; (vi) $8,000,000 Sewer Revenue Bonds, Series 2014E, dated August 4, 2014; (vii) $8,700,000 Sewer Revenue Bonds, Series 2015B (Green Bonds), dated May 5, 2015; (viii) $7,715,000 Sewer Revenue Bonds, Series 2016B (Green Bonds), dated April 14, 2016; (ix) $21,225,000 Sewer Revenue Refunding Bonds, Series 2016D, dated December 1, 2016; and (x) $7,975,000 Sewer Revenue Bonds, Series 2017C (Green Bonds), dated April 6, 2017 (together referred to as the "Parity Bonds"). As of the date of this Official Statement, there will be $76,950,000 of principal outstanding on the Parity Bonds (not including the Series 2018D Bonds). The Series 2018D Bonds shall not constitute a debt for which the full faith and credit or taxing powers of the City will be pledged. Under the terms of the Resolution, Revenues will be applied by the City to the following order of priority: (i) debt service on the Parity Bonds; (ii) amounts payable to a

bond insurer or surety; (iii) amounts required to maintain the Reserve Account; (iv) the Current Expenses of operations and maintenance of the System; and (v) to certain other uses authorized under the terms of the Resolution.

The City has certain general obligation sewer debt payable on a subordinate basis from the Revenues of the Sewer System after payment of the Parity Bonds. See "SECURITY AND FINANCING - Subordinate Debt" in this Official Statement.

Rate Covenant

Pursuant to the terms of the Resolution, the City has covenanted that it will establish, maintain and collect such charges and rates as will produce Revenues sufficient to pay the interest and premium, if any, on and the principal of all Parity Bonds as and when they become due, as well as to provide sufficient money to make the required appropriations to the various Funds and Accounts established by the Resolution and to pay the Current Expenses of the Sewer System. The rate covenant described above permits the City to apply fund balances, in addition to Revenues derived from current rates and charges, to provide all the amounts required for appropriations to the Fund and Accounts and to pay Current Expenses of the Sewer System. Therefore, to the extent that fund balances in the Sewer Service Enterprise Fund are made available to the Sewer Service Enterprise Fund, the City may make such appropriations or pay Current Expenses from those sources, and in recent years the City has done so.

Reserve Account

The City has covenanted to establish and maintain a Reserve Account in an amount equal to the sum of the Reserve Requirement for each series of bonds then outstanding under the Resolution (other than the Series 2018D Bonds, the Series 2017C Bonds and the Series 2016D Bonds which are not secured by amounts in the Reserve Account, see "No Reserve Account for the Series 2018D Bonds" below). The Reserve Requirement for each series of Parity Bonds (other than the Series 2016D Bonds, the Series 2017C Bonds and the Series 2018D Bonds which are not secured by funds in the Reserve Account) secured by the Reserve Account is, as of any date of calculation, the sum of the Reserve Requirements applicable to each series of bonds then secured by the Reserve Account, while any of such bonds remain outstanding, the Reserve Requirement shall be, unless otherwise specifically provided in the Resolution or the appropriate Supplemental Resolution:

(a) for each series of Taxable Bonds, as of any date of calculation, an amount equal to the maximum amount of principal and interest to become due in any Fiscal Year on all then outstanding Taxable Bonds of that series;

(b) for each series of Tax-Exempt Bonds, as of any date of calculation, an amount equal to the least of: (1) ten percent (10%) of the lesser of (i) the original principal amount of such Tax-Exempt Bonds or (ii) the "issue price" of such Tax-Exempt Bonds, determined as required by Section 148 of the Code; (2) the maximum amount of principal and interest to become due in any fiscal year on all then outstanding Tax-Exempt Bonds of that series; or (3) the maximum amount permitted under Section 148 of the Code to be held in a reserve fund and invested at a yield in excess of the yield on such series of Tax-Exempt Bonds; provided that the calculation of the maximum amount of interest to become due on Variable Rate Bonds, Adjustable Rate Bonds or Temporary Bonds shall be based on methods described in the Resolution for the issuance of Additional Bonds.

No Reserve Account for Series 2018D Bonds

No proceeds of the Series 2018D Bonds will be deposited in the Reserve Account. The Reserve Requirement for the Series 2018D Bonds will be $0. The Series 2018D Bonds are not secured by any amounts in the Reserve Account that secures certain other Parity Bonds of the City (but not the Series 2016D Bonds, the Series 2017C Bonds or the Series 2018D Bonds) issued under the provisions of the Resolution. The Series 2018D Bonds do not have any right, title or interest in any amounts in the Reserve Account.

Subordinate Debt

The City currently has three outstanding Minnesota Public Facilities Authority Loans ("PFA Loans"), which are general obligations of the City and have a subordinate lien on the Revenues of the Sewer System. The pledge of Revenues to the payment of the PFA Loans is subordinate to the pledge of the payment of Revenues to the Parity Bonds. As of October 10, 2018, $1,696,309 total principal amount is outstanding under Minnesota Public Facilities Authority Loan Agreements relating to PFA Loans, with various annual maturities and a final maturity due on August 20, 2020.

FUNDS AND ACCOUNTS

The following is a summary of the funds and accounts established in the Resolution. This summary is not to be considered a full statement of the provisions of the Resolution and is qualified by reference to the complete Resolution. Certain portions of the Resolution are included herein as part of APPENDIX D.

The Resolution will provide for the continuation of the Sewer Service Enterprise Fund and the accounts therein. All revenues of the Sewer System will be deposited into the Sewer Service Enterprise Fund and the following accounts will be maintained therein:

Construction Account

Into this account shall be paid a portion of the proceeds from the sale of the Series 2018D Bonds less the sum of (1) any premium, unused discount (if any), and accrued interest paid by the purchaser upon delivery, and (2) capitalized interest (if any) deposited in the Revenue Bond Debt Service Account.

From the Construction Account shall be paid all costs of the Sewer System improvements to be financed by the Series 2018D Bonds, including legal, engineering, financing, and other such expenses. There shall also be paid from the Construction Account the costs of issuance of the Series 2018D Bonds. The City may transfer from the Construction Account to the Revenue Bond Debt Service Account, monthly, amounts required to provide for the payment of interest on the Series 2018D Bonds during the period of construction of the improvements financed by the Series 2018D Bonds, and in such case the amount so transferred shall be credited against amounts otherwise required to be transferred from the Operation and Maintenance Account, provided however, that any amount of the proceeds of the Series 2018D Bonds deposited in the Revenue Bond Debt Service Account upon issuance the Series 2018D Bonds shall be used for that purpose before any transfers are made from the Construction Account.

Any excess money remaining in the Construction Account upon completion of the applicable improvements shall be, at the option of the City, applied to the payments of or reimbursement for the costs of any other improvements, or transferred to the Revenue Bond Debt Service Account.

Amounts required to pay the costs of any improvement not financed by bonds or other debt shall be deposited in the Construction Account and applied to pay or reimburse for the costs of improvements.

Earnings on amounts held from time to time in the Construction Account shall be retained therein except all excess earnings, shall be transferred from the Construction Account to the Excess Investment Earnings Fund at such times and in such amounts as may be required to maintain compliance, as to all Tax-Exempt Bonds, with the covenants of the City relating to Tax-Exempt Bonds.

Operation and Maintenance Account

Into the Operation and Maintenance Account shall be paid all revenues, upon receipt. From this account shall be paid or transferred the following amounts in the following order of priority:

(a) To the Revenue Debt Service Account, monthly, the amounts required to pay debt service on the Series 2018D Bonds;

(b) In order, first to make payments to any interest rate swap provider; second to make payments to each credit provider, monthly, the amounts required to be paid to such credit provider pursuant to the applicable Credit Agreement; and third to each Fiduciary, monthly, the amount of its fees and expenses then due;

(c) To the Reserve Account, monthly the amounts required to maintain the balance on hand therein at the Reserve Requirement;

(d) To pay all Current Expenses then due;

(e) To the Operating Reserve Subaccount, monthly, the amount required to maintain the balance on hand therein at the Operating Reserve Requirement; and

(f) To pay any other amount then due with respect to the Sewer System, including, in any order, (i) amounts required to pay debt service on general obligation debt of the City incurred to finance Improvements, (ii) amounts required to pay the costs of any Improvement not financed by bonds or other debt, or (iii) to make any other payment or transfer authorized by law.

The City shall maintain within the Operation and Maintenance Account an Operating Reserve Subaccount. The balance of funds held therein shall be maintained at an amount equal to 45 days' average Current Expenses for the preceding Fiscal Year.

Current Expenses means the normal, reasonable and current costs of operation and maintenance of the Sewer System determined in accordance with generally accepted accounting principles, including without limitation, payments due to the Metropolitan Council Environmental Services, but excluding the following: (i) allowance for depreciation; (ii) costs of major sewer repairs; (iii) debt service expenses; and (iv) Revenues transferred to other City funds or accounts to pay debt service on City general obligation debt as described in clause (a) above.

Excess earnings shall be transferred from the Operation and Maintenance Account to the Excess Investment Earnings Account at such times and in such amounts as may be required to maintain compliance, as to all Tax-Exempt Bonds, with the covenants of the City relating to Tax-Exempt Bonds.

Revenue Bond Debt Service Account

Into the Revenue Bond Debt Service Account shall be credited and to which the City has irrevocably pledged from the Revenues of the operation of the Sewer System, monthly, a sum equal to at least 1/12 of the total principal to become due on all series of Parity Bonds during the ensuing twelve (12) months; and an amount equal to one-sixth (1/6) of the total interest to become due on all series of Parity Bonds during the ensuing six (6) months. No further payments need be made into the Revenue Bond Debt Service Account once the balance is sufficient to make all required debt service payments on and prior to the next maturity date.

Excess earnings shall be transferred from the Revenue Bond Debt Service Account to the Excess Investment Earnings Account at such times and in such amounts as may be required to maintain compliance, as to all Tax-Exempt Bonds, with the covenants of the City relating to Tax-Exempt Bonds.

Reserve Account for Certain Parity Bonds (Not Including the Series 2018D Bonds, the Series 2017C Bonds or the Series 2016D Bonds)

The Reserve Account shall be drawn upon only when and if money in the Revenue Bond Debt Service Account or other money are insufficient on a Principal Payment Date or on an Interest Payment Date to pay the principal of, and premium, if any, and interest on the Parity Bonds payable from the Revenue Bond Debt Service Account. The Reserve Requirement for the Series 2018D Bonds will be $0. The Reserve Account does not secure the Series 2018D Bonds and may not be drawn upon if the amounts in the Revenue Bond Debt Service Account are insufficient to pay the principal of, and premium, if any, and interest on the Series 2018D Bonds when due.

Revenues in excess of those required for the foregoing purposes may be used for any proper purpose.

Additional Bonds; Other Revenue Obligations

The City may issue additional revenue obligations ("Additional Bonds") payable from money in the Sewer Service Enterprise Fund on a parity lien with the Series 2018D Bonds and all other Parity Bonds if the City satisfies certain requirements:

(A) Any bonds issued under the Resolution will be a first charge and lien upon the Revenues of the Sewer System. Except as permitted by the Resolution, no additional obligations payable from the Sewer Service Enterprise Fund will be issued unless the lien on Revenues securing such additional revenue obligations is expressly made a junior and subsequent lien upon Revenues. Nothing in the Resolution will be construed to preclude the City from applying excess Revenues to the payment of general obligations of the City as provided in the Resolution.

(B) Except as provided in the Resolution, no Additional Bonds payable from the money in the Sewer Service Enterprise Fund on a parity of lien with the then outstanding Bonds will be hereafter issued unless the annual Net Revenues of the Sewer System for each of the two (2) completed Fiscal Years immediately preceding the issuance of such Additional Bonds will have been one and one-quarter (1.25) times the maximum annual principal and interest coming due thereafter on all Bonds (including the Additional Bonds) having a parity of lien upon Revenues. If the annual Net Revenues in either or both of the aforesaid two (2) completed Fiscal Years will be insufficient to meet the foregoing test, then the City will be entitled to adjust the Net Revenues for either or both of those Fiscal Years by increasing the Net Revenues based on a projection of additional Revenues which would have been available from any rate increase placed in effect prior

to the adjustment, or from new users. The adjustment of Revenues may assume such increase would have been available for the entire Fiscal Year of adjustment. The projection for adjustment and a finding of sufficiency of Net Revenues for the issuance of Additional Bonds will be shown by a certificate issued by the Director, Department of Public Works, or the City Budget Director, or by an independent consulting engineering firm knowledgeable in such matters and will be a finding recited in the resolution of the City authorizing such Additional Bonds. For the purposes of the foregoing test, the following special provisions will apply:

(1) If the Additional Bonds to be issued will be Variable Rate Bonds, the calculation of maximum annual principal and interest will assume that such Additional Variable Rate Bonds bear interest at the highest interest rate permitted by the terms of the Additional Variable Rate Bonds and related Supplemental Resolution; provided that other or different assumptions may be used if necessary to obtain an investment grade credit rating for the Variable Rate Bonds, or to maintain the credit rating(s) then in effect for the Bonds then outstanding.

(2) If the Additional Bonds to be issued will be Adjustable Rate Bonds, the calculation of maximum annual principal and interest will assume that such Adjustable Rate Bonds bear interest at the highest interest rates permitted by the terms of the Adjustable Rate Bonds and related Supplemental Resolution; provided that if no maximum interest rate is provided for, then such calculation will assume the Adjustable Rate Bonds bear interest at the then prevailing interest rate for utility revenue bonds of comparable credit quality and maturity, taking into account whether such Bonds are Taxable Bonds or Tax-Exempt Bonds; and provided further that other or different assumptions may be used if necessary to obtain an investment grade credit rating for the Adjustable Rate Bonds or to maintain the credit rating(s) then in effect for the Bonds then outstanding.

(3) If the Additional Bonds are subject to mandatory purchase or are to be purchased upon tender by the Holders thereof, any Revenues required to be segregated or set aside by the City to fulfill its purchase obligation will be deemed additional debt service on the related series of Bonds in the amounts and at the times such amounts are required to be so set aside.

(4) If the Additional Bonds to be issued will be Temporary Bonds, the calculation of maximum annual principal and interest will assume either:

(a) that principal and interest will be paid at the times and at the interest rate specified in the related Commitment; or, at the election of the City,

(b) that principal and interest will be paid on a level debt service basis over a period of ten (10) years from the maturity or mandatory purchase date for the series of Temporary Bonds, and that the series of Temporary Bonds will bear interest from and after that date at the then prevailing interest rates for utility revenue bonds of comparable credit quality, taking into account whether such Bonds are Taxable Bonds or Tax-Exempt Bonds;

provided, that other or different assumptions may be used if necessary to obtain an investment grade credit rating for the Temporary Bonds or to maintain the credit rating(s) then in effect for the Bonds then outstanding.

(C) In addition to the requirements of subsection (B) above, the following conditions will be met prior to the issuance of each series of Additional Bonds:

(1) The payments required to be made (at the time of the issuance of such Additional Bonds) into the various Funds and Accounts provided for in the Resolution will have been made.

(2) The proceeds of such Additional Bonds will be used only for the purpose of making Improvements to the Sewer System or to refund (or advance refund) Bonds or any other bonds or obligations issued to finance the Sewer System, and capitalizing interest or making a deposit to the Reserve Account and paying the costs of such financing.

(D) The conversion of Variable Rate Bonds or Adjustable Rate Bonds to Fixed Rate Bonds will not be treated as the issuance of Additional Bonds subject to the requirements of subsection (B) above unless the interest rate to be borne by such Bonds from and after the date of conversion will exceed the maximum rate taken into account for the purposes of subsection (B), clauses (1) or (2) above.

INVESTMENT CONSIDERATIONS

Prospective purchasers of the Series 2018D Bonds should be aware that investment in the Series 2018D Bonds may entail some degree of risk. Each prospective investor in the Series 2018D Bonds is encouraged to read this Official Statement in its entirety. Particular attention should be given to the factors described below which, among others, could affect the payment of debt service on the Series 2018D Bonds and which could also affect the market price of the Series 2018D Bonds to an extent that cannot be determined. This discussion of risk factors is not, and is not intended to be, exhaustive.

Special, Limited Obligation

The obligation of the City to pay debt service on the Series 2018D Bonds is a special, limited obligation of the City. *The Series 2018D Bonds are not general obligations of the City and the full faith and credit and taxing power of the City are not pledged to pay debt service on the Series 2018D Bonds. The City does not have the authority to levy ad valorem property taxes in order to pay debt service on the Series 2018D Bonds.* As further described elsewhere herein, debt service on the Series 2018D Bonds is payable solely from and secured by a first charge and lien upon the Revenues of the Sewer System described herein. While it is believed that Revenues of the Sewer System will be sufficient to pay operating and maintenance costs of the Sewer System as well as debt service on the Series 2018D Bonds when due, a number of factors described below may affect the receipt of sufficient Revenues from the Sewer System for such purposes, which may impair the ability of the City to make timely debt service payments on the Series 2018D Bonds.

General Factors that May Affect Sufficiency of Revenues

As stated above, the City is obligated to pay debt service on the Series 2018D Bonds solely from Revenues generated by the operation of the Sewer System. A number of factors may have an adverse effect on the receipt of money in an amount sufficient to pay operating and maintenance expenses of the Sewer System as well as debt service on the Series 2018D Bonds. These include potential adverse changes in the economic condition of the Sewer System, including potential decreases in population that may arise from decisions by employers located in and around the City to relocate their operations elsewhere; potential unemployment at a level that would preclude residents of the City from paying sufficient user fees in order

to support the operations of the Sewer System and the payment of debt service on the Series 2018D Bonds; and other factors such as weather conditions that could result in a reduction in the demand for services.

Unforeseen Problems with the Sewer System

Payment of principal of and interest on the Series 2018D Bonds is dependent to a considerable degree upon the continued operation of the Sewer System for the purposes for which it was designed. While the City believes that the Sewer System is designed and constructed in such a manner as to permit its continued operation without requiring unreasonable costs for maintenance or repairs and has provided under the terms of the Resolution for the creation and maintenance of funds in amounts which it believes to be sufficient to provide for the necessary repairs and maintenance of the Sewer System, there can be no assurance that such amounts will, in fact, be sufficient to ensure the ongoing operation of the Sewer System. The Sewer System, as part of the City, is self-insured for worker's compensation, automobile liability and general liability, and has a property insurance policy. However, casualties and other occurrences may result in damage to the Sewer System that may not be fully covered by the City's $600,000 self-insurance reserve or by the net proceeds of any insurance award. Any material interruption of the operation of the Sewer System may have an adverse effect on the ability of the City to collect fees from users of the Sewer System and could, in turn, have a materially adverse effect on the ability of the City to make timely payment of debt service on the Series 2018D Bonds.

Maintenance of Credit Rating

The Series 2018D Bonds will be rated as to their creditworthiness by S&P Global Ratings ("S&P" or the "Rating Agency"). No assurance can be given that the Series 2018D Bonds will maintain its original rating from the Rating Agency. If a rating on the Series 2018D Bonds decreases, the Series 2018D Bonds may lack liquidity in the secondary market in comparison to other municipal bonds. Adverse developments with respect to the financial condition of the Sewer System may have an unfavorable effect upon a holder's ability to sell the holder's Series 2018D Bonds or the bid and ask prices for the Series 2018D Bonds. See "RATING" in this Official Statement.

Risks of Construction

The construction of the Improvements financed with proceeds of the Series 2018D Bonds is subject to various construction risks, including (without limitation) cost overruns, insufficient funding, labor disputes, adverse environmental conditions, weather delays, construction or design defects, construction disputes, availability of labor and materials and other similar factors. No assurance can be given that, if any of such conditions or events occur, the Improvements will be completed for the amounts deposited to the Construction Account or that the Improvements will be completed by their currently estimated completion date. Significant costs in excess of the budgeted amounts and significant delays in completion of construction of the Improvements could affect the Revenues of the System.

While the construction of the Improvements employs standard, commonly utilized design features and materials and the Improvements can be constructed with existing techniques, no assurance can be given that the site conditions encountered during the construction of the Improvements will be the same as assumed by the City in designing the Improvements.

No Mortgage

The Series 2018D Bonds (and the Parity Bonds) are not secured by a mortgage lien or any other real estate security interest in any property or real estate. The Series 2018D Bonds (and the Parity Bonds) are payable solely from and secured by the Revenues of the System. See "SECURITY AND FINANCING" in this Official Statement.

No Acceleration

The Resolution does not contain a provision for acceleration of the Series 2018D Bonds (and the Parity Bonds) if there is a failure by the City to comply with any of the covenants set forth in the Resolution.

No Reserve Account for Series 2018D Bonds

No proceeds of the Series 2018D Bonds will be deposited in the Reserve Account. The Reserve Requirement for the Series 2018D Bonds will be $0. The Series 2018D Bonds will not have any right title or interest in any amounts on deposit in the Reserve Account.

Internal Revenue Code Compliance

The Series 2018D Bonds could lose their tax-exempt status as a result of the City not complying with the various provisions of the Code, and the regulations promulgated thereunder, with respect to the use of the Sewer System and the proceeds of the Series 2018D Bonds. Following a determination by the Internal Revenue Service (the "IRS") that the interest on the Series 2018D Bonds should be included in gross income for federal tax purposes, the Series 2018D Bonds will not be subject to mandatory redemption as described under the heading "THE SERIES 2018D BONDS" and in the Resolution. Interest on the Series 2018D Bonds may become subject to inclusion in gross income for purposes of federal income taxes retroactively to the date of issuance or the date of the breach of certain tax covenants in the Resolution.

The opinion of Bond Counsel will be obtained as described in "TAX EXEMPTION" and "APPENDIX B - FORM OF OPINION OF BOND COUNSEL" herein; however, application for a ruling or determination from the IRS regarding the tax-exempt status of the Series 2018D Bonds has not and will not be made, and an opinion of counsel is not binding upon the IRS. The laws, regulations, court decisions and administrative interpretations upon which the conclusions stated in the opinion of Bond Counsel are based on and subject to change by the United States Congress, the United States Treasury Department and later judicial and administrative decisions.

IRS Tax-Exempt Bond Program

The IRS has established a Tax-Exempt and Government Entities Division (the "TE/GE Division"). The TE/GE Division has a subdivision that is specifically devoted to tax-exempt bond compliance. The IRS has an active program of conducting examinations of tax-exempt bonds, such as the Series 2018D Bonds. In recent years, the number of IRS tax-exempt bond examinations has increased, and public statements made by individual IRS officials indicate that the number of IRS examinations of tax-exempt bonds, including governmental issues such as the Series 2018D Bonds, may increase in the future. IRS officials have recently indicated that more resources will be invested in audits of tax-exempt bonds in the charitable organization sector with specific review of private use.

Insolvency

Minnesota law specifically authorizes a statutory mechanism for municipalities such as the City to declare bankruptcy. Although the possibility is very remote, insolvency or bankruptcy proceedings in the future involving the City and equity principles could delay or otherwise adversely affect the enforcement of registered owners' rights or collection of the principal of or interest on the Series 2018D Bonds. Such an event, although a remote possibility, could impose significant risks of delay, limitation or modification of the rights of owner rights against the City.

The foregoing is intended only as a summary of certain investment considerations attendant to an investment in the Series 2018D Bonds. In order for potential investors to identify investment considerations and make an informed decision with respect to the Series 2018D Bonds, potential investors in the Series 2018D Bonds should be thoroughly familiar with this entire Official Statement and the appendices hereto.

THE SEWER SYSTEM

The City's Sewer System (the "Sewer System" or the "System") provides sanitary and industrial wastewater for the City's residential, commercial and industrial areas, serving an area of approximately 34,238 acres within the City. The Sewer System consists of approximately 806 miles of collector, trunk, and interceptor sewer, including 24 lift stations. There is an additional 450 miles of storm sewer pipes and tunnels in the Sewer System. There are also (4) storm water pump stations used to pump rainfall and seepage from behind dikes and floodwalls when the river is at flood stage. The remainder of the time these storm water pump stations are inoperative.

Sewer sizes range from 6 inches to over 13 feet in equivalent diameter. The materials of construction include handcrafted brick, cement, concrete (monolithic and precast), cast iron, ductile iron, corrugated metal, stone masonry, clay and segmented clay block, as well as modern plastics and partially lined sandrock and limestone tunnels. The majority of the sewers in the Sewer System were built of clay or concrete pipe and more than 280 miles have been lined since 1991.

The City maintains the Sewer System, routinely utilizing sewer cleaning and televising equipment, and undertakes rehabilitation and reconstruction as required. The City's wastewater is treated by Metropolitan Council Environmental Services ("MCES"). See "METROPOLITAN COUNCIL ENVIRONMENTAL SERVICES" herein.

Sewer System Customers

Sanitary Sewer Customers. The total sanitary sewer consumption (residential, industrial, commercial and institutional) in 2017 was 9,773,925 net hundred cubic feet ("ccf"). The 10 largest sanitary sewer users generated 10% of the total sanitary sewer consumption. Approximately 69,549 residential customers for the sanitary component of the Sewer System contribute 52% of the flow. The remaining 48% of flow through the sanitary sewer portion of the System comes from approximately 3,273 commercial, industrial or institutional customers. Several of the Sewer System's larger industrial and commercial users' water either goes into their product or ends up in the storm sewer. This flow is metered and credits are given to the sewer bills of those users. These credits average approximately $1.7 million annually.

The ten largest commercial and industrial sanitary sewer users of the Sewer System as measured in 2017 are listed below. Consumption is measured in 100 ccf.

Customer	Consumption (ccf)	Consumption %
WestRock*	503,907	5.16
Regions Hospital (Maint)	83,085	0.85
Como Zoo (City Owned)	69,734	0.71
University of St. Thomas	63,267	0.65
United Hospital	59,319	0.61
District Energy	54,380	0.56
Hospital Linen Services	45,797	0.47
Co-Op Plating	40,342	0.41
Rexam American	36,669	0.38
Gerdau Ameristeel	34,989	0.36
Total	991,489	

** formerly known as RockTenn and Waldorf*

Storm Sewer Property Owners. The ten (10) largest storm sewer property owners account for approximately 3.3% of the storm sewer charges for 2017. The ten largest are listed below:

Customer	2017 Charges
Ras Properties LLC	$ 89,728
St. Paul Public Housing Agency, 108 Biglow Lane	66,224
City of St. Paul (Como Park)	53,177
Gerdau Ameristeel US Inc.	52,017
St. Paul Public Housing Agency, 124 Arch St E	45,524
Xcel Energy (Northern States)	44,765
BNSF Railway Co.	41,339
AMG Resources Corp.	38,548
WestRock*	37,661
CH Midway LLC	36,400
Total	$505,383

** formerly known as RockTenn and Waldorf*

Rates, Billing and Collections

Sanitary Sewer Charges. Sanitary sewer charges in the City have been historically based on the volume of sewage discharges into the Sewer System measured by the volume of water used and are established annually to finance the System. The Sewer Utility Fund does not receive a budgetary allocation from the City's General Fund. The Mayor, based on advice from the City staff, recommends the amount and the basis of both the sanitary and storm sewer service charges, which then must be established by the City Council by resolution after a public hearing. Charges for the System are collected by the Board of

Water Commissioners of the City for a fee paid by the Sewer Utility Fund. Upon a customer default, water service is discontinued.

In 2016, the City implemented a new rate structure for the sanitary sewer portion of the Sewer System. The revised sanitary sewer rate structure was adopted by the City Council after a public hearing at the end of 2015. The new rate structure splits the sanitary sewer rate into a fixed charge and a volume based charge. Up to and including 2015, sanitary sewer revenue has been generated from the volume of water consumed. The new sanitary sewer rate structure is intended to better match the fixed costs portion of the capital needs of the sanitary sewer portion of the System with fixed charges and to provide a more predictable stream of revenue. The new rate structure for the Sewer System is very similar to the rate structure recently implemented by Saint Paul Regional Water Services for water charges for residents of the City.

The City periodically formally reviews its rates for the Sewer System and engages a qualified outside independent third party to conduct such study. Springsted recently conducted a rate study of the Sewer System, which was delivered to the City in July 2018. As a result of this study, the City does not currently anticipate any substantial changes to the rate structure for the Sewer System.

The City maintains a step rate structure for billing all residential, commercial and industrial users and all rates are per 100 cubic feet. For 2018 (with comparison information to 2017), the sanitary sewer rates are as follows:

Sewer Sanitary Flow Rates	**2017**	**2018**
First 100,000 cubic feet	$4.04	$4.18
Next 400,000 cubic feet	$4.01	$4.18
All over 500,000 cubic feet	$4.00	$4.18

The City's monthly base sanitary sewer fee for 2018 by size of discharge pipe is shown on the table below (with comparison information to 2017):

Sewer Monthly Base Fee	**2017**	**2018**
5/8 inch meter (residential)	$2.00	$3.00
3/4 inch meter (residential)	2.00	3.00
1 inch meter (residential)	2.00	3.00
1 inch meter (other)	5.53	8.31
1-1/2 inch meter	7.83	11.73
2.0 inch meter	9.90	14.85
3.0 inch meter	14.00	21.00
4.0 inch meter	17.50	26.25
6.0 inch meter	24.75	37.11
8.0 inch meter	31.30	46.95
10 inch meter	37.53	56.31
12 inch meter	44.96	67.44

In connection with the charges described above, the City has adopted minimum charges for sanitary sewer costs for a property owner. In the event that a property owner does not have enough charges, there is a minimum fee and such fees are set forth in the table below and are based on water meter size. The minimum sanitary sewer charges for 2018 are as follows:

Water Meter	Size Charge
3/4 inch and smaller	$ 7.20 per quarter
1 inch (residential)	7.20 per quarter
1 inch (other)	12.60 per quarter
1 1/4 inch	5.60 per month
1 1/2 inch	8.80 per month
2 inch	20.00 per month
3 inch	42.00 per month
4 inch	104.00 per month
5 inch	150.00 per month
6 inch	200.00 per month
8 inch	344.00 per month
10 inch	492.00 per month
12 inch	680.00 per month
Over 12 inch	1,000.00 per month

Storm Sewer Charges. The City's charges for the storm sewer portion of the System as shown in the table below. Storm sewer charges are billed annually in July. For 2018 (with comparison information to 2017), the storm sewer rates are as follows:

Storm Sewer Rates	2017	2018
Class A - Cemeteries,/Vacant Land (per acre)	$ 152.95	$ 158.30
Class B - Railroad ROW (per acre)	580.14	316.60
Class C - One and Two Family Homes (per acre)	91.44	94.64
Class D - Condominiums and Townhomes (per unit)	61.51	63.66
Class E - Schools and Community Centers (per acre)	839.51	868.89
Class F - Multiple Dwellings/Churches (per acre)	1,120.45	1,159.67
Class G - Commercial/Industrial (per acre)	1,509.44	1,562.27

The City anticipates the need for an increase to current service charges to offset the expected increase in charges from MCES. See "METROPOLITAN COUNCIL ENVIRONMENTAL SERVICES - MCES Billing" discussion herein.

In keeping with the Sewer Utility rate study completed by Springsted in 2015, the Mayor has recommended to the City Council that both sanitary and storm sewer rates be increased by 3.5% for 2018 as well as the continued phase-in of base fees according to water meter size.

Historical Capital Projects for the System. The following table shows MCES charges in comparison to Sewer Utility Fund non-capital budget expenditures.

Saint Paul Sewer Utility Fund Expenditures

Year	Total Budget Less Capital Projects	MCES Charges	MCES Charges as % of Total Budget Less Capital Projects
2018	$57,737,968	$22,822,623	39.53%
2017	54,782,998	21,906,604	39.99
2016	52,795,883	20,599,709	39.02
2015	53,066,572	20,452,651	38.54
2014	54,912,289	19,004,747	34.61
2013	54,912,293	17,688,433	32.21

For one- and two-family homes, the sewer charge for the first quarterly billing of the year is based on water consumption. The charge for each of the remaining three quarters will not exceed the first quarter figure. For all other properties, the sewer charge is based on actual water consumption for each billing period. Billing occurs quarterly for all properties served by meters one inch or smaller, and all one- and two-family dwellings. Properties served by meters larger than one inch are billed monthly.

Another primary source of revenue for the Sewer Utility Fund is the storm sewer system charge established by the City in 1986. This charge is based on the estimated storm water runoff that a typical property of each class discharges to the storm sewer system. The storm sewer system charge is based on property size and impervious area and has been used to pay a portion of the storm sewer construction cost and the operation and maintenance of the Sewer System. These amounts constitute Revenues and are therefore pledged to the payment of the Series 2018D Bonds and the Parity Bonds. The storm sewer system charge provides approximately $14 million annually.

Other sources of revenue for the Sewer Utility Fund include, but are not limited to, tax increment financing, water surcharges, permit fees, interest and lake overflow charges.

Regulation

The City is not subject to federal or state regulation in the establishment of sewer rates and charges. The City is subject to the Federal Clean Water Act, as amended, as enforced by the U.S. Environmental Protection Agency ("EPA") and Minnesota law as enforced by the Minnesota Pollution Control Agency ("MPCA") regarding discharges to natural receiving water bodies.

The MPCA and the EPA work jointly to enforce the City's National Pollutant Discharge Elimination System ("NPDES") permits. However, the MPCA maintains immediate regulatory control over the System. The City finished its Combined Sewer Separation Program in 1995, and met all terms of its last NPDES sanitary sewer permit, which expired in June 2001. Because the Sewer System had accomplished all of the goals outlined through the NPDES permitting process, no new NPDES permit was required for sanitary sewer system operation.

The City received a NPDES permit for storm water discharge in January 2011 and the City has been operating the storm sewer system in compliance with this permit. Prior to January 2011, the City was in compliance under the 2000 NPDES permit until the MPCA adopted the final changes for the new permit.

Future Capital Needs

The Sewer System will have capital needs funded through a mix of current revenue borrowing and use of reserves. The following table represents the estimated future capital needs through 2022.

Year	Major Sewer Repairs	Rehabilitation of Old Sewers
2018	$3,800,000	$6,650,000
2019	2,400,000	9,700,000
2020	3,000,000	8,650,000
2021	2,400,000	9,700,000
2022	3,000,000	8,700,000

The financial model for the Sewer Utility Fund annually identifies capital improvements concentrating on System rehabilitation. All these projects were outlined in the Sewer System Rehabilitation Plan first published in June 1997.

METROPOLITAN COUNCIL ENVIRONMENTAL SERVICES

Service Area

Metropolitan Council Environmental Services ("MCES") was established as an operating agency of the Metropolitan Council as the Metropolitan Sewer Board in 1969 pursuant to the Metropolitan Sewer Act for the purpose of consolidating wastewater treatment at centralized treatment facilities through acquisition of treatment works, interceptors, sewers and ancillary facilities for the purpose of achieving economies of scale in alleviating water pollution. MCES is further authorized to construct municipal sewage facilities, and charges benefiting municipalities' usage and betterment costs.

MCES operates, maintains and administers the area's Metropolitan Disposal System ("MDS"), consisting of major wastewater treatment facilities, interceptor collection sewers, liquid waste receiving sites, and sewer system appurtenances in the urbanized portion of the metropolitan area.

MCES provides sewage treatment directly to 109 connected local municipalities within the MDS service area. In addition, MCES receives liquid wastes trucked from businesses outside the connected municipalities. Pursuant to Minnesota Statutes, Section 473.511, Subdivision 1, the Metropolitan Council has the authority to assume ownership of all local wastewater treatment plants and interceptors in the seven-county metropolitan area it deems necessary to implement an area-wide collection and treatment system and to construct any additional facilities needed for that purpose.

Currently, MCES owns and operates over 600 miles of interceptor collection sewers along with one rural and seven regional treatment plants which treat about 245 million gallons of wastewater per day. The MDS services approximately 5,000 miles of local trunk sewers owned and maintained by the communities. MCES serves approximately 2.8 million people.

The MCES annual revenue budget for 2018 totals $279.2 million. Municipal wastewater charges represent 78.7% of budgeted revenue, Sewer Availability Charge fund transfers represent 15.0%, industry-specific charges represent 4.9%, and miscellaneous items represent 1.4%. No taxes support the wastewater-related expenses and wastewater fee revenues are not used to support other functions of the Metropolitan Council.

Metropolitan Wastewater Treatment Plant

The Metropolitan Wastewater Treatment Plant (the "Metro Plant") was originally constructed in 1938 to provide primary treatment for wastewater from the City and Minneapolis. The plant, which is located near Pig's Eye Lake on the Mississippi River in the City, has undergone construction modifications to increase capacity and achieve secondary treatment standards, as mandated by the Water Pollution Control Act of 1972, as amended. In addition to water quality requirements, the plant must continue to comply with air quality and residual solids disposal standards imposed by state agencies.

The Metro Plant currently has the ability to treat an average of 250 million gallons per day of wastewater. Construction related efforts are ongoing in the areas of phosphorus removal, reduction of odor emissions from the preliminary and primary treatment process areas, and rehabilitation of the liquid treatment facilities, as well as projects to reduce air pollutant emissions.

MCES Billing

Metropolitan Wastewater Charge ("MWC") is billed to municipal users of the system through a utility-like process, which distributes the annual cost among the municipal users in proportion to their wastewater volume.

The Metropolitan Council uses the last known calendar year flow volume to allocate the wastewater charges among the 109 customer communities. For 2018 billing, flows from 2016 are used to allocate the $219.8 million aggregate metropolitan wastewater flow charge. For example, if a community is responsible for 1% of total flow in 2016, it will be allocated 1% of the 2018 MWC.

MCES is statutorily required to allocate its capital project expenses between current and future users. The current capital project costs (primarily debt service), multiplied by the annual average percent of capacity used, represents that portion of debt service costs considered to be current operating cost and is included in computing the MWC.

SAC fees are designed to cover the remaining current capital project costs – "the reserve capacity" portion which is reserved for and paid by future users. SAC fees are charged to the connected municipalities, communities about to be connected to the MDS, the Metropolitan Airport Commission, the University of Minnesota, and the Shakopee Mdewakanton Sioux Community. Customer communities generally pass through SAC to property owners for new or expanded capacity demand in their wastewater systems.

Revenues are also generated from direct (retail-type) fees. These industry-specific charges are billed directly to approximately 750 industries. The largest such fee is the industrial strength charge, made to various industries discharging wastewater which requires treatment for total suspended solids and/or chemical oxygen demand that is in excess of typical domestic discharge.

The City anticipates annual increases in MCES charges between 5% and 7% over the next four years, which will be offset with a comparable increase in service charges to the Sewer System's customers.

A more detailed description of MCES revenues and rates can be found at:
http://www.metrocouncil.org/Wastewater-Water/Funding-Finance/Rates-Charges.aspx.

Source: Metropolitan Council website and City of Saint Paul.

SEWER SYSTEM FINANCIAL STATEMENTS AND COVERAGE STATEMENT

The tables on the following pages provide the City's Sewer Utility Fund Statement of Net Assets for the fiscal years ended December 31, 2013 through 2017; the Statement of Revenues, Expenses and Changes in Net Assets for the fiscal years ended December 31, 2013 through 2017; and the projected coverage statement for Parity Bonds (including the Series 2018D Bonds). The information was derived from the audited financial statements of the City for such years.

Attached to this Official Statement as APPENDIX E are excerpts of the audited financial statements of the City for the fiscal year ended December 31, 2017. The financial statements included in APPENDIX E have been audited by the Office of the State Auditor. The City has neither requested nor obtained the consent of the Office of the State Auditor to include its Independent Auditor's Report, dated June 28, 2018, in this Official Statement. The Office of the State Auditor has not performed any procedures with respect to the financial statements contained in APPENDIX E to this Official Statement since its report dated June 28, 2018.

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City of St. Paul, Minnesota
Sewer Utility Enterprise Fund
Statement of Net Assets
For Fiscal Years Ending December 31

	2017	2016	2015	2014	2013
ASSETS					
Current Assets					
Cash and Investments with Treasurer	$ 26,972,916	$ 21,572,354	$ 18,668,953	$ 21,256,293	$ 29,012,086
Investments	-		-	-	-
Imprest Funds	-	-	150	150	150
Restricted Cash and Cash Equivalents					
Cash for Revenue Bond Current Debt Service	765,196	712,403	696,427	1,888,026	1,182,225
Cash for Revenue Bond Construction	5,212,975	5,016,612	6,113,727	3,464,962	1,329,041
Cash for Revenue Bond Operations and Maintenance	4,862,826	4,867,090	4,718,702	4,393,334	4,393,334
Cash for Budget and Rate Stabilization	5,518,263	5,226,581	5,008,742	5,062,769	4,905,552
Receivables					
Accounts (net of allowance for estimated uncollectibles)	40,993	80,016	101,747	14,428	19,413
Assessments	6,202,141	5,996,841	6,215,975	6,058,643	5,935,784
Accrued Interest	1,632	29,110	39,869	20,885	56,593
Due from Other Funds			-	4,319	-
Due from Component Units	3,570,929	2,623,990	2,978,303	2,879,056	2,758,127
Due from Other Governmental Units	32,329	31,828	2,934	-	180,997
Inventories					
Materials and Supplies	415,214	295,453	196,130	112,630	87,655
Total Current Assets	53,595,414	46,452,278	44,741,659	45,155,495	49,860,957
Noncurrent Assets					
Restricted Assets					
Investments for Revenue Bond Future Debt Service	4,836,080	4,722,358	7,518,517	5,656,410	5,595,365
Total Restricted Assets	4,836,080	4,722,358	7,518,517	5,656,410	5,595,365
Other Assets					
Advance to Other Funds				-	-
Deferred Charges	-	-	-	-	-
Total Other Assets	-	-	-	-	-
Capital Assets					
Land	787,113	787,113	787,113	787,113	488,435
Buildings and Structures	3,347,053	3,347,053	3,347,053	3,347,053	3,347,053
Less: Accumulated Depreciation	(1,209,221)	(1,128,881)	(1,048,538)	(968,195)	(887,853)
Public Improvements	431,704,607	421,720,720	414,367,842	403,153,728	391,794,242
Less: Accumulated Depreciation	(155,934,997)	(150,434,471)	(145,054,094)	(139,854,728)	(134,906,178)
Equipment	2,227,889	2,789,334	2,781,844	2,765,632	2,537,416
Less: Accumulated Depreciation	(1,672,470)	(2,135,105)	(2,173,592)	(2,035,415)	(1,871,872)
Construction in progress	564,768	4,074,070	1,763,940	4,068,620	3,668,971
Total Capital Assets	279,814,742	279,019,833	274,771,568	271,263,808	264,170,214
Total Noncurrent Assets	284,650,822	283,742,191	282,290,085	276,920,218	269,765,579
TOTAL ASSETS	$ 338,246,236	$ 330,194,469	$ 327,031,744	$ 322,075,713	$ 319,626,536
DEFERRED OUTFLOWS OF RESOURCES					
Deferred Loss on Debt Refunding	$ 770,542	$ 848,181			
Deferred Pension Outflows	1,390,322	1,748,261			
Deferred Outflows	$ 2,160,864	$ 2,596,442	$ 394,053	$ -	$ -
TOTAL ASSETS AND DEFERED OUTFLOWS	$ 340,407,100	$ 332,790,911	$ 327,425,797	$ 322,075,713	$ 319,626,536

City of St. Paul, Minnesota
Sewer Utility Enterprise Fund
Statement of Net Assets
For Fiscal Years Ending December 31

	2017	2016	2015	2014	2013
LIABILITIES					
Current Liabilities					
(Payable from Current Assets)					
Accrued Salaries Payable	$ 247,296	$ 246,438	$ 216,653	$ 227,262	$ 131,058
Accounts Payable	671,252	404,613	1,211,171	1,062,245	786,660
Due to Other Funds	-	-	-	-	98,636
Due to Component Units	82,668	81,720	81,443	79,635	75,164
Due to Other Governmental Units	19,071	17,652	34,652		
Compensated Absences Payable	-	-	26,399	26,399	25,500
Revenue Bonds Payable	5,179,167	4,670,417	4,464,167	3,969,167	3,597,917
Revenue Notes Payable	1,159,600	1,170,141	1,167,899	1,172,132	1,196,688
Accrued Interest Payable					
Revenue Notes	34,090	47,752	61,346	74,991	88,713
Total Current Liabilities					
(Payable from Current Assets)	7,393,144	6,638,733	7,263,730	6,611,831	6,000,336
Current Liabilities					
(Payable from Restricted Assets)					
Revenue Bonds Payable	470,833	424,583	405,833	360,833	327,083
Accrued Interest Payable					
Revenue Bonds	216,490	209,947	223,246	222,112	202,148
Total Current Liabilities					
(Payable from Restricted Assets)	687,323	634,530	629,079	582,945	529,231
Total Current Liabilities	8,080,467	7,273,263	7,892,809	7,194,776	6,529,567
Noncurrent Liabilities					
Revenue Bonds Payable	71,910,000	69,970,000	70,135,000	66,305,000	62,635,000
Add: Unamortized Premium	3,600,621	3,755,729	1,604,493	1,658,528	1,456,335
Less: Unamortized Discount			-	-	-
Less: Deferred Amount on Refunding			-	-	-
Revenue Notes Payable	1,696,309	2,855,909	4,026,050	5,193,949	6,366,081
Advance from Other Funds	44,511				
Compensated Absences Payable	289,905	270,569	312,916	302,694	272,527
Net Other Postemployment Benefits Obligation	534,085	569,205	505,811	222,306	287,359
Net Pension Liability	3,452,998	4,317,086	2,839,245	-	-
Total Noncurrent Liabilities	81,528,429	81,738,498	79,423,515	73,682,477	71,017,302
TOTAL LIABILITIES	89,608,896	89,011,761	87,316,324	80,877,253	77,546,869
Deferred Inflows	$ 1,195,124	$ 526,940	$ 363,773	$ -	$ -
NET ASSETS					
Invested in Capital Assets, Net of Related Debt	203,670,733	205,215,715	204,275,800	202,435,241	197,482,920
Restricted for:					
Operations and Maintenance	4,862,826	4,867,090	4,718,702	4,393,334	4,393,334
Debt Service	4,697,463	4,590,284	7,362,619	6,739,376	6,046,211
Total Restricted	9,560,289	9,457,374	12,081,321	11,132,710	10,439,545
Unrestricted	36,372,058	28,579,121	23,388,579	27,630,509	34,157,203
TOTAL NET ASSETS	249,603,080	243,252,210	239,745,700	241,198,460	242,079,668
TOTAL LIABILITIES, DEFERRED INFLOWS AND NET ASSETS	$ 340,407,100	$ 332,790,911	$ 327,425,797	$ 322,075,713	$ 319,626,537

City of St. Paul, Minnesota
Sewer Utility Enterprise Fund
Statement of Revenues, Expenses, and Changes in Fund Net Assets
For Fiscal Years ending December 31

	2017	2016	2015	2014	2013
OPERATING REVENUES					
Fees, Sales and Services	$ 57,652,274	$ 54,249,535	$ 51,990,038	$ 49,598,447	$ 48,915,978
Rents and Leases	1,100				
Miscellaneous	17,355	943	43,500	42,036	2,633
Total Operating Revenues	57,670,729	54,250,478	52,033,538	49,640,483	48,918,611
OPERATING EXPENSES					
Salaries	3,264,734	3,327,015	3,379,452	3,490,893	3,325,380
Employee Fringe Benefits	1,788,642	1,820,358	1,891,439	1,702,807	1,579,129
Services	10,542,854	11,191,663	10,465,732	11,317,169	9,230,598
Materials and Supplies	385,828	310,740	350,210	457,027	598,526
Depreciation	5,676,769	5,554,957	5,430,064	5,192,436	4,969,923
Bad Debts	-	-	-	-	-
Metropolitan Council Environmental Services	21,906,604	20,599,709	20,452,651	19,008,020	17,688,433
Miscellaneous	1,512,193	1,989,796	975,486	1,538,934	846,674
Total Operating Expenses	45,077,624	44,794,238	42,945,034	42,707,286	38,238,663
OPERATING INCOME (LOSS)	12,593,105	9,456,240	9,088,504	6,933,197	10,679,948
NON-OPERATING REVENUES (EXPENSES)					
Intergovernmental Revenue	73,212	151,823	89,711	338,672	72,711
Gain on Sale of Assets	34,798	300	-	-	-
Loss on Retirement of Capital Assets	(2,907)				
Investment Income:					
Interest Earned on Investments	98,327	260,517	186,551	51,795	310,088
Increase (Decrease) in Fair Value of Investments	150,006	(164,513)	(1,932)	183,090	(508,763)
Interest Earned - Other	101,032	98,315	-	-	-
Miscellaneous Other Revenue/Expense	-	20	53,902	47,069	(143,719)
Loss on Retirement of Assets			-	-	-
Interest Expense:					
General Obligation Bonds			-	-	-
Revenue Bonds	(2,467,832)	(2,717,620)	(2,683,826)	(2,333,938)	(2,634,615)
Revenue Notes	(127,031)	(167,651)	(208,261)	(249,136)	(289,418)
Bond Issuance Costs	(115,359)	(273,601)	(129,622)	(151,810)	-
Total Non-Operating Revenues (Expenses)	(2,255,754)	(2,812,410)	(2,693,477)	(2,114,258)	(3,193,716)
Income Before Capital Contributions and Transfers	10,337,351	6,643,830	6,395,027	4,818,939	7,486,232
Capital Contributions			-	-	-
Transfers In	3,300	34,911	-	-	-
Transfers Out	(3,989,781)	(3,172,231)	(5,098,900)	(5,700,140)	(11,399,811)
Change in Net Assets	6,350,870	3,506,510	1,296,127	(881,201)	(3,913,579)
TOTAL NET ASSETS, January 1	243,252,210	239,745,700	238,449,573	242,079,661	245,993,247
TOTAL NET ASSETS, December 31	$ 249,603,080	$ 243,252,210	$ 239,745,700	$ 241,198,460	$ 242,079,668

* Adjusted beginning 2012 and 2013 net assets for prior period adjustment.
* Adjusted beginning 2015 net assets for new pension liability GASB 68.

City of Saint Paul, Minnesota

Parity Debt
Outstanding as of October 10, 2018

Original Amount	Purpose	Final Maturity	Principal Amount	Total Debt Service Outstanding
$2,820,000	Sewer Revenue Refunding Bonds, Series 2009I	12-1-2018	$ 590,000	$ 601,800
8,610,000	Sewer Revenue Bonds, Series 2010D	12-1-2029	5,805,000	7,267,100
8,900,000	Sewer Revenue Bonds, Series 2011C	12-1-2030	6,385,000	8,205,833
8,815,000	Sewer Revenue Bonds, Series 2012C	12-1-2031	6,725,000	8,521,091
11,515,000	Sewer Revenue and Refunding Bonds, Series 2013D	12-1-2032	8,180,000	9,825,797
8,000,000	Sewer Revenue Bonds, Series 2014E	12-1-2033	6,960,000	8,869,338
8,700,000	Sewer Revenue Bonds, Series 2015B (Green Bonds)	12-1-2034	7,965,000	10,016,487
7,715,000	Sewer Revenue Bonds, Series 2016B (Green Bonds)	12-1-2035	7,440,000	9,602,213
21,225,000	Sewer Revenue Refunding Bonds, Series 2016D	12-1-2028	19,310,000	22,812,738
7,975,000	Sewer Revenue Bonds, Series 2017C (Green Bonds)	12-1-2036	7,590,000	10,056,241
			$76,950,000	$95,778,638[1]

[1] *Does not include Series 2018D Bonds anticipated to be issued on October 10, 2018.*

City General Obligation Debt Payable from Sewer Utility Fund Revenues (Subordinate)
Outstanding as of October 10, 2018

Original Amount	Purpose	Final Maturity	Principal Amount	Total Debt Service Outstanding
$3,100,000	Sewer Revenue Loan (PFA)	2-20-2019	$ 104,309	$ 106,004
4,600,000	Sewer Revenue Loan (PFA)	8-20-2019	295,000	303,231
8,965,000	Sewer Revenue Loan (PFA)	8-20-2020	1,297,000	1,372,775
Total			$1,696,309	$1,782,010

2018 Coverage Statement

City of Saint Paul, Minnesota
Sewer Revenue Bonds, Series 2018D (Green Bonds)

Coverage to Total Bond and Notes Payable from Sewer Revenues

	Series 2018D Bonds		Parity Bond Coverage			Coverage on All Parity and Subordinate Debt Payable from Sewer Revenues		
Principal Payment Date	Principal	Principal & Interest	Existing Parity Debt	Total Parity Debt Service	Coverage to 2017 Net Revenues (times)	Subordinate PFA Loans Payable from Sewer Revenues	Total All Bonds and Notes Payable from Sewer Revenues	Coverage to 2017 Net Revenues (times)
12/01/2018			$8,239,731	$8,239,731	2.24	1,259,218	$9,498,949	1.94
12/01/2019	$215,000	$548,666	7,801,356	8,350,023	2.21	1,095,428	9,445,451	1.95
12/01/2020	270,000	551,513	7,764,581	8,316,094	2.22	686,581	9,002,674	2.05
12/01/2021	280,000	548,013	7,200,331	7,748,344	2.38		7,748,344	2.38
12/01/2022	295,000	549,013	7,157,156	7,706,169	2.40		7,706,169	2.40
12/01/2023	310,000	549,263	7,150,031	7,699,294	2.40		7,699,294	2.40
12/01/2024	320,000	551,513	6,730,906	7,282,419	2.53		7,282,419	2.53
12/01/2025	335,000	550,513	6,736,291	7,286,803	2.53		7,286,803	2.53
12/01/2026	350,000	548,763	6,724,047	7,272,809	2.54		7,272,809	2.54
12/01/2027	360,000	548,263	6,707,859	7,256,122	2.54		7,256,122	2.54
12/01/2028	380,000	550,263	5,217,123	5,767,385	3.20		5,767,385	3.20
12/01/2029	400,000	551,263	4,636,036	5,187,299	3.56		5,187,299	3.56
12/01/2030	410,000	549,263	4,002,680	4,551,943	4.06		4,551,943	4.06
12/01/2031	420,000	546,963	3,355,211	3,902,174	4.73		3,902,174	4.73
12/01/2032	435,000	548,838	2,729,368	3,278,205	5.63		3,278,205	5.63
12/01/2033	450,000	550,244	2,248,380	2,798,624	6.60		2,798,624	6.60
12/01/2034	465,000	550,619	1,668,594	2,219,213	8.32		2,219,213	8.32
12/01/2035	480,000	549,925	1,080,344	1,630,269	11.32		1,630,269	11.32
12/01/2036	495,000	548,725	537,550	1,086,275	16.99		1,086,275	16.99
12/01/2037	510,000	546,400		546,400	33.78		546,400	33.78
12/01/2038	530,000	548,550		548,550	33.65		548,550	33.65
Total	$7,710,000	$10,986,566	$97,687,576	$108,674,142		$3,041,226	$111,715,368	

The calculation of 2017 Net Revenues are shown below.

Net Revenues Available for Debt Service

	2017
Operating Revenues	$57,670,729
Operating Expenses	(45,077,624)
Net Operating Income	12,593,105
Non-operating Revenues (Expenses)	(2,255,754)
Add Back: Depreciation	5,676,769
Add Back: Bond Interest Expense and Fair Value Adjustment	2,444,857
Net Revenues Available for Debt Service	**$18,458,977**

Liquidity

Days Cash on Hand	2015	2016	2017
Cash, Cash Equivalents and Investments ('000)	$42,725,068	$42,117,398	$48,168,256
Total Operating Expenses (excluding Depreciation) ('000)	37,514,970	39,239,281	39,400,855
Days Cash on Hand	416	392	466
Funds Restricted per Legal Covenants			
Current Period Debt Service	$ 696,427	$ 712,403	$ 765,196
Debt Service Reserve Funds	7,518,517	4,722,358	4,836,080
Funds Reserved for Construction	6,113,727	5,016,612	5,212,975
	$14,328,671	$10,451,373	$10,814,251
	$28,396,397	$31,666,025	$37,354,005
Days Cash on Hand after Legal Covenants	276	294	346

By City Council policy, the City also reserves certain funds for operations and maintenance costs and rate stabilization. The amounts restricted by policy for operations and maintenance costs in the years, 2015, 2016 and 2017 were $4,718,702, $4,867,090 and $4,862,826, respectively. The amounts restricted by policy for rate stabilization in the years 2015, 2016 and 2017 were $5,008,742, $5,226,581 and $5,518,263, respectively. The City Council may change such policies without the consent of any holders of any Parity Bonds.

LITIGATION

The City is not aware of any pending or, to the City's knowledge, threatened legal or governmental proceedings seeking to affect, contest, enjoin, or restrain the issuance, sale, or delivery of the Series 2018D Bonds by the City or in any way contesting the validity of the Series 2018D Bonds or the Resolution. There is no litigation pending or, to the City's knowledge, threatened that contests the corporate existence or the boundaries of the City or the title of the officers of the City to their respective offices.

Like many municipalities of similar size, the City is regularly involved in numerous lawsuits and claims related to the City's operations. These lawsuits generally assert breach of contract claims, public safety, law enforcement actions, or arise primarily out of injuries or property damage. Based on its review of the various cases and claims and past experience, the City believes that the pending actions, are such as may be fairly characterized as being in the ordinary course of business for a large municipality and should not have any material adverse impact on the financial position of the City or that of the Revenues pledged under the Resolution.

APPROVAL OF LEGAL PROCEEDINGS

Issuance and delivery of the Series 2018D Bonds are subject to opinion as to the tax exemption of the Series 2018D Bonds and are subject to opinions as to the validity of the Series 2018D Bonds by Barnes & Thornburg LLP, bond counsel to the City ("Bond Counsel"). Barnes & Thornburg LLP has also been retained to advise the City with respect to, and to assist in the preparation of, this Official Statement. Certain matters will be reviewed for the City by the Office of the Saint Paul City Attorney. Bond Counsel has not examined nor attempted to examine or verify any of the financial or statistical statements or data contained

in this Official Statement and will express no opinions with respect thereto. The proposed form of the opinion of Bond Counsel to be delivered in connection with the issuance of the Series 2018D Bonds is in substantially the form set forth in APPENDIX B - FORM OF OPINION OF BOND COUNSEL" to this Official Statement.

TAX EXEMPTION

In the opinion of Barnes & Thornburg LLP, Bond Counsel to the City, under existing statutes, regulations, rulings and decisions in effect on the date of issuance of the Series 2018D Bonds, interest on the Series 2018D Bonds is excludable from gross income of the owners thereof for purposes of federal income taxation and, to the same extent, is excludable from net taxable income of individuals, estates or trusts for purposes of State of Minnesota income taxation, but is subject to State of Minnesota franchise taxes measured by income that are imposed upon corporations and financial institutions.

The Code imposes an alternative minimum tax with respect to individuals and corporations on alternative minimum taxable income. Interest on the Series 2018D Bonds is not a specific preference item for purposes of the federal alternative minimum tax. However, interest on the Series 2018D Bonds is included in adjusted current earnings for purposes of computing the federal alternative minimum tax imposed on corporations. Interest on the Series 2018D Bonds is not includable for purposes of the Minnesota alternative minimum tax applicable to individuals, estates or trusts.

The Code provides that in the case of an insurance company subject to the tax imposed by Section 831 of the Code, the amount which otherwise would be taken into account as "losses incurred" under Section 832(b)(5) shall be reduced by an amount equal to 15% of the interest on the Series 2018D Bonds that is received or accrued during the taxable year.

Interest on the Series 2018D Bonds may be included in the income of a foreign corporation for purposes of the branch profits tax imposed by Section 884 of the Code. Under certain circumstances, interest on the Series 2018D Bonds may be subject to the tax on "excess net passive income" of Subchapter S corporations imposed by Section 1375 of the Code.

Noncompliance following the issuance of the Series 2018D Bonds with certain requirements of the Internal Revenue Code of 1986, as amended, (the "Code") and covenants of the Resolution may result in the inclusion of interest on the Series 2018D Bonds in gross income for federal tax purposes and net taxable income for State of Minnesota tax purposes of the owners thereof. No provision has been made for redemption of the Series 2018D Bonds, or for an increase in the interest rate on the Series 2018D Bonds, in the event that interest on the Series 2018D Bonds become subject to United States or State of Minnesota income taxation.

Original Issue Discount

The Series 2018D Bonds maturing on December 1, in the years 2030 through 2035, December 1, 2037 and 2038 (collectively, the "Discount Bonds") are being sold at a discount from the principal amount payable on such Discount Bonds at maturity. Under Section 1288 of the Code, original issue discount on tax-exempt bonds accrues on a compound basis. The amount of original issue discount that accrues to an owner of a Discount Bond during any accrual period generally equals (i) the issue price of such Discount Bond plus the amount of original issue discount accrued in all prior accrual periods, multiplied by (ii) the yield to maturity of such Discount Bond (determined on the basis of compounding at the close of each accrual period and properly adjusted for the length of the accrual period), less (iii) any interest payable on such Discount Bond during such accrual period. The amount of original issue discount so accrued in a

particular accrual period will be considered to be received ratably on each day of the accrual period, will not be includable in gross income for federal income tax purposes or in taxable net income of individuals, estates or trusts for Minnesota income tax purposes, and will increase the owner's tax basis in such Discount Bond. Any gain realized by an owner from a sale, exchange, payment or redemption of a Discount Bond will be treated as gain from the sale or exchange of such Discount Bond.

Original Issue Premium

The Series 2018D Bonds maturing on December 1 in the years 2019 through 2028 (collectively, the "Premium Bonds"), have been sold to the public at an amount in excess of the stated redemption price at maturity. Such excess of the purchase price of such Premium Bonds over the stated redemption price at maturity constitutes original issue premium with respect to such Premium Bonds. A purchaser of a Premium Bond must amortize any original issue premium over the term of such Premium Bond using constant yield principles, based on the purchaser's yield to maturity. As original issue premium is amortized, the purchaser's basis in such Premium Bond is reduced by a corresponding amount, resulting in an increase in the gain (or a decrease in the loss) to be recognized for federal income tax purposes upon a sale or disposition of such Premium Bond prior to its maturity. Even though the purchaser's basis is reduced, no federal income tax deduction is allowed. Purchasers of any Premium Bonds at a premium, whether at the time of initial issuance or subsequent thereto, should consult with their own tax advisors with respect to the determination and treatment of premium for federal income tax purposes and with respect to state and local tax consequences of owning such Premium Bonds.

Holders of Discount Bonds and Premium Bonds should consult their tax advisors with respect to computation and accrual of original issue discount and with respect to the state and local tax consequences of owning Discount Bonds and Premium Bonds.

Legislative Proposals

Bond Counsel's opinion is given as of its date and Bond Counsel assumes no obligation to update, revise, or supplement such opinion to reflect any changes in facts or circumstances or any changes in law that may hereafter occur. Proposals are regularly introduced in both the United States House of Representatives and the United States Senate that, if enacted, could alter or affect the tax-exempt status on municipal bonds. For example, legislation has been proposed by former President Obama that would, among other things, limit the amount of exclusions (including tax-exempt interest) or deductions that certain higher-income taxpayers could use to reduce their tax liability. President Trump has also indicated his interest in comprehensive federal tax reform. The likelihood of adoption of this or any other such legislative proposal relating to tax-exempt bonds cannot be reliably predicted. If enacted into law, current or future proposals may have a prospective or retroactive effect and could affect the value or marketability of tax-exempt bonds (including the Series 2018D Bonds). Prospective purchasers of the Series 2018D Bonds should consult their own tax advisors regarding the impact of any such change in law.

The above is not a comprehensive list of all federal tax consequences which may arise from the receipt of interest on the Series 2018D Bonds. The receipt of interest on the Series 2018D Bonds may otherwise affect the federal or state income tax liability of the recipient based on the particular taxes to which the recipient is subject and the particular tax status of other *items or deductions. Bond Counsel expresses no opinion regarding any such consequences. All prospective purchasers of the Series 2018D Bonds are encouraged to consult with their personal tax advisors as to the tax consequences of, or tax considerations for, purchasing or holding the Series 2018D Bonds.*

NOT BANK-QUALIFIED TAX-EXEMPT OBLIGATIONS

The Series 2018D Bonds do not qualify to be designated by the City as "qualified tax-exempt obligations" for purposes of Section 265(b)(3) of the Internal Revenue Code of 1986, as amended, relating to the ability of financial institutions to deduct from income for federal income tax purposes, interest expense that is allocable to carrying and acquiring tax-exempt obligations.

FUTURE FINANCING

General Obligation Street Reconstruction Bonds. In the fourth quarter of 2018, the City anticipates issuing approximately $14,600,000 of General Obligation Street Reconstruction Bonds (the "2018 GO Street Reconstruction Bonds") in a direct placement transaction with a qualified financial institution. The proceeds of the 2018 GO Street Reconstruction Bonds are anticipated to be used by the City to fund a portion of the City's cost for its Saint Paul Streets Program in 2018, which is anticipated to include the reconstruction and improvement of certain arterial streets and residential street improvements in the City (the "2018 Projects"). Earlier in 2018, the City Council of the City held a public hearing on the issuance of the 2018 GO Street Reconstruction Bonds and the reverse referendum period has passed without the City receiving any petitions. The 2018 GO Street Reconstruction Bonds will be general obligations of the City to which the City pledges its full faith, credit and unlimited taxing power. The 2018 GO Street Reconstruction Bonds will not be secured with any pledge of the revenues of the Sewer System.

Other Revenue Bonds. In the fourth quarter of 2018, the City anticipates issuing (i) approximately $4,000,000 of revenue notes that are anticipated to be payable from revenues of the City associated with trash collection, and (ii) approximately $1,450,000 of revenue notes that are anticipated to be payable from a special stormwater sewer surcharge or assessment for a particular stormwater improvement project in the Snelling-Midway area of the City.

The City does not currently anticipate issuing any additional bonds in 2018 for new capital projects that are secured by the Revenues of the Sewer System. The City routinely monitors its outstanding Parity Bonds for refinancings that achieve debt service savings.

RATING

S&P Global Ratings ("S&P"), 55 Water Street, 38th Floor, New York, New York has assigned a rating of "AAA" (stable) to the Series 2018D Bonds. The rating reflects only the opinion of S&P. Any explanation of the significance of the rating may be obtained only from S&P. There is no assurance that the rating will continue for any given period of time, or that such rating will not be revised, suspended or withdrawn, if, in the judgment of S&P circumstances so warrant. A revision, suspension, or withdrawal of a rating may have an adverse effect on the market price of the Series 2018D Bonds.

UNDERWRITING

Piper Jaffray & Co. (the "Series 2018D Purchaser") has agreed to purchase the Series 2018D Bonds from the City at an aggregate purchase price of $7,938,561.65 (which amount represents the principal amount of the Series 2018D Bonds ($7,710,000.00), plus net original issue premium of $286,810.70, less Series 2018D Purchaser's discount of $58,249.05). The Series 2018D Bonds are being offered for sale by the Series 2018D Purchaser to the public at the prices shown on the inside front cover of this Official

Statement. Concessions from the initial offering prices set forth on the inside front cover hereof may be allowed to selected dealers and special purchasers. The initial offering prices of the Series 2018D Bonds are subject to change after the date hereof.

CONTINUING DISCLOSURE

In order to assist the purchasers of the Series 2018D Bonds in complying with SEC Rule 15c2-12 promulgated by the Securities and Exchange Commission, pursuant to the Securities Exchange Act of 1934, as the same may be amended from time to time, and official interpretations thereof (the "Rule"), the City will enter into an undertaking (the "Undertaking") for the benefit of holders, including Beneficial Owners of the Series 2018D Bonds, to annually provide certain financial information and operating data relating to the City to the Electronic Municipal Market Access system ("EMMA") operated by the Municipal Securities Rulemaking Board, and to provide notices of the occurrence of certain events enumerated in the Rule to EMMA. The specific nature of the Undertaking, as well as the information to be contained in the annual report or the notices of material events is set forth in the Undertaking to be executed and delivered by the City at the time the Series 2018D Bonds are delivered, is substantially in the form attached as "APPENDIX C - FORM OF CONTINUING DISCLOSURE CERTIFICATE" in this Official Statement.

Any and all of the information to be reported by the City may be incorporated by reference from other documents, including official statements, which have been submitted to EMMA or the Securities Exchange Commission.

The City currently contracts with Ehlers & Associates, Inc. ("Ehlers"), to assist the City in complying with its continuing disclosure undertakings. Ehlers is an independent financial advisory firm and provides continuing disclosure services for many municipalities, counties and school districts.

During the last five years the City believes that it has complied with any previous undertakings under the Rule to provide annual reports or notices of material events. A failure by the City to comply with the Undertaking will not constitute an event of default on the Series 2018D Bonds (although holders will have any available remedy at law or in equity to enforce such undertakings). Nevertheless, such a failure must be reported in accordance with the Rule and must be considered by any broker, dealer, or municipal securities dealer before recommending the purchase or sale of the Series 2018D Bonds in the secondary market. Consequently, such a failure may adversely affect the transferability and liquidity of the Series 2018D Bonds and their market price.

MUNICIPAL ADVISOR

The City has retained Springsted Incorporated, Public Sector Advisors, of Saint Paul, Minnesota ("Springsted"), as municipal advisor in connection with certain aspects of the issuance of the 2018D Bonds and, in that capacity, Springsted has assisted in preparing portions of the financial and statistical information included this Official Statement. This information is derived from governmental officials and other sources who have access to relevant data to provide accurate information for this Official Statement. Springsted makes no representation, warranty or guarantee regarding the accuracy or completeness of the information in this Official Statement, and its assistance in preparing this Official Statement should not be construed as a representation that it has independently verified such information. Springsted is an independent advisory firm, registered as a municipal advisor, and is not engaged in the business of underwriting, trading or distributing municipal securities or other public securities.

Springsted is under common ownership with Springsted Investment Advisors, Inc. ("SIA"), an investment adviser registered in the states where services are provided. SIA may provide investment advisory services to the City from time to time in connection with the investment of proceeds from the 2018D Bonds as well as advice with respect to portfolio management and investment policies for the City. SIA pays Springsted, as municipal advisor, a referral fee from the fees paid to SIA by the City.

CERTIFICATION

The City has authorized the distribution of this Official Statement for use in connection with the initial sale of the Series 2018D Bonds. As of the date of the settlement of the Series 2018D Bonds, the purchaser will be furnished with a certificate signed by the appropriate officers of the City. The certificate will state that the Official Statement did not, and does not as of the date of the certificate, contain any untrue statement of material fact or omit to state a material fact necessary in order to make the statements made therein, in light of the circumstances under which they were made, not misleading.

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APPENDIX A

GENERAL INFORMATION CONCERNING THE CITY

APPENDIX A

GENERAL INFORMATION CONCERNING THE CITY

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GENERAL INFORMATION CONCERNING THE CITY

CASH AND INVESTMENTS

The City funds on hand as December 31, 2017 as shown in the City's audited financial statements are set forth in the following table. For the City's cash and investments shown in the table below, approximately $136,396,000 or 39% were held in cash or investments maturing within one year:

Fund	Cash and Investments
General	$ 41,404,040
Special Revenue	50,213,416
Capital Projects	91,395,252
Enterprise	88,645,257
Internal Service	26,863,279
Permanent and Agency	3,396,412
Debt Service:	
General Obligation Supported by Taxes	56,699,061
HRA General Debt Service Fund	8,213,188
Total	$366,829,905
Discretely Presented Component Units[(1)]	52,134,201

(1) The City's Office of Financial Services manages cash and investments for Saint Paul Regional Water Service and RiverCentre Visitors Authority, two of the City's discretely presented component units.

The City's investment policy seeks to ensure the preservation of capital in the portfolio. Safety of principal is the foremost objective and all investments are made in accordance with Minnesota Statutes, Chapter 118A, as amended. The portfolio is invested in United States Treasury Obligations, obligations of agencies of the federal government, certificates of deposit, municipal securities, and money market accounts. The City has contracted investment management services with four outside money managers to manage a portion of the portfolio, managing the remainder internally. The fair value of the assets managed by the four managers, as shown in the City's audited financial statements, as of December 31, 2017, are as follows:

Nuveen Asset Management	$ 29,816,693
Galliard Capital Management	43,866,959
Advantus Capital Management, Inc.	14,712,278
RBC Global Asset Management LLC	43,119,889
Total	$131,515,819

The Treasury Section of the Office of Financial Services is charged with organizing and establishing procedures for effective cash management within the guidelines of the investment policy. To ensure compliance with adopted procedures, determine specific strategies, and to monitor investment results, an Investment Committee consisting of the Director of the Office of Financial Services, the Treasurer, and other personnel as assigned meets quarterly, or as necessary.

CITY PROPERTY VALUES

Trend of Values

Assessment/ Collection Year	Assessor's Estimated Market Value	Sales Ratio[(a)]	Economic Market Value[(b)]	Market Value Homestead Exclusion	Taxable Market Value	Adjusted Taxable Net Tax Capacity
2017/18	$24,079,909,300	95.0%	$25,443,152,808	$1,008,034,700	$22,990,434,100	$292,144,786
2016/17	22,091,435,000	94.2	23,386,030,416	1,051,539,300	20,962,096,700	267,945,120
2015/16	20,563,957,400	94.3	21,770,869,971	1,077,026,100	19,410,875,800	247,037,310
2014/15	19,709,362,700	96.2	20,471,504,309	1,101,865,300	18,530,456,300	234,362,892
2013/14	18,425,451,200	94.4	19,453,405,246	1,182,188,200	17,161,850,000	218,772,524

(a) Sales Ratio Study for the year of assessment as posted by the Minnesota Department of Revenue, http://www.revenue.state.mn.us/propertytax/Pages/statistics-imv.aspx.

(b) Economic market values for the year of assessment as posted by the Minnesota Department of Revenue, http://www.revenue.state.mn.us/propertytax/Pages/statistics-imv.aspx.

2017/2018 Adjusted Taxable Net Tax Capacity: $292,144,786

Real Estate		
Residential Homestead	$ 118,232,517	41.45%
Commercial/Industrial, Public Utility, & Railroad	85,965,858	30.14
Residential Non-homestead	72,808,415	25.53
Agricultural and Seasonal Recreation	96,363	0.03
Personal Property	8,122,231	2.85
2017/2018 Net Tax Capacity	$285,225,384	100.00%
Less: Captured Tax Increment Tax Capacity	(24,444,410)	
Less: Contribution to Fiscal Disparities Pool	(27,280,719)	
Plus: Distribution from Fiscal Disparities Pool	58,644,531	
2017/2018 Adjusted Taxable Net Tax Capacity	$292,144,786	

CITY GOVERNANCE

Mayor and City Council

The City of Saint Paul has been a municipal corporation since 1854. The first City Charter was adopted in 1900; the current Charter was adopted in 1970. The City has a Mayor-Council form of government, with executive power vested in the Mayor and legislative power in the Council. The Mayor has veto power, which the Council may override with a vote of five of its seven members.

Councilmembers are elected by Ward to four-year concurrent terms of office. The Mayor's term is four years. The City Council positions are part-time.

The Mayor was elected on November 7, 2017, and his current term expires December 31, 2021. Terms of the seven (7) Councilmembers of the Council listed below expire on December 31, 2019.

Name	Office	In Office Since:
Melvin Carter	Mayor	January 2018
Amy Brendmoen	Councilmember/Council President	January 2012
Daniel Bostrom	Councilmember	January 1996
Rebecca Noecker	Councilmember	January 2016
Jane L. Prince	Councilmember	January, 2016
Dai Thao	Councilmember	November 2013
Chris Tolbert	Councilmember	January 2012
Mitra Nelson	Councilmember	September 2018

Employees

As of December 31, 2017, the City has 2,953 full- and part-time employees (including 1,061 sworn police and fire employees). An organizational chart of the City is found at the end of this section.

In order to deliver better City financial services, the Mayor and the Council have placed responsibility for managing the financial resources of the City in the Office of Financial Services. The Office of Financial Services (the "OFS") manages all of the City's financial transactions from start to finish. The OFS ensures that the budget process effectively meets budget users' needs, clearly reports useful information to elected officials and the citizens of the City regarding the finances of the City, manages cash and investments, facilitates the issuance of debt obligations, and measures costs and performance related to delivering City services.

Mr. Todd Hurley is the Director of the Office of Financial Services. This position includes responsibility for collection and disbursement of all City and HRA funds, actively managing an investment portfolio in excess of $350 million and the planning and administration of City debt. Mr. Hurley has been employed by the City for over 30 years and has served with the City's Office of Financial Services, Treasury Section, for most of this time. Mr. Hurley earned a bachelor's degree in Business Administration from the University of St. Thomas which is located in Saint Paul, Minnesota. Mr. Hurley is also a member of the Government Finance Officers Association ("GFOA"), the Association of Public Treasurers of the United States and Canada ("APTUSC"), the Joint Debt Advisory Committee ("JDAC"), and the Joint Property Tax Advisory Committee.

Mr. Michael Solomon is the Treasurer of the City. This position includes responsibility for all aspects of Treasury operations including the collection and disbursement of all City funds, actively managing an investment portfolio in excess of $350 million, managing cash and liquidity, and administration of a nearly $500 million general obligation and revenue debt portfolio for the City. Mr. Solomon has been employed by the City for over five years and has served with the City's Office of Financial Services, Treasury Section for the entire time. Mr. Solomon joined the City in 2012 after specializing in the issuance and management of municipal debt at a municipal financial advisory and consulting firm. Mr. Solomon received a Bachelor of Arts degree in Finance from the University of Saint Thomas in Saint Paul, Minnesota. Mr. Solomon is currently a member in the GFOA, the MNGFOA, the JDAC, and the Association of Financial Professionals ("AFP").

Employee Pension Plans

All full-time and certain part-time employees of the City who are not participants of the Housing and Redevelopment Authority Pension Plan are covered by retirement plans administered by the Public Employees Retirement Association of Minnesota ("PERA"). PERA administers the General Employees Retirement Fund ("GERF") and the Public Employees Police and Fire Fund ("PEPFF"), which are cost-sharing, multiple-employer retirement plans. These plans are established and administered in accordance with Minnesota Statutes, Chapter 353, as amended, and Minnesota Statutes, Chapter 356, as amended.

GERF members belong either to the Coordinated Plan or the Basic Plan. Coordinated Plan members are covered by social security and Basic Plan members are not. There are no Basic Plan members as of December 31, 2015. All new members must participate in the Coordinated Plan. All police officers, fire fighters, and peace officers who qualify for membership by statute are covered by the PEPFF.

PERA provides retirement benefits as well as disability benefits to members, and benefits to survivors upon death of eligible members. Benefits are established by Minnesota statute, and vest after five years of credited service for employees hired after July 1, 2010 and three years of credited service for employees with an original date of hire before July 1, 2010. The defined retirement benefits are based on a member's highest average salary for any five successive years of allowable service, age, and years of credit at termination of service.

Two methods are used to compute benefits for Coordinated and Basic Plan members. The retiring member receives the higher of a step-rate benefit accrual formula ("Method 1") or a level accrual formula ("Method 2"). Under Method 1, the annuity accrual rate for a Basic Plan member is 2.2 percent of average salary for each of the first ten years of service and 2.7 percent for each year thereafter. For a Coordinated Plan member, the annuity accrual rate is 1.2 percent of average salary for each of the first ten years and 1.7 percent for each successive year. Under Method 2, the annuity accrual rate is 2.7 percent of average salary for Basic Plan members and 1.7 percent for Coordinated Plan members for each year of service. For PEPFF members, the annuity accrual rate is 3.0 percent of average salary for each year of service.

For all GERF members hired prior to July 1, 1989, whose annuity is calculated using Method 1, and all PEPFF members, a full annuity is available when age plus years of service equal 90. Normal retirement age is 55 for PEPFF members and either 65 or 66 (depending on date hired) for GERF members. A reduced retirement annuity is also available to eligible members seeking early retirement.

There are different types of annuities available to members upon retirement. A single annuity is a lifetime annuity that ceases upon the death of the retiree; no survivor annuity is payable. Also available are various types of joint and survivor annuity options that will be payable over joint lives. Members may also leave their contributions in the fund upon termination of public service in order to qualify for a deferred annuity at retirement age. Refunds of contributions are available at any time to members who leave public service, but before retirement benefits begin.

The benefit provisions stated in the previous paragraphs of this section are current provisions and apply to active plan participants. Vested, terminated employees who are entitled to benefits but are not yet receiving them are bound by the provisions in effect at the time they last terminated public service.

PERA issues a publicly available financial report that includes financial statements and required supplementary information for GERF and PEPFF. That report may be obtained on the Internet at www.mnpera.org; or by writing to PERA at 60 Empire Drive, Suite 200, Saint Paul, Minnesota, 55103-2088; or by calling 651-296-7460 or 1-800-652-9026.

The defined-benefit pension plans administered by PERA were established by Minnesota law and require membership by qualified City employees. Employees and the City are required to contribute to the pension plans. The rates for employer and employee contributions are established by Minnesota Statutes, Chapter 353, as amended, and the City makes annual contributions to the pension plans in accordance with the requirements of this law.

The following table lists the required contribution rates for employees and employers under the various plans administered by PERA. Rates are applied to annual covered salary.

	2016		2017	
Retirement Plan	**Employee**	**Employer**	**Employee**	**Employer**
Public Employees Retirement Fund (GERF) - Coordinated	6.50	7.50	6.50	7.50
Public Employees Police and Fire Fund (PEPFF)	10.80	16.20	10.80	16.20

The City's contributions to the cost-sharing retirement plans for the years ending December 31, 2016 and 2017 were the following:

	2016	2017
Public Employees Retirement Fund (GERF) Coordinated	7,518,515	7,775,599
	7,518,515	7,775,599
Public Employees Police and Fire Fund (PEPFF)	14,421,492	14,685,894
	$21,940,007	$22,461,493

These contribution amounts are equal to the contractually required contributions for each year as set by Minnesota law.

The funding ratios indicated in the most recent actuarial valuations (June 30, 2017) are disclosed according to Statement No. 25, *Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans* of the Governmental Accounting Standards Board ("GASB") and are as follows:

PEPFF – Public Employees Police and Fire Fund	63.8%
GERF – Basic and Coordinated Fund	68.9%

The Housing and Redevelopment Authority defined-contribution plan covers three (3) current employees of the City. The plan is an accommodation to those employees who transferred to the City from the HRA in 1978. HRA Pension Plan members are also a part of the Social Security system. Employees under this plan receive a pension based on the amount placed in the plan by the employee, the employer, and interest earned; therefore, the plan is fully funded at all times. Each active employee who participates in the HRA Pension Plan contributes 5.25% of the employee's salary.

Participants in the HRA Pension Plan will be vested in their own Trust Fund Share attributable to their individual contributions, supplementary contributions and any rollover contributions. Vesting is based on applying a percentage based on the number of years of service with each full year of service to be vested at 20%. If termination of service or death occurs, each participant or participant's beneficiary is entitled to receive interest in the Trust Fund, and it will be paid in accordance with the rules of the pension plan.

Additional information regarding the City pension plans can be found in "APPENDIX F – EXCERPTS FROM AUDITED FINANCIAL STATEMENTS OF THE CITY FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017" in Notes to the Financial Statements, Note VIII(A)-Other Information; Defined Benefit Pension Plans.

GASB 68

In June 2012, the GASB issued Statement No. 68, *Accounting and Financial Reporting for Pensions* ("GASB 68") and related GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date*-an amendment to GASB 68, effective for the City's fiscal year ended December 31, 2015. These statements revise existing standards for measuring and reporting pension liabilities for pension plans provided to City employees and requires recognition of a liability equal to the City's proportionate share of net pension liability, which is measured as the total pension liability less the amount of the pension plan's fiduciary net position.

For the fiscal year ended December 31, 2017, the City's proportionate shares of the GERF and PEPFF pension costs were 1.587% and 8.773%, respectively; and the City's audited net pension liability for GERF and PEPFF were $101,322,460 and $118,445,940, respectively.

Additional and detailed information about GERF's net position is available in a separately-issued PERA financial report, which may be obtained at www.mnpera.org; by writing to PERA at 60 Empire Drive #200, St. Paul, Minnesota, 55103-2088; or by calling 1-800-652-9026.

Additional information regarding the City pension plans can be found in "APPENDIX F – EXCERPTS FROM AUDITED FINANCIAL STATEMENTS OF THE CITY FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017" in Notes to the Financial Statements, Note VIII(A)-Other Information; Defined Benefit Pension Plans.

Other Post-Employment Benefits

The GASB issued Statement No. 45, *Accounting and Financial Reporting by Employers for Post-employment Benefits Other Than Pensions* ("GASB 45"), which addresses how state and local governments must account for and report their obligations related to post-employment healthcare and other non-pension benefits (referred to as "Other Post-Employment Benefits" or "OPEB"). In 2007, the City prospectively implemented the requirements of GASB 45.

In addition to the pension benefits described above, the City provides Other Post-Employment Benefits (comprised of post-employment health care and life insurance benefits) for retired employees through a single employer defined benefit plan. The authority to provide these benefits is established in Minnesota Statutes, Section 471.61, subdivision 2a. The benefit levels, employee contributions, and employer contributions are governed by the City and can be amended by the City through the City's collective bargaining agreements with employee groups. The plan is not accounted for as a trust fund, as an irrevocable trust has not been established to account for the plan. The plan does not issue a separate report. The activity of the plan is allocated as part of the City's fringe benefit charge.

To be eligible for OPEB, an employee must be collecting a state retirement pension and have been employed by the City for a minimum of twenty (20) years. This coverage may also extend to the retiree's family. Benefits include general inpatient and outpatient medical services; mental and substance abuse care; vision care; preventative dental; and prescriptions. Life insurance in the amount of $5,000 to $20,000 is provided to some under age 65 (early retirees), depending upon collective bargaining agreements. A few over-age-65 retirees have varying amounts of life insurance that had been continued due to disability.

The majority of employees benefit amounts have been capped. The benefit amount varies depending upon employment date and bargaining unit agreement as indicated below:

	Under Age 65 (early retiree)	Over Age 65 (regular retiree)
Employees who retired before January 1, 1996	$250 per month	100%
Employees hired before January 1, 1996 and retiring after January 1, 1996	$350 per month	$550 per month
Employees hired after January 1, 1996	$300 per month	$300 per month

This benefit has been discontinued for police officers hired after July 1, 2005, and for Tri-Council employees hired after January 1, 1996.

As of December 31, 2017, the membership consisted of:

	Family Coverage	Single Coverage	Total
Retired Participants and Beneficiaries			
Under Age 65 (early retirees)	92	401	493
Over Age 65 (regular retirees)	505	1,184	1,689
Total Retired Participants	597	1,585	2,182
Active Participants	1,476	546	2,022
Total Participants	2,073	2,131	4,204

The City negotiates the OPEB contribution between the City and employees through sixteen (16) employee group agreements. The City currently finances this plan on a pay-as-you-go basis. Early retirees (under age 65) contribute to the health care plan at the same rate as active employees. This results in the early retirees receiving an implicit rate subsidy. For the fiscal year ended December 31, 2017, retirees contributed $2,529,282 and the City contributed $8,783,269, respectively. Active employees do not contribute to the plan until retirement.

The average monthly premium contributions for 2017 were as follows:

	Age	Average Monthly City Contribution	Average Monthly Retiree Contribution
Health Insurance	Less than 65	$233,368[(a)]	$169,286 [(b)]
	65 and older	498,410[(a)]	41,488 [(b)]
Life Insurance	Less than 65	$155[(c)]	N/A
	65 and older	6[(c)]	N/A

(a) The average monthly City contribution for health insurance for individuals less than 65 is $473 and $295for individuals 65 and older.

(b) The average monthly retiree contribution for health insurance for individuals less than 65 is $343and $25for individuals 65 and older.

(c) The average monthly City contribution for life insurance for individuals less than 65 is $1.

The City had an actuarial valuation performed for the OPEB plan as of December 31, 2016 to determine the funded status of the plan as of that date as well as the employer's annual required contribution for the fiscal year ended December 31, 2017. The actuarial valuation was performed by Van Iwaarden Associates of Minneapolis, Minnesota and was delivered to the City on January 16, 2018. The City's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for 2017 and the two preceding years were as follows:

Fiscal Year Ended	Annual OPEB Cost	Employer Contribution	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
December 31, 2015	$15,106,436	$8,861,540	58.7%	$46,885,083
December 31, 2016	15,226,226	9,236,969	60.7	52,874,340
December 31, 2017	15,710,981	9,865,402	62.8	58,719,919

The net OPEB obligation as of December 31, 2016 and December 31, 2017, respectively, were calculated as follows:

	2016	2017
Annual Required Contribution (ARC)	$15,994,745	$16,735,227
Interest on Net OPEB Obligation	2,109,829	1,850,602
Adjustment to Annual Required Contribution	(2,878,348)	(2,874,848)
Annual OPEB cost	$15,226,226	$15,710,981
Contributions Made		
Direct	$ 7,662,266	$ 8,227,544
Indirect Implicit Subsidy	1,574,703	1,637,858
Total Contributions Made	$9,236,969	$9,865,402
Increase (Decrease) in Net OPEB Obligation	5,989,257	5,845,579
Net OPEB Obligation Beginning of Year	46,885,083	52,874,340
Net OPEB Obligation End of Year	$52,874,340	$58,719,919

As of the actuarial valuation date of December 31, 2017, the funded status of the plans was as follows:

Actuarial Accrued Liability (AAL)	$215,106,787
Actuarial Value of Plan Assets	--
Unfunded Actuarial Accrued Liability (UAAL)	$215,106,787
Funded Ratio (Actuarial Value of Plan Assets/AAL)	0.00%
Active Members Covered Payroll	$210,907,706
UAAL as a Percentage of Covered Payroll	102.0%

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future.

Actuarial methods and assumptions, projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

The entry age normal level percent of pay cost method was used in the December 31, 2017, actuarial valuation report. The actuarial cost method changed from using the projected unit credit method to the entry age normal level percent of pay cost method in anticipation of the fiscal year 2018 GASB 75 valuation. The actuarial assumptions included 3.5 percent discount rate and annual healthcare cost trend rates as included in the following table:

Annual increases in per capita claims costs and plan premiums:

Fiscal Year Ending	Not Medicare Eligible	Medicare Eligible
2017	6.80%	6.80%
2018	6.90%	5.60%
2019	6.30%	5.40%
2020	5.80%	5.30%
2021-2054	5.20%	5.20%
2055-2073	Transition to ultimate rate	Transition to ultimate rate
2074+	4.40%	4.40%

Both rates include a 2.75 percent inflation assumption. The actuarial value of assets was not determined as the City has not advance-funded its obligation. The plan's unfunded actuarial accrued liability is being amortized as a level dollar amount over a thirty-year open amortization period.

GASB issued Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other than Pension Plans (OPEB)*, and Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other than Pensions*, which are effective for the City beginning in fiscal year 2018. Statement No. 74 will have no effect as the City does not have an OPEB plan as defined by GASB. Statement No. 75 changes the liability reported in the financial statements. GASB Statement No. 45 requires entities to record one-thirtieth of the remaining Accrued Actuarial Liability each year. GASB Statement No. 75 requires entities to record the entire liability in the financial statements for fiscal year 2018.

Additional information regarding the City OPEB obligations can be found in "APPENDIX F – EXCERPTS FROM AUDITED FINANCIAL STATEMENTS OF THE CITY FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017" in Notes to the Financial Statements, Note VIII(B)-Other Information; Postemployment Benefits Other than Pension.

City Budgeting Process

On or before August 15 of each year, the Mayor presents his budget to the City Council for the following calendar year. The budget includes proposed expenditures and advances and the means of financing them. The City has adopted a formal fund balance policy that sets a minimum fund balance of at least 15% of budgeted expenditures. The City Council holds public hearings in November and December to obtain taxpayer comments. The budget is legally adopted through passage of a Council resolution after the final public hearing. The budget is required by the City Charter to be balanced. Certification of the final levy to the County is required within five working days after December 20.

Additional information regarding the City budgeting process can be found in "APPENDIX F - EXCERPTS FROM AUDITED FINANCIAL STATEMENTS OF THE CITY FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017" in Notes to the Financial Statements, Note V(A)-Stewardship, Compliance, and Accountability; Budgets and Budgetary Accounting.

City Debt Policy

In 1977, the City, Ramsey County, Independent School District No. 625 (Saint Paul Public Schools) (the "Saint Paul School District"), and the Port Authority joined together and formed a Joint Debt Advisory Committee (the "JDAC") to control Saint Paul's general obligation debt in a responsible manner while providing for the future physical development of the City. In 1989, the City received two national awards in recognition of its overlapping debt management policy. The Government Finance Officers Association of the United States and Canada awarded its 1989 "Award for Excellence" to the City for debt management and also awarded the City its "Louisville Award for Innovation in Financial Management."

In 1998, the work of the JDAC was incorporated into the work of the Joint Property Tax Advisory Committee (the "JPTAC"). The JPTAC, created by Minnesota law, is made up of elected officials from the City, Ramsey County, and Saint Paul School District. The JPTAC is charged with the obligation to reduce the overall tax burden on the citizens of the City through tax reform and integration/consolidation of service delivery. Because the membership and ultimate goals of the JDAC and the JPTAC were consistent, the two efforts were merged under the aegis of the JPTAC. The goals of the JPTAC for the management of debt were completed and presented to the Committee in November 1998. The goals were adopted by resolutions of the City, Ramsey County, the Saint Paul School District, and the Port Authority in early 1999.

The JPTAC will continue to periodically prepare the report which serves as a planning tool that benefits each unit of government individually and collectively. The most recent report for 2017 was released in June 2018 and demonstrates an ongoing commitment to plan and work together to finance needed capital improvements in a responsible way that considers the impact upon the tax base of the City.

Housing and Redevelopment Authority

The Housing and Redevelopment Authority of the City of Saint Paul, Minnesota (the "HRA"), a component unit of the City, is a public body, corporate and politic, created under Minnesota Statute, Chapter 469 and established in 1947. The HRA was originally established to undertake urban renewal programs. It now administers a full range of housing, redevelopment, and economic development activities, which are designed to redevelop the residential, commercial, and industrial areas of the City and to provide adequate jobs, a sound fiscal base, and a variety of affordable housing to City residents. The HRA is governed by the members of the City Council serving as HRA Commissioners, and is staffed by City employees.

Revenue Debt of the Housing and Redevelopment Authority of the City of Saint Paul

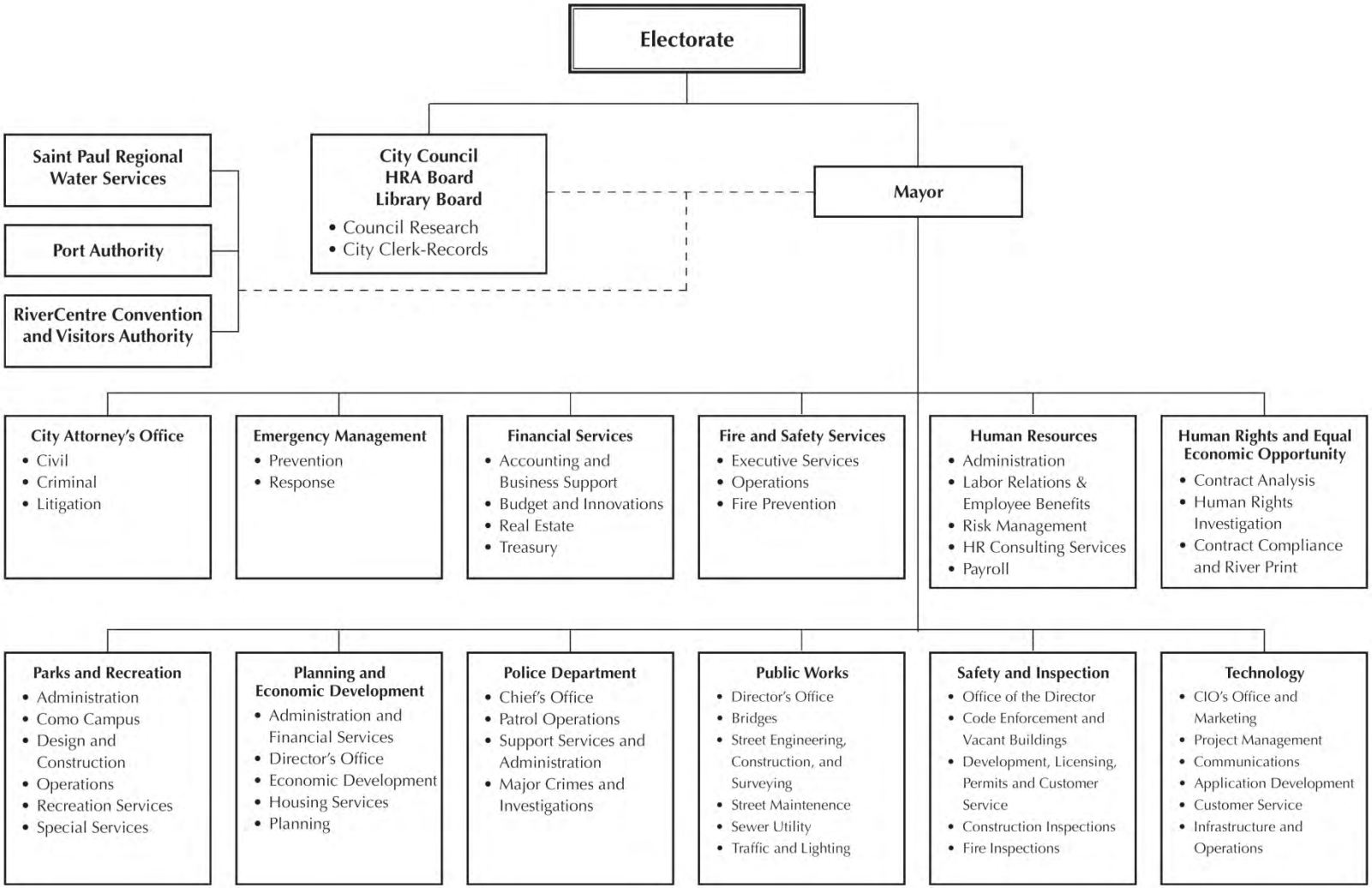
The Housing and Redevelopment Authority of the City of Saint Paul (the "HRA"), a component unit of the City has certain revenue debt obligations outstanding. Such debt obligations are not secured by the full faith and credit or the taxing powers of the City. Such debt obligations are secured solely by the specific revenues expressly pledged to the payment of such debt obligations.

Port Authority

The Port Authority of the City of Saint Paul (the "Port Authority") is a municipal corporation and a redevelopment agency under the laws of Minnesota and established in 1932. The Port Authority is an industrial development agency, seeking out and encouraging businesses to locate or expand in the City, and providing industrial redevelopment and financing to the manufacturing sector. The Port Authority is governed by a seven-member Board of Commissioners, appointed by the Mayor, subject to Council approval. Two Commissioners must be City Council Members. The Port Authority functions as an independent governmental entity separate from the City. Revenue bonds issued by the Port Authority do not constitute an indebtedness of the City. The Port Authority has issued certain bonds to which the City's full faith and credit is pledged, but for which the debt service is paid from revenues of the Port Authority and from taxes levied by the Port Authority.

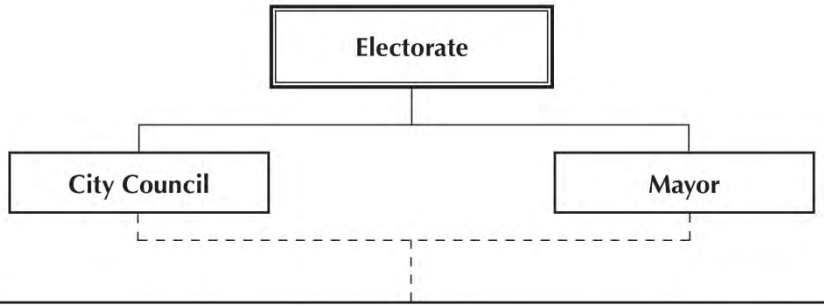
City of Saint Paul, Minnesota

(Form of Government: "Strong" Mayor, with Seven Councilmembers Elected by Ward)



8/06/14

City-Appointed Boards and Commissions



- Advisory Committee On Aging
- Board of Water Commissioners
- Board of Zoning Appeals
- Business Review Council (BRC)
- Capitol Area Architectural Planning Board
- Capitol Region Watershed District
- City-County Workforce Investment Board
- City of Saint Paul Labor-Management Safety Committee
- Community Action Partnership
- Cultural Capital Investment Program (Cultural STAR Board)
- District Energy Board of Directors
- Food and Nutrition Commission
- Heritage Preservation Commission
- Human Rights and Equal Economic Opportunity Commission (HREEO)
- Long-range Capital Improvement Budget (CIB) Committee of Saint Paul
- Mayor's Advisory Committee For People With Disabilities
- Minnesota Landmarks Board
- Mississippi Water Management Organizations
- Neighborhood Sales Tax Revitalization (STAR Program)
- Our Fair Carousel Board
- Police Civilian Review Commission
- Ramsey County League of Local Government
- Saint Paul Civil Service Commission
- Saint Paul Neighborhood Network (SPNN)
- Saint Paul Parks and Recreation Commission
- Saint Paul Planning Commission
- Saint Paul Port Authority
- Saint Paul Public Housing Agency (PHA)
- St. Paul RiverCentre Convention and Visitors Authority
- Saint Paul-Ramsey County Health Services Advisory Committee
- Transportation Committee
- Truth in Sale of Housing Board of Evaluators

8/02/13

GENERAL INFORMATION CONCERNING THE CITY

The City of Saint Paul is the capital of Minnesota and the second largest city in Minnesota. It is the older "twin" in the Twin Cities metropolitan area. The City encompasses an area of approximately 56 square miles (35,840 acres) and is situated wholly in Ramsey County. The City and metropolitan area have a broad and diverse economy with a wide variety of employers representing many sectors.

Population and Household Data

	Population		Households	
Year	**Metro***	**Saint Paul**	**Metro***	**Saint Paul**
2017	3,075,412	309,180	1,219,216	121,100
2010	3,229,833	285,068	1,272,677	111,001
2000	2,968,806	287,151	1,136,615	112,109
1990	2,464,124	272,235	1,118,681	110,249
1980	2,137,133	270,230	762,736	106,223

* *Seven-county metropolitan area*
Sources: U.S. Census Bureau, http://www.census.gov, Minnesota State Demographic Center, mn.gov/admin/demography; Environics Analytics.

Median Household Income

Data Year/ Report Year	Metro*	Saint Paul
2017/2018	$84,124	$54,234
2016/2017	79,810	50,442
2015/2016	76,159	50,662
2014/2015	74,899	48,094
2013/2014	70,562	44,146

* *Weighted estimate for seven-county metropolitan area.*
Sources: Environics Analytics, Claritas, Inc., and The Nielsen Company.

City of Saint Paul Retail Sales and Effective Buying Income (EBI)

Data Year/ Report Year	Total Retail Sales ($000)	Total EBI ($000)	Median Household EBI
2017/2018	$3,357,584	$7,428,744	$46,257
2016/2017	3,313,881	6,977,070	43,105
2015/2016	3,052,823	6,760,523	43,247
2014/2015	2,311,567	6,299,790	40,897
2013/2014	2,220,814	5,648,235	37,388

Sources: Environ Analytics, Claritas, Inc. and The Nielsen Company.

Ramsey County

Data Year/ Report Year	Total Retail Sales ($000)	Total EBI ($000)	Median Household EBI
2017/2018	$8,506,069	$15,151,417	$52,491
2016/2017	8,465,024	14,307,888	48,976
2015/2016	7,675,759	13,866,363	49,318
2014/2015	5,984,635	12,840,803	46,377
2013/2014	5,792,067	11,572,943	43,160

The 2017/2018 Median Household EBI for the State of Minnesota was $56,670. The 2017/2018 Median Household EBI for the United States was $50,620.

Sources: Environ Analytics, Claritas, Inc. and The Nielsen Company.

Employment Data: Covered Employment and Wages

	Average Annual Covered Employment			Average Annual Wage		
Year	Saint Paul	Metro[(a)]	Minnesota	Saint Paul	Metro[(a)]	Minnesota
2018[(b)]	180,125	1,727,863	2,821,872	$65,000	$69,472	$61,100
2017	182,359	1,737,627	2,853,730	58,864	62,920	56,160
2016	180,208	1,704,925	2,813,948	57,512	60,892	54,288
2015	180,320	1,673,843	2,774,765	57,096	60,268	53,560
2014	176,931	1,642,624	2,726,513	55,536	58,136	51,584
2013	174,501	1,616,958	2,688,900	53,612	56,316	49,972

(a) Seven-county metropolitan area
(b) 2018 first quarter data; most recent information available.
Note: Figures are based on the North American Industry Classification System ("NAICS").
Source: Minnesota Department of Employment and Economic Development, http://www.apps.deed.state.mn.us.

Saint Paul Covered Employment by NAICS Super-Sector[(a)(b)]

NAICS Super-Sector	Employment	% of Total Employment by NAICS Super-Sector
Education and Health Services	63,137	35.05%
Public Administration	23,658	13.14
Professional and Business Services	21,615	12.00
Trade, Transportation and Utilities	17,902	9.94
Leisure and Hospitality	15,959	8.86
Financial Activities	14,451	8.02
Manufacturing	7,571	4.20
Other Services	6,587	3.66
Information	4,857	2.70
Construction	4,326	2.40
Natural Resources and Mining	58	0.03
Total	180,121	100.00%

(a) 2018 first quarter data; most recent information available.
(b) State and Federal data confidentiality restrictions preclude the release of information that, directly or indirectly, can be attributed to a specific employer.
Source: Minnesota Department of Employment and Economic Development, http://www.apps.deed.state.mn.us.

Average Annual Labor Force Data

	Total Labor Force		Unemployment Rate			
	City of Saint Paul	Minneapolis-St. Paul Area*	City of Saint Paul	Minneapolis-St. Paul Area*	State of Minnesota	United States
2018 (June)	161,490	2,036,572	3.1%	2.8%	2.9%	4.2%
2017	157,111	1,979,780	3.4	3.3	3.5	4.4
2016	153,928	1,938,642	3.7	3.6	3.9	4.9
2015	152,287	1,916,011	3.7	3.5	3.7	5.3
2014	151,516	1,909,660	4.2	4.0	4.2	6.2
2013	151,136	1,899,746	5.1	4.8	5.0	7.4

* *Represents the Minneapolis-Saint Paul Minnesota-Wisconsin 13-county Metropolitan Statistical Area.*
Source: Minnesota Department of Employment and Economic Development, http://www.apps.deed.state.mn.us.

Major Employers within the City

The following table lists major employers in the City ranked by the number of full-time employees in the City as of February 2018.

Private Employers

Employer	Product/Service	Approximate Employment
3M Company	Industrial and consumer products	10,500
Securian Financial Group	Insurance and annuities	2,750
Ecolab Inc.	Chemical products and cleaning systems	2,500
The Traveler's Companies, Inc.	Insurance	2,100
U.S. Bancorp	Financial Services	2,000
Abbey Care Inc.	Home health care services	1,300
Marsden	Janitorial services	1,100
Ditech Mortgage Group (formerly, Green Tree Servicing LLC)	Mortgage Lending Services	700
Merrill Corporation	Management consulting	691
People Incorporated	Mental Health Services	642
Hubbard Broadcasting	Television station	600
Infor, formerly Lawson Software	Computer consulting/software development	575
Canadian Pacific Railway	Transportation	502
WestRock*	Recycled paper products	366

* *formerly known as RockTenn and Waldorf*

Non-Profit and Government Employers

Employer	Product/Service	Approximate Employment
University of Minnesota	Post-secondary education	18,000[(a)]
State of Minnesota	State government	14,173[(a)]
HealthEast	Health care	7,500[(a)(b)]
Independent School District No. 625	Public education	5,966
Regions Hospital	Health care	5,309[(a)]
Ramsey County	County government	4,427[(a)]
United Hospital	Health care	3,600
City of Saint Paul	City government	2,953 [(a)(c)]
University of St. Thomas	Post-secondary education	1,712[(a)]
Children's Hospital and Clinics of Minnesota	Health care	1,376
Science Museum of Minnesota	Museum	591

(a) Includes full- and part-time employees.
(b) Includes all home care clinics in its network.
(c) Includes 1,061 sworn police and fire employees.
Source: This does not purport to be a comprehensive list and is based on a February 2018 best efforts telephone survey of individual employers. Some employers do not respond to inquiries.

Annual Building Permits Issued by the City

Total Building Permits

Year	Number	Value
2017	7,873	$952,649,958
2016	7,799	483,280,867
2015	7,847	759,679,412
2014	7,950	717,883,411
2013	7,738	453,448,341
2012	8,582	474,073,321
2011	11,647	521,087,066
2010	9,886	366,237,688
2009	8,135	337,136,732
2008	8,498	335,663,606
2007	8,802	530,995,699

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Annual Residential Building Permits Issued by the City

New Residential Construction

	Single Family		Duplex and Multiple Unit		Mixed Use[a]		Total Residential		
	No. of Permits	Value	No. of Permits	Value	No. of Permits	Value	No. of Units	No. of Permits	Value
2017[c]	79	$ 18,647,047	9	$ 70,086,404	1	$ 800,000	773	89	$ 89,533,451
2016	87	122,500,301	9	30,092,171	7	51,882,491	1593	103	204,474,963
2015	64	18,789,112	13	179,035,784	n/a	n/a	1273[d]	77	197,824,896
2014	73	16,587,706	10	95,319,706	n/a	n/a	676[d]	83	111,907,412
2013	45	11,187,018	7	32,340,805	n/a	n/a	486[d]	52	43,527,823
2012	35	6,155,545	11	103,861,509	n/a	n/a	755[d]	48	110,017,054[b]
2011	29	4,400,805	2	7,773,602	n/a	n/a	46[d]	31	12,174,407
2010	18	3,902,040	2	296,350	n/a	n/a	4[d]	20	4,198,390
2009	14	3,268,000	8	25,360,000	n/a	n/a	177[d]	22	28,628,000
2008	17	3,377,674	5	13,320,000	n/a	n/a	146[d]	22	16,697,674
2007	69	13,472,938	14	47,034,684	n/a	n/a	558[d]	83	60,507,622

(a) The City began separately reporting mixed use permit data in 2016.
(b) 2012 figures including building permits that convert commercial properties to residential properties.
(c) Audited financial data as of December 31, 2017.
(d) Value does not include the number of mixed use units.

Public Education

Independent School District No. 625 (Saint Paul Public Schools) is coterminous with the City boundaries and employs approximately 5,966 personnel. Its education program encompasses kindergarten through grade 12 and post-high school vocational courses. Enrollments as of October 1 are shown below:

	Actual at October 1*				
	2013/2014	2014/2015	2015/2016	2016/2017	2017/2018
Pre-School Handicapped	799	790	784	756	870
Early Kindergarten	1,352	1,397	1,481	1,577	1,540
Kindergarten (includes Handicapped)	3,495	3,347	3,136	3,104	3089
Grades 1-6	17,474	17,675	17,719	17,380	17,100
Grades 7-12	16,057	16,032	15,966	15,721	15,856
Total	39,177	39,241	39,086	38,538	38,455

** The above numbers do not include students attending charter schools in the City.*
Source: Saint Paul Public Schools website, https://www.spps.org/Page/27991.

Colleges and Universities Located in the City

College/University	Fall 2016 Enrollment[a] (Head Count)
University of Minnesota (metro campuses)	58,551
University of St. Thomas[b]	9,922
Metropolitan State University	8,335
Saint Paul College	6,944
St. Catherine University[b]	4,760
Concordia University	4,555
Hamline University	3,893
Macalester College	2,146
Mitchell/Hamline School of Law	971
Luther Seminary	526

(a) Includes full- and part-time students.
(b) Includes both Minneapolis and Saint Paul campuses. The main campuses for both the University of St. Thomas and St. Catherine University are located in Saint Paul.
Sources: Basic Data Series 2016 (posted November 2017) by the Minnesota Office of Higher Education, http://www.ohe.state.mn.us; and Luther Seminary, http://www.luthersem.edu. Latest information available.

APPENDIX B

FORM OF OPINION OF BOND COUNSEL

APPENDIX B

FORM OF OPINION OF BOND COUNSEL

BARNES & THORNBURG LLP

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St. Paul, MN 55101 U.S.A.

www.btlaw.com

$7,710,000
City of Saint Paul, Minnesota
Sewer Revenue Bonds
Series 2018D
(Green Bonds)

We have acted as Bond Counsel to the City of Saint Paul, Minnesota (the "Issuer") in connection with the authorization, issuance and sale by the Issuer of its Sewer Revenue Bonds, Series 2018D (Green Bonds) (the "Series 2018D Bonds"), dated October 10, 2018, issued in the original aggregate principal amount of $7,710,000. The proceeds of the Series 2018D Bonds will be used by the City to: (i) finance capital improvements to the City's sewer system, and (ii) to pay costs of issuance of the Series 2018D Bonds. In such capacity, we have examined (i) the provisions of Minnesota law that we have deemed relevant and (ii) certified copies of certain proceedings taken, and certain certificates and affidavits furnished, by the Issuer in the authorization, sale and issuance of the Series 2018D Bonds, including the form of the Series 2018D Bonds. As to questions of fact material to our opinion, we have assumed the authenticity of and relied upon the proceedings, affidavits and certificates furnished to us by various parties, without undertaking to verify the same by independent investigation. All capitalized terms used but otherwise not defined herein shall have the meanings granted to them in Resolution No. 88-835 adopted by the City Council of the Issuer on May 24, 1998 (the "General Resolution"), as subsequently amended by the City Council of the Issuer by various resolutions, including a resolution adopted by the City Council of the Issuer on September 19, 2018 (the "Series 2018D Bond Resolution" and together with the General Resolution, as amended and supplemented, the "Resolution").

From such examination, assuming the authenticity of all documents submitted to us as originals, the conformity to original documents of all documents submitted to us as certified or photocopies, and the authenticity of originals of such latter documents and the accuracy of the statements of fact contained in certificates furnished to us by officials of the Issuer, and based upon federal and Minnesota laws (which excludes any pending legislation which may have a retroactive effect prior to the date hereof), regulations, rulings, and decisions in effect on the date hereof, we are of the opinion that:

1. The Series 2018D Bonds are in due form and have been duly executed and delivered by the Issuer.

2. The Series 2018D Bonds are valid and binding special, limited obligations of the Issuer, enforceable in accordance with their terms and the terms of the Resolution. The principal of and interest on the Series 2018D Bonds are payable solely and exclusively from the Revenues of the Sewer System of the Issuer pledged to the payment thereof. The Series 2018D Bonds are secured on a parity lien with certain other outstanding bonds of the Issuer made payable on a parity with the Series 2018D Bonds. *The general credit and taxing power of the Issuer are not pledged to the payment of the Series 2018D Bonds and the Series 2018D Bonds are not general obligations of the Issuer.*

3. Interest on the Series 2018D Bonds is excludable from gross income of the recipient for federal income tax purposes and, to the same extent, is excludable from taxable net income of individuals, trusts and estates for State of Minnesota income tax purposes, and is not a preference item for purposes of the computation of the federal alternative minimum tax, or the computation of the State of Minnesota alternative minimum tax imposed on

individuals, trusts and estates, but such interest is includable in the computation of "adjusted current earnings," used in the calculation of federal alternative minimum taxable income of corporations for taxable years that began prior to January 1, 2018, and is subject to State of Minnesota franchise taxes on corporations (including financial institutions) measured by income and the alternative minimum tax base. The opinion set forth in the preceding sentence is subject to the condition that the Issuer comply with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Series 2018D Bonds in order that interest thereon be, or continue to be, excludable from gross income for federal income tax purposes and excludable from taxable net income of individuals, trusts and estates for State of Minnesota income tax purposes. The Issuer has covenanted to comply with all such requirements. Failure to comply with certain of such requirements may cause interest on the Series 2018D Bonds to be included in gross income for federal income tax purposes and taxable net income for Minnesota income tax purposes retroactively to the date of issuance of the Series 2018D Bonds. We express no opinion regarding tax consequences arising with respect to the Series 2018D Bonds other than as expressly set forth herein.

The Series 2018D Bonds are not designated as a "qualified tax-exempt obligation" within the meaning of Section 265(b)(3) of the Code and financial institutions may not deduct any portion of their interest expenses allocable to interest on the Series 2018D Bonds.

With respect to the enforceability of any document or instrument, this opinion is subject to the qualifications that: (i) enforceability of such document or instrument may be limited by bankruptcy, insolvency, reorganization, receivership, moratorium, fraudulent conveyance and similar laws relating to or affecting the enforcement of creditors' rights; (ii) the enforceability of equitable rights and remedies provided for in such document or instrument is subject to judicial discretion, and the enforceability of such document or instrument may be limited by general principles of equity; (iii) the enforceability of such document or instrument may be limited by public policy; and (iv) certain remedial, waiver and other provisions of such document or instrument may be unenforceable, provided, however, that in our opinion the unenforceability of those provisions would not, subject to the other qualifications set forth herein, affect the validity of such document or instrument or prevent the practical realization of the benefits thereof.

We have not been engaged, and have not undertaken, to review the accuracy, completeness or sufficiency of any offering materials relating to the Series 2018D Bonds and, accordingly, we express no opinion with respect thereto.

This opinion is given as of the date hereof and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention or any changes in law or facts that may hereafter occur. Our engagement with respect to the Series 2018D Bonds ends upon their issuance.

Dated at Saint Paul, Minnesota, October __, 2018.

APPENDIX C

FORM OF CONTINUING DISCLOSURE CERTIFICATE

APPENDIX C

FORM OF CONTINUING DISCLOSURE CERTIFICATE

CONTINUING DISCLOSURE CERTIFICATE

$7,710,000
City of Saint Paul, Minnesota
Sewer Revenue Bonds
Series 2018D
(Green Bonds)

October 1, 2018

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the City of Saint Paul, Minnesota (the "Issuer") in connection with the issuance of its Sewer Revenue Bonds, Series 2018D (Green Bonds) (the "Series 2018D Bonds"), in the original aggregate principal amount of $7,710,000. The Series 2018D Bonds are being issued pursuant to a 1988 General Resolution adopted by the City Council of the Issuer and an award resolution adopted by the City Council of the Issuer on September 19, 2018 (collectively, the "Resolution"). The Series 2018D Bonds are being delivered to Piper Jaffray & Co. (the "Purchaser"), on the date hereof. Pursuant to the Resolution, the Issuer has covenanted and agreed to provide continuing disclosure of certain financial information and operating data and timely notices of the occurrence of certain events. In addition, the Issuer hereby covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the Issuer for the benefit of the Holders (defined herein) of the Series 2018D Bonds in order to assist the Participating Underwriter (defined herein) in complying with the Rule (defined herein). This Disclosure Certificate, together with the Resolution, constitutes the written agreement or contract for the benefit of the Holders of the Series 2018D Bonds that is required by the Rule (defined herein).

Section 2. Definitions. In addition to the defined terms set forth in the Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Report" means any annual report provided by the Issuer pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Audited Financial Statements" means the Issuer's annual financial statements, prepared in accordance with generally accepted accounting principles ("GAAP") for Governmental Units as Prescribed by the Governmental Accounting Standards Board ("GASB").

"EMMA" means the Electronic Municipal Market Access system operated by the MSRB as the primary portal for complying with the continuing disclosure requirements of the Rule.

"Final Official Statement" means the final Official Statement, dated September 26, 2018, which constitutes the final official statement delivered in connection with the Series 2018D Bonds, which is available from the MSRB.

"Fiscal Year" means the fiscal year of the Issuer.

"Holder" means the person in whose name an Obligation is registered or a beneficial owner of such an Obligation.

"Issuer" means the City of Saint Paul, Minnesota, which is the obligated person with respect to the Series 2018D Bonds.

"Listed Event" means any of the events listed in Section 5(a) of this Disclosure Certificate.

"MSRB" means the Municipal Securities Rulemaking Board located at 1300 I Street NW, Suite 1000, Washington, DC 20005, its successors and assigns.

"Participating Underwriter" means any of the original underwriter(s) of the Series 2018D Bonds (including the Purchaser) required to comply with the Rule in connection with the offering of the Series 2018D Bonds.

"Purchaser" means Piper Jaffray & Co., its successors and assigns.

"Repository" means EMMA.

"Rule" means SEC Rule 15c2-12(b)(5), 17 CFR §240.15c2-12, promulgated by the SEC under the Securities Exchange Act of 1934, as the same may be amended from time to time, and including written interpretations thereof by the SEC.

"SEC" means the Securities and Exchange Commission, its successors and assigns.

Section 3. Provision of Annual Financial Information and Audited Financial Statements.

(a) The Issuer shall provide to the Repository, not later than twelve (12) months after the end of the Fiscal Year, commencing with the year that ends December 31, 2018, an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate.

(b) If the Issuer is unable or fails to provide to the Repository an Annual Report by the date required in subsection (a), the Issuer shall send a notice of that fact to the Repository.

(c) The Issuer shall determine each year prior to the date for providing the Annual Report the name and address of the Repository.

Section 4. Content of Annual Reports. The Issuer's Annual Report shall contain or incorporate by reference the following sections of the Final Official Statement:

(a) The Sewer System, subheadings "Sewer System Customers" and "Rates, Billings and Collections"; and

(b) Sewer System Financial Statements and Coverage Statement, subheadings "City of Saint Paul, Minnesota Sewer Utility Enterprise Fund Statement of Net Assets", "City of Saint Paul, Minnesota Sewer Utility Enterprise Fund Statement of Revenues, Expenses and Changes in Net Assets", and "2018 Coverage Statement".

In addition to the items listed above, the Annual Report shall include Audited Financial Statements relating to the sewer utility submitted in accordance with Section 3 of this Disclosure Certificate.

Any or all of the items listed above may be incorporated by reference from other documents, including official statements of debt issues of the Issuer or related public entities, which have been submitted to the Repository or the SEC. If the document incorporated by reference is a final official statement, it must also be available from the MSRB. The Issuer shall clearly identify each such other document so incorporated by reference.

Section 5. Reporting of Listed Events.

(a) This Section 5 shall govern the giving of notice of the occurrence of any of the following events ("Listed Events") with respect to the Series 2018D Bonds:

1. Principal and interest payment delinquencies;

2. Non-payment related defaults, if material;

3. Unscheduled draws on debt service reserves reflecting financial difficulties;

4. Unscheduled draws on credit enhancements reflecting financial difficulties;

5. Substitution of credit or liquidity providers, or their failure to perform;

6. Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701–TEB) or other material notices or determinations with respect to the tax status of the security, or other listed events affecting the tax status of the security;

7. Modifications to rights of security holders, if material;

8. Series 2018D Bond calls, if material, and tender offers;

9. Defeasances;

10. Release, substitution, or sale of property securing repayment of the securities, if material;

11. Rating changes;

12. Bankruptcy, insolvency, receivership or similar event of the obligated person;

13. The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material; and

14. Appointment of a successor or additional trustee or the change of name of a trustee, if material.

(b) The Issuer shall file a notice of such occurrence with the Repository or with the MSRB within ten (10) business days of the occurrence of the Listed Event.

(c) Unless otherwise required by law and subject to technical and economic feasibility, the Issuer shall employ such methods of information transmission as shall be requested or recommended by the designated recipients of the Issuer's information.

Section 6. EMMA. The SEC has designated EMMA as a nationally recognized municipal securities information repository and the exclusive portal for complying with the continuing disclosure requirements of the Rule. Until the EMMA system is amended or altered by the MSRB and the SEC, the Issuer shall make all filings required under this Disclosure Certificate solely with EMMA.

Section 7. Termination of Reporting Obligation. The Issuer's obligations under the Resolution and this Disclosure Certificate shall terminate upon the legal defeasance, or upon the redemption or payment in full of all the Series 2018D Bonds.

Section 8. Agent. The Issuer may, from time to time, appoint or engage a dissemination agent to assist it in carrying out its obligations under the Resolution and this Disclosure Certificate, and may discharge any such agent, with or without appointing a successor dissemination agent.

Section 9. Amendment; Waiver. Notwithstanding any other provision of the Resolution or this Disclosure Certificate, the Issuer may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, if such amendment or waiver is supported by an opinion of nationally recognized bond counsel to the effect that such amendment or waiver would not, in and of itself, cause a violation of the Rule. The provisions of the Resolution constituting the undertaking and this Disclosure Certificate, or any provision hereof, shall be null and void in the event that the Issuer delivers to the Repository an opinion of nationally recognized bond counsel to the effect that those portions of the Rule which require the Resolution and this Disclosure Certificate are invalid, have been repealed retroactively or otherwise do not apply to the Series 2018D Bonds. The provisions of the Resolution and this Disclosure Certificate may be amended without the consent of the Holders of the Series 2018D Bonds, but only upon the delivery by the Issuer to the Repository of the proposed amendment and an opinion of nationally recognized bond counsel to the effect that such amendment, and giving effect thereto, will not adversely affect the compliance of the Resolution and this Disclosure Certificate and by the Issuer with the Rule.

Section 10. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the Issuer from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the Issuer chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the Issuer shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 11. Default. In the event of a failure of the Issuer to comply with any provision of this Disclosure Certificate any Holder of the Series 2018D Bonds may take such actions as may be necessary and appropriate, including seeking mandamus or specific performance by court order, to cause the Issuer to comply with its obligations under the Resolution and this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default with respect to the Series 2018D Bonds and the sole remedy under this Disclosure Certificate in the event of any failure of the Issuer to comply with this Disclosure Certificate shall be an action to compel performance.

Section 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the Issuer, the Participating Underwriter, and Holders from time to time of the Series 2018D Bonds, and shall create no rights in any other person or entity.

(The remainder of this page is intentionally left blank.)

IN WITNESS WHEREOF, we have executed this Disclosure Certificate in our official capacities effective as of the date and year first written above.

CITY OF SAINT PAUL, MINNESOTA

By: _____
Its: Mayor or his designee

By: _____
Its: Director, Office of Financial Services or his designee

Approved as to form:

_____
Assistant City Attorney

APPENDIX D

EXCERPTS OF THE RESOLUTION

APPENDIX D

EXCERPTS OF THE RESOLUTION

The following is a summary of certain provisions of the Resolution, as amended. Such summary does not purport to be complete and is qualified in its entirety by reference to the Resolution.

DEFINITIONS

As used in the Resolution or any Supplemental Resolution, the following terms will have the meanings assigned below.

Accreted Value: with respect to a Capital Appreciation Bond on any date, the present value thereof on the immediately preceding date specified in such Bond (or if such date is the specified date, then on such date), determined by computing the present worth of all payments of principal and interest remaining to be paid thereon using a discount factor equal to the yield at which such Capital Appreciation Bond was initially offered to the public, as further specified in a table of Accreted Values contained in the Capital Appreciation Bond and in the related Supplemental Resolution;

Act: Minnesota Statutes, Chapter 475 and Section 116.19, as amended;

Additional Bonds: Bonds issued pursuant to the Resolution as from time to time supplemented, other than the Series 1988A Bonds, including Additional Parity Bonds and Refunding Bonds issued as permitted by the Resolution;

Adjustable Rate Bond: any Bond, the interest rate on which is not established at the time of calculation at a single numerical rate for the remaining term of such Bond, but for which the period between redeterminations of the interest rate is two (2) years or more;

Bond Account: the "Revenue Bond Debt Service Account" or "Bond Account" within the Sewer Service Enterprise Fund created and established by the Resolution;

Bond Registrar: the Treasurer of the City who will act as bond registrar, transfer agent and paying agent, or any Fiduciary acting as bond registrar, transfer agent or paying agent for any Bonds or series thereof;

Bond Year: for each series of Bonds, each twelve-month calendar period ending on the anniversary of the delivery of such series of Bonds to the Purchaser thereof and payment therefor;

Bondholder: a Holder;

Bonds: any bonds from time to time issued pursuant to the Resolution or a Supplemental Resolution, while such Bonds remain outstanding;

Capital Appreciation Bonds: any Bonds issued on the basis that interest thereon will be accrued and compounded periodically, and that payment of interest thereon will only be made at maturity or at a specified time or times prior to maturity or upon earlier redemption, by sinking fund installment or otherwise;

City: the City of Saint Paul, Minnesota, or any successor to its functions with respect to the Sewer System;

Code: the Internal Revenue Code of 1986, as amended, or any successor code, and all regulations, rulings and decisions thereunder;

Commitment: either (A) a binding commitment by a bank, a surety, insurance company or other financial institution generally regarded as responsible, which Commitment (i) provides financing sufficient to pay or purchase, as the case may be, Committed Temporary Bonds when due or required to be purchased, (ii) provides for repayment of amounts drawn thereunder over a period of at least five years and (iii) is filed with the City, together with an opinion of independent legal counsel stating in effect that the Commitment is binding and enforceable in accordance with its

terms, subject to such customary exceptions relating to bankruptcy laws, insolvency laws and other similar laws affecting creditors' rights generally as such independent legal counsel deems necessary or (B) a binding covenant of the City to issue Bonds to refund the Committed Temporary Bonds if there are insufficient funds to pay or purchase, as the case may be, Committed Temporary Bonds when due or required to be purchased;

Committed Temporary Bonds: Temporary Bonds secured by a Commitment;

Construction Account: the account by that name within the Sewer Service Enterprise Fund created and established by the Resolution;

Credit Agreement: any reimbursement agreement or similar instrument between the City and a Credit Provider with respect to a Credit Facility;

Credit Facility: a letter of credit, surety bond, insurance policy or comparable instrument furnished by a Credit Provider with respect to one or more series of Bonds to satisfy in whole or part the City's obligation to maintain the Reserve Requirement with respect to a series of Bonds or to secure (a) the payment of debt service (which may include the premium due on payment of a Bond) on Bonds of a specified series, (b) the payment of the purchase price (which may include accrued interest to the date of purchase) of Bonds of a specified series on the applicable purchase dates or tender dates, or (c) both the payment of debt service on a specified series of Bonds and the payment of the purchase price of Bonds of a specified series;

Credit Provider: the bank, insurance company, financial institution or other entity providing a Credit Facility pursuant to a Credit Agreement;

Current Expenses: the normal, reasonable and current cots of operation and maintenance of the Sewer System determined in accordance with generally accepted accounting principles, including, without limitation, payments due to the Metropolitan Waste Control Commission, but excluding the following: allowance for depreciation; costs of major sewer repairs; Debt Service Expense; and Revenues transferred to other City funds or accounts to pay debt service on City general obligation debt pursuant to the Resolution;

Debt Service Expense: the amounts required to be paid or transferred from the Operation and Maintenance Account pursuant to the Resolution;

Depository: a trust company or other fiduciary acting as a depository pursuant to a Depository Letter Agreement with respect to Global Certificates;

Depository Letter Agreement: with respect to the Series 1988A Bonds, the Depository Letter Agreement dated June 14, 1988, by and among the City, the Bond Registrar (if other than the City) and Midwest Securities Trust Company; and with respect to any other series of Bonds, the similar instrument with respect to Global Certificates by and among the City, the Bond Registrar (if other than the City) and a Depository;

Excess Earnings: the amount of investment earnings on money held in the Sewer Service Enterprise Fund or any Account therein, or in any other fund or account, required to be transferred to the Excess Investment Earnings Account as earnings on "gross proceeds" (as defined by or under the Code) in excess of the "yield" (calculated as required by or under the Code) on Tax-Exempt Bonds;

Excess Investment Earnings Account: the account by that name within the City's Agency Fund created as established by the Resolution;

Fiduciary: any bank or other organization acting in a fiduciary capacity with respect to any Bonds, whether as a paying agent, Bond Registrar, tender agent, or escrow agent, or in a similar function; provided that a Depository will not be considered a Fiduciary;

Fiscal Year: the twelve (12) month period beginning on January 1 of each year and ending on December 31 of the same year; provided that the City may, by Supplemental Resolution, provide for a different twelve (12) month Fiscal Year for the Sewer System;

Fixed Rate Bond: a Bond, the interest rate on which is established (with no right to vary) at the time of calculation at a single numerical rate for the remaining term of such Bond;

Global Certificate: Bonds in the form of one certificate per maturity, each representing the entire principal amount of a series of Bonds due on a particular maturity date, which single certificate per maturity may be transferred on the City's bond register as required by the Uniform Commercial Code, but which may not be exchanged for smaller denominations unless the City determines to issue Replacement Bonds as provided in the Resolution;

Holder: the person or entity in whose name a Bond is registered on the books of the City, or, in the case of Global Certificates, registered in the name of the Depository or its nominee;

Improvements: any expansion, construction, reconstruction, equipping, modification or other betterment of a capital nature to the Sewer System;

Interest Payment Date: any date on which an installment of interest is scheduled to become due on Bonds; in the case of Capital Appreciation Bonds, the Interest Payment Date will be the earliest of (1) the stated maturity date, (2) the redemption date, or (3) the dates on which interest is to be paid after conversion of such Capital Appreciation Bonds to a Bond on which interest is paid periodically;

Interest Rate Swap Agreement: an agreement entered into by the City of the kind described in Minnesota Statutes, Section 475.54, Subdivision 16.

Minimum Variable Rate Interest Amount: for Variable Rate Bonds, the amount of interest to be paid or to accrue on such Variable Rate Bonds during any one-month period at the highest interest rate permitted by the terms of the Supplemental Resolution relating thereto, excluding the period, if any, after such Variable Rate Bonds may convert to Fixed Rate Bonds;

National System: the computerized national securities clearance and settlement system to register transfer of ownership interests in debt securities by making book entries on the books of a Depository, and through which payments are distributed to Participants as shown on the books of the Depository as the owners of such interests;

Net Revenues: for any period of calculation, Revenues attributable to such period less Current Expenses;

Non-Global Bonds: Replacement Bonds, and any series of Additional Bonds which are not issued in the form of Global Certificates;

Operating Reserve Requirement: the amount required to be maintained in the Operating Reserve Subaccount as provided in the Resolution;

Operating Reserve Subaccount: the subaccount by that name within the Operation and Maintenance Account created and established by the Resolution;

Operation and Maintenance Account: the account by that name within the Sewer Service Enterprise Fund created and established as provided in the Resolution with an Operating Reserve Subaccount therein;

Parity Bonds: As of issuance of the Series 2018D Bonds the City's outstanding: (i) $2,820,000 Sewer Revenue Refunding Bonds, Series 2009I, dated October 1, 2009; (ii) $8,610,000 Sewer Revenue Bonds, Series 2010D, dated March 3, 2010, (iii) $8,900,000 Sewer Revenue Bonds, Series 2011C, dated April 4, 2011; (iv) $8,815,000 Sewer Revenue Bonds, Series 2012C, dated April 2, 2012; (v) $11,515,000 Sewer Revenue and Refunding Bonds, Series 2013D, dated April 8, 2013, (vi) $8,000,000 Sewer Revenue Bonds, Series 2014E, dated August 4, 2014, (vii) $8,700,000 Sewer Revenue Bonds, Series 2015B Bonds (Green Bonds), dated May 5, 2015, (viii) $7,715,000 Sewer Revenue Bonds, Series 2016B Bonds (Green Bonds), dated April 14, 2016, (ix) $21,225,000 Sewer Revenue Refunding Bonds, Series 2016D, dated December 1, 2016, (x) $7,975,000 Sewer Revenue Bonds, Series 2017C, dated April 6, 2017, and (xi) the Series 2018D Bonds;

Participants: the financial institutions or securities dealers for whom the Depository effects book-entry transfers and pledges of securities deposited and immobilized with the Depository;

Principal Payment Date: any date on which an installment of Principal is scheduled to become due on Bonds, whether by scheduled maturity or scheduled mandatory redemption or otherwise;

Purchaser: the person or entity specified in the Resolution or a Supplemental Resolution as the original purchaser of a series of Bonds;

Rebate Amount: the amount required to be paid to the United States Treasury pursuant to Section 148 of the Code as rebate of investment earnings (and, if applicable, actual or imputed earnings thereon) to the extent such investment earnings are in excess of the yield on a series of Tax-Exempt Bonds and are subject to rebate;

Replacement Bonds: Bonds which replace Global Certificates as provided in the Resolution;

Reserve Account: the account by that name within the Sewer Service Enterprise Fund created and established by the Resolution;

Reserve Requirement: as of any date of calculation, the sum of the Reserve Requirements applicable to each series of Bonds then outstanding; and for each series of Bonds, while any of such Bonds remain outstanding, the Reserve Requirement will be, unless otherwise specifically provided in the Resolution or the appropriate Supplemental Resolution ($0 for the 2018D Bonds):

(a) for each series of Taxable Bonds, as of any date of calculation, an amount equal to the maximum amount of principal and interest to become due in any Fiscal Year on all then outstanding Bonds of that series;

(b) for each series of Tax-Exempt Bonds, as of any date of calculation, an amount equal to the least of: (I) ten percent (10%) (or such higher percentage as the City establishes as necessary to the satisfaction of the Secretary of the United States Department of the Treasury) of the lesser of (i) the original principal amount of such Bonds or (ii) the "issue price" of such Bonds, determined as required by Section 148 of the Code; or (II) the maximum amount of principal and interest to become due in any Fiscal Year on all then outstanding Bonds of that series; or (III) the maximum amount permitted under Section 148 of the Code to be held in a reserve fund and invested at a yield in excess of the yield on such series of Tax-Exempt Bonds;

provided that, the calculation of the maximum amount of interest to become due on Variable Rate Bonds, Adjustable Rate Bonds or Temporary Bonds will be based on the same method used for the purposes of the Resolution;

Resolution: the General Resolution Relating to Sewer Revenue Bonds, adopted by the City Council of the City on May 24, 1988, as from time to time amended or supplemented;

Revenues: all amounts received from the operation of or in connection with the Sewer System, including (a) sanitary sewer service charges or surcharges, storm sewer system charges, sewer availability charges, all other Sewer System charges or surcharges imposed on Sewer System users or City property owners, assessments, penalties or interest due on delinquent amounts, (b) earnings on money held in any fund or Account, (c) money received upon the sale, lease, transfer, conveyance or other disposition of any real or personal property which is part of the Sewer System, and (d) any other revenues of whatever kind and from whatever source derived arising from the Sewer System; but excluding assessments for Sewer System improvements dedicated to other uses which preclude the application of such assessments to the payment of Bonds;

Series 1988A Bonds: the City's Sewer Revenue Bonds, Series 1988A, in the original principal amount of $78,450,000;

Series 2018D Bonds: the City's Sewer Revenue Bonds, Series 2018D (Green Bonds), in the original aggregate principal amount of $7,710,000;

Sewer Service Enterprise Fund: the Sewer Service Enterprise Fund created and established as provided in the Resolution as an enterprise fund, with Accounts therein as provided in the Resolution;

Sewer System: the City's storm and sanitary sewer systems, including all piping, pumps, valves, maintenance equipment and buildings, improvements and real and personal property used in connection therewith, and all funds, accounts, contract rights, permits, authorization, approach and intangibles related thereto;

Substitute Depository: a trust company or other fiduciary which replaces a Depository;

Supplemental Resolution: a resolution adopted by the City Council of the City which supplements or amends the Resolution, including any Supplemental Resolution authorizing the issuance of Bonds other than the Series 1988A Bonds;

Taxable Bonds: any Bonds which are not Tax-Exempt Bonds on their date of original issue;

Tax-Exempt Bonds: Bonds issued pursuant to the resolution as from time to time supplemented for which the City receives, on the date of their original issuance, an opinion of bond counsel to the effect that interest on such Bonds is excludable from gross income for federal income tax purposes under Section 103 of the Code;

Temporary Bonds: any series of Bonds with (i) an initial term of three years or less, (ii) a provision that requires mandatory purchase of such series of Bonds within three years of its issuance or (iii) a provision which permits the Holders thereof to require redemption of such series of Bonds within three years of its issuance; provided however, that a series of Bonds will not be deemed Temporary Bonds by reason or any right of the Holders thereof to (A) accelerate or cause the obligations to be prepaid or purchased upon the happening of an event of default or (B) tender the Bonds of that series for purchase;

Variable Rate Bond: any Bond, the interest rate on which is not established at the time of calculation at a single numerical rate for the remaining term of such Bond and for which the period between redetermination of the interest rate is two (2) years or less.

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SEWER SERVICE ENTERPRISE FUND; ACCOUNTS; EXCESS EARNINGS FUND

Sewer Service Enterprise Fund; Accounts

For the convenience and proper administration of the proceeds from the sale of the Bonds and for the payment of principal of and interest on the Bonds, there is hereby created and established as a separate fund of the City until all of the bonds are fully paid and retired, a Sewer Service Enterprise Fund (the "Sewer Enterprise Fund"), with the Accounts therein created and established by the Resolution.

Construction Account

(A) There is hereby created and established a Construction Account within the Sewer Enterprise Fund, into which there will be paid the proceeds from the sale of each series of the bonds, less the sum of (1) any premium, unused discount (if any) and accrued interest paid by the Purchaser upon delivery, (2) the amount capitalized for the Reserve Account established pursuant to the Resolution, and (3) capitalized interest deposited in the Bond Account. A separate subaccount will be created and established within the Construction Account in which will be deposited the proceeds of any specific series of Bonds, if the Supplemental Resolution authorizing the issuance of such series requires such a separate subaccount. From the Construction Account (or, if applicable, from a separate subaccount) will be paid all costs of the Improvements to be financed by the Bonds, including legal, engineering, financing and other such expenses incidental thereto. There will also be paid from the Construction Account the costs of issuance of each series of Bonds and any fees or premiums required to be paid to a Credit Provider upon issuance of a series of bonds. The City may transfer from the Construction Account to the Bond Account, monthly, amounts required to provide for the payment of interest on a series of Bonds during the period of construction of the Improvements financed by such series of Bonds, and in such case the amount so transferred will be credited against amounts otherwise required to be transferred from the Operation and Maintenance Account pursuant to the Resolution; provided however, that any amount of the proceeds of such series of Bonds deposited in the Bond Account upon issuance of such Bonds (other than a Minimum Variable Rate Bond Amount) will be used for that purpose before any transfers are made from the Construction Account.

(B) Any excess money remaining in the Construction Account upon completion of the applicable Improvements will be, at the option of the City, applied to the payment of or reimbursement for the costs of any other Improvements, or transferred to the Bond Account.

(C) Amounts described in the Resolution will be deposited in the Construction Account and applied to pay or reimburse for the costs of Improvements.

(D) Except as provided in subsection (E) below, earnings on amounts held from time to time in the Construction Account will be retained therein.

(E) Notwithstanding any provision of the Resolution or any Supplemental Resolution to the contrary, all Excess Earnings will be transferred from the Construction Account to the Excess Investment Earnings Fund at such times and in such amounts as may be required to maintain compliance, as to all Tax-Exempt Bonds, with the covenants expressed in the Resolution.

Operations and Maintenance Account

(A) There is hereby created and established an Operation and Maintenance Account within the Sewer Enterprise Fund into which will be paid all Revenues, upon receipt, except as provided in subsection (B) below. From the Operation and Maintenance Account there will be paid or transferred the following amounts in the following order of priority:

First, to the Bond Account, monthly, the amounts required to pay the Bonds, as further specified in the Resolution;

Second, in order, first to make payments under an Interest Rate Swap Agreement, second to each Credit Provider, monthly, the amounts required to be paid to such Credit Provider pursuant to the applicable Credit Agreement, and third to each Fiduciary, monthly, the amount of its fees and expenses then due;

Third, to the Reserve Account, monthly, the amounts required to maintain the balance on hand therein at the Reserve Requirement;

Fourth, to pay all Current Expenses then due;

Fifth, to the Operating Reserve Subaccount, monthly, the amount required to maintain the balance on hand therein at the Operating Reserve Requirement; and

Sixth, to pay any other amount then due with respect to the Sewer System, including, in any order, (1) amounts required to pay debt service on general obligation debt of the City incurred to finance Improvements, (2) amounts required to pay the costs of any Improvements not financed by Bonds or other debt, or (3) to make any other payment or transfer authorized by law.

(B) Revenues of the kind described in clause (c) of the definition of "Revenues" as defined in the Resolution will be (1) deposited in the Construction Account to pay or reimburse for the costs of Improvements, (2) deposited in the Bond Account to pay the principal of, premium if any and interest on the Bonds, or (3) transferred to other accounts of the City to pay general obligation debt incurred by the City to pay the costs of Improvements.

(C) The City will maintain within the Operation and Maintenance Account and Operating Reserve Subaccount. The balance of funds held therein will be maintained at an amount equal to 45 days average Current Expenses for the preceding Fiscal Year (the "Operating Reserve Requirement").

(D) Notwithstanding any provision of the Resolution or any Supplemental Resolution to the contrary, Excess Earnings will be transferred from the Operation and Maintenance Account to the Excess Investment Earnings Fund at such times and in such amounts as may be required to maintain compliance, as to all Tax-Exempt Bonds, with the covenants expressed in the Resolution.

Revenue Bond Debt Service Account

(A) There is hereby created and established a Revenue Bond Debt Service Account or "Bond Account" within the Sewer Service Enterprise Fund, into which there will be credited and to which there is hereby irrevocably pledged from the Revenues of the operation of the Sewer System, monthly, commencing July 1, 1988, a sum equal to:

(1) for all Fixed Rate Bonds, an amount equal to the sum of (a) one-twelfth (1/12) of the total principal to become due on all Principal Payment Dates for all series of Fixed Rate Bonds during the ensuing twelve (12) months; and (b) an amount equal to one-sixth (1/6) of the total interest to become due on all series of Fixed Rate Bonds during the ensuing six (6) months; and

(2) for all Variable Rate Bonds, an amount equal to the sum of (a) one-twelfth (1/12) the total principal to become due on all Principal Payment Dates for all series of Variable Rate Bonds during the ensuing twelve (12) months; and (b) the amount of interest paid or accrued during the preceding month on all series of Variable Rate Bonds;

provided, however, (i) that no further payments need be made to said Account on account of a series of Bonds when the money held therein are sufficient for the payment of all principal and interest due on such series of Bonds on and prior to the next maturity or redemption date, and (ii) for the period immediately subsequent to the issuance of any series of Bonds, there will be credited against the monthly amounts due on account of such series the sum deposited in the Bond Account from the proceeds of such series of Bonds as capitalized interest, excluding any deposit made as the Minimum Variable Rate Interest Amount. Earnings on amounts held in the Bond Account (other than Excess Earnings) will be retained therein and credited against the amounts next due to be transferred to the Bond Account from the Operation and Maintenance Account. No money will be paid out of said Account except to pay

principal, premium, if any, and interest on the Bonds, to correct any misapplication of funds and to make transfers to the Excess Investment Earnings Account.

Deposits to the Bond Account may be made directly from Revenues or may be made by transfers from the Operation and Maintenance Account.

(B) There will be credited to and deposited in the Bond Account each of the following:

(1) The accrued interest, unused discount if any and premium, if any, paid by the Purchaser of a series of Bonds upon delivery thereof;

(2) From the proceeds of a series of Bonds, the amount determined by the City to be necessary or desirable to capitalize interest on such series of Bonds for an initial period not exceeding the period permitted by law; and

(3) from the proceeds of a series of Variable Rate Bonds, the Minimum Variable Rate Interest Amount attributable thereto.

(C) The City will immediately deposit in the Bond Account, from Revenues, any amount required to pay the principal of and premium, if any, and interest on all Bonds when due on any Principal Payment Date or Interest Payment Date to the extent such amounts have not theretofore been deposited in the Bond Account from Revenues or transferred to the Bond Account from the Reserve Account. In addition, the City will deposit in the Bond Account, from Revenues, any amount required to maintain the Minimum Variable Rate Interest Amount for a series of Variable Rate Bonds, after giving effect to the monthly deposit provided for in the Resolution.

(D) Notwithstanding any provision of the Resolution or any Supplemental Resolution to the contrary, excess Earnings will be transferred from the Bond Account to the Excess Investment Earnings Fund at such times and in such amounts as may be required to maintain compliance, as to all Tax-Exempt Bonds, with the covenants expressed in the Resolution.

No Reserve Account for Series 2018D Bonds

No proceeds of the Series 2018D Bonds will be deposited in the Reserve Account. The Reserve Requirement for the Series 2018D Bonds will be $0. The Series 2018D Bonds are not secured by any amounts in the Reserve Account that secures the other Parity Bonds of the City issued under the provisions of the Resolution. The Series 2018D Bonds do not have any right, title or interest in any amounts in the Reserve Account.

Reserve Account

(A) There is hereby created and established a Reserve Account within the Sewer Service Enterprise Fund. The Reserve Account will be drawn upon only when and if money in the Bond Account are insufficient on a Principal Payment Date or on an Interest Payment Date to pay the principal of, and premium, if any, and interest on the Bonds payable from the Bond Account, or when otherwise permitted by the Resolution.

(B) Money in the Reserve Account may be withdrawn therefrom and applied to the payment of the latest installments of principal on a series of Bonds if the amount remaining in the Reserve Account after each such withdrawal is not less than the Reserve Requirement then in effect for all other series of Bonds then outstanding.

(C) Money in the Reserve Account may be used to prepay Bonds, when such prepayments will retire all of the Bonds then outstanding.

(D) Investments held for the credit of the Reserve Account will be valued (as provided in the Resolution) as of the last day of each Fiscal Year, and as of the first day of the month preceding the month in which each series of Additional Bonds are issued. For the purpose of determining whether the Reserve Requirement is being maintained, the securities held for the Reserve Account will be assumed to have the value established on the most recent valuation

date and any Credit Facility held for the credit of the Reserve Account will be valued at the lesser of its stated amount or the remaining amount which may be drawn thereunder.

(E) Notwithstanding any provision of the Resolution or any Supplemental Resolution to the contrary, Excess Earnings will be transferred from the Reserve Account to the Excess Investment Earnings Fund at such times and in such amounts as may be required to maintain compliance, as to all Tax-Exempt Bonds, with the covenants expressed in the Resolution.

(F) Except as provided in subsection (e) above, earnings on investments held for the credit of the Reserve Account will be transferred to the Operation and Maintenance Account no less often than annually. The balance of funds on hand in the Reserve Account will at all times be maintained in an amount equal to the Reserve Requirement, and accordingly, the City will transfer money from the Operation and Maintenance Account to the Reserve Account in an amount sufficient to cure any deficiency in the Reserve Fund as further provided in the Resolution.

(G) Whenever the money in the Reserve Account exceed the Reserve Requirement after giving effect to any withdrawal made pursuant to other subsections of the Resolution, such excess may be transferred to the Bond Account, and either (1) credited against the transfers next due to be made from the Operation and Maintenance Account, or (2) applied to the purchase or prepayment of Bonds.

(H) The City may deposit a Credit Facility in the Reserve Account in lieu of cash either at the time a series of Bonds is originally issued, or at any time thereafter, subject to the following conditions:

(1) The proceeds of each such Credit Facility must be available for the purposes and at the times required for the purposes of the Reserve Account;

(2) In calculating whether the amount then held in the Reserve Account is equal to the Reserve Requirement, each Credit Facility held therein will be valued at its stated amount, or, if less, the amount which remains available thereunder;

(3) If a Credit Facility will replace cash in the Reserve Account to satisfy the Reserve Requirement for one or more series of Bonds then outstanding, the substitution of the Credit Facility for cash must not result in a lowering of the rating(s) then in effect for such series of Bonds; and

(4) If the Credit Facility states an expiration or termination date prior to the last maturity date of the series of Bonds secured thereby, the Credit Facility must provide that it may be drawn upon prior to its stated expiration or termination date if on or before that date the City either fails to provide a replacement or new Credit Facility or fails to deposit cash to replace the Credit Facility, as further provided in this the Resolution.

Upon deposit of a Credit Facility in the Reserve Account to replace cash then held therein, the amount so replaced will be transferred to the Construction Account and applied to pay the costs of Improvements. On or before the date of expiration or termination of a Credit Facility held for the Reserve Account, the City will replace the Credit Facility with either a new Credit Facility which satisfies the conditions expressed in clauses (1) through (4) above, or with cash; provided that such replacement may be, at the City's option, partially by the deposit of cash and partially by a new or replacement Credit Facility.

Excess Investment Earnings Account

(A) There is hereby created an Excess Investment Earnings Account within the City's "Agency Fund." The City will deposit in the Excess Investment Earnings Account, within thirty (30) days after the last day of the Bond Year for each series of Tax-Exempt Bonds, all Excess Earnings attributable to such series of Tax-Exempt Bonds; and for purposes of making such deposits the City will transfer from the Construction Account, Reserve Account, Bond Account, and Operation and Maintenance Account, to the Excess Investment Earnings Account a sum equal to the Excess Earnings attributable to sums held in each such other Account as "gross proceeds" of Tax-Exempt Bonds, as defined in and under Section 148 of the Code.

(B) The City will, within 30 days after the last day of the Bond Year for each series of Tax-Exempt Bonds, prepare and file a report with respect to the Construction Account, Reserve Account, Bond Account, and Operation and Maintenance Account setting forth the total amount invested during the preceding Bond Year, the investments made with the money in the Construction Account, Reserve Account, Bond Account, and Operation and Maintenance Account investment earnings (and losses) resulting from such investments. Such records will be retained for the period required by Section 148 of the Code.

(C) The City will remit sums in the Excess Investment Earnings Account to the United States Treasury as payment of rebatable arbitrage as required by Section 148 of the Code together with any additional amount then held in any Account in the Sewer Enterprise Fund required to bring the total amount of such remittance to the correct Rebate Amount.

(D) The City may at any time transfer to any Account any amount held in the Excess Investment Earnings Account which the City determines is in excess of amounts required to be paid to the United States as rebatable arbitrage.

Insufficient Amounts

In the event that the money in the Bond Account will be insufficient at any particular time to pay the principal then due and interest then accrued on all Bonds payable therefrom, and such deficiency cannot be cured by withdrawals from the Reserve Account or from some other source, said money will first be applied to the payment pro rata of the accrued interest on all such Bonds, and any balance will be applied in payment pro rata of the principal then due on all such Bonds; provided further that if it will ever be determined by a court of competent jurisdiction while any such Bonds remain outstanding that the sums available and to become available for the payment of the principal thereof and interest thereon are insufficient whether or not then due, then the money in the Bond Account will be applied in payment of all principal then outstanding whether or not then due and the interest accrued thereon to the date of payment ratably according to the aggregate amount thereof without any preference or priority.

Other Account Provisions

(A) Revenues in excess of those required for the foregoing purposes may be used for any purpose authorized by law.

(B) If in any month the money on hand in any Account are insufficient for the purposes of the Resolution, the deficiency will be made up in the following month or months after payments for other purposes having a prior claim on Revenues have been made in full.

(C) All money held in the Excess Investment Earnings Fund, Bond Account and Reserve Account created by the Resolution will be kept separate and apart from all other City funds and accounts.

Investments

(A) Money held from time to time in any Account may be invested by the City in any investment then permitted by Minnesota law, and, to the extent applicable, by federal law.

(B) Investments will be valued as follows:

(1) Investments maturing within one (1) year or less will be valued at par;

(2) Investment agreements or similar instruments which may be liquidated at par will be valued at par regardless of maturity;

(3) Investments maturing after one (1) year will be valued at cost; and

(4) Investments purchased at a discount or premium will be valued on the basis that such discount is included in cost, or such premium is amortized, in equal installments for each year to elapse until the stated maturity of the investments; and

provided, that for the purposes of calculating Excess Earnings and Rebate Amounts and amounts held or deposited in the Reserve Account attributable to Tax-Exempt Bonds, investments will be valued as required by Section 148 of the Code.

Amounts held for the credit of each Account will be invested to mature at such time or times as may be necessary to assure that the funds so invested will be available for the purposes of such Account, when needed; provided that amounts held for the credit of the Reserve Account and attributable to the Reserve Requirement for a series of Bonds may be invested at the discretion of the Treasurer of the City for a term not exceeding the term of such series of Bonds.

COVENANTS

Covenants

For the protection of the Holders of the Bonds authorized pursuant to the Resolution, the City covenants and agrees to and with the holders thereof from time to time as follows:

(A) It will at all times adequately maintain and efficiently operate the Sewer System. It will from time to time make all needful and proper repairs, replacements, additions and betterments to the equipment and facilities of the Sewer System so that it may at all times be operated properly and advantageously, and whenever any equipment of the Sewer System will have been worn out, destroyed or otherwise become insufficient for proper use, it will be promptly replaced or repaired so that the value and efficiency of the facilities will be at all times fully maintained and its Revenues unencumbered by reason thereof.

(B) The rates for all sewer service and the charges for all sewer service supplied by the Sewer System to the City and its residents and to all other consumers will be reasonable and just, taking into account the cost and value of the Sewer System, the cost of maintaining and operating the Sewer System, the proper and necessary allowances for depreciation, the amounts required for the payment of principal and interest on all indebtedness payable from the Revenues of the Sewer System, the need for future expansion of or improvements to the Sewer System, the amounts properly reimbursable to the City for current or past payments from funds or accounts of the City for Sewer System purposes, and all other sums customarily paid from the Revenues of the Sewer System.

(C) The City will, as required by the City Charter (and it will continue to do so whether or not required by said Charter), establish, maintain and collect such charges and rates as will produce Revenues sufficient to pay the interest and premium, if any, on and principal of all Bonds authorized pursuant to the Resolution as and when they become due and to pay the reasonable cost of operation, repair and maintenance of the Sewer System and to provide sufficient money to make the required appropriations to the various Funds and Accounts established pursuant to the Resolution. The City will review the schedule of rates and charges for the Sewer System at least annually. Nothing in this the Resolution will be construed to limit the discretion of the City to enter into, or later modify, amend or terminate, contracts for the furnishing of sewer services.

(D) The City may sell, lease, mortgage, transfer, convey, assign or dispose of a portion of the Sewer System or property of any nature relating thereto if such transaction will not materially adversely impair (1) the adequacy of the Revenues generated by the Sewer System to pay debt service on the Bonds and all operating and maintenance expenses, or (2) the operating efficiency of the Sewer System. Further, the City may sell or dispose of, at fair market value, any real estate, equipment or other non-revenue-producing properties which in the judgment of the City have become unnecessary, uneconomical or inexpedient to use in connection with the Sewer System. The proceeds of any sale, transfer or disposition of Sewer System property (all of which are Revenues as provided in clause (c) of the definition thereof) will be deposited or applied as provided in the Resolution. The City may sell all or substantially all of the Sewer System if simultaneously with or prior to such sale all outstanding Bonds are discharged as provided in the Resolution.

(E) It will cause to be kept proper books, records and accounts adapted to the Sewer System separate from other account of the City. The City's comprehensive annual financial report will include the Sewer Service Enterprise Fund and the Accounts therein, and a copy of that report will be furnished, without cost, to the Purchaser of any series of Bonds authorized pursuant to the Resolution. If the City fails to provide such report within a reasonable time after then end of said fiscal year, the Holders of twenty percent (20%) of more of the outstanding Bonds may cause an audit of the Sewer System accounts to be made at the expense of the City. The expense of preparing such audit will be paid as current operating expenses of the Sewer System. The Purchasers of any series of Bonds and the Holders thereof, or their duly appointed representatives, from time to time will have the right, at all reasonable times, to inspect the Sewer System and to inspect and copy the books, records, accounts and data relating thereto. The City agrees to furnish copies of such audit, without cost, to any Holder or Holders of the Bonds at their request within a reasonable time after the end of each fiscal year.

(F) It will faithfully and punctually perform all duties with reference to the Sewer System required by the City Charter, the Constitution and laws of the State of Minnesota and the Resolution.

(G) It will grant no franchise to any other sewer utility, unless:

(1) the City enacts an ordinance granting to the owner and operator of such other sewer utility a franchise for such ownership and operation and for use of public streets and rights of way, and such ordinance imposes upon such owner or operator a franchise fee and provides that the franchise fee will be deemed part of the "Revenues" and requires that such franchise fees be deposited, upon receipt, in the Operation and Maintenance Account; and

(2) the existence and operation of such other sewer utility will not materially impair the ability of the City to generate sufficient Revenues to pay debt service on all Bonds outstanding under the Resolution, as supplemented, and to pay all "current expenses" of the Sewer System.

Tax Covenants

The following special covenants of the City apply only to Tax-Exempt Bonds.

(A) Notwithstanding anything to the contrary in the Resolution, money in the Excess Investment Earnings Account and the Sewer Service Enterprise Fund (and any Account therein), in that order, will be used to pay any rebate of excess investment earnings on gross proceeds of Tax-Exempt Bonds (and, if applicable, any actual or imputed earnings on such Excess Earnings amounts) required to be paid to the United States in order to maintain the exclusion from gross income under Section 103 of the Code of the interest on the Tax-Exempt Bonds.

(B) No portion of the proceeds of any series of Tax-Exempt Bonds will be used directly or indirectly to acquire higher yielding investments or to replace funds which were used directly or indirectly to acquire higher, yielding investments, except (1) for a reasonable temporary period until such proceeds are needed for the purpose for which the Bonds were issued, (2) as part of a reasonably required reserve or replacement fund not in excess of ten percent (10%) of the proceeds of the Bonds (or in a higher amount which the City establishes is necessary to the satisfaction of the Secretary of the Treasury of the United States), and (3) in addition to the above in an amount not greater than the lesser of five percent (5%) of the proceeds of the Bonds or $100,000. To this end, any proceeds of the Tax-Exempt Bonds and any sums from time to time held in the Construction Account, Operation and Maintenance Account, Reserve Account or Bond Account (or any other City account which will be used to pay principal or interest to become due on the Tax-Exempt Bonds payable therefrom) in excess of amounts which under then-applicable federal arbitrage regulations may be invested without regard to yield will not be invested at a yield in excess of the applicable yield restrictions imposed by said arbitrage regulations on such investments after taking into account any applicable "temporary periods", minor portion or reserve made available under the federal arbitrage regulations. Money in the Sewer Service Enterprise Fund will not be invested in obligations or deposits issued by, guaranteed by or insured by the United States or any agency or instrumentality thereof if and to the extent that such investment would cause a series of Tax-Exempt Bonds to be "federally guaranteed" within the meaning of Section 149(b) of the Code. The proceeds of Tax-Exempt Bonds will not be invested in other tax-exempt obligations the interest on which is subject to alternative minimum tax under the Code, unless the City has received an opinion of bond counsel to the effect that such investment will not jeopardize the tax-exempt status of the Tax-Exempt Bonds.

Negative Covenant as to Use of Improvements

The City hereby covenants not to use the proceeds of Tax-Exempt Bonds or to use the Improvements, or to cause or permit them or any of them to be used, or to enter into any deferred payment arrangements for the cost of the Improvements, in such a manner as to cause the Tax-Exempt Bonds to be "private activity bonds" within the meaning of Sections 103 and 141 through 150 of the Code unless such Tax-Exempt Bonds are issued, and the proceeds thereof applied, in full compliance with the provisions of the Code applicable to "private activity bonds."

Tax-Exempt Status of the Bonds; Rebate

The City will comply with requirements necessary under the Code to establish and maintain the exclusion from gross income under Section 103 of the code of the interest on all series of Tax-Exempt Bonds, including without limitation requirements relating to temporary periods for investments, limitations on amounts invested at a yield greater than the yield on the Tax-Exempt Bonds, and the rebate of excess investment earnings to the United States.

Covenant with Holders

Each and all of the terms and provisions of the Resolution as from time to time supplemented will be and constitute a covenant on the part of the City to and with each and every Holder from time to time of the Bonds issued hereunder.

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APPENDIX E

THE DEPOSITORY TRUST COMPANY

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THE DEPOSITORY TRUST COMPANY

The Depository Trust Company ("DTC"), New York, New York, will act as securities depository for the Series 2018D Bonds. The Series 2018D Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Series 2018D Bond will be issued for each maturity of each series of the Series 2018D Bonds, each in the aggregate principal amount of such maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.6 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Series 2018D Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2018D Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2018D Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2018D Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Series 2018D Bonds, except in the event that use of the book-entry system for the Series 2018D Bonds is discontinued.

To facilitate subsequent transfers, all Series 2018D Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2018D Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2018D Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2018D Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Series 2018D Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Series 2018D Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Series 2018D Bond documents. For example, Beneficial Owners of the Series 2018D Bonds may wish to ascertain that the nominee holding the Series 2018D Bonds for their benefit has agreed to obtain

and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Series 2018D Bonds within a maturity are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such maturity to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Series 2018D Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City or Registrar as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Series 2018D Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Series 2018D Bonds will be made to Cede & Co. or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts, upon DTC's receipt of funds and corresponding detail information from the City or its agent on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, Agent, the Registrar, or the City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Registrar, City, or the City's agent. Disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Series 2018D Bonds purchased or tendered, through its Participant, to Agent, and shall effect delivery of such Series 2018D Bonds by causing the Direct Participant to transfer the Participant's interest in the Series 2018D Bonds, on DTC's records, to Agent. The requirement for physical delivery of Series 2018D Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Series 2018D Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Series 2018D Bonds to Trustee's DTC account.

DTC may discontinue providing its services as depository with respect to the Series 2018D Bonds at any time by giving reasonable notice to the City or its agent. Under such circumstances, in the event that a successor securities depository is not obtained, certificates are required to be printed and delivered.

The City may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the City believes to be reliable, but the City takes no responsibility for the accuracy thereof.

APPENDIX F

EXCERPTS FROM AUDITED FINANCIAL STATEMENTS OF THE CITY FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

APPENDIX F

EXCERPTS FROM AUDITED FINANCIAL STATEMENTS OF THE CITY FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

The City is independently audited each year by the Office of the State Auditor. Financial statements for governmental funds were prepared on the modified accrual basis of accounting. The accrual basis is followed for proprietary funds. The reader should be aware that the complete audits may contain additional information which may interpret, explain, or modify the data presented here.

The City has received the Certificate of Achievement for Excellence in Financial Reporting by the Government Finance Officers Association of the United States and Canada (GFOA) for the last forty-one (41) consecutive years (fiscal years ended 1976 through 2016). The Certificate of Achievement is the highest form of recognition for excellence in state and local government financial reporting.

In order to be awarded a Certificate of Achievement, a government unit must publish an easily readable and efficiently organized comprehensive annual financial report, whose contents conform to program standards. The CAFR must satisfy both generally accepted accounting principles and applicable legal requirements.

An excerpt of the City of Saint Paul, Minnesota Comprehensive Annual Financial Report for the Fiscal Year Ended December 31, 2017 (CAFR) is contained in this Appendix F and can also be obtained from the Official Website of the City at https://www.stpaul.gov/departments/financial-services/comprehensive-annual-financial-report or on the Municipal Securities Rulemaking Board's Electronic Municipal Market Access website (EMMA) at http://emma.msrb.org/IssuerHomePage/Issuer?id=0D54B2D4D27549E2E053151E0A0A1BCB&type=M.

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INDEPENDENT AUDITOR'S REPORT

The Honorable Melvin Carter, Mayor,
and Members of the City Council
City of Saint Paul, Minnesota

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City of Saint Paul, Minnesota, as of and for the year ended December 31, 2017, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, as listed in the table of contents.

Management's Responsibility for the Financial Statements
Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility
Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Saint Paul RiverCentre Convention and Visitors Authority, which represent 2 percent, 2 percent, and 16 percent, respectively, and the Port Authority of the City of Saint Paul, which represent 34 percent, 6 percent, and 28 percent, respectively, of the assets, net position, and revenues of the aggregate discretely presented component units. Those financial statements were audited by other auditors whose reports thereon have been furnished to us, and our opinion, insofar as it relates to the amounts included for the Saint Paul RiverCentre Convention and Visitors Authority and the Port Authority of the City of Saint Paul, is based solely on the reports of the other auditors. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement. The financial statements of the Saint Paul RiverCentre Convention and Visitors Authority were not audited in accordance with *Government Auditing Standards*.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the City's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions
In our opinion, based on our audit and the reports of the other auditors, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the aggregate discretely presented component units, each major fund, and the aggregate remaining fund information of the City of Saint Paul as of December 31, 2017, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters
Required Supplementary Information
Accounting principles generally accepted in the United States of America require that the Management's Discussion and Analysis and Required Supplementary Information as listed in the table of contents be presented to supplement the basic financial statements. Such information, although not part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary and Other Information
Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City of Saint Paul's basic financial statements. The introductory section, the supplementary information, the other supplementary information, and the statistical section as listed in the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The supplementary information and other supplementary information are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated June 20, 2018, on our consideration of the City of Saint Paul's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City of Saint Paul's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City of Saint Paul's internal control over financial reporting and compliance. It does not include the Saint Paul RiverCentre Convention and Visitors Authority or the Port Authority of the City of Saint Paul, which were audited by other auditors.

REBECCA OTTO
STATE AUDITOR

GREG HIERLINGER, CPA
DEPUTY STATE AUDITOR

June 20, 2018

OVERVIEW OF THE FINANCIAL STATEMENTS

As management of the City of Saint Paul, we offer readers of the City's financial statement this narrative overview and analysis of the financial activities of the City for the fiscal year ended December 31, 2017. We encourage readers to consider the information presented here in conjunction with the City's financial statements and the additional information that we have furnished in our letter of transmittal, which can be found on pages v-xiii of this report.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City of Saint Paul exceeded its liabilities and deferred inflows of resources at the close of the most recent fiscal year by $1,138.5 million (*net position*). Of this amount $166.2 million is restricted for specific purposes and $1,184.4 million is net investment in capital assets. The total net position includes all major infrastructure networks.

- The City's total net position decreased by $0.9 million. Governmental activities decreased by $5.9 million and business-type activities increased by $5.0 million.

- The City of Saint Paul's governmental funds reported combined ending fund balances of $247.3 million, a decrease of $11.0 million in comparison with the prior year. Approximately 14.8% of this amount or, $36.6 million, is unassigned and available for use in accordance with the City's spending policies. There was a restatement of fund balance in three HRA governmental funds. Certain components of deferred inflows were eliminated and included in fund balance. The total restatement increased the January 1, 2017 fund balance by $2,142,854.

- The City adopted a fund balance policy for the General Fund and City Debt Service Funds. The policy established specific goals and guidance for future decisions regarding the appropriate level and use of fund balance. The City General Fund fund balance should be maintained at 15% of the next year's planned budget for the General Fund and the Public Library General Fund which is financed by property taxes and local government aid. The City Debt Service fund balance should maintain an amount equal to the first half of the subsequent year's debt service, plus 7.5%, in addition to any reserves required by bond indentures, covenants, ordinances, other debt obligations and any net unrealized gains or losses associated with the fair value of investments.

- At the end of the fiscal year, fund balance for the General Fund was $52.7 million, an increase of $3.7 million or a 7.6% increase of the 2017 fund balance. The General Fund fund balance is 17.1% of the budgeted 2018 General Fund expenditures of $289.6 million plus the Public Library General Fund expenditures of $18.0 million. This is in compliance with the 15% fund balance policy.

- At the end of the fiscal year, fund balance for the City Debt Service Fund was $57.0 million or 152.8% of the governmental activities due within one year debt service payments of $37.3 million.

- The City's total long-term bonds and notes increased by $3.1 million, a 0.5% increase from 2016 for a total outstanding on December 31, 2017 of $578.9 million.

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are comprised of three components: 1) government-wide financial statements, 2) fund financial statements and 3) notes to the financial statements. This report also contains other supplementary information in addition to the basic financial statements themselves.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

The *Statement of Net Position* presents information on all of the City's assets and deferred outflows of resources, and liabilities and deferred inflows of resources, with the difference between the two reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating. To assess the overall health of the City, one needs to consider additional non-financial factors such as changes in the City's property tax base and the condition of the City's infrastructure.

The *Statement of Activities* presents information showing how the City's net position changed during the fiscal year. All changes in net position are reported when the underlying event giving rise to the change occurs, regardless of the timing of the related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in the future fiscal periods (e.g., uncollected taxes and earned but unused compensated absences).

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City include general government, public safety, highways and streets, sanitation, health, culture and recreation, and housing and economic development. The business-type activities of the City of Saint Paul include sewer; development loan programs; parking operations; the Penfield Apartments; parks, recreation and athletics; impound lot; and printing.

The government-wide financial statements include not only the City of Saint Paul itself (known as the primary government), but also Saint Paul RiverCentre Convention & Visitors Authority (RCVA), Saint Paul Regional Water Services (SPRWS) and Port Authority of the City of Saint Paul, which are separate legal entities for which the City of Saint Paul is financially accountable. Financial information for these component units is reported separately from the financial information presented for the primary government itself. The Housing and Redevelopment Authority of the City of Saint Paul (HRA) and the Saint Paul Library Agency, although legally separate, function for all practical purposes as departments of the City of Saint Paul, and therefore, have been included as an integral part of the primary government.

The government-wide financial statements can be found in the Basic Financial Statements section of this report.

OVERVIEW OF THE FINANCIAL STATEMENTS

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into three categories: governmental funds, proprietary funds and fiduciary funds.

Governmental Funds – Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, governmental fund financial statements focus on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources available at the end of the fiscal year. Such information may be useful in evaluating a government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and the governmental fund statement of revenues, expenditures and changes in fund balances provide a reconciliation to facilitate this comparison between governmental funds and governmental activities.

The City maintains 27 individual governmental funds. Information is presented separately in the governmental fund balance sheet and in the governmental fund statement of revenues, expenditures and changes in fund balances for the General Fund, Public Library General Fund, HRA General Fund, Assessment Financing, City Debt Service, HRA Debt Service, and City Capital Projects, all of which are considered to be major funds. Data from the other governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these non-major governmental funds is provided in the form of combining statements elsewhere in this report.

The basic governmental fund financial statements can be found in the Basic Financial Statements section of this report.

Proprietary Funds – The City maintains two different types of proprietary funds. Enterprise funds are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for its River Print, Impound Lot, Sewer Utility, Parks Special Services; HRA Loan, HRA Parking and HRA Penfield. Internal service funds are an accounting device used to accumulate and allocate costs internally among the City's various functions. The City uses its internal service funds to account for Internal Borrowing, Central Services, Equipment Services Fire-Police, Public Works Administration, Public Works Equipment Service, Public Works Engineering, Asphalt Plant, Traffic Warehouse, Parks Supply and Maintenance, and Planning and Economic Development Administration. The services provided by these funds predominately benefit the governmental rather than the business-type functions. They have been included within governmental activities in the government-wide financial statements.

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

OVERVIEW OF THE FINANCIAL STATEMENTS

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Sewer Utility, HRA Parking, HRA Penfield, and HRA Loan, since they are considered to be major funds of the City. Data from the other enterprise funds are combined into a single aggregated presentation. All internal service funds are combined into a separate single aggregated presentation in the proprietary fund financial statements. Individual fund data for the internal service funds is provided in the form of combining statements elsewhere in this report.

The basic proprietary fund financial statements can be found in the Basic Financial Statements section of this report.

Fiduciary Funds – Fiduciary funds are used to account for resources held for the benefit of parties outside the government. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City's own programs. The accounting used for fiduciary funds is much like that used for proprietary funds.

The basic fiduciary fund financial statements can be found in the Basic Financial Statements section of this report.

Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements.

Other Supplementary Information

In addition to the basic financial statements and accompanying notes, *Required Supplementary Information*, presents a detailed budgetary comparison schedule for the City General Fund, Assessment Financing Fund, Public Library General Fund and the HRA General Fund to demonstrate compliance with the budget. In accordance with the requirements of GASB Statement No. 45, it also includes other post-employment benefit plan information: a) schedule of funding progress and b) schedule of employer contributions. In accordance with the requirements of GASB Statements Nos. 68 and 72, also included, is defined benefit pension plan information: a) schedules of the City's contributions and b) schedules of the City's proportionate share of net pension liability. These schedules can be found in the Required Supplementary Information section of this report. The combining statements referred to earlier in connection with nonmajor governmental funds, proprietary funds, internal service funds and other information related to the individual funds are presented immediately following the required supplementary information. Combining and individual statements and schedules can be found in the Supplementary Information section of this report.

FINANCIAL ANALYSIS OF THE GOVERNMENT AS A WHOLE

The analysis of the City's financial position begins with a review of the *Statement of Net Position* and the *Statement of Changes in Net Position*. These two statements report the City's net position and changes therein. It should be noted that the financial position can also be affected by non-financial factors, including economic conditions, population growth and new regulations. Net position may serve over time as a useful indicator of a government's financial position. In the case of the City of Saint Paul, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by $1,138.5 million as of December 31, 2017.

CONDENSED STATEMENT OF NET POSITION
(in thousands of dollars)

	Governmental Activities		Business-type Activities		Total		Total Percent Change
	2017	2016	2017	2016	2017	2016	
Current and Other Assets	$ 406,196	$ 402,614	$ 102,177	$ 99,658	$ 508,373	$ 502,272	1.21%
Capital Assets	1,330,172	1,304,036	365,592	367,219	1,695,764	1,671,255	1.47%
Total Assets	$ 1,736,368	$ 1,706,650	$ 467,769	$ 466,877	$ 2,204,137	$ 2,173,527	1.41%
Deferred Outflows of Resources	$ 202,468	$ 322,159	$ 4,855	$ 4,641	$ 207,323	$ 326,800	(36.56)%
Long-Term Liabilities	$ 830,438	$ 1,085,408	$ 139,642	$ 145,385	$ 970,080	$ 1,230,793	(21.18)%
Other Liabilities	61,549	61,580	9,248	8,946	70,797	70,526	0.38%
Total Liabilities	$ 891,987	$ 1,146,988	$ 148,890	$ 154,331	$ 1,040,877	$ 1,301,319	(20.01)%
Deferred Inflows of Resources	$ 229,563	$ 58,686	$ 2,563	$ 1,009	$ 232,126	$ 59,695	288.85%
Net Position:							
Net Investments in Capital Assets	$ 942,141	$ 924,717	$ 242,228	$ 242,688	$ 1,184,369	$ 1,167,405	1.45%
Restricted	152,062	165,969	14,102	14,224	166,164	180,193	(7.79)%
Unrestricted	(276,917)	(267,550)	64,841	59,265	(212,076)	(208,285)	1.82%
Total Net Position	$ 817,286	$ 823,136	$ 321,171	$ 316,177	$ 1,138,457	$ 1,139,313	(0.08)%

The largest portion of the City's net position, $1,184.4 million, reflects its investments in capital assets (e.g., land, building, improvements, equipment, infrastructure, and construction in progress), less any debt used to acquire those assets that is still outstanding. The City uses these capital assets to provide service to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

Restricted net position of $166.2 million represent resources that are subject to external restriction on how they may be used. The remaining balance, unrestricted net position of ($212.1) million, may be used to meet the government's ongoing obligation to citizens and creditors.

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

FINANCIAL ANALYSIS OF THE GOVERNMENT AS A WHOLE

Analysis of the City's Operations – The following table provides a summary of the City's operations for the year ended December 31, 2017. Overall, both the governmental and business-type activities revenue and expenses remained stable. Governmental activities decreased the City of Saint Paul's net position by $5.9 million. Business-type activities increased the City's net position by $5.0 million. The calculation for Other Postemployment Benefits Obligation accounts for much of the decrease.

CONDENSED STATEMENT OF CHANGES IN NET POSITION
(in thousands of dollars)

	Governmental Activities		Business-type Activities		Total		Total Percent Change
	2017	2016	2017	2016	2017	2016	
Revenues:							
Program Revenues							
Charges for Services	$ 166,480	$ 175,322	$ 79,863	$ 80,088	$ 246,343	$ 255,410	(3.55)%
Operating Grants and Contributions	50,836	44,135	-	-	50,836	44,135	15.18%
Capital Grants and Contributions	16,718	19,189	-	-	16,718	19,189	(12.88)%
General Revenues							
Property Taxes	134,686	130,026	1,104	1,099	135,790	131,125	3.56%
City Sales Tax	18,911	18,823	-	-	18,911	18,823	0.47%
Franchise Fees and Other Taxes	30,722	29,710	-	-	30,722	29,710	3.41%
Local Government Aid	62,562	62,338	-	-	62,562	62,338	0.36%
Grants and Contributions Not Restricted	7,000	6,746	288	693	7,288	7,438	(2.02)%
Investment Income	5,950	3,484	668	408	6,618	3,892	70.05%
Gain on Sale of Capital Assets	2,793	319	35	-	2,828	319	787.79%
Noncapital Contributions	21,584	20,028	761	-	22,345	20,028	11.57%
Miscellaneous	438	5,141	-	-	438	5,141	(91.49)%
Total Revenues	$ 518,680	$ 515,259	$ 82,719	$ 82,289	$ 601,399	$ 597,548	0.64%

FINANCIAL ANALYSIS OF THE GOVERNMENT AS A WHOLE

CONDENSED STATEMENT OF CHANGES IN NET POSITION
(in thousands of dollars)

	Governmental Activities		Business-type Activities		Total		Total Percent Change
	2017	2016	2017	2016	2017	2016	
Expenses:							
General Government	$ 73,150	$ 70,544	$ -	$ -	$ 73,150	$ 70,544	3.69%
Public Safety	208,247	248,226	-	-	208,247	248,226	(16.11)%
Highway and Streets	94,872	97,130	-	-	94,872	97,130	(2.32)%
Sanitation	5,636	5,766	-	-	5,636	5,766	(2.25)%
Health	2,978	3,091	-	-	2,978	3,091	(3.66)%
Culture and Recreation	78,143	71,749	-	-	78,143	71,749	8.91%
Housing and Economic Development	52,014	39,460	-	-	52,014	39,460	31.81%
Interest and Fiscal Charges	19,754	21,515	-	-	19,754	21,515	(8.18)%
Sewer	-	-	47,624	47,797	47,624	47,797	(0.36)%
Development Loan Programs	-	-	889	3,650	889	3,650	(75.64)%
Parking	-	-	12,706	12,340	12,706	12,340	2.97%
Penfield	-	-	4	3,685	4	3,685	(99.89)%
Parks, Recreation and Athletics	-	-	2,843	3,120	2,843	3,120	(8.88)%
Impound Lot	-	-	2,318	2,833	2,318	2,833	(18.18)%
Printing	-	-	1,077	1,132	1,077	1,132	(4.86)%
Lofts	-	-	-	3	-	3	(100.00)%
Total Expenses	$ 534,794	$ 557,481	$ 67,461	$ 74,560	$ 602,255	$ 632,041	(4.71)%
Change in Net Position before Transfers	$ (16,114)	$ (42,222)	$ 15,258	$ 7,729	$ (856)	$ (34,493)	(97.52)%
Transfers	10,264	20,451	(10,264)	(20,451)	-	-	
Special Item	-	-	-	9,345	-	9,345	
Change in Net Position	$ (5,850)	$ (21,771)	$ 4,994	$ (3,377)	$ (856)	$ (25,148)	(96.60)%
Net Position, January 1	$ 823,136	$ 844,907	$ 316,177	$ 319,554	$ 1,139,313	$ 1,164,461	(2.16)%
Net Position, December 31	$ 817,286	$ 823,136	$ 321,171	$ 316,177	$ 1,138,457	$ 1,139,313	(0.08)%

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

FINANCIAL ANALYSIS OF THE GOVERNMENT AS A WHOLE

Governmental Activities

Governmental activities decreased the City's net position by $5.9 million, compared to the 2016 decrease of $21.8 million. Overall, the governmental activities in 2017 were stable, with an increase in revenues and decreased expenses. Revenues increased by $3.4 million while the expenses decreased by $22.7 million and the net transfers decreased by $10.2 million. The decrease in transfers reflects the elimination of last year's one-time utilization of net proceeds from sale of the Penfield Apartments. The decrease in expenditures can be attributed to Public Safety, which saw a significant decrease of $36 million for the Police pension liability calculation compared to 2016.

In June 2012, the Governmental Accounting Standards Board (GASB) issued new public pension accounting rules that took effect in fiscal year 2015 for local and state governments. When it comes to defined benefit cost-sharing plans like Public Employee's Retirement Association of Minnesota (PERA) plans, GASB Statement No. 68 replaces the reporting requirements of GASB Statement No. 27, which was issued in 1994 and GASB Statement No. 50, which was issued in 2007. The new requirements call for four major changes:

- A "Net Pension Liability" was calculated by PERA's actuary, and a pro-rata share of the liability was recognized on the City's and the Regional Water Services' Statements of Net Position in the proprietary funds and government-wide financial statements.
- Pension expense also was calculated by PERA's actuary, and will no longer be tied to the amount of contributions the City submits to PERA each year; rather, it will be tied to the change in net pension liability from year to year. A pro-rata share of total pension expenses was recognized in the City's and the Regional Water Services' Statements of Activities in the proprietary funds and government-wide financial statements.
- The discount rate used to calculate total pension liabilities will be changed, which may lead to higher liabilities for accounting and financial reporting purposes.
- Some of each year's pension costs will be deferred and amortized over a number of years. The City and the Regional Water Services will be required to keep track of those deferred inflows and outflows of resources and expense them properly each year.

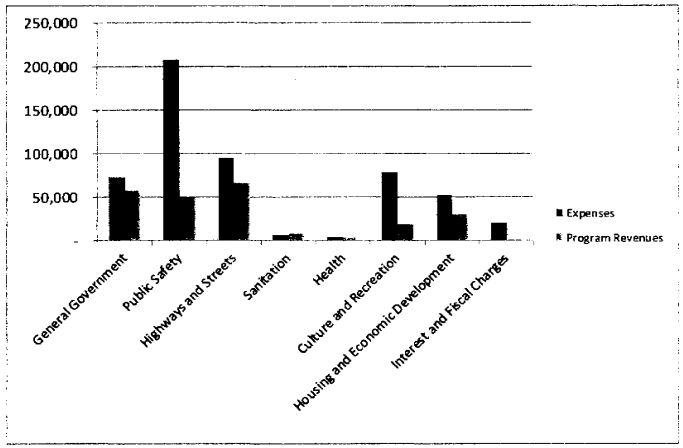
It is important to note that these GASB rules apply only to accounting and financial reporting. They do not apply to funding, and will not be used to determine contribution requirements. Rather the only thing that changes is where and how pension costs are accounted for in financial statements.

Business-type Activities

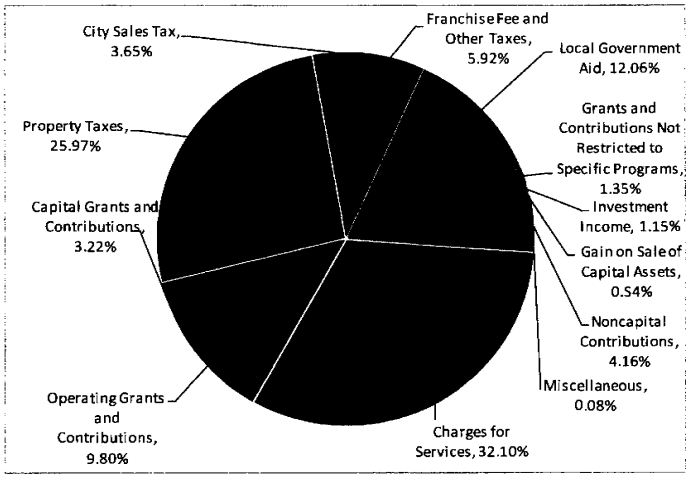
Business-type activities experienced a $5.0 million increase in net position. This is a result of the revenues decreasing by $8.9 million while the expenses decreased by $7.1 million. The revenue decrease is primarily due to the one-time revenue realized from the Housing and Redevelopment Authority of Saint Paul sale of the Penfield Apartments in 2016 at a net gain of $9.3 million. The expenditure decrease was due to reduced expenditures related to the Penfield project ($3.7 million) and reduced activity in the Development Loan Programs ($2.8 million).

FINANCIAL ANALYSIS OF THE GOVERNMENT AS A WHOLE

Expenses and Program Revenues – Governmental Activities (in thousands)



Revenue by Source– Governmental Activities

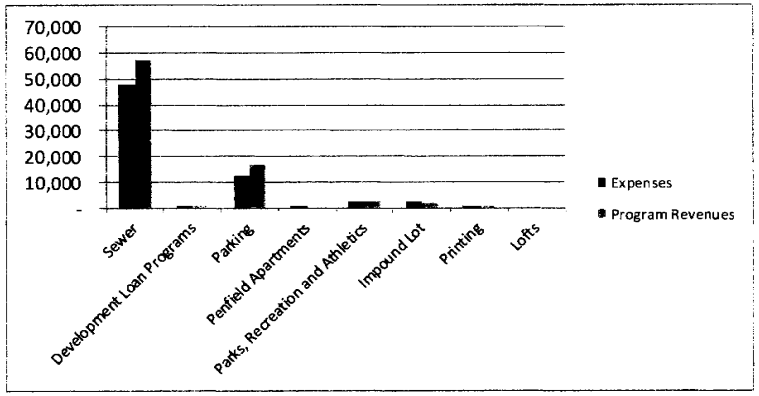


CITY OF SAINT PAUL, MINNESOTA

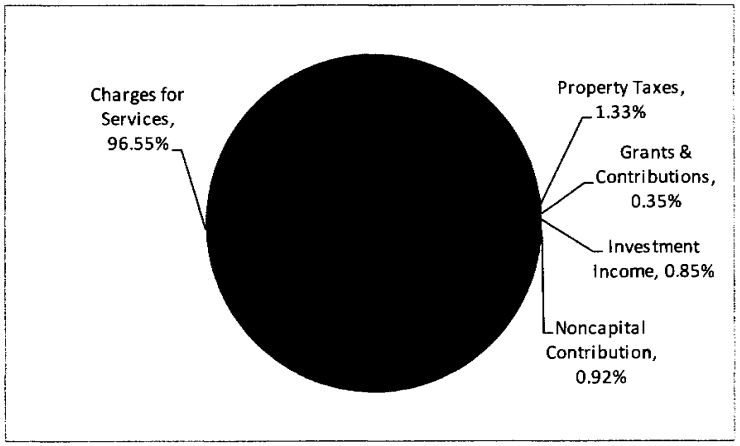
MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

FINANCIAL ANALYSIS OF THE GOVERNMENT AS A WHOLE

Expenses and Program Revenues – Business-type Activities (in thousands)



Revenues by Source – Business-type Activities



FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

Governmental Funds

The focus of the City of Saint Paul's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unrestricted fund balances (committed, assigned and unassigned) may serve as a useful measure of the government's net resources available for spending at the end of the fiscal year.

At the end of the current fiscal year, the City of Saint Paul's governmental funds reported combined ending fund balances of $247.3 million. The majority of the fund balance is either nonspendable or restricted which comprise 61.5% of the total. The rest at 38.5% is unrestricted.

Nonspendable fund balance (less than 0.02% of total) includes amounts that are not in spendable form, or legally or contractually required to be maintained intact. Restricted fund balance comprise 61.4% of the total fund balance. Fund balance is reported as restricted when constraints place on the use of the resources are either externally imposed by the creditors (such as through debt covenants), grantors, other governments or is imposed by law through constitutional provisions or enabling legislation.

Of the total $95.3 million of unrestricted fund balance, $35.3 million is committed, $23.4 million is assigned and $36.6 million is unassigned. The total unassigned balance is net of the reported balance in the City General Fund of $52.7 million and the rest are reported in various special revenue funds for ($4.2) million and capital project funds for ($11.9) million.

			Unrestricted				
Purposes	Nonspendable	Restricted	Committed	Assigned	Unassigned	Subtotal	Total
Corpus of Permanent Funds	$ 35,000	$ -	$ -	$ -	$ -	-	$ 35,000
General Government	-	31,678,130	626,105	5,638,840	-	6,264,945	37,943,075
Public Safety	-	-	115,010	(535,633)	-	(420,623)	(420,623)
Highways and Streets	-	14,169,764	-	3,228,385	-	3,228,385	17,398,149
Sanitation	-	18,841	-	3,509,673	-	3,509,673	3,528,514
Culture and Recreation	-	14,398,897	2,909,893	3,961,491	-	6,871,384	21,270,281
Housing and Economic Development	-	26,274,911	31,624,139	7,636,383	-	39,260,522	65,535,433
Debt Service	-	65,433,471	-	-	-	-	65,433,471
Unassigned	-	-	-	-	36,619,191	36,619,191	36,619,191
Total	$ 35,000	$ 151,974,014	$ 35,275,147	$ 23,439,139	$ 36,619,191	$ 95,333,477	$ 247,342,491
Percent of Total	0.0%	61.4%	14.3%	9.5%	14.8%	38.6%	100.0%

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

General Fund is the chief operating fund of the City. Total fund balance as of December 31, 2017, was $52.7 million, all of which was unassigned fund balance. It may be useful to compare unassigned fund balance to total fund balance and total fund expenditures as a measure of the fund's liquidity. Unassigned fund balance represents 100% of the total fund balance and 20.7% of the total 2017 fund expenditures including transfers out. The fund balance increased by $3.7 million during the current fiscal year.

The following table provides an overview of the General Fund revenues by source.

Revenues by Source	2017	2016	Net Change	Total Percent Change
Property Tax	$ 81,588,131	$ 75,659,347	$ 5,928,784	7.84%
Franchise Fees and Other Taxes	28,276,649	27,339,254	937,395	3.43%
Intergovernmental	74,837,972	74,907,287	(69,315)	(0.09)%
Fees, Sales and Services	58,663,613	53,265,433	5,398,180	10.13%
Investment Income	2,416,152	1,451,595	964,557	66.45%
Miscellaneous	967,881	1,707,053	(739,172)	(43.30)%
Transfers In	9,733,736	7,674,140	2,059,596	26.84%
Sale of Capital Assets	2,270,890	34,794	2,236,096	6426.67%
Total	$ 258,755,024	$242,038,903	$ 16,716,121	6.91%

Overall, the General Fund revenues increased by $16.7 million (6.9%) in 2017 as compared to 2016. The increase in revenues is mainly due to increased revenues in Property Taxes, Fees Sales and Services, Sale of Capital Assets and Transfers In. The Fees, Sales and Service increase were mostly in Paramedic Fees in Fire and Licenses and Permits in Safety and Inspections. The Sale of Capital Assets increase was due to sale of the Ryan Lot near the Science Museum of Minnesota. The increase in Transfers In comes from a nearly $2 million reimbursement from the State of MN Special Compensation Fund reimbursement related to Workers Comp claims. For 2017, Saint Paul's Local Government Aid increased $0.24 million; this is a general purpose aid intended to be used for property tax relief, from the State of Minnesota. Franchise Fees and Other Taxes and Investment Income both saw increases of over $0.9 million.

In 2017, total General Fund revenue in the property tax account category totaled $81.6 million, which represents an increase of $5.9 million, or 7.8%, from 2016. Total property tax levied in 2017 was $113.5 million, an 8.0% increase over 2016. The General Fund's portion of current year collections was $79.1 million or 69.7% of the city-wide total. The remaining portion of the property tax levy supports the Public Library General Fund, in the amount of $17.3 million or 15.3%, the HRA General fund for $3.5 million or 3.1% and the City Debt Service Fund for $13.5 million or 11.9% of the overall tax levy. In addition to the current year property tax revenue of $79.1 million, delinquent property tax collections totaled $0.9 million and the balance of the overall property tax revenue is from $1.6 million in Tax Increment Financing collections.

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

The City of Saint Paul has had a contractual relationship with CieloStar, (formerly Outsource One, Inc.), since 2006. Cielostar provides employee benefit administration services for the City.

Under past practice, CieloStar carried a stored balance of excess City funds, and upon request would return amounts to the City for personnel and administrative costs incurred by the City's Benefits Department. The "stored balance" funds totaled $1.2 million late in calendar year 2016, and the City made a decision to transfer the balance at CeiloStar back to the City.

CieloStar made three payments between November 2016 and March 2018 totaling $1 million, leaving a balance of $0.2 million. In April 2018, the City sent a demand letter to Cielostar for the return of all remaining stored balance funds. Payment was received on May 4, 2018. At this time all City funds have been returned by CieloStar.

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

The following table provides an overview of the General Fund expenditures by function.

Expenditures by Function	2017	2016	Net Change	Total Percent Change
General Government	$ 45,562,004	$ 42,968,691	$ 2,593,313	6.04%
Public Safety	170,980,396	166,916,628	4,063,768	2.43%
Highways and Streets	2,250,027	2,210,714	39,313	1.78%
Culture and Recreation	29,381,549	28,355,355	1,026,194	3.62%
Miscellaneous	657,907	229,496	428,411	186.67%
Debt	2,009	3,042	(1,033)	(33.96)%
Transfers Out	6,197,692	1,890,385	4,307,307	227.85%
Total	$ 255,031,584	$242,574,311	$ 12,457,273	5.14%

Total General Fund expenditures increased by $12.5 million or 5.1% as compared to 2016.

Public Safety expenditures increased by $4.1 million compared to 2016. The increase was mainly due to increased personnel costs for Fire Fighting, Paramedics and Police operations compared to 2016.

General Government increased by $2.6 million compared to 2016. Departments with the largest increases were General Government Accounts ($1.2 million), Technology ($0.2 million), Financial Services ($0.4 million) and City Attorney ($0.2 million). Beyond annual increases for existing staff, the largest increase was a $2 million Tort Liability payment.

Culture and Recreation increased by $1.0 million compared to 2016. The increase was mainly due to growth in salary and benefits costs in the Parks and Recreation department. Increased expenditures to combat Emerald Ash Borer and Recreation Services account for the remainder.

Transfers Out increased by $4.3 million compared to 2016. To transition most of the Right of Way Street Program to the General Fund, a one-time Transfer of $4.3 million was made from the General Fund to the ROW Fund.

Assessment Financing Fund accounts for monies from assessments and fees charged for the building of capital projects, Truth-In-Sale of Housing, Nuisance Housing Abatement, Code Enforcement and the Rental Registration program. The fund is reporting a fund balance of $5.5 million on December 31, 2017.

Public Library General Fund accounts for the general operations of the Saint Paul Public Library. The purpose of separating the Public Library from the City General Fund was to increase its visibility within the community. Revenues to support the agency are from property taxes and outside grants. Revenues reported from these sources, including transfers in, totaled $17.7 million, with expenditures including transfers out of $17.7 million. The fund again reports a fund balance of $2.3 million on December 31, 2017.

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

The ***HRA General Fund*** is the chief operating fund of the HRA. Revenues include the HRA property tax levy, fees from conduit revenue bond issues, property rentals, and investment earnings. The major spending activities are for staff administration of HRA programs, maintenance of HRA properties, and professional services for HRA programs and projects. The fund balance in the HRA General Fund decreased during 2017 by $0.9 million from the restated January 1, 2017 fund balance to a total of $10.5 million at December 31, 2017, due to an increase in administrative costs.

City Debt Service Fund accounts for the revenues and expenditures relating to the City's general obligation debt that is supported by property tax revenues. In 2017, $13.5 million was received in taxes, $1.4 million more than in 2016. The transfers in of $34.8 million have decreased by $2.8 million. The total fund revenues and transfers in were $64.2 million and the fund expenditures and transfers in 2017 totaled $69.3 million. The fund balance of $57.0 million at the end of the fiscal year is to be used for future debt service payments.

HRA General Debt Service Fund accumulates resources and pays debt service for the HRA's debt that is not financed by the HRA's three enterprise funds. Debt service on the bonds is financed by property tax increments, lease payments from the City, and investment earnings. At December 31, 2017, the fund balance is $8.4 million, which is entirely restricted for future debt service. Total debt spending during 2017 was $6.5 million.

City Capital Projects Fund accounts for the major capital improvement projects relating to City-owned capital assets. The fund has a total fund balance of $43.9 million. This represents an increase in fund balance during the current year of $2.0 million. This is mainly due to expenditures for capital outlay which was higher than the bond proceeds received.

Proprietary Funds

The City of Saint Paul's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail.

Sewer Utility Enterprise Fund performance in 2017 ended with an unrestricted net position balance of $36.4 million at December 31, 2017. The total net position increased in 2017 by $6.4 million. Total cash is being maintained in the $30-$40 million range; total cash balance at December 31, 2017 was $43.3 million. Revenues are being increased with a three and a half percent (3.5%) increase in sanitary rates and a three and a half percent (3.5%) increase in storm rates, which was recommended by the Mayor and adopted by the City Council in late 2017 for implementation on January 1, 2018.

The Sewer Utility Enterprise Fund anticipates maintaining the current unrestricted net position. At this time, the restrictions placed on resources in the Sewer Utility Enterprise Fund are those related to outstanding debt ($4.7 million), and the restriction for operation and maintenance ($4.87 million). In March 2017, Standard & Poor's Rating Group assigned the Sewer Utility their rating of revenue bonds as AAA/Negative.

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

The ***HRA Loan Enterprise Fund*** accounts for loans issued and related servicing for various housing and economic development programs and projects. The fund has unrestricted net position totaling $19.3 million at December 31, 2017. The assets of the fund include loans receivable and accrued interest on these loans which are reported at $4.3 million (net of allowance) and in many cases have long repayment terms before there will be liquidation to cash. Cash and investments are reported at $15.3 million at December 31, 2017. The fund had an overall decrease in net position of $3.6 million for 2017, primarily due to uses of the Penfield Apartments net sales proceeds that were transferred in from the HRA Penfield Fund in 2016.

The ***HRA Parking Enterprise Fund*** accounts for the operation of HRA-owned parking facilities in Saint Paul. The fund has unrestricted net position of $21.5 million at December 31, 2017. Assets in the fund include capital assets for parking facilities reported at the depreciated amount of $81.5 million. Long-term debt used for financing the construction of the parking facilities is $44.0 million in principal outstanding at December 31, 2017. The fund had operating income of $6.3 million during 2017.

The ***HRA Penfield Fund*** accounts for the Penfield Apartments. The Fund has and overall net position totaling $0.9 million at December 31, 2017, all of which was unrestricted. The City sold the Penfield property to a private investor on September 22, 2016 for $65.5 million.

GENERAL FUND BUDGETARY HIGHLIGHTS

The final amended budget for the General Fund includes the original adopted budget, plus any previously appropriated funds set aside for the purpose of honoring legally-incurred obligations (prior year encumbrances and commitments), plus any additional supplemental appropriations that were legislated by the City Council during the year. The General Fund started the year with a total appropriation of $255.1 million, of which the adopted budget, including transfers, was $252.4 million and $2.7 million of 2016 budget authority carried forward to 2017.

The 2017 actual spending including transfers out was $255.0 million, as compared to the final budget of $255.4 million, resulted in a $0.4 million positive budget-to-actual variance. Actual expenditures were 99.8% of the final budgeted amount.

The 2017 actual financing including transfers in was $258.8 million compared to the final budget of $252.8 million, and resulted in a positive variance of $6.0 million. Actual revenues were 102.4% of the final budgeted amount.

Overall, the General Fund budget to actual results reflected a positive variance of $6.4 million, with an actual net change in fund balance of $3.7 million.

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

CAPITAL ASSETS

At the end of 2017, the City had invested a total of $1,695.8 million in capital assets (net of accumulated depreciation). This investment in capital assets includes land, buildings, improvements, equipment, infrastructure and construction in progress of the City, including the capital assets recorded for the City's internal service funds which have a depreciated value of $15.0 million.

Major capital asset events during the current fiscal year included the following:

The HRA purchased the Palace Theatre and began construction on the building in 2015. This project was financed by a loan from the City and a Minnesota Department of Employment and Economic Development (DEED) grant. The City loan is to be repaid solely from the revenues collected by the HRA from the operations of the Palace Theatre and any sales proceeds in accordance with the DEED grant agreement. Total capital construction costs were $15.5 million and the theatre was placed into service on March 10, 2017.

In March 2016, the HRA entered into an agreement with the City whereby the HRA will provide up to $18.3 million in funding for remediation, infrastructure, and other costs for a soccer stadium site located at Snelling and University Avenues. Included in this amount was $1.5 million for the payment of remediation costs, which has been paid. The developer, MUSC Holdings, LLC, entered into an agreement with the City in April 2016, and is exclusively responsible for all costs associated with the soccer stadium. The City will own the soccer stadium per the agreement with MUSC.

Public Works completed its 22nd year of the Saint Paul Streets (SPS) Program formerly known as the Residential Street Vitality Program (RSVP) by awarding Idaho/Atlantic, Wheelock Parkway and Jackson Street for a total of $13.2 million of Street Improvement Bonds.

Public Works also awarded Como Avenue, Battle Creek, the Ford Parkway Stabilization, and the 35E Bike Trail Projects for a total of $23.3 million of Municipal State Aid, Federal Grants, and local funding.

Public Works completed project work on Idaho/Atlantic, Wheelock Parkway, Jackson Street, Como Avenue, Battle Creek, Ford Parkway Stabilization and the 35E Bike Trail. Public Works continued design work on the Summit Avenue Bridge and worked in cooperation with Parks and Recreation Department on the Grand Round.

The Sewer System Rehabilitation program is now in its 20th year. The Ford Parkway Sanitary Access Shaft, Phase 1 Phalen Creek Storm Tunnel Rehab, 2016 Major Sewer Repairs, 2016 Miscellaneous Sewer Lining, and 2016 Sherman Lift Station Renovation Projects were completed in 2017. In 2017, the City awarded contracts for the following projects: Ashland-Central Sewer Lining, Pond Cleaning and Repairs, Phase 2 Phalen Creek Storm Tunnel Rehab, St. Peter Rondo Emergency Tunnel Repairs, Sibley Lift Station Renovation, and 2017 Major Sewer Repairs.

CAPITAL ASSETS

CAPITAL ASSETS AT YEAR-END
NET OF ACCUMULATED DEPRECIATION
(in thousands of dollars)

	Governmental Activities		Business-type Activities		Total		Total Percent Change
	2017	2016	2017	2016	2017	2016	
Land	$ 169,278	$ 169,278	$ 31,540	$ 31,540	$ 200,818	$ 200,818	0.00%
Buildings and Structures	422,000	405,783	55,616	58,347	477,616	464,130	2.91%
Improvements other than Buildings	88,476	82,293	-	-	88,476	82,293	7.51%
Public Improvements	-	-	275,792	271,309	275,792	271,309	1.65%
Equipment	40,858	42,949	1,882	1,948	42,740	44,897	(4.80)%
Infrastructure	493,906	497,263	-	-	493,906	497,263	(0.68)%
Construction in Progress	115,654	106,470	762	4,074	116,416	110,544	5.31%
Total	$ 1,330,172	$ 1,304,036	$ 365,592	$ 367,218	$ 1,695,764	$ 1,671,254	1.47%

Additional information on the City of Saint Paul's capital assets can be found in Note VI.E in the Notes to the Financial Statements section of this report.

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

LONG-TERM OBLIGATIONS

During 2017, the City issued $80.7 million in bonds and $1.5 million in notes, and retired $68.5 million in bonds and $10.7 million in notes, resulting in $506.1 million in bonds payable and $72.8 million in notes payable at the end of 2017. Of the bonded debt, $224.4 million is considered to be gross direct general property tax supported debt; considering the $57.0 million available in the City Debt Service Fund the net general property tax supported debt at year end was $167.4 million or $541 per capita.

The City's General Obligation bonds issued in 2017 the City received AAA ratings from Standard & Poor's Global Ratings and Fitch Ratings. The Sewer Revenue bonds issued in 2017 received an AAA rating from Standard & Poor's Global Ratings and were the City's third issuance to carry the Green Bond designation.

OUTSTANDING DEBT GENERAL OBLIGATION,
REVENUE, LEASE REVENUE AND SALES TAX NOTES AND BONDS
(in thousands of dollars)

	Governmental Activities		Business-type Activities		Total		Total Percent Change
	2017	2016	2017	2016	2017	2016	
General Obligation Bonds	$260,735	$237,765	$ 16,350	$ 18,150	$277,085	$255,915	8.27%
Revenue Bonds	-	-	77,560	75,065	77,560	75,065	3.32%
Sales Tax Revenue Bonds	94,575	100,040	-	-	94,575	100,040	(5.46)%
HRA Tax Increment Revenue Bonds	24,344	26,784	-	-	24,344	26,784	(9.11)%
HRA Parking Facilities Revenue Bonds	-	-	28,945	32,060	28,945	32,060	(9.72)%
HRA Lease Revenue Bonds	3,605	4,045	-	-	3,605	4,045	(10.88)%
General Obligation Notes	7,572	10,066	-	-	7,572	10,066	(24.78)%
Revenue Notes	46,613	51,575	2,856	4,026	49,469	55,601	(11.03)%
HRA Revenue Notes	11,850	12,358	3,880	3,880	15,730	16,238	(3.13)%
Total	$449,294	$442,633	$129,591	$133,181	$578,885	$575,814	0.53%

Additional information on the City of Saint Paul's long-term obligations can be found in Note VI.G in the Notes to the Financial Statements section of this report.

CURRENTLY KNOWN FACTS/ECONOMIC CONDITIONS

Financial Outlook

The Saint Paul Annual Operating Budget, in particular the City's General Fund and the Public Library's General Fund remain heavily influenced by state decisions regarding the state aid payments, called Local Government Aid (LGA).

In 2008, 2009, 2010, 2011, and 2012, the State had significant budget deficits which were resolved in part by sharply reducing aid payments to local governments. The reductions in aid occurred after the City had adopted its annual budgets for each of those years. Saint Paul took actions to mitigate the reductions by instituting hiring and spending freezes, as well as a limited use of available fund balance in excess of its fund balance policy requirements. These actions brought the City's budget back in line with forecasted revenues.

State aid payments are the second largest source of revenue in the City's General Fund budget. After years of reductions in LGA certifications, the State Legislature in 2013 increased LGA by $10.1 million bringing the City's certified amount to $60.1 million. In the 2014 and 2015 legislative sessions, Saint Paul continued to see increased certified amounts, first with an additional $1.4 million in 2014 for the City's 2015 fiscal year and $449 thousand in 2015 for fiscal year 2016 bringing the total LGA certification to $62.3 million. During the 2017 legislative session an omnibus bill was not passed. This resulted in Saint Paul's LGA certification remaining mostly flat, increasing by $224 thousand to $62.6 million.

The LGA increases approved during the 2013 through 2015 legislative sessions were good steps forward towards a continued balanced and predictable state/local fiscal relationship. However, because of the State of Minnesota's lack of an ongoing commitment to funding LGA in the 2017 legislative session, local government budget planning and service delivery will be less predictable for the citizens of Saint Paul.

The Mayor is committed to working closely with the City Council to address any budgetary concerns by continued evaluation of management measures to restructure and resize service delivery systems and balance the need for growth in local revenues. The City will continue to address citizen concerns for both current level of property taxation and preserving the scope and quality of municipal services.

CITY OF SAINT PAUL, MINNESOTA

MANAGEMENT'S DISCUSSION AND ANALYSIS
For Year Ended December 31, 2017

CURRENTLY KNOWN FACTS/ECONOMIC CONDITIONS

Employment Outlook

The 2017 annual average unemployment rate for the City of Saint Paul was reported by the Bureau of Labor Statistics at 2.8%, compared to the state unemployment rate of 3.5% and a U.S. average rate of 4.4%. Saint Paul has a balanced, diversified employment base with no single industry sector dominating. Employment is not overly reliant on slowing and cyclical sectors, like manufacturing, but is centered with stable and growing employment sectors. Saint Paul's largest employment sector is education and health services (64,710 jobs in 2017, 35.2% of total). Other large sectors include public administration (23,313 jobs, 12.7%); professional and business services (22,175 jobs, 12.1%); and trade, transportation, and utilities (18,448 jobs, 10.0%) according to Minnesota Department of Employment and Economic Development.

For 2017, Saint Paul employers paid an average of $58,825 annually compared to the 2016 average of $57,499, which represents an increase of 2.3%. An average wage in the Metro increased by 3.3% ($69,121 vs. $66,885) and by 3.4% statewide ($56,147 vs. $54,288) during the same period.

REQUESTS FOR INFORMATION

The financial report is designed to provide our citizens, customers, investors and creditors with a general overview of the City's finances. If you have questions about this report or need any additional information, contact the Office of Financial Services, Attn: Chris Eitemiller, Accounting Manager, at 15 W. Kellogg Boulevard, Room 110; Saint Paul, Minnesota 55102, call 651-266-8547, or e-mail chris.eitemiller@ci.stpaul.mn.us.

General information relating to the City of Saint Paul, Minnesota, can be found at the City's internet website, www.stpaul.gov.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF NET POSITION
DECEMBER 31, 2017

	Primary Government			
	Governmental Activities	Business-Type Activities	Totals	Component Units
ASSETS				
Cash and Investments	$ 274,625,577	$ 63,218,750	$ 337,844,327	$ 33,243,426
Investments	-	4,836,080	4,836,080	18,890,775
Receivables (Net of Allowance for Uncollectibles)	73,098,490	7,076,709	80,175,199	11,857,947
Due from Component Units	1,286,217	3,570,929	4,857,146	-
Due from Primary Government	-	-	-	1,290,657
Due from Other Governmental Units	29,981,182	123,455	30,104,637	729,467
Internal Balances	6,647,427	(6,647,427)	-	-
Inventories	9,938,618	4,763,653	14,702,271	2,264,160
Other Assets	-	-	-	452,621
Restricted Cash and Investments	250,300	20,590,427	20,840,727	45,013,156
Long Term Receivables	10,368,308	4,644,803	15,013,111	115,832,380
Capital Assets Not Being Depreciated				
Land	169,277,572	31,539,972	200,817,544	12,090,332
Construction in Progress	115,653,806	762,315	116,416,121	32,670,139
Capital Assets Net of Accumulated Depreciation				
Buildings and Structures	422,000,599	55,615,751	477,616,350	59,428,246
Improvements Other than Buildings	88,476,080	-	88,476,080	-
Public Improvements	-	275,791,995	275,791,995	254,424,077
Equipment	40,857,628	1,882,062	42,739,690	26,610,078
Infrastructure	493,905,750	-	493,905,750	-
Total Assets	1,736,367,554	467,769,474	2,204,137,028	614,797,461
DEFERRED OUTFLOWS OF RESOURCES				
Unrealized Loss on Derivatives	6,307,826	-	6,307,826	-
Deferred Loss on Debt Refunding	-	1,750,461	1,750,461	354,545
Deferred Pension Outflows	196,160,127	3,104,275	199,264,402	4,148,291
Total Deferred Outflows of Resources	202,467,953	4,854,736	207,322,689	4,502,836
LIABILITIES				
Accounts Payable and Other Current Liabilities	30,904,614	2,021,970	32,926,584	9,624,763
Accrued Salaries	15,576,941	384,609	15,961,550	1,139,484
Due to Component Units	1,207,989	82,668	1,290,657	-
Due to Primary Government	-	-	-	4,857,146
Due to Other Governmental Units	3,177,763	30,765	3,208,528	3,477,787
Liabilities Payable from Restricted Assets	-	4,354,722	4,354,722	81,007,803
Unearned Revenue	10,681,477	2,373,363	13,054,840	9,694,958
Noncurrent Liabilities:				
Due Within One Year	50,942,685	6,448,373	57,391,058	19,677
Due in More than One Year	508,198,822	125,601,656	633,800,478	135,922,674
Pollution Remediation Obligation	400,000	-	400,000	-
Net Other Postemployment Benefits Obligation	57,461,859	1,258,060	58,719,919	5,543,353
Net Pension Liability	213,434,340	6,334,060	219,768,400	16,793,087
Total Liabilities	891,986,490	148,890,246	1,040,876,736	268,080,732
DEFERRED INFLOWS OF RESOURCES				
Deferred Pension Inflows	229,562,668	2,562,524	232,125,192	3,345,383
NET POSITION				
Net Investment in Capital Assets	942,140,801	242,228,344	1,184,369,145	309,092,911
Restricted for:				
General Government	31,678,130	-	31,678,130	-
Public Safety	-	-	-	-
Culture and Recreation	18,841	-	18,841	-
Sanitation	14,398,897	-	14,398,897	-
Economic Development	26,274,911	-	26,274,911	-
Debt Service	65,433,471	8,409,013	73,842,484	-
Permanent Activities				
Expendable	52,977	-	52,977	-
Nonexpendable	35,000	-	35,000	-
Operations and Maintenance	-	4,890,044	4,890,044	18,956,621
Grantors	-	802,592	802,592	-
Unrestricted	(276,916,443)	64,841,447	(212,074,996)	19,824,650
Total Net Position	$ 817,286,349	$ 321,171,440	$ 1,138,457,789	$ 347,874,182

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF ACTIVITIES
YEAR ENDED DECEMBER 31, 2017

		Program Revenues			Net (Expense) Revenue and Changes in Net Position			
					Primary Government			
Functions/Programs	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Totals	Component Units
Primary Government								
Governmental Activities								
General Government	$ 73,149,603	$ 42,214,723	$ 15,652,113	$ -	$ (15,282,767)	$ -	$ (15,282,767)	$ -
Public Safety	208,246,596	44,217,631	6,493,685	-	(157,535,280)	-	(157,535,280)	-
Highways and Streets	94,871,504	48,554,728	1,444,430	16,141,219	(28,731,127)	-	(28,731,127)	-
Sanitation	5,636,364	8,027,575	-	-	2,391,211	-	2,391,211	-
Health	2,977,570	2,769,502	-	-	(208,068)	-	(208,068)	-
Culture and Recreation	78,143,487	10,031,501	9,090,437	-	(59,021,549)	-	(59,021,549)	-
Housing and Economic Development	52,013,923	10,664,668	18,155,531	576,474	(22,617,250)	-	(22,617,250)	-
Interest and Fiscal Charges	19,754,218	-	-	-	(19,754,218)	-	(19,754,218)	-
Total Governmental Activities	534,793,265	166,480,328	50,836,196	16,717,693	(300,759,048)	-	(300,759,048)	-
Business-Type Activities								
Sewer	47,624,241	57,670,729	-	-	-	10,046,488	10,046,488	-
Development Loan Programs	889,342	284,973	-	-	-	(604,369)	(604,369)	-
Parking Operations	12,705,422	16,654,305	-	-	-	3,948,883	3,948,883	-
Penfield	3,608	-	-	-	-	(3,608)	(3,608)	-
Parks, Recreation and Athletics	2,843,261	2,786,697	-	-	-	(56,564)	(56,564)	-
Impound Lot	2,317,587	1,746,275	-	-	-	(571,312)	(571,312)	-
Printing	1,076,736	719,827	-	-	-	(356,909)	(356,909)	-
Total Business-Type Activities	67,460,197	79,862,806	-	-	-	12,402,609	12,402,609	-
Total Primary Government	$ 602,253,462	$ 246,343,134	$ 50,836,196	$ 16,717,693	$ (300,759,048)	$ 12,402,609	$ (288,356,439)	$ -
Component Units								
RiverCentre Convention & Visitors Authority	$ 20,362,619	$ 12,237,613	$ 599,456	$ 2,843,633	$ -	$ -	$ -	$ (4,681,917)
Regional Water Services	50,384,317	62,337,254	107,752	667,490	-	-	-	12,728,179
Port Authority	33,722,919	19,432,334	1,846,063	1,250,000	-	-	-	(11,194,522)
Total Component Units	$ 104,469,855	$ 94,007,201	$ 2,553,271	$ 4,761,123	$ -	$ -	$ -	$ (3,148,260)
General Revenues								
Taxes								
Property Taxes, Levied for General Purposes					$ 115,919,094	$ 1,103,567	$ 117,022,661	$ -
Property Taxes, Levied for Debt Service					18,767,103	-	18,767,103	8,709,540
City Sales Tax					18,911,281	-	18,911,281	-
Gross Earnings Franchise Fee					26,329,251	-	26,329,251	-
Other Taxes					4,393,095	-	4,393,095	2,223,584
Revenues Not Restricted to Specific Programs								
Local Government Aid					62,561,686	-	62,561,686	-
Grants and Contributions					6,999,822	288,414	7,288,236	-
Investment Income								
Interest Earned on Investments					5,620,565	319,923	5,940,488	1,181,711
Increase (Decrease) in Fair Value of Investments					(419,396)	88,790	(330,606)	(59,613)
Other Investment Income					748,361	259,186	1,007,547	-
Gain on Sale of Capital Assets					2,793,233	34,798	2,828,031	51,293
Noncapital Contributions					21,584,321	761,141	22,345,462	-
Miscellaneous					437,524	-	437,524	151,350
Transfers					10,263,505	(10,263,505)	-	-
Total General Revenues and Transfers					294,909,445	(7,407,686)	287,501,759	12,257,865
Change in Net Position					(5,849,603)	4,994,923	(854,680)	9,109,605
Net Position, January 1					823,135,952	316,176,517	1,139,312,469	338,764,577
Net Position, December 31					$ 817,286,349	$ 321,171,440	$ 1,138,457,789	$ 347,874,182

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
BALANCE SHEET
GOVERNMENTAL FUNDS
DECEMBER 31, 2017

	General	Assessment Financing	Public Library General Fund	HRA General Fund	City Debt Service
ASSETS					
Cash and Investments with Treasurer	$ 41,381,815	$ 6,029,176	$ 2,972,882	$ 9,494,151	$ 36,459,971
Cash and Investments with Trustees	-	-	-	-	20,239,090
Imprest Funds	22,225	-	-	-	-
Accrued Interest Receivable on Investments	1,111,716	-	-	78,975	154,476
Property Tax Receivable:					
Due from Ramsey County	1,976,633	-	428,141	55,921	329,162
Delinquent	1,211,613	-	268,727	53,177	199,371
Accounts Receivable (Net of Allowance)	2,344,230	-	-	73,958	-
Assessments Receivable	-	28,528,517	-	-	13,354,032
Due from Other Governmental Units	1,899,812	-	-	-	-
Notes and Loans Receivable	-	-	-	10,609	-
Due from Xcel Energy	1,022,234	-	-	-	-
Due from Other Funds	19,347,263	-	-	-	-
Due from Component Units	-	-	-	-	13,390
Land Held for Resale	-	-	-	325,236	-
Restricted Cash and Cash Equivalents	-	-	-	-	-
Advance to Other Funds	-	-	-	774,983	-
TOTAL ASSETS	$ 70,317,541	$ 34,557,693	$ 3,669,750	$ 10,867,010	$ 70,749,492
LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES					
Liabilities					
Accrued Salaries Payable	$ 11,619,896	$ 6,676	$ 722,444	$ -	$ 12,601
Accounts Payable	2,563,768	38,722	204,855	21,270	57,605
Contracts/Retention Payable	-	-	-	216,059	-
Due to Other Funds	35,084	-	-	-	-
Due to Component Unit	-	-	-	-	-
Due to Other Governmental Units	992,474	440	55,439	1,487	803
Advance from Other Funds	9,778	515,495	-	-	-
Unearned Revenue	-	184,127	-	-	-
Total Liabilities	15,221,000	745,460	982,738	238,816	71,009
Deferred Inflows of Resources					
Unavailable Revenue	2,427,848	28,349,391	416,861	90,044	13,654,578
Fund Balance					
Nonspendable	$ -	$ -	$ -	$ -	$ -
Restricted	-	-	-	-	57,023,905
Committed	-	-	1,831,942	6,001,576	-
Assigned	-	5,462,842	438,209	4,536,574	-
Unassigned	52,668,693	-	-	-	-
Total Fund Balances	52,668,693	5,462,842	2,270,151	10,538,150	57,023,905
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES	$ 70,317,541	$ 34,557,693	$ 3,669,750	$ 10,867,010	$ 70,749,492

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
BALANCE SHEET
GOVERNMENTAL FUNDS
DECEMBER 31, 2017

	HRA Debt Service	City Capital Projects	Nonmajor Governmental Funds	**Total Governmental Funds**
ASSETS				
Cash and Investments with Treasurer	$ 4,405,534	$ 47,149,599	$ 67,921,725	$ 215,814,853
Cash and Investments with Trustees	3,807,654	7,541,538	278,178	31,866,460
Imprest Funds	-	-	58,760	80,985
Accrued Interest Receivable on investments	132,100	196,446	362,473	2,036,186
Property Tax Receivable:				
Due from Ramsey County	125,605	-	427,819	3,343,281
Delinquent	37,620	-	60,902	1,831,410
Accounts Receivable (Net of Allowance)	-	35,971	1,959,398	4,413,557
Assessments Receivable	-	-	19,888,440	61,770,989
Due from Other Governmental Units	-	14,104,314	13,719,085	29,723,211
Notes and Loans Receivable	-	-	5,937,229	5,947,838
Due from Xcel Energy	-	-	-	1,022,234
Due from Other Funds	-	-	-	19,347,263
Due from Component Units	-	916,846	282,289	1,212,525
Land Held for Resale	-	-	6,462,915	6,788,151
Restricted Cash and Cash Equivalents	-	-	250,300	250,300
Advance to Other Funds	-	-	14,028,390	14,803,373
TOTAL ASSETS	$ 8,508,513	$ 69,944,714	$ 131,637,903	$ 400,252,616
LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES				
Liabilities				
Accrued Salaries Payable	$ -	$ -	$ 1,899,297	$ 14,260,914
Accounts Payable	932	6,433,957	6,348,588	15,669,697
Contracts/Retention Payable	-	2,519,267	-	2,735,326
Due to Other Funds	-	220,000	5,186,072	5,441,156
Due to Component Unit	-	1,207,989	-	1,207,989
Due to Other Governmental Units	-	457,419	2,915,043	4,423,105
Advance from Other Funds	-	1,682,819	17,130,162	19,338,254
Unearned Revenue	-	-	7,323,753	7,507,880
Total Liabilities	932	12,521,451	40,802,915	70,584,321
Deferred Inflows of Resources				
Unavailable Revenue	98,015	13,530,895	23,758,172	82,325,804
Fund Balance				
Nonspendable	$ -	$ -	$ 35,000	$ 35,000
Restricted	8,409,566	55,784,442	30,756,101	151,974,014
Committed	-	-	27,441,629	35,275,147
Assigned	-	-	13,001,514	23,439,139
Unassigned	-	(11,892,074)	(4,157,428)	36,619,191
Total Fund Balances	8,409,566	43,892,368	67,076,816	247,342,491
TOTAL LIABILITIES, DEFERRED INFLOWS OF RESOURCES AND FUND BALANCES	$ 8,508,513	$ 69,944,714	$ 131,637,903	$ 400,252,616

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
RECONCILIATION OF THE GOVERNMENTAL FUND BALANCE SHEET AND
THE GOVERNMENT - WIDE STATEMENT OF NET POSITION
DECEMBER 31, 2017

Total Fund Balances - Governmental Funds	$ 247,342,491
Amounts reported for governmental activities in the Statement of Net Position are different because:	
Capital assets used in governmental funds are not financial resources and, therefore, are not reported in the funds.	1,315,219,279
Some receivables that are not currently available are reported as deferred inflows of resources in the fund financial statements, but are recognized as revenue when earned in the government-wide statements, excluding the provision for an allowance for uncollectible taxes.	82,325,804
Internal Service funds are used by management to charge the costs of various services provided to individual funds. The assets, deferred outflows of resources, liabilities, and deferred inflows of resources of the internal service funds are included in governmental activities in the Statement of Net Position.	13,237,019
Some liabilities, including long-term debt, are not due and payable in the current period and, therefore, are not reported in the funds.	(840,838,244)
Net Position of Governmental Activities	$ 817,286,349

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED DECEMBER 31, 2017

	General	Assessment Financing	Public Library General Fund	HRA General Fund	City Debt Service
REVENUES					
Taxes					
Property Taxes					
Current Taxpayer	$ 79,080,835	$ -	$ 17,329,651	$ 3,496,158	$ 13,549,379
Current Tax Increment	1,608,029	-	-	-	-
Delinquent Taxpayer	950,022	-	185,876	10,183	(80,093)
Delinquent Tax Increment	(50,755)	-	-	-	-
Total Property Taxes	81,588,131	-	17,515,527	3,506,341	13,469,286
City Sales Tax	-	-	-	-	-
Gross Earnings Franchise Fees	26,329,251	-	-	-	-
Hotel-Motel Tax	1,942,319	-	-	-	-
Other Taxes	5,079	-	-	-	-
Total Taxes	109,864,780	-	17,515,527	3,506,341	13,469,286
Licenses and Permits	13,300,099	-	-	-	-
Intergovernmental Revenue (Schedule 9)	74,837,972	-	18,401	-	3,188,924
Fees, Sales and Services	45,223,221	-	-	3,011,924	3,686,351
Assessment Financing	140,293	6,990,135	-	-	2,894,430
Investment Income					
Interest Earned on Investments	2,988,722	-	-	265,649	505,952
Increase (Decrease) in Fair Value of Investments	(532,434)	-	-	31,396	22,496
Interest Earned - Other	(40,136)	-	-	-	189,924
Miscellaneous Revenue					
Contributions from Other Sources	507,589	-	8,384	-	5,453,705
Program Income	-	-	-	-	-
Other	460,292	-	211	-	10,238
Total Revenues	246,750,398	6,990,135	17,542,523	6,815,310	29,421,306
EXPENDITURES					
Current					
General Government	45,562,004	1,828,967	-	-	3,778,666
Public Safety	170,980,396	376,152	-	-	-
Highways and Streets	2,250,027	-	-	-	-
Sanitation		-	-	-	-
Health		-	-	-	-
Culture and Recreation	29,381,549	-	17,473,366	-	-
Housing and Economic Development		-	-	7,184,987	-
Capital Outlay	657,907	-	-	-	-
Debt Service					
Bond Principal	-	-	-	-	24,725,000
Other Debt Principal	-	-	-	-	5,925,226
Interest - Bonds	-	-	-	-	13,005,803
Interest - Other Debt	2,009	-	-	-	1,845,509
Bond Issuance Costs	-	-	-	-	226,023
Total Expenditures	248,833,892	2,205,119	17,473,366	7,184,987	49,506,227
Excess (Deficiency) of Revenues Over (Under) Expenditures	(2,083,494)	4,785,016	69,157	(369,677)	(20,084,921)
OTHER FINANCING SOURCES (USES)					
Transfers In	9,733,736	511,323	175,000	76,486	34,775,749
Transfers Out	(6,197,692)	(5,009,604)	(248,622)	(582,499)	(19,745,102)
Bonds Issued	-	-	-	-	-
Notes Issued	-	-	-	-	-
Premium on Bonds Issued	-	-	-	-	-
Sale of Capital Assets	2,270,890	-	-	-	-
Total Other Financing Sources (Uses)	5,806,934	(4,498,281)	(73,622)	(506,013)	15,030,647
Net Change in Fund Balances	3,723,440	286,735	(4,465)	(875,690)	(5,054,274)
FUND BALANCES, January 1-as restated (Note III.C.13.)	48,945,253	5,176,107	2,274,616	11,413,840	62,078,179
FUND BALANCES, December 31	$ 52,668,693	$ 5,462,842	$ 2,270,151	$ 10,538,150	$ 57,023,905

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
YEAR ENDED DECEMBER 31, 2017

	HRA General Debt Service	City Capital Projects	Nonmajor Governmental Funds	**Total Governmental Funds**
REVENUES				
Taxes				
Property Taxes				
Current Taxpayer	$ -	$ -	$ -	$ 113,456,023
Current Tax Increment	5,302,453	-	13,239,956	20,150,438
Delinquent Taxpayer	-	-	-	1,065,988
Delinquent Tax Increment	-	-	-	(50,755)
Total Property Taxes	5,302,453	-	13,239,956	134,621,694
City Sales Tax	-	-	18,911,281	18,911,281
Gross Earnings Franchise Fees	-	-	-	26,329,251
Hotel-Motel Tax	-	-	2,236,872	4,179,191
Other Taxes	-	-	208,825	213,904
Total Taxes	5,302,453	-	34,596,934	184,255,321
Licenses and Permits	-	-	2,060,080	15,360,179
Intergovernmental Revenue (Schedule 9)	-	12,034,573	37,757,322	127,837,192
Fees, Sales and Services	583,885	696,605	25,167,885	78,369,871
Assessment Financing	-	-	14,997,024	25,021,882
Investment Income				
Interest Earned on Investments	240,532	860,103	685,913	5,546,871
Increase (Decrease) in Fair Value of Investments	(32,120)	37,116	54,597	(418,949)
Interest Earned - Other	-	50,928	546,802	747,518
Miscellaneous Revenue				
Contributions from Other Sources	326,269	-	-	6,295,947
Program Income	-	270	67,490	67,760
Other	-	1,438,634	9,709,356	11,618,731
Total Revenues	6,421,019	15,118,229	125,643,403	454,702,323
EXPENDITURES				
Current				
General Government	-	91,767	4,942,002	56,203,406
Public Safety	-	119,383	14,188,700	185,664,631
Highways and Streets	-	3,163,534	45,179,705	50,593,266
Sanitation	-	-	5,449,642	5,449,642
Health	-	-	2,769,500	2,769,500
Culture and Recreation	-	255,226	12,268,724	59,378,865
Housing and Economic Development	-	1,575,722	33,407,465	42,168,174
Capital Outlay	-	67,209,058	4,423,818	72,290,783
Debt Service				
Bond Principal	4,235,000	-	-	28,960,000
Other Debt Principal	300,000	-	208,140	6,433,366
Interest - Bonds	1,954,564	-	-	14,960,367
Interest - Other Debt	26,269	49,250	4,013,506	5,936,543
Bond Issuance Costs	22,124	390,997	-	639,144
Total Expenditures	6,537,957	72,854,937	126,851,202	531,447,687
Excess (Deficiency) of Revenues Over (Under) Expenditures	(116,938)	(57,736,708)	(1,207,799)	(76,745,364)
OTHER FINANCING SOURCES (USES)				
Transfers In	131,019	15,964,633	33,783,042	95,150,988
Transfers Out	(3,137,781)	(2,262,014)	(42,813,670)	(79,996,984)
Bonds Issued	-	43,735,000	-	43,735,000
Notes Issued	-	-	1,525,000	1,525,000
Premium on Bonds Issued	-	2,341,792	-	2,341,792
Sale of Capital Assets	-	-	762,332	3,033,222
Total Other Financing Sources (Uses)	(3,006,762)	59,779,411	(6,743,296)	65,789,018
Net Change in Fund Balances	(3,123,700)	2,042,703	(7,951,095)	(10,956,346)
FUND BALANCES, January 1-as restated (Note III.C.13.)	11,533,266	41,849,665	75,027,911	258,298,837
FUND BALANCES, December 31	$ 8,409,566	$ 43,892,368	$ 67,076,816	$ 247,342,491

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
YEAR ENDED DECEMBER 31, 2017

Net Change in Fund Balances - Total Governmental Funds	$	(10,956,346)
Amounts reported for governmental activities in the Statement of Activities are different because:		
Governmental funds report capital outlay as expenditures. However, in the Statement of Net Position, the cost of these assets is capitalized and depreciated over their estimated useful lives with depreciation expense reported in the Statement of Activities.		26,662,940
Net effect of various miscellaneous transactions involving capital assets (i.e., sales, trade-ins, retirements and contributions) is to increase or decrease net position.		(344,241)
Receivables not currently available are reported as deferred inflows of resources in the fund financial statements but are recognized as revenue when earned in the government-wide financial statements.		13,859,634
Debt and lease proceeds provide current financial resources to governmental funds, but issuing these obligations increases long-term liabilities in the Statement of Net Position. Repayment of principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position.		(5,522,762)
Some expenses in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.		(27,762,621)
Internal Service funds are used by management to charge the costs of various services provided to individual funds. The net revenues of certain activities of internal service funds are reported with governmental activities.		(1,786,207)
Change in Net Position of Governmental Activities	$	(5,849,603)

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
DECEMBER 31, 2017

	Business-Type Activities - Enterprise Funds						Governmental Activities - Internal Service Funds
	Sewer Utility	HRA Loan	HRA Parking	HRA Penfield	Nonmajor Enterprise Funds	Totals	
ASSETS							
Current Assets							
Cash and Investments with Treasurer	$ 26,972,916	$ 14,503,961	$ 18,959,445	$ 912,293	$ -	$ 61,348,615	$ 26,862,329
Cash with Fiscal Agents	-	-	1,059,965	-	-	1,059,965	-
Cash and Investments with Trustees	-	808,570	-	-	-	808,570	-
Imprest Funds	-	-	-	-	1,600	1,600	950
Accrued Interest Receivable on Investments	1,632	34,506	36,100	-	-	72,238	-
Property Taxes Receivable - Delinquent	-	-	34,763	-	-	34,763	-
Accounts Receivable (Net of Allowance)	40,993	14,500	598,566	-	99,557	753,616	343,624
Assessments Receivable	6,202,141	13,951	-	-	-	6,216,092	-
Due from Other Governmental Units	32,329	-	-	-	91,126	123,455	257,971
Due from Other Funds	-	-	-	-	-	-	260,093
Due from Component Units	3,570,929	-	-	-	-	3,570,929	73,692
Inventories	415,214	-	-	-	223,297	638,511	3,150,467
Land Held for Resale	-	4,125,142	-	-	-	4,125,142	-
Restricted Cash and Cash Equivalents	16,359,260	-	4,231,167	-	-	20,590,427	-
Total Current Assets	53,595,414	19,500,630	24,920,006	912,293	415,580	99,343,923	30,949,126
Noncurrent Assets							
Restricted Assets							
Investment for Revenue Bond Future Debt Service	4,836,080	-	-	-	-	4,836,080	-
Long-Term Receivables (Net of Allowances)	-	3,889,709	236,250	-	-	4,125,959	4,420,470
Accrued Interest Receivable on Loans	-	407,181	111,663	-	-	518,844	-
Advance to Other Funds	-	3,449,522	564,744	-	-	4,014,266	2,789,868
Capital Assets							
Land	787,113	-	27,247,487	-	3,505,372	31,539,972	87,343
Construction in Progress	564,768	-	197,547	-	-	762,315	53,153
Buildings and Structures	3,347,053	-	109,219,006	-	2,683,435	115,249,494	15,169,540
Less: Accumulated Depreciation	(1,209,221)	-	(56,353,858)	-	(2,070,664)	(59,633,743)	(11,800,281)
Public Improvements	431,704,607	-	-	-	48,287	431,752,894	-
Less: Accumulated Depreciation	(155,934,997)	-	-	-	(25,902)	(155,960,899)	-
Equipment	2,227,889	-	2,944,178	-	2,751,984	7,924,051	33,536,021
Less: Accumulated Depreciation	(1,672,470)	-	(1,726,937)	-	(2,642,582)	(6,041,989)	(22,093,620)
Total Noncurrent Assets	284,650,822	7,746,412	82,440,080	-	4,249,930	379,087,244	22,162,494
TOTAL ASSETS	$ 338,246,236	$ 27,247,042	$ 107,360,086	$ 912,293	$ 4,665,510	$ 478,431,167	$ 53,111,620
DEFERRED OUTFLOWS OF RESOURCES							
Deferred Loss on Debt Refunding	$ 770,542	$ -	$ 979,919	$ -	$ -	$ 1,750,461	$ -
Deferred Pension Outflows	1,390,322	-	-	-	1,713,953	3,104,275	7,293,348
TOTAL DEFERRED OUTFLOWS OF RESOURCES	$ 2,160,864	$ -	$ 979,919	$ -	$ 1,713,953	$ 4,854,736	$ 7,293,348

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
DECEMBER 31, 2017

	Business-Type Activities - Enterprise Funds						Governmental Activities - Internal Service Funds
	Sewer Utility	HRA Loan	HRA Parking	HRA Penfield	Nonmajor Enterprise Funds	Totals	
LIABILITIES							
Current Liabilities (Payable from Current Assets)							
Accrued Salaries Payable	$ 247,296	$ -	$ -	$ -	$ 137,313	$ 384,609	$ 1,316,027
Accounts Payable	671,252	47,831	1,103,825	160	113,620	1,936,688	1,163,434
Contracts Payable	-	51,192	-	-	-	51,192	-
Due to Other Funds	-	-	-	-	11,102,689	11,102,689	3,063,511
Due to Component Units	82,668	-	-	-	-	82,668	-
Due to Other Governmental Units	19,071	882	171	-	10,641	30,765	106,704
Unearned Revenue	-	2,359,903	-	-	13,460	2,373,363	3,173,597
Compensated Absences Payable	-	-	-	-	15,750	15,750	88,200
General Obligation Bonds Payable	-	-	-	-	-	-	150,000
Revenue Bonds Payable	5,179,167	-	-	-	-	5,179,167	-
Revenue Notes Payable	1,159,600	93,856	-	-	-	1,253,456	-
Capital Lease Payable	-	-	-	-	-	-	1,772,055
Accrued Interest Payable	34,090	-	-	-	-	34,090	16,716
Total Current Liabilities (Payable from Current Assets)	7,393,144	2,553,664	1,103,996	160	11,393,473	22,444,437	10,850,244
Current Liabilities (Payable from Restricted Assets)							
General Obligation Bonds Payable	-	-	1,850,000	-	-	1,850,000	-
Revenue Bonds Payable	470,833	-	1,325,000	-	-	1,795,833	-
Accrued Interest Payable	216,490	-	492,399	-	-	708,889	-
Total Current Liabilities (Payable from Restricted Assets)	687,323	-	3,667,399	-	-	4,354,722	-
Total Current Liabilities	8,080,467	2,553,664	4,771,395	160	11,393,473	26,799,159	10,850,244
Noncurrent Liabilities							
General Obligation Bonds Payable	-	-	14,885,108	-	-	14,885,108	901,577
Revenue Bonds Payable	75,510,621	-	29,159,634	-	-	104,670,255	-
Revenue Notes Payable	1,696,309	3,786,144	-	-	-	5,482,453	-
Capital Lease Payable	-	-	-	-	-	-	2,131,544
Advance from Other Funds	44,511	814,744	-	-	-	859,255	1,409,998
Compensated Absences Payable	289,905	-	-	-	273,935	563,840	2,076,128
Net Other Postemployment Benefits Obligation	534,085	-	-	-	723,975	1,258,060	4,780,270
Net Pension Liability	3,452,998	-	-	-	2,881,062	6,334,060	17,405,022
Total Noncurrent Liabilities	81,528,429	4,600,888	44,044,742	-	3,878,972	134,053,031	28,704,539
TOTAL LIABILITIES	89,608,896	7,154,552	48,816,137	160	15,272,445	160,852,190	39,554,783
DEFERRED INFLOWS OF RESOURCES							
Deferred Pension Inflows	$ 1,195,124	$ -	$ -	$ -	$ 1,367,400	$ 2,562,524	$ 6,312,915
NET POSITION							
Net Investment in Capital Assets	203,670,733	-	34,307,681	-	4,249,930	242,228,344	9,996,980
Restricted							
Debt Service	4,697,463	-	3,711,550	-	-	8,409,013	-
Operations and Maintenance	4,862,826	-	27,218	-	-	4,890,044	-
Grantors	-	802,592	-	-	-	802,592	-
Unrestricted	36,372,058	19,289,898	21,477,419	912,133	(14,510,312)	63,541,196	4,540,290
TOTAL NET POSITION	$ 249,603,080	$ 20,092,490	$ 59,523,868	$ 912,133	$ (10,260,382)	$ 319,871,189	$ 14,537,270
Adjustment to Reflect the Consolidation of Internal Service Fund Activities Related to Enterprise Funds						1,300,251	
Net Position of Business-Type Activities						$ 321,171,440	

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF REVENUES, EXPENSES
AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
YEAR ENDED DECEMBER 31, 2017

	Business Type Activities - Enterprise Funds						Governmental Activities - Internal Service Funds
	Sewer Utility	HRA Loan	HRA Parking	HRA Penfield	Nonmajor Enterprise Funds	Totals	
OPERATING REVENUES							
Fees, Sales and Services	$ 57,652,274	$ 103,185	$ 16,654,305	$ -	$ 4,544,572	$ 78,954,336	$ 53,969,874
Rents and Leases	1,100	-	-	-	708,200	709,300	2,038,718
Interest Earned on Loans	-	181,788	-	-	-	181,788	212,018
Miscellaneous	17,355	-	-	-	27	17,382	35,541
Total Operating Revenues	57,670,729	284,973	16,654,305	-	5,252,799	79,862,806	56,256,151
OPERATING EXPENSES							
Cost of Merchandise Sold	-	-	-	-	178,909	178,909	281,420
Salaries	3,264,734	-	-	-	2,210,022	5,474,756	18,355,313
Employee Fringe Benefits	1,788,642	-	-	-	1,046,167	2,834,809	8,986,240
Services	32,449,458	852,407	7,065,359	-	1,994,949	42,362,173	12,391,492
Materials and Supplies	385,828	-	-	-	511,920	897,748	10,253,261
Depreciation	5,676,769	-	3,244,400	-	155,793	9,076,962	2,546,430
Miscellaneous	1,512,193	-	-	-	140,048	1,652,241	53,142
Total Operating Expenses	45,077,624	852,407	10,309,759	-	6,237,808	62,477,598	52,867,298
OPERATING INCOME (LOSS)	12,593,105	(567,434)	6,344,546	-	(985,009)	17,385,208	3,388,853
NON-OPERATING REVENUES (EXPENSES)							
Property Tax Increment	-	-	1,103,567	-	-	1,103,567	-
Intergovernmental Revenue (Schedule 9)	73,212	215,202	-	-	-	288,414	16,336
Gain on Sale of Capital Assets	34,798	-	-	-	-	34,798	104,252
Loss on Retirement of Capital Assets	(2,907)	-	(242,027)	-	-	(244,934)	-
Investment Income							
Interest Earned on Investments	98,327	148,131	73,465	-	-	319,923	(45,418)
Increase (Decrease) in Fair Value of Investments	150,006	(39,030)	(22,157)	-	(29)	88,790	(447)
Interest Earned - Other	101,032	158,477	-	-	(323)	259,186	843
Miscellaneous Other Revenue (Expenses)	-	(8,568)	(8,420)	756,969	(278)	739,703	4,894
Interest Expense							
General Obligation Bonds	-	-	(1,742,642)	-	-	(1,742,642)	(27,596)
Revenue Bonds	(2,467,832)	-	-	-	-	(2,467,832)	-
Capital Lease	-	-	-	-	-	-	(116,341)
Revenue Notes	(127,031)	(40,719)	-	-	-	(167,750)	-
Advance from Other Funds	-	-	-	-	-	-	(10,044)
Debt Issuance Costs	(115,359)	-	(433,684)	-	-	(549,043)	-
Total Non-Operating Revenues (Expenses)	(2,255,754)	433,493	(1,271,898)	756,969	(630)	(2,337,820)	(73,521)
Income (Loss) Before Transfers	10,337,351	(133,941)	5,072,648	756,969	(985,639)	15,047,388	3,315,332
Transfers In	3,300	379,661	2,230,970	-	90,380	2,704,311	1,258,526
Transfers Out	(3,989,781)	(3,869,540)	(2,557,946)	(2,230,970)	(319,579)	(12,967,816)	(6,149,025)
Change in Net Position	6,350,870	(3,623,820)	4,745,672	(1,474,001)	(1,214,838)	4,783,883	(1,575,167)
NET POSITION, January 1	243,252,210	23,716,310	54,778,196	2,386,134	(9,045,544)		16,112,437
NET POSITION, December 31	$ 249,603,080	$ 20,092,490	$ 59,523,868	$ 912,133	$ (10,260,382)		$ 14,537,270
Adjustment to Reflect the Consolidation of Internal Service Fund Activities Related to Enterprise Funds						211,040	
Total Change in Net Position of Business-Type Activities						$ 4,994,923	

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED DECEMBER 31, 2017

	Business-type Activities - Enterprise Funds						Governmental Activities - Internal Service Funds
	Sewer Utility	HRA Loan	HRA Parking	HRA Penfield	Nonmajor Enterprise Funds	Totals	
CASH FLOWS FROM OPERATING ACTIVITIES							
Receipts from Loan Recipients and Other Customers	$ 56,557,960	$ 549,183	$ 16,600,583	$ -	$ 5,209,724	$ 78,917,450	$ 6,260,393
Receipts from Other Funds for Services Provided	-	-	-	-	441,071	441,071	50,475,543
Payment to Suppliers	(27,568,993)	(819,314)	(7,003,234)	(539,168)	(2,699,348)	(38,630,057)	(18,770,222)
Payment to Employees	(3,263,876)	-	-	-	(2,273,435)	(5,537,311)	(18,272,620)
Payment for Fringe Benefits and Payroll Taxes	(1,642,391)	-	-	-	(935,602)	(2,577,993)	(6,992,364)
Payment to Other Funds for Services Used	(6,622,493)	-		-	(309,394)	(6,931,887)	(4,179,940)
NET CASH PROVIDED (USED) BY OPERATING ACTIVITIES	17,460,207	(270,131)	9,597,349	(539,168)	(566,984)	25,681,273	8,520,790
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES							
Transfers In from Other Funds	3,300	379,661	2,230,970	-	90,380	2,704,311	1,258,526
Transfers Out to Other Funds	(3,989,781)	(3,869,540)	(2,557,946)	(2,230,970)	(319,579)	(12,967,816)	(6,149,025)
Property Tax Increments	-	-	1,110,290	-	-	1,110,290	-
Intergovernmental	73,212	215,202	-	-	-	288,414	16,336
Nonoperating Contributions Received from Outside Sources	-	-	-	761,141	-	761,141	-
Advance Received From Other Funds	44,511	-	-	-	871,129	915,640	1,696,955
Collection of Advance Made to Other Governmental Units	-	78,182	-	-	-	78,182	-
Collection of Advance Made to Other Funds	-	500,815	-	-	-	500,815	-
Advance Made to Other Funds	-	-	-	-	-	-	(1,081,581)
Repayment of Advance Received from Other Funds	-	-	-	-	(74,917)	(74,917)	(164,305)
Interest Paid on Advance Received from Other Funds	-	-	-	-	-	-	(10,044)
Collection of an Advance to Other Funds	-	-	-	-	-	-	544,533
NET CASH PROVIDED (USED) BY NONCAPITAL FINANCING ACTIVITIES	(3,868,758)	(2,695,680)	783,314	(1,469,829)	567,013	(6,683,940)	(3,888,605)
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES							
Proceeds from Issuance of Long-term Debt	8,116,215	-	28,945,000	-	-	37,061,215	-
Proceeds from Sale of Capital Assets	34,798	-	-	-	-	34,798	104,252
Principal Paid On							
General Obligation Bonds	-	-	(1,800,000)	-	-	(1,800,000)	(157,763)
Revenue Bonds	(5,480,000)	-	(32,060,000)	-	-	(37,540,000)	-
Revenue Notes	(1,170,141)	-	-	-	-	(1,170,141)	-
Capital Lease	-	-	-	-	-	-	(1,709,198)
Payments for Acquisition and Construction of Capital Assets							
Buildings and Structures	-	-	(5,316)	-	-	(5,316)	(133,954)
Public Improvements	(7,696)	-	(619,866)	-	-	(627,562)	-
Equipment	-	-	(398,148)	-	-	(398,148)	(2,229,298)
Construction in Progress	(6,474,585)	-	(197,547)	-	-	(6,672,132)	-
Interest Paid On							
General Obligation Bonds	-	-	(593,581)	-	-	(593,581)	(27,596)
Revenue Bonds	(2,679,973)	-	(1,090,170)	-	-	(3,770,143)	-
Capital Lease	-	-	-	-	-	-	(122,218)
Revenue Notes	(140,693)	(40,719)	-	-	-	(181,412)	-
Payments of Bond Issue Costs	(115,359)	-	(433,684)	-	-	(549,043)	-
NET CASH PROVIDED (USED) IN CAPITAL AND RELATED FINANCING ACTIVITIES	(7,917,434)	(40,719)	(8,253,312)	-	-	(16,211,465)	(4,275,775)
CASH FLOWS FROM INVESTING ACTIVITIES							
Purchase of Investment Securities	(113,722)	-	-	-	-	(113,722)	-
Investment Service Fee Paid	-	(8,568)	(8,420)	(4,172)	-	(21,160)	-
Interest and Dividends Received	226,837	274,893	41,375	-	-	543,105	(41,415)
Increase (Decrease) in Fair Value of Investments	150,006	(39,030)	(22,157)	-	(29)	88,790	(447)
NET CASH PROVIDED (USED) BY INVESTING ACTIVITIES	263,121	227,295	10,798	(4,172)	(29)	497,013	(41,862)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	5,937,136	(2,779,235)	2,138,149	(2,013,169)	-	3,282,881	314,548
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	37,395,040	18,091,766	22,112,428	2,925,462	1,600	80,526,296	26,548,731
CASH AND CASH EQUIVALENTS AT END OF YEAR	$ 43,332,176	$ 15,312,531	$ 24,250,577	$ 912,293	$ 1,600	$ 83,809,177	$ 26,863,279

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
YEAR ENDED DECEMBER 31, 2017

	Business-type Activities - Enterprise Funds						Governmental Activities - Internal Service Funds
	Sewer Utility	HRA Loan	HRA Parking	HRA Penfield	Nonmajor Enterprise Funds	Totals	
RECONCILIATION OF OPERATING INCOME (LOSS) TO NET CASH PROVIDED (USED) BY OPERATING ACTIVITIES							
Operating Income (Loss)	$ 12,593,105	$ (567,434)	$ 6,344,546	$ -	$ (985,009)	$ 17,385,208	$ 3,388,853
Adjustments to Reconcile Operating Income to Net Cash Provided (Used) by Operating Activities							
Depreciation	5,676,769	-	3,244,400	-	155,793	9,076,962	2,546,430
Non-Operating Miscellaneous Revenue (Expense)	-	-	-	-	(278)	(278)	4,894
Changes in Assets and Liabilities							
(Increase) Decrease in							
Accounts Receivable	39,023	(14,500)	(53,722)	-	427,870	398,671	243,854
Assessments Receivable	(205,300)	4,609	-	-	-	(200,691)	-
Notes and Loans Receivable	-	365,028	-	-	-	365,028	399,143
Accrued Interest Receivable	-	6,562	-	-	-	6,562	-
Due from Component Units	(946,939)	-	-	-	-	(946,939)	(18,000)
Due from Other Governmental Units	(501)	-	-	-	(34,619)	(35,120)	96,280
Deferred Pension Outflows	357,939	-	-	-	330,775	688,714	1,940,875
Inventories	(119,761)	-	-	-	58,467	(61,294)	444,499
Prepaid Items	-	-	-	-	-	-	3,723
Land Held for Resale	-	171,512	-	-	-	171,512	-
Increase (Decrease) in							
Accrued Salaries Payable	858	-	-	-	(63,413)	(62,555)	2,891
Accounts Payable	274,335	30,231	62,039	(539,168)	(237,791)	(410,354)	(310,800)
Contracts and Retention Payable	-	3,235	-	-	-	3,235	-
Due to Component Units	948	-	-	-	-	948	-
Due to Other Governmental Units	1,419	(373)	86	-	(3,314)	(2,182)	(149,425)
Net Pension Liability	(864,088)	-	-	-	(1,088,692)	(1,952,780)	(4,685,405)
Deferred Pension Inflows	668,184	-	-	-	884,909	1,553,093	3,623,143
Unearned Revenue	-	(269,001)	-	-	4,745	(264,256)	(85,184)
Compensated Absences Payable	19,336	-	-	-	(111,654)	(92,318)	139,138
Net Other Postemployment Benefits Obligation	(35,120)	-	-	-	95,227	60,107	935,881
Total Adjustments	4,867,102	297,303	3,252,803	(539,168)	418,025	8,296,065	5,131,937
NET CASH PROVIDED (USED) BY OPERATING ACTIVITIES	$ 17,460,207	$ (270,131)	$ 9,597,349	$ (539,168)	$ (566,984)	$ 25,681,273	$ 8,520,790
RECONCILIATION OF CASH AND CASH EQUIVALENTS TO THE STATEMENT OF NET POSITION							
Cash and Investments with Treasurer	$ 26,972,916	$ 14,503,961	$ 18,959,445	$ 912,293	$ -	$ 61,348,615	$ 26,862,329
Cash Held with Fiscal Agents	-	-	1,059,965	-	-	1,059,965	-
Cash and Investments with Trustees	-	808,570	-	-	-	808,570	-
Imprest Funds	-	-	-	-	1,600	1,600	950
Restricted Cash and Investments	16,359,260	-	4,231,167	-	-	20,590,427	-
TOTAL CASH AND CASH EQUIVALENTS	$ 43,332,176	$ 15,312,531	$ 24,250,577	$ 912,293	$ 1,600	$ 83,809,177	$ 26,863,279
NONCASH INVESTING, CAPITAL AND FINANCING ACTIVITIES							
Capital Assets Purchased on Account							
Public Improvements	$ 241,936	$ -	$ -	$ -	$ -	$ 241,936	$ -
Loss on Capital Assets	-	-	(242,027)	-	-	(242,027)	-

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF NET POSITION
AGENCY FUNDS
DECEMBER 31, 2017

ASSETS		
Cash and Investments with Treasurer	$	3,308,771
Receivables		
Accounts (net of allowance for estimated uncollectibles)		12,068
TOTAL ASSETS	$	3,320,839
LIABILITIES		
Accounts Payable	$	2,140,418
Due to Other Governmental Units		1,180,421
TOTAL LIABILITIES	$	3,320,839

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF NET POSITION
ALL DISCRETELY PRESENTED COMPONENT UNITS
DECEMBER 31, 2017

	RiverCentre Convention & Visitors Authority	Regional Water Services	Port Authority	Totals
ASSETS				
Current Assets				
Cash and Investments	$ 4,038,602	$ 27,817,037	$ 1,339,772	$ 33,195,411
Investments	1,160,100	9,835,379	7,895,296	18,890,775
Departmental Cash	-	46,015	-	46,015
Imprest Funds	-	2,000	-	2,000
Restricted Cash and Cash Equivalents				
Cash for General Obligation Debt Service	-	-	21,584,603	21,584,603
Cash for Revenue Bond Debt Service	-	-	710,351	710,351
Investments for Operations	394,765	-	-	394,765
Investments for General Obligation Bond Debt Service	-	-	7,132,356	7,132,356
Investments for Revenue Bond Debt Service	-	2,894,900	-	2,894,900
Investments for Revenue Note Debt Service	-	2,147,389	-	2,147,389
Receivables				
Accounts (net of allowance for Estimated Uncollectibles)	1,285,877	5,878,636	1,526,790	8,691,303
Assessments	-	2,847,555	-	2,847,555
Accrued Interest	-	265,342	53,747	319,089
Due from Primary Government	-	82,668	1,207,989	1,290,657
Due from Other Governmental Units	-	729,467	-	729,467
Inventory - Materials and Supplies	-	2,209,887	54,273	2,264,160
Prepaid Items	134,214	-	318,407	452,621
Total Current Assets	7,013,558	54,756,275	41,823,584	103,593,417
Noncurrent Assets				
Restricted Assets				
Investments for Operations	3,227,491	-	-	3,227,491
Investments for Revenue Bond Future Debt Service	-	5,050,682	-	5,050,682
Investments for Revenue Bond Operations and Maintenance	-	1,870,619	-	1,870,619
Total Restricted Assets	3,227,491	6,921,301	-	10,148,792
Other Assets				
Other Long-Term Receivables	-	91,095	64,772,193	64,863,288
Taxes Receivable	-	-	50,969,092	50,969,092
Total Other Assets	-	91,095	115,741,285	115,832,380
Capital Assets				
Land	-	4,061,766	8,028,566	12,090,332
Buildings and Structures	-	57,603,238	64,014,264	121,617,502
Less: Accumulated Depreciation	-	(25,866,215)	(36,323,041)	(62,189,256)
Public Improvements	-	393,927,790	-	393,927,790
Less: Accumulated Depreciation	-	(139,503,713)	-	(139,503,713)
Equipment	417,820	57,835,368	4,016,908	62,270,096
Less: Accumulated Depreciation	(291,586)	(32,943,825)	(2,424,607)	(35,660,018)
Construction in Progress	-	18,097,642	14,572,497	32,670,139
Total Capital Assets	126,234	333,212,051	51,884,587	385,222,872
Total Noncurrent Assets	3,353,725	340,224,447	167,625,872	511,204,044
TOTAL ASSETS	10,367,283	394,980,722	209,449,456	614,797,461
DEFERRED OUTFLOWS OF RESOURCES				
Deferred Loss on Debt Refunding	-	-	354,545	354,545
Deferred Pension Outflows	-	3,813,972	334,319	4,148,291
TOTAL DEFERRED OUTFLOWS OF RESOURCES	-	3,813,972	688,864	4,502,836
TOTAL ASSETS AND DEFERRED OUTFLOW OF RESOURCES	$ 10,367,283	$ 398,794,694	$ 210,138,320	$ 619,300,297

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF NET POSITION
ALL DISCRETELY PRESENTED COMPONENT UNITS
DECEMBER 31, 2017

	RiverCentre Convention & Visitors Authority	Regional Water Services	Port Authority	Totals
LIABILITIES				
Current Liabilities (Payable from Current Assets)				
Accrued Salaries Payable	$ 92,989	$ 962,740	$ 44,317	$ 1,100,046
Compensated Absences Payable	-	39,438	-	39,438
Claims and Judgments Payable	-	641,126	-	641,126
Accounts Payable	1,202,498	2,262,239	5,204,753	8,669,490
Contract Retention Payable	-	314,147	-	314,147
Due to Primary Government	-	4,857,146	-	4,857,146
Due to Other Governmental Units	-	3,461,227	16,560	3,477,787
Unearned Revenue	579,418	195,059	8,920,481	9,694,958
Revenue Notes Payable	19,677	-	-	19,677
Total Current Liabilities (Payable from Current Assets)	1,894,582	12,733,122	14,186,111	28,813,815
Current Liabilities (Payable from Restricted Assets)				
General Obligation Bonds	-	-	2,310,000	2,310,000
Revenue Bonds Payable	-	2,625,000	35,011,571	37,636,571
Revenue Notes Payable	-	1,634,067	4,156,984	5,791,051
Accrued Interest Payable				
General Obligation Bonds	-	-	429,668	429,668
Revenue Bonds	-	22,491	34,321,904	34,344,395
Revenue Notes	-	40,253	455,865	496,118
Total Current Liabilities (Payable from Restricted Assets)	-	4,321,811	76,685,992	81,007,803
Total Current Liabilities	1,894,582	17,054,933	90,872,103	109,821,618
Noncurrent Liabilities				
General Obligation Bonds Payable	-	-	32,153,890	32,153,890
Revenue Bonds Payable	-	8,319,275	30,943,789	39,263,064
Revenue Notes Payable	62,695	27,140,295	31,303,259	58,506,249
Compensated Absences Payable	-	1,710,276	-	1,710,276
Net Other Postemployment Benefits Obligation	-	4,942,617	600,736	5,543,353
Net Pension Liability	-	15,439,693	1,353,394	16,793,087
Claims and Judgments Payable	-	4,289,195	-	4,289,195
Total Noncurrent Liabilities	62,695	61,841,351	96,355,068	158,259,114
TOTAL LIABILITIES	1,957,277	78,896,284	187,227,171	268,080,732
DEFERRED INFLOWS OF RESOURCES				
Deferred Pension Inflows	-	2,963,272	382,111	3,345,383
TOTAL LIABILITIES AND DEFERRED INFLOWS OF RESOURCES	1,957,277	81,859,556	187,609,282	271,426,115
NET POSITION				
Net Investment in Capital Assets	126,234	293,493,414	15,473,263	309,092,911
Restricted	-	11,900,846	7,055,775	18,956,621
Unrestricted	8,283,772	11,540,878	-	19,824,650
TOTAL NET POSITION	$ 8,410,006	$ 316,935,138	$ 22,529,038	$ 347,874,182

The accompanying notes are an integral part of these financial statements.

CITY OF SAINT PAUL, MINNESOTA
STATEMENT OF ACTIVITIES
ALL DISCRETELY PRESENTED COMPONENT UNITS
YEAR ENDED DECEMBER 31, 2017

		Program Revenues			Net (Expense) Revenue and Changes in Net Position			
					Component Units			
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	RiverCentre Convention & Visitors Authority	Regional Water Services	Port Authority	Totals
RiverCentre Convention & Visitors Authority	$ 20,362,619	$ 12,237,613	$ 599,456	$ 2,843,633	$ (4,681,917)	$ -	$ -	$ (4,681,917)
Regional Water Services	50,384,317	62,337,254	107,752	667,490	-	12,728,179	-	12,728,179
Port Authority	33,722,919	19,432,334	1,846,063	1,250,000	-	-	(11,194,522)	(11,194,522)
Total Component Units	$ 104,469,855	$ 94,007,201	$ 2,553,271	$ 4,761,123	$ (4,681,917)	$ 12,728,179	$ (11,194,522)	$ (3,148,260)
General Revenues								
Taxes								
Property Taxes, Levied for Debt Service					$ -	$ -	$ 8,709,540	$ 8,709,540
Hotel/Motel Tax					2,223,584	-	-	2,223,584
Investment Income								
Interest Earned on Investments					51,200	823,543	306,968	1,181,711
Increase (Decrease) in Fair Value of Investments					57,251	(37,880)	(78,984)	(59,613)
Gain on Sale of Capital Assets					-	51,293	-	51,293
Miscellaneous					46,507	104,843	-	151,350
Total General Revenues					2,378,542	941,799	8,937,524	12,257,865
Change in Net Position					(2,303,375)	13,669,978	(2,256,998)	9,109,605
NET POSITION, January 1					10,713,381	303,265,160	24,786,036	338,764,577
NET POSITION, December 31					$ 8,410,006	$ 316,935,138	$ 22,529,038	$ 347,874,182

Note I. Form of Government

The City of Saint Paul, Minnesota has a mayor-council form of government. The mayor is elected by the voters of the City at large for four years on a full-time basis. The City is divided into seven wards. Voters of each ward elect a member of the City Council for four years on a part-time basis. Executive power is vested in the mayor; legislative power is vested in the Council. The mayor has veto power, which the Council may override with a vote of five members.

Note II. Financial Reporting Entity

In accordance with Governmental Accounting Standards Board (GASB) Statement No. 14 – *The Financial Reporting Entity* and GASB Statement No. 61 – *The Financial Reporting Entity – Omnibus,* the City's financial reporting entity consists of (a) the primary government, (b) organizations for which the primary government is financially accountable, and (c) other organizations for which the nature and significance of their relationship with the primary government are such that exclusion would cause the reporting entity's financial statements to be misleading or incomplete. Component units are legally separate organizations for which the elected officials of the primary government are financially accountable. The primary government is financially accountable for the component unit if it appoints a voting majority of the component unit's governing body and is able to impose its will on the component unit or there is a potential for the component unit to provide specific financial benefits to, or impose specific financial burdens on, the primary government.

As required by generally accepted accounting principles, the financial statements of the reporting entity include those of the City of Saint Paul (the primary government) and its component units (legally separate organizations). The component units discussed below are included in the City's reporting entity because of the significance of their operational or financial relationship with the City.

In conformity with generally accepted accounting principles, the financial statements of component units have been included in the City's reporting entity either as blended component units or as discretely presented component units. Blended component units' financial data is reported as part of the primary government and are reported with similar funds of the primary government. Discretely presented component units' financial data is reported in a column separate from the financial data of the primary government to emphasize that they are legally separate from the City.

Blended Component Units
The following component units have been presented as blended component units because the component units' governing bodies are the same as the governing body of the City and a financial benefit or burden relationship exists or the City has operational responsibility for the component unit.

Housing and Redevelopment Authority of the City of Saint Paul (HRA)
The Housing and Redevelopment Authority of the City of Saint Paul (HRA) was established to undertake urban renewal programs. These programs strive to redevelop the residential, commercial and industrial areas of the City of Saint Paul and to provide adequate jobs, a sound fiscal base and a variety of affordable housing for City residents. The City of Saint Paul's City Councilmembers act as the HRA Board and the City has operational responsibility of the HRA. The Authority's budget and tax levy are approved by the City Council. The City has a general obligation pledge on certain HRA debt. Separate financial statements for the HRA can be obtained from the City of Saint Paul, Department of Planning and Economic Development, 1400 City Hall Annex, 25 West Fourth Street, Saint Paul, MN 55102.

Note II. Financial Reporting Entity (continued)

The HRA's component unit, Penfield Apartments, LLC is presented as a blended component unit of the HRA because the component unit's governing body is the same as the governing body of the HRA. Penfield Apartments, LLC is the developer and owner of a 253-unit market rate apartment complex, with structured parking and a grocery store located in the complex. It is a special purpose entity LLC, financed primarily by a U.S. Department of Housing and Urban Development mortgage, and is wholly owned by a single entity, the HRA. The HRA Board acts as the Penfield Apartments, LLC Board. In September 2016, the Penfield Apartments were sold to LIPT, LLC and the sales proceeds paid off the existing mortgages. Separate financial statements since then are not available.

Saint Paul Library Agency
The Saint Paul Library Agency was established in 2003 and is responsible for operating the City's public library system. This system provides reading materials to meet the interests of all ages, responds to the community's need for information and facilitates lifelong learning to enrich the quality of life in the community. The City of Saint Paul's City Councilmembers act as the Library Board and the City has operational responsibility of the agency. The agency's budget is approved by the Board. The agency's tax levy is approved by City Council. The City has a general obligation pledge on Library debt. The Library Agency consists of an operating fund and a special projects fund. These funds are incorporated into the City's financial report.

Discretely Presented Component Units
The component unit columns in the government-wide financial statements includes the financial data of the City's other component units. The governing bodies of these component units are not substantively the same as the governing body of the primary government and the component units do not provide services exclusively to the primary government.

RiverCentre Convention & Visitors Authority
The Saint Paul RiverCentre Convention & Visitors Authority (RCVA), a Minnesota non-profit corporation, was organized to equip, maintain, manage and operate the RiverCentre Convention Center, Roy Wilkins Auditorium, RiverCentre Parking Ramp and pedestrian connection and operate a convention bureau to market and promote the City as a tourist and convention destination. The Mayor appoints the President and CEO. There are nineteen individuals on the Board of Directors. Ten directors are designated by the Mayor with the approval of City Council, three directors are City Councilmembers and six directors are members of the RCVA who represent the business community. Debt obligations have been issued on behalf of the RCVA and the operational revenues have been committed to the repayment of those obligations. However, ultimately, the City of Saint Paul or the Saint Paul Housing and Redevelopment Authority would be obligated to pay those debt obligations if the RCVA's revenues were insufficient to meet debt service. Separate financial statements for the RCVA can be obtained from the Saint Paul RiverCentre Convention & Visitors Authority; 175 West Kellogg Boulevard; Suite 502; Saint Paul, MN 55102.

Saint Paul Regional Water Services
The Saint Paul Regional Water Services provides safe, quality water to Saint Paul and surrounding communities at a reasonable price. The Board of Water Commissioners consists of seven members. Five board members are appointed by the Mayor with the consent of the City Council, three of whom are City Councilmembers and two are citizens. The remaining two board members are appointed by suburban city councils. The City Council approves the Regional Water Services' water rates and the City has issued general obligation bonded debt on behalf of Regional Water Services. As part of the annual audit of the City performed by the State Auditor's Office, the Regional Water Services' financial statements have been included in their audit. Separate financial statements can be obtained from the Regional Water Services; Business Division; 1900 Rice Street; Saint Paul, MN 55113.

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note II. Financial Reporting Entity (continued)

Port Authority of the City of Saint Paul
The Port Authority of the City of Saint Paul was established to increase the volume of commerce in the City through the creation of development districts and the acquisition and construction of industrial, commercial and other revenue-producing projects. The Port Authority finances this development in order to expand the tax base and create job opportunities. The Mayor appoints the Port Authority's board of commissioners with the consent of the City Council. Two of the seven board of commissioners are City Councilmembers. The Port Authority has issued general obligation debt and the Authority's development activities are financed in part with tax increment financing. It should be noted that other debt issued by the Port Authority, including industrial development revenue bonds, are not liabilities of the City of Saint Paul. The Port Authority considers these bonds as no-commitment debt, and they are excluded from its financial statements. The Authority defines no-commitment debt as debt for which the Authority has no further financial obligation. The industrial development bonds do not constitute indebtedness of the City and are secured solely by revenues from the commercial organizations on whose behalf the bonds are issued. The City assumes no responsibility for the day-to-day operations of the Port Authority, nor is it responsible for financing deficits. Separate financial statements can be obtained from the Port Authority of the City of Saint Paul, Chief Financial Officer, 380 St. Peter Street; Suite 850; Saint Paul, MN 55102.

The Port Authority's component unit, Capital City Properties (CCP), is a Minnesota not-for-profit corporation established in 1991 for the purpose of performing the functions and carrying out the public purposes of the Port Authority. All of the members of the board of directors of CCP are either commissioners or staff of the Port Authority. CCP leases the Capital City Plaza Parking Garage St. Paul, as well as participates in various joint ventures. Subject to the authorization of the CCP board of directors, excess cash flow may be utilized to carry out the public purpose of the Port Authority. Complete financial statements can be obtained from Capital City Properties, Chief Financial Officer, 380 St. Peter Street; Suite 850; Saint Paul, MN 55102.

Related Organizations
The City's officials are also responsible for appointing the members of the boards of other organizations, but the City's accountability for these organizations do not extend beyond making the appointments. Related organizations are not included in the City's reporting entity.

The Public Housing Agency of the City of Saint Paul owns and operates housing projects for low income, elderly and handicapped families. The commissioners of the Public Housing Agency are appointed by the City Council. The City does not provide funding, has no obligation for the debt of the Agency, and cannot impose its will on the Agency.

The Riverfront Redevelopment Corporation was established to affect the planning and implementation of the development and preservation of the Mississippi River Corridor within Saint Paul. The operations of the Redevelopment Corporation are managed by a board of directors consisting of not less than eight and no more than seventeen members. All members of the board of directors are appointed by the Mayor with the consent of the City Council. Four of the directors of the corporation are designated as the City representatives. These are (1) Mayor or the Mayor's designee, (2) two members of the City Council and (3) the Director of the City of Saint Paul, Department of Planning and Economic Development. The City has no ability to impose its will to significantly influence the programs, projects or level of services performed or provided by the Riverfront Redevelopment Corporation. The City is not responsible for funding debts, operating deficiencies and/or disposing of surpluses.

Note II. Financial Reporting Entity (continued)

Joint Venture

The Minneapolis/Saint Paul Housing Finance Board (the Board) was established in accordance with a Joint Powers Agreement entered into between the HRA and the former Minneapolis Community Development Agency (MCDA), and accepted by the cities of Minneapolis and Saint Paul under State of Minnesota laws. The governing bodies of the HRA and the City of Minneapolis each appoint three of the six members of the Board. The Board was created for the public purpose of providing decent, safe, sanitary, and affordable housing to the residents of the City of Saint Paul and the City of Minneapolis. The powers exercised by the Board include the power to undertake financing programs to implement individual components of the housing plan for each city and to issue revenue bonds to finance such programs. All bonds are special limited obligations of the Board and shall be payable only out of funds specifically pledged for each issue. Total net position at December 31, 2017, was $8,547,925. The 2017 operations resulted in a decrease of $372,924 to net position. During 2017, there were no distributions made from the Board to Minneapolis/Saint Paul.

Upon dissolution of the Board, all properties acquired by the Board and any surplus monies shall be distributed to the HRA and the City of Minneapolis in the proportion and otherwise pursuant to directions provided in the related indenture of trust or other bond documents. If properties acquired by the Board and any surplus monies are not traceable to a particular bond issue or the indenture is silent as to distribution of the assets upon discharge of the issue, the assets shall be distributed on the basis of the amount of funds each entity has contributed that would affect those assets. The respective percentage shares of the HRA and the City of Minneapolis in the Board's assets, liabilities, and equity were not determined at December 31, 2017. There has been no investment made by the HRA in the joint venture. Thus, the financial statements do not reflect an equity interest in the joint venture. Complete financial statements of the Board can be obtained from the City of Saint Paul, Department of Planning and Economic Development, 1400 City Hall Annex, 25 West Fourth Street, Saint Paul, Minnesota 55102.

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Note III. Summary of Significant Accounting Policies

The financial statements of the City of Saint Paul have been prepared in conformity with generally accepted accounting principles (GAAP) in the United States of America as applied to government units. The Governmental Accounting Standards Board (GASB) is the accepted standard-setting body for establishing governmental accounting and financial reporting principles. The more significant of the City's accounting policies are described below.

A. Government-wide and Fund Financial Statements

Government-wide Financial Statements

The statement of net position and statement of activities display information about the reporting government as a whole. They include all funds of the reporting entity except for fiduciary funds. The statements distinguish between governmental and business-type activities and are prepared on the full accrual economic resource basis. Governmental activities generally are financed through taxes, intergovernmental revenues and other nonexchange revenues. Business-type activities are financed in whole or in part by fees charged to external parties for goods or services. Likewise, the primary government is reported separately from certain legally separate component units for which the primary government is financially accountable.

The statement of activities demonstrates the degree to which the direct expenses of a given function or segment is offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. The City allocates indirect expenses to functions in the statement of activities. Program revenues include 1) charges to customers or applicants who purchase, use or directly benefit from goods, services or privileges provided by a given function or segment, and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not included among program revenues are reported as general revenues.

Fund Financial Statements

Financial statements of the reporting entity are organized into funds, each of which is considered to be a separate accounting entity. Each fund is accounted for by providing a separate set of self-balancing accounts, which constitute its assets, liabilities, deferred inflows/outflows of resources, fund equity/net position, revenues and expenditures/expenses. The modified accrual basis of accounting continues to be the appropriate basis of accounting for governmental activity fund financial statements.

Separate financial statements are provided for governmental funds, proprietary funds and fiduciary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Funds are organized as major funds or non-major funds within the governmental and proprietary statements. An emphasis is placed on major funds within the governmental and proprietary categories. A fund is considered major if it is the primary operating fund of the City or meets the following criteria:

1. Total assets and deferred outflows of resources, liabilities and deferred inflows of resources, revenues or expenditures/expenses of that individual governmental or enterprise fund are at least 10 percent of the corresponding total for all funds of that category or type; and

2. The same element of the individual governmental fund or enterprise fund that met the 10 percent test is at least 5 percent of the corresponding total for all governmental and enterprise funds combined.

Note III. Summary of Significant Accounting Policies (continued)

3. In addition, any other governmental or enterprise fund that the City believes is particularly important to financial statement users may be reported as a major fund.

The City reports the following major governmental funds:

- General Fund – accounts for the City's primary operating activities financed mainly from property taxes, franchise fees and local government aid. It is used to account for all financial resources except those accounted for in another fund.
- Assessment Financing – accounts for assessments and fees charged for the building of capital projects, Truth-In-Sale of Housing, Nuisance Housing Abatement, Code Enforcement and the Rental Registration program.
- Public Library General Fund – accounts for the primary operating activities of the Library financed mainly from property taxes to provide a full range of library services.
- HRA General Fund – accounts for the HRA's primary operating activities financed mainly from property taxes and conduit bond fees. It is used to account for all financial resources except those accounted for in another fund.
- City Debt Service – accounts for resources accumulated, mainly from property taxes, investment earnings and payments made for principal and interest on long-term obligations other than tax increment district or enterprise fund debt.
- HRA Debt Service – accounts for HRA resources accumulated, mainly from property tax increment, investment earnings and payments made for principal and interest on long-term obligations other than enterprise fund debt.
- City Capital Projects – to account for monies received from the sale of general obligation bonds and Invest Saint Paul bonds which are transferred to this fund. It also accounts for monies received from various agencies to fund construction projects and capital expenditures for the improvement of residential structures and commercial corridors.

The City reports the following major enterprise funds:

- Sewer Utility – accounts for all fees collected from the customers connected to the City sewer system and for all expenses of operating this system.
- HRA Loan – accounts for loans issued under HRA housing and business programs.
- HRA Parking – accounts for parking revenues which are used for acquisition, construction, operation and maintenance of HRA-owned parking facilities.
- HRA Penfield – accounts for the operations and debt service for the Penfield Apartments, a market rate rental project. The Penfield Apartments were sold in September 2016.

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Note III. Summary of Significant Accounting Policies (continued)

The City reports the following non-major governmental and enterprise funds:

Non-Major Governmental Funds

Special Revenue Funds are used to account for and report the proceeds of specific revenue sources that are restricted or committed to expenditure for specific purposes other than debt service or capital projects.

- City Grants
- General Government Special Projects
- Fire Responsive Services
- Police Special Projects
- Charitable Gambling
- Right Of Way Maintenance
- Street Lighting Districts
- Recycling And Solid Waste
- Public Health
- Parks and Recreation Special Projects
- Como Campus
- Parkland Replacement
- Lowertown Ballpark
- Public Library Special Projects
- City HUD Grants
- City Sales Tax
- HRA Grants

Capital Projects Funds are used to account for and report financial resources that are restricted, committed, or assigned to expenditure for capital outlays, including acquisition or construction of capital facilities and other capital assets.

- HRA Development Capital Projects
- HRA Tax Increment Capital Projects

Permanent Funds are used to account for and report resources that are restricted to the extent that only earnings, and not principal, may be used for purposes that support the reporting government's programs; that is, for the benefit of the government or its citizenry.

- Parks Memorial

Non-Major Enterprise Funds

Enterprise Funds are used to report any activity for which a fee is charged to external users of goods or services, and must be used for activities which meet certain debt or cost-recovery criteria.

- Parks Special Services
- Impound Lot
- River Print

In addition, the City reports the following fund types:

Internal Service Funds are used to account for the financing of goods or services provided by one department or agency to other departments or agencies of the City, or to other governmental units, on a cost-reimbursement basis, including attorney, purchasing, technology, equipment, engineering and administrative services.

Agency Funds are used to account for assets held by the City in a trustee capacity or as an agent for individuals, private organizations, and/or other governmental units. These funds include employee withholding, funds payable to the State of Minnesota for sales and use tax, building permit surcharge and unclaimed property, and others.

Note III. Summary of Significant Accounting Policies (continued)

B. Measurement Focus, Basis of Accounting and Financial Statement Presentation

Government-wide Financial Statements

The government-wide statement of net position and statement of activities are reported using the economic resources measurement focus and the full accrual basis of accounting. Under the full accrual basis of accounting, revenues are recognized when earned and expenses are recorded when the liability is incurred or economic asset used. Revenues, expenses, gains, losses, assets and liabilities resulting from exchange and exchange-like transactions are recognized when the exchange takes place. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider are met. Special assessments are recorded as revenue when earned. Unbilled receivables are recorded as revenues when services are provided.

As a general rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are charges between the City's enterprise funds and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note III. Summary of Significant Accounting Policies (continued)

Fund Financial Statements – Governmental Funds

Governmental funds are reported using the current financial resources measurement focus and the modified accrual basis of accounting.

Revenues

Governmental fund revenues are recognized in the accounting period in which they become susceptible to accrual; that is, when they become both measurable and available to finance the expenditures of the fiscal period. "Available" means collectible within the current period or soon enough thereafter to be used to pay liabilities of the current period. Revenues for nonexchange transactions are recognized based on the principal characteristics of the revenue. Exchange transactions are recognized as revenue when the exchange occurs.

Nonexchange Transactions

Derived tax revenue transactions result from assessments imposed by governments on exchange transactions. Hotel-motel tax and City sales tax are reported as revenue when the underlying exchange occurs and the receivable amount is available.

Imposed nonexchange transactions result from assessments by governments on nongovernmental entities and individuals. Property taxes, franchise fees and capital improvement special assessments are imposed nonexchange transactions. Revenues from property taxes and capital improvement special assessments are recognized in the period for which they were levied, to the extent they are collected in the current period or soon enough thereafter to be used to pay liabilities of the current period.

Property taxes, franchise fees and capital improvement special assessments receivable which are not available are reported as deferred inflows of resources, and will be recognized as revenue in the fiscal year that they become available. The City considers these revenues as available if they are collected within sixty days after year end.

Government-mandated nonexchange transactions occur when a government at one level provides resources to a government at another level and requires that government to use them for a specific purpose. The provider government establishes purpose restrictions and may also establish time requirements. Federal and state grants mandating the City perform particular programs are government-mandated nonexchange transactions. Revenues are recognized when the eligibility and time requirements are met, usually when the corresponding expenditure is incurred, using the guidelines of the legal and contractual requirements of the individual programs.

Voluntary nonexchange transactions result from legislative or contractual agreements, such as grants, entitlements, appropriations and donations. The provider may establish purpose restrictions and eligibility requirements. Revenues are recognized in the year to which they apply according to statute or contract. Gifts and contributions from individuals and miscellaneous revenues are also considered voluntary nonexchange transactions, and are generally recognized when received in cash because they are not measurable until received. Tax credits paid by the state (included in intergovernmental revenue) are recognized as revenue in the fiscal year that they become available. The City considers revenues from tax credits paid by the state as available if they are collected within sixty days after year end.

Note III. Summary of Significant Accounting Policies (continued)

Exchange Transactions

Exchange transactions include revenues such as interest earned, service-type special assessments, fees, sales and services, licenses and permits. Sales and services, interest earned and service-type special assessments are reported as revenue when they become both measurable and available to finance expenditures of the fiscal period. The City considers these revenues as available if they are collected within sixty days after year end. Licenses, permits and fees are reported as revenue when received in cash, because they are usually not measurable until received.

Expenditures

Expenditures are recorded under the modified accrual method when the fund liability is incurred, except for principal and unmatured interest on general long-term debt which is recognized when due, and certain compensated absences and claims and judgments which are recognized when the obligations are expected to be liquidated with expendable available financial resources.

Fund Financial Statements – Proprietary Funds and Fiduciary Funds

Proprietary funds, consisting of enterprise and internal service funds, are reported using the economic resources measurement focus and the full accrual basis of accounting. Their revenues are recognized when they are earned, and their expenses are recognized when they are incurred. Material unbilled accounts receivables are recorded at year end.

The proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the proprietary funds are charges to customers for sales and services. Operating expenses for proprietary funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

The City's Fiduciary Funds consist solely of Agency Funds. Agency Funds do not have a measurement focus, but are reported on a full accrual basis of accounting.

Fund Financial Statements – All Funds

The preparation of financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenditures/expenses during the reporting period. Actual results could differ from those estimates.

Note III. Summary of Significant Accounting Policies (continued)

C. Assets, Liabilities, Deferred Outflows/Inflows of Resources, and Net Position

1. Cash and Investments

The City maintains a general portfolio, which is a pool of investments covering pooled cash and cash equivalents. The City's Office of Financial Services, Treasury Section, also manages the deposit and investment function of the Regional Water Services and the majority of the RiverCentre Convention & Visitors Authority discretely presented component units. Each fund's portion of this pool is displayed on the financial statements within "Cash and Investments with Treasurer."

Cash equivalents are cash on hand, cash in bank and highly-liquid investments adjusted to fair value having original maturities (time span from purchase date to maturity date) of three months or less. Cash equivalents are identified only for the purpose of the Statement of Cash Flows. Included in the classification of cash equivalents are cash and investments with treasurer, imprest funds and restricted cash.

In addition, the City invests non-pooled cash within various funds. Investments are reported at fair value, as defined and determined in accordance with Governmental Standards Board Statement No. 72, *Fair Value Measurement and Application*. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Changes in fair value of investments are reported as revenue in the year in which the change occurred. Accordingly, investments are stated at fair value.

A market approach is used to value all investments other than external investment pools, which are measured at the net asset value, or fair value per share. Investments in nonparticipating interest-earning contracts, such as savings accounts and nonnegotiable certificates of deposit are reported at cost. Money market investments and participating interest-earning investment contracts (negotiable certificates of deposit), are reported at amortized cost, since these investments had a remaining maturity of one year or less at the time of purchase. Money market investments are short-term, highly-liquid debt instruments, bankers' acceptances and U.S. Treasury and agency obligations.

It is the City's practice to ensure that investments can be held to maturity. The amounts of unrealized gains or losses are included in investment income as an increase (decrease) in fair value of investments. In 2017, the City recorded a "decrease in fair value of investments" as negative investment income of $419,396 for governmental and proprietary funds. The calculation of realized gains and losses is independent of the calculation of the net change in the fair value of investments. Realized gains and losses on investments that have been held in more than one fiscal year and sold in the current year were included as part of the change in the fair value of investments reported in the current year.

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Note III. Summary of Significant Accounting Policies (continued)

Interest Earned on Investments

In accordance with legal provisions, investment earnings from pooled deposits and investments are recorded in the following funds:

General Fund

Special Revenue Funds:
- HRA General Fund
- City Grants
- Police Special Projects
- Right Of Way Maintenance
- Parks And Recreation Special Projects
- Parkland Replacement
- Public Library Special Projects
- City Sales Tax

Debt Service Funds:
- City Debt Service
- HRA Debt Service

Capital Projects Funds:
- City Capital Projects
- HRA Tax Increment Capital Projects

Permanent Fund:
- Parks Memorial

Enterprise Funds:
- Sewer Utility
- HRA Loan
- HRA Parking
- Parks Special Services

Internal Service Funds:
- Internal Borrowing

Investment earnings are allocated based on average monthly cash balances.

See Note VI.A for further information.

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note III. Summary of Significant Accounting Policies (continued)

2. Receivables

Property Taxes

Property tax levies are set by the City Council in October each year, and are certified to Ramsey County for collection in the following year. In Minnesota, counties act as collection agents for all property taxes.

The county spreads all levies over assessable property. Such taxes become a lien on January 1 and are recorded as receivables by the City at that date. Revenues are accrued and recognized in the year collectible, net of delinquencies.

Real property taxes may be paid by taxpayers in two equal installments, on May 15 and October 15. Personal property taxes on leased government-owned property may be paid in two equal installments on May 15 and October 15; property taxes on other personal property are to be paid in full on May 15.

Taxes which remain unpaid at December 31 are classified as delinquent taxes receivable, and are fully offset by deferred inflows of resources, because they are not known to be available to finance current expenditures. No allowance for uncollectible taxes has been provided, because such amounts are not expected to be material.

Accounts Receivable

Accounts receivable has been shown net of an allowance for uncollectible accounts.

Interfund Receivables and Payables

During the course of operations, transactions occur between individual funds that may result in amounts owed between funds. Short-term interfund loans are reported as "due to and from other funds." Long-term interfund loans (noncurrent portion) are reported as "advances from and to other funds." Interfund receivables and payables between funds within governmental activities are eliminated in the statement of net position. Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Advances to other funds as reported in the fund financial statements are included in nonspendable fund balance in the General Fund to indicate the asset is not in spendable form and in restricted, committed, or assigned fund balance in the other governmental funds to indicate the level of constraint placed upon the proceeds from the repayment of the advance.

Notes and Loans Receivable

Notes and loans (hereafter referred to as "loans") have been issued to financially assist private developers in various Saint Paul development projects or to provide housing or commercial rehabilitation financing for Saint Paul property owners. All loans are secured by first or second property mortgages, with the exception of the STAR Program loans, which are not always secured.

Loans receivable in governmental funds are reported as an asset in the amount of loan proceeds disbursed less collections on principal. In order to satisfy federal grant reporting requirements, deferred inflows of resources of an equal amount to the asset is also reported on the respective governmental fund balance sheet and revenues are reported when principal payments are received from the loan recipient. An allowance for uncollectible loans, which offsets the total gross loans receivables, is recognized for the amount of loans receivable for which collection is doubtful or questionable.

Note III. Summary of Significant Accounting Policies (continued)

Deferred inflows of resources are also reduced by the amount of the allowance for uncollectible loans. At the time of the disbursement of the loan, expenditures and loans receivable are debited in the amount of the loan issued, with the loans receivable being offset by a credit to deferred inflows of resources. In order to satisfy federal grant reporting requirements, unearned revenue of an equal amount to restricted grants is also reported in the balance sheet and revenues are reported when principal payments are received from the loan recipient.

For enterprise funds, loans receivable are reported as an asset in the amount of loan proceeds disbursed less collections on principal. An allowance for uncollectible loans, which offsets the total gross loans receivable, is recognized for the amount of loans receivable for which collection is doubtful or questionable.

The allowance for uncollectible loans is based upon an analysis of credit risk and payment delinquency.

3. Inventories and Prepaid Items

Inventories are valued at cost, which approximates market, using the first-in, first-out (FIFO) method. Proprietary fund inventories are generally used for construction, operation and maintenance work. They are not for resale. They are valued at cost based on weighted average, and charged to construction, operation and maintenance expense when used.

Certain payments to vendors which reflect costs applicable to future accounting periods are recorded as prepaid items in both government-wide and fund financial statements.

4. Land Held for Resale

Land is acquired by the HRA for subsequent resale for redevelopment purposes and not as an investment program. In order to entice development, the land is often resold at prices substantially lower than the HRA's cost. Land Held for Resale is reported as an asset at the net realizable value for all assets acquired before 2009 and at cost of purchase for all assets purchased after 2008 in the fund which acquired it. In governmental funds, in order to satisfy federal grant reporting requirements, land acquired is reported as expenditure in the amount of the acquisition cost and as assets for the same amount. When the land is subsequently sold, miscellaneous program income is recognized for the sale amount. Future drawdowns from the federal government for reimbursement of expenditures incurred are adjusted by program income available at that date.

5. Restricted Assets

Mandatory segregations of assets are presented as restricted assets. Such segregations are required by bond agreements and other external parties. Current liabilities payable from these restricted assets are so classified. The excess of restricted assets over current liabilities payable from restricted assets will be used first for retirement of related long-term debt.

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note III. Summary of Significant Accounting Policies (continued)

6. Capital Assets

Government-wide Financial Statements

Capital assets, which include land, buildings and structures, improvements, equipment and infrastructure (e.g., streets, bridges and sewers), are defined by the City as assets with an initial cost of more than $5,000 for general capital assets and $100,000 for infrastructure assets, and an estimated useful life of at least three years. Such assets are recorded at historical cost. Donated capital assets are recorded at acquisition value on the date received. Certain assets for which actual costs are not available have been valued on the basis of a professional valuation that determined their approximate historical cost. The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend asset lives are not capitalized.

Additions to and replacements of capital assets of business-type activities are recorded at original cost, which includes material, labor, overhead and an allowance for the cost of funds used during construction when significant. For tax-exempt debt, the amount of interest capitalized equals the interest expense incurred during construction netted against any interest revenue from temporary investment of borrowed fund proceeds. The cost of renewals and betterments relating to retirement units is added to related capital asset accounts. The cost of property replaced, retired or otherwise disposed of, is deducted from capital asset accounts and, generally, together with removal costs less salvage, is charged to accumulated depreciation.

Depreciation of all exhaustible capital assets is recorded as an allocated expense in the statements of activities, with accumulated depreciation reflected in the statement of net position. Depreciation is spread over the assets' estimated useful lives using the straight line method of depreciation. The range of estimated useful lives and method of depreciation by type of asset is as follows:

Asset	Method	Years
Buildings and Structures	Straight-Line	15-100
Infrastructure	Straight-Line	15-100
Public Improvements	Straight-Line	15-50
Equipment	Straight-Line	3-20

Fund Financial Statements

In the fund financial statements, capital assets used in governmental fund operations are accounted for as capital outlay expenditures of the governmental fund upon acquisition. Capital assets used in proprietary fund operations are accounted for the same way as in the government-wide statements.

7. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of net position reports a separate section for deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period(s) and so will not be recognized as an outflow of resources (expense/expenditure) until then. The City has three items that qualify for reporting in this category. The first is the unrealized loss on derivative instruments (interest swap derivative). The second is a deferred loss on debt refunding. The third is because contributions to pension plans subsequent to the measurement date of the net pension liability and before the fiscal year end are reported as deferred outflows of resources. In addition, amounts related to the increases in the net pension liability due to changes in assumptions, changes in the primary government's proportionate share of the net pension liability, differences between expected and actual economic experience, and differences between projected and actual investment earnings are reported as deferred outflows of resources.

Note III. Summary of Significant Accounting Policies (continued)

These amounts are amortized as pension expense over the average of the expected remaining service lives of all employees of the applicable pension plan, with the exception of the difference between expected and actual earnings, which is amortized over five years.

In addition to liabilities, the governmental funds report a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to future period(s) and so will not be recognized as an inflow of resources (revenue) until that time. The City has one item which arises only under a modified accrual basis of accounting that qualifies for reporting in this category. Accordingly, the item, unavailable revenue, is reported only in the governmental funds balance sheet. The governmental funds report unavailable revenue from the following sources: property taxes, operating grants and contributions, accounts receivable, accrued interest receivable, notes and loans receivable, special assessments, and capital grants. These amounts are deferred and recognized as an inflow of resources in the period that the amounts become available.

In the statement of net position, the City reports one deferred inflow of resources, pensions. Amounts related to the decreases in the net pension liability due to changes in assumptions, changes in the primary government's proportionate share of the net pension liability, differences between expected and actual economic experience, and differences between projected and actual investment earnings are reported as deferred inflows of resources. These amounts are amortized as pension expense over the average of the expected remaining service lives of all employees of the applicable pension plan, with the exception of the difference between expected and actual earnings, which is amortized over five years.

8. Compensated Absences

The compensated absences liability includes earned but unpaid vacation and compensatory time, vested sick leave, an estimate of current vesting sick leave that will eventually vest, and salary-related payments (fringe benefits) associated with the payment of vacation and compensatory time balances.

Employees earn vacation based on years of service and their bargaining unit. Vacation must be used in the year it is earned, except for 120 hours, which may be carried over to the following year. Employees are paid 100% of their accumulated vacation pay when they terminate their employment. All amounts are paid to a Post-Employment Health Plan (PEHP).

Sick leave earning varies based on bargaining units and ranges from 13 to 15 days per year and may be accumulated indefinitely. Terminated employees receive severance pay based upon unused sick leave. All severance pay is paid to a PEHP in the year following termination. Eligibility requirements and maximum allowable amounts vary, depending upon an employee's bargaining unit.

All vested vacation is accrued when incurred in the government-wide, proprietary and fiduciary fund financial statements. A liability for these amounts is reported in governmental funds only if they have matured; for example, as a result of employee resignations and retirements, or are payable with expendable available resources.

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note III. Summary of Significant Accounting Policies (continued)

9. Long-Term Obligations/Conduit Debt

All long-term obligations to be repaid from governmental and business-type resources are reported as liabilities in the government-wide statements. The long-term obligations consist primarily of notes and bonds payable, and accrued compensated absences. Notes and bonds payable are reported net of the applicable premium or discount. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight line method.

Long-term obligations for governmental funds are not reported as liabilities in the fund financial statements. The face value of the debt (plus any premiums) is reported as other financing sources in the year of issuance and payments of principal and interest are reported as expenditures. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received are reported as debt service expenditures at the time of the debt issuance. The accounting in proprietary funds is the same as it is in the government-wide statements.

The HRA has issued Commercial/Industrial Development, Homeownership Mortgage, and Rental Housing Revenue Bonds to assist developers, businesses, and low-to moderate-income homeowners in projects which improve the economic and housing conditions of the City. The bonds are secured by the financed property and are payable solely from the revenues of the individual commercial/industrial or housing projects. The bonds do not constitute a charge, lien, or encumbrance, legal or equitable, upon any property or funds of the HRA, nor is the HRA subject to any liability thereon. Accordingly, the bonds are not reported as liabilities in the accompanying financial statements. Conduit bonds issued subsequent to January 1, 1996, have an outstanding principal balance of $2.0 billion at December 31, 2017. The aggregate principal amount payable for conduit bonds issued prior to January 1, 1996, could not be determined; however, their original issue amounts totaled $2.9 billion. There were 185 conduit bonds issued prior to January 1, 1996, and 160 conduit bonds issued subsequent to January 1, 1996.

10. Claims and Judgments

Claims and judgments are recorded as liabilities if all the conditions of Governmental Accounting Standards Board pronouncements are met. Claims and judgments that would normally be liquidated with expendable available financial resources are recorded during the year as expenditures in the governmental funds. If they are not to be liquidated with expendable available financial resources, no liability is recognized in the governmental fund statements.

The related expenditure is recognized when the liability is liquidated. Claims and judgments are recorded in the government-wide statements and proprietary funds as expenses when the related liabilities are incurred.

11. Pensions

For purposes of measuring the net pension liability, deferred outflows/inflows or resources, and pension expense, information about the fiduciary net position of the Public Employee's Retirement Association (PERA) and additions to/deductions from PERA's fiduciary net position have been determined on the same basis as they are reported by PERA except that PERA's fiscal year end is June 30. For this purpose, plan contributions are recognized as of employer payroll paid dates and benefit payments and refunds are recognized when due and payable in accordance with the benefit terms. Plan investments are reported at fair value. The pension liability is liquidated through the General Fund and other governmental funds and proprietary funds that have personnel services.

Note III. Summary of Significant Accounting Policies (continued)

12. Equity Classifications

Government-wide Financial Statements

Equity is classified as net position and displayed in three components:

a. Net investment in capital assets – Consists of capital assets including infrastructure, net of accumulated depreciation and reduced by the outstanding balances of any bonds, mortgages, notes or other borrowings that are attributable to the acquisition, construction or improvement of those assets.

b. Restricted net position – Consists of net position with constraints placed on their use either by 1) external groups such as creditors, grantors, contributors, or laws or regulations of other governments or 2) law through constitutional provisions or enabling legislation.

c. Unrestricted net position – All other net position that do not meet the definition of "restricted" or "net investment in capital assets."

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed.

Fund Financial Statements

Classification of Fund Balances

Governmental fund equity is classified as fund balance. Fund balance is divided into five classifications based primarily on the extent to which the City is bound to observe constraints imposed upon the use of the resources in the governmental funds. The classifications are as follows:

Nonspendable – the nonspendable fund balance category includes amounts that cannot be spent because they are either not in spendable form, or legally or contractually required to be maintained intact. The "not in spendable form" criterion includes items that are not expected to be converted to cash.

Restricted – fund balance is reported as restricted when constraints placed on the use of the resources are either externally imposed by the creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or is imposed by law through constitutional provisions or enabling legislation.

Committed – the committed fund balance classification includes amounts that can be used only for the specific purposes imposed by formal action (resolution) of the City Council. Those committed amounts cannot be used for any other purpose unless the City Council removes or changes the specified use by taking the same type of action (resolution) it employed to previously commit those amounts.

Assigned – the assigned fund balance classification includes amounts the City intends to use for specific purposes but do not meet the criteria to be classified as restricted or committed. In governmental funds, assigned fund balance represents intended uses established by the City Council or the Office of Financial Services Director who has been delegated that authority by the City Council.

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note III. Summary of Significant Accounting Policies (continued)

Unassigned – Unassigned fund balance is the residual classification for the General Fund and includes all spendable amounts not contained in the other fund balance classifications. In other governmental funds, the unassigned classification is used only to report a deficit balance resulting from overspending for specific purposes for which amounts had been restricted or committed.

The City has adopted an accounting policy that in determining the composition of its ending fund balance will consider restricted amounts to have been spent first when an expenditure is incurred for purposes for which both restricted and unrestricted amounts are available. Similarly, within unrestricted fund balance, committed amounts are reduced first followed by assigned amounts and then unassigned amounts when expenditures are incurred for purposes for which amounts of the unrestricted fund balance classifications could be used.

Proprietary fund equity is classified the same as in the government-wide statements.

13. Restatement of Fund Balance

On January 1, 2017, the fund balances for various governmental funds were corrected to eliminate certain components of deferred inflows and include them as a component of fund balance and classify them accordingly. The details of these changes, totaling $2,142,854, are as follows:

	HRA General Fund	HRA Tax Increment Capital Projects Fund	HRA Development Capital Projects Fund	Total Governmental Funds
Fund Balance, January 1, 2017 as previously reported	$11,085,847	$28,432,576	$1,871,563	$41,389,986
Eliminate Deferred Inflows - Land Held for Resale	327,993	982,328	832,533	2,142,854
Fund Balance, January 1, 2017 as restated	$11,413,840	$29,414,904	$2,704,096	$43,532,840

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Note IV. Reconciliation of Government-wide and Fund Financial Statements

A. Explanation of Certain Differences between the Governmental Fund Balance Sheet and the Statement of Net Position

Statement 4 is a reconciliation between fund balance – total governmental funds as reported in governmental funds and net position – governmental activities as reported in the government-wide statement of net position. Details of most of the elements of that reconciliation are as follows:

One element of the reconciliation states that "capital assets used in governmental funds are not financial resources and, therefore, are not reported in the funds." These assets, which include land, buildings and structures, improvements other than buildings, equipment, infrastructure and construction in progress are reported in the statement of net position as shown below.

Historical Cost of Capital Assets	$ 2,134,649,420
Accumulated Depreciation	(819,430,141)
Net Adjustment to Increase Fund Balance - Total Governmental Funds to Arrive at Net Position of Governmental Activities	$ 1,315,219,279

Another element of the reconciliation states that "some receivables that are not currently available are reported as deferred inflows of resources in the fund financial statements, but are recognized as revenue when earned in the government-wide statements, excluding the provision for an allowance for uncollectible taxes." Below are details of that difference.

Unavailable Revenue	
General Government Revenues	$ 30,121,546
Public Safety Revenues	1,425,325
Highways and Streets Revenues	33,590,752
Sanitation Revenues	8,154,806
Health Revenues	101,902
Housing and Economic Development Revenues	5,504,702
Property Taxes	2,769,032
Interest Earned on Investments	657,739
Net Adjustment to Increase Fund Balance - Total Governmental Funds to Arrive at Net Position of Governmental Activities	$ 82,325,804

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Note IV. Reconciliation of Government-wide and Fund Financial Statements (continued)

Another element of the reconciliation states that "some liabilities, including long-term debt, are not due and payable in the current period and, therefore, are not reported in the funds." They are, however, reported in the government-wide statements. Long-term liabilities at the end of the year include the following:

Pollution Remediation Obligation	$ (400,000)
Deferred Outflow - Unrealized Loss on Derivatives	6,307,826
Derivative Interest Swap	(6,307,826)
Deferred Pension Outflows	188,866,779
Deferred Pension Inflows	(223,249,753)
General Obligation Bonds	(259,730,000)
Revenue Bonds	(122,524,000)
Bond Discount and Premium	(18,399,686)
Revenue Notes	(66,034,419)
Note Discount and Premium	(214,060)
Capital Leases	(4,691,092)
Compensated Absences	(16,638,901)
Net Other Postemployment Benefits Obligation	(52,681,589)
Claims and Judgments	(63,789,845)
Net Pension Liability	(196,029,318)
Accrued Interest Payable	(5,322,360)
Net Adjustment to Decrease Fund Balance - Total Governmental Funds to Arrive at Net Position of Governmental Activities	$ (840,838,244)

B. Explanation of Certain Differences between the Governmental Fund Statement of Revenues, Expenditures and Changes in Fund Balances and the Government-wide Statement of Activities

Statement VI is a reconciliation between net changes in fund balances – total governmental funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation explains that "governmental funds report capital outlays as expenditures. However, in the Statement of Net Position, the cost of those assets is capitalized and depreciated over their estimated useful lives with depreciation expense reported in the Statement of Activities." The details of this difference are as follows:

Capital outlay is reported as an expenditure in the fund financial statements	$ 72,290,783
Capital outlay expenditures not capitalized	(1,343,609)
Depreciation is reported in the government-wide statements	(44,284,234)
Net Excess (Deficit) of Capital Outlay Over Depreciation	$ 26,662,940

Another element of that reconciliation states that "debt and lease proceeds provide current financial resources to governmental funds, but issuing these obligations increases long-term liabilities in the Statement of Net Position. Repayment of principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the Statement of Net Position." Neither transaction, however, has any effect on net position. Also, governmental funds report the effect of premium, discount and similar items, when debt is first issued; whereas, these amounts are deferred and amortized in the Statement of Activities. The details of this difference are as follows:

Note IV. Reconciliation of Government-wide and Fund Financial Statements (continued)

Debt Issued or Incurred:		
General Obligations Bonds	$ (43,735,000)	
Premium on General Obligations Bonds	(2,341,791)	
Revenue Notes	(1,525,000)	
Total Debt Issued		$ (47,601,791)
Principal Payments		
General Obligations Bonds	$ 20,615,000	
Revenue Bonds	8,345,000	
Revenue Notes	4,739,610	
Capital Lease	1,693,756	
Total Principal Payments		35,393,366
Debt forgiveness on State Loan		4,750,000
Interest on Debt	445,652	
Amortization of Premium	1,490,011	
Total Interest		1,935,663
Net Adjustment to Net Changes in Fund Balances - Total Governmental Funds to Arrive at Changes in Net Position of Governmental Activities		$ (5,522,762)

Another element of that reconciliation states that "some expenses in the Statement of Activities do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds." The details of this difference are as follows:

Compensated Absences	$ 1,361,231
Net Other Postemployment Benefits Obligation	(4,849,591)
Claims and Judgments	(8,013,143)
Pollution Remediation Obligation	1,189,421
Net Pension Liability	265,773,491
Deferred Pension Outflows	(115,970,409)
Deferred Pension Inflows	(167,253,621)
Net Adjustment to Net Changes in Fund Balances - Total Governmental Funds to Arrive at Changes in Net Position of Governmental Activities	$ (27,762,621)

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Note V. Stewardship, Compliance and Accountability

A. Budgets and Budgetary Accounting

Budget Control

Appropriations are controlled administratively at the activity level within multi-year budgeted funds. Governmental funds with annually adopted budgets are controlled administratively at the activity level within the following major object levels of expenditure: salaries, fringes, debt service, other spending and transfers out. Proprietary funds with annually adopted budgets are controlled administratively at the fund level within the same major object levels of expenditure as in governmental funds. The legal level of budgetary control (that is, the level at which expenditures cannot legally exceed the appropriated amount) is at the fund level, except for the General Fund, which is at the department/office level.

1. General Budget Procedure – City Funds

The City Council followed these procedures in establishing the 2017 budgets:

a. On August 10, 2016, the Mayor presented a budget to the City Council for the following calendar year. The budget included proposed expenditures and advances and the means of financing them.

b. The City Council held a public hearing on December 7, 2016, to obtain taxpayer comments.

c. The budget was legally adopted through passage of council resolution #16-2160 during the City Council meeting on December 14, 2016.

City budget amendments that authorize an increase in total fund spending require the approval of the City Council. In addition, City Council approval is required for budget amendments transferring appropriations between departments within the General Fund.

2. General Budget Procedure – HRA Funds

The Housing and Redevelopment Authority (HRA) followed these procedures in establishing the 2017 budgets:

a. The Executive Director presented a proposed budget to the HRA Board of Commissioners for the fiscal year commencing January 1, 2017. This budget included proposed expenditures and other uses and the means of financing them.

b. Upon approval by the HRA Board, the Executive Director submitted the HRA budget to the Mayor of the City of Saint Paul, who submitted this budget to the City Council for consideration, approval and certification.

c. The budget was approved through passage of council resolution #16-2152 during the City Council meeting on December 14, 2016.

HRA budget amendments that authorize an increase in total fund spending require the approval of the HRA Board of Commissioners. Amendments transferring budgeted amounts between cost centers within the same fund require administrative approval by the HRA Executive Director and the City Office of Financial Services Director.

Note V. Stewardship, Compliance and Accountability (continued)

3. General Budget Procedure – Library Agency Funds

The Library Agency followed these procedures in establishing the 2017 budgets:

a. On August 10, 2016, the Mayor presented his proposed budget for the Saint Paul Public Library Agency to the Library Board of Commissioners for the fiscal year commencing the following January 1. The budget included proposed expenditures and other uses and the means of financing them.

b. The City Council held a public hearing on December 7, 2016, to obtain taxpayer comments.

c. The budget was legally adopted through passage of Saint Paul Library Agency resolution #16-2133 during the Library Board meeting on December 14, 2016.

Library Agency budget amendments that authorize an increase in total fund spending require the approval of the Library Board.

4. Annual and Multi-year Governmental Fund Budgets

Annual governmental fund budgets are reported in the following fund types and are adopted on a basis consistent with Generally Accepted Accounting Principles (GAAP):

General Fund

Special Revenue Funds (except: City Grants, City HUD Grants, City Sales Tax, and HRA Grants, which have multi-year budgets).

Permanent Funds

In addition, multi-year governmental fund budgets are utilized in the capital projects funds but are not reported.

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note V. Stewardship, Compliance and Accountability (continued)

The following provides a summary reconciliation of the actual results for annually budgeted special revenue funds.

	Fund Balances 1/1/17	Revenues	Expenditures	Net Other Financing Sources (Uses)	Fund Balances 12/31/17
SPECIAL REVENUE FUNDS					
Assessment Financing	$ 5,176,107	$ 6,990,135	$ (2,205,119)	$ (4,498,281)	$ 5,462,842
Public Library General Fund	2,274,616	17,542,523	(17,473,366)	(73,622)	2,270,151
HRA General Fund*	11,413,840	6,815,310	(7,184,987)	(506,013)	10,538,150
Annually Budgeted Nonmajor Funds	14,862,441	59,942,129	(77,403,695)	13,334,426	10,735,301
Total Annually Budgeted Funds	$ 33,727,004	$ 91,290,097	$ (104,267,167)	$ 8,256,510	$ 29,006,444

*HRA General Fund balance as of 1/1/17 was restated. This balance reflects this change.

5. Appropriation Revisions

Budgeted amounts are as originally adopted or as amended by the City Council. During 2017, increases and decreases to annual expenditures, other financing uses and transfers out appropriations were as follows:

	Original Budgeted Amounts	Net Amendments	Final Budgeted Amounts
General Fund	$ 252,891,467	$ 2,579,996	$ 255,471,463
Special Revenue Funds	124,605,981	409,180	125,015,161
Permanent Funds	2,000	-	2,000

6. Appropriation Year-end Balances

Unexpended appropriation balances lapse at the end of the fiscal year in the annual governmental fund budgets. However, upon City Council approval, the appropriations for the subsequent year are increased in the amount necessary to satisfy the outstanding encumbrances at the end of the fiscal year.

Unexpended appropriation balances do not lapse at the end of the fiscal year in the multi-year governmental fund budgets.

Note V. Stewardship, Compliance and Accountability (continued)

B. Federal Audit Requirements

As a recipient of federal, state and local financial assistance, the City is responsible for ensuring that adequate internal controls are in place to ensure compliance with applicable laws and regulations related to those programs. These internal controls are subject to periodic evaluation by management.

The City is required to undergo an annual single audit in conformity with the provisions of the Single Audit Act Amendments of 1996 and audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

The Uniform Guidance sets forth the audit requirements for local governments receiving federal awards. It provides for a single independent audit of the financial operations, including compliance with certain provisions of federal laws and regulations. The requirements have been established to ensure that audits are made on an organization-wide basis rather than a grant-by-grant basis. This audit requirement was complied with for 2017. An auditor's report on consideration of the City's internal control over financial reporting and on tests of the City's compliance will be issued at a later date.

C. Deficit Balances

Generally accepted accounting principles require disclosure of individual funds that have deficit fund balances or net position at year end. The following funds had deficit fund balances or net position at December 31, 2017:

	Fund Balance/ Net Position
Special Revenue Funds:	
Fire Responsive Services	$ (797,347)
Police Special Projects	(111,796)
Public Health	(48,405)
Como Campus	(3,046,599)
Enterprise Funds:	
Parks Special Services	(6,015,598)
Impound Lot	(3,979,438)
River Print	(265,346)
Internal Service Funds:	
Equipment Services Fire-Police	(1,832,607)
Public Works Administration	(516,717)
Public Works Engineering	(2,941,551)
Parks Supply and Maintenance	(608,053)
Planning and Economic Development Administration	(4,531,119)

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note V. Stewardship, Compliance and Accountability (continued)

D. Excess of Expenditures over Appropriations in Individual Funds

Total expenditures exceeded total appropriations in the following fund:

	Final Budgeted Amounts	Actual	Variance with Final Budgets
Special Revenue Funds:			
General Government Special Projects	$ 3,606,090	$ 4,266,811	$ (660,721)

The fund managers have been directed that in the future, funds must have an appropriation budget to cover all obligations incurred.

The General Fund did not exceed total appropriations at the fund level; however, total expenditures exceeded appropriations in the following departments:

	Final Budgeted Amounts	Actual	Variance with Final Budgets
General Fund:			
Mayor's Office	$ 1,959,123	$ 2,004,592	$ (45,469)
Human Resources	4,327,954	4,371,076	(43,122)
Other*	9,393,250	10,607,080	(1,213,830)
Fire and Safety Services	60,725,965	61,334,477	(608,512)
Police	89,826,864	90,542,368	(715,504)
Emergency Management	428,046	458,180	(30,134)

*This is the General Government Accounts grouping; the negative budget variance is due to Tort Liability payouts.

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Note VI. Detailed Notes on All Funds

A. Deposits, Investments and Securities Lending

Deposits

In accordance with Minn. Stat. §118A.02 and 118A.04, the City maintains deposits at financial institutions authorized by the City Council.

Minn. Stat. §118A.03 further requires that all City deposits be protected by insurance, surety bond, collateral or an irrevocable letter of credit issued by Federal Home Loan Banks. The fair value of collateral pledged must equal 110% of the deposits not covered by insurance or bonds.

Authorized collateral includes treasury bills, notes and bonds; issues of U.S. government agencies; general obligations rated "A" or better, revenue obligations rated "AA" or better; irrevocable standby letters of credit issued by the Federal Home Loan Bank; and certificates of deposit. Minnesota Statutes require that securities pledged as collateral be held in safekeeping in a restricted account at the Federal Reserve Bank or in an account at a trust department of a commercial bank or other financial institution that is not owned or controlled by the financial institution furnishing the collateral.

Custodial Credit Risk

Custodial credit risk is the risk that, in the event of a financial institution failure, the City's deposits may not be returned to it. The City's policy for custodial credit risk for deposits is to maintain compliance with Minnesota Statutes that require the City's deposits be protected by insurance, surety bond or pledged collateral.

As of December 31, 2017, the City's bank balance of checking and interest-bearing accounts and certificates of deposit totaled $65,074,915 which is also the City's carrying amount of these balances. As of December 31, 2017, the City's deposits were not exposed to custodial credit risk.

Imprest Funds on Hand

At December 31, 2017, the City had total imprest funds of $83,535 on hand.

Investments

General

The City's Investment Policy Statement governs the investment portfolio of the City of Saint Paul. The goals of the City for the Portfolio are to preserve financial assets for future operating expenses, maintain reserves to fund unplanned shortfalls and generate income to support the activities of the City. The portfolio is managed in three components as follows:

1. Daily Portfolio: The daily component represents current operating funds on which draws are made frequently, requiring daily liquidity and preservation of principal. The time horizon on the Daily Portfolio is within a 12-month period.

2. Short Term Portfolio: A short-term component serves as a cushion to provide liquidity for possible shortfalls in the Daily Portfolio. Draws against the short-term portfolio are expected to be infrequent.

Note VI. Detailed Notes on All Funds (continued)

3. The time horizon on the Short Term Portfolio is between one and three years.

4. Intermediate Term Portfolio: The balance of the Portfolio represents the intermediate term component, which serves as a reserve for unplanned shortfalls. In general, the Intermediate Term Portfolio is not expected to experience withdrawals and the time horizon on the Intermediate Portfolio is longer than three years. A portion of the Intermediate Term Portfolio is managed internally and the balance is managed by external managers.

Minnesota Statutes §§ 118A.04 and 118A.05 authorize the following types of investments for local governments:

a. securities, which are direct obligations or are guaranteed or insured issues of the United States, its agencies, its instrumentalities, or organizations created by an act of Congress, except mortgage-backed securities defined as "high risk" by Minnesota Statutes Section 118A.04, Subd. 6;

b. in shares of an investment company registered under the Federal Investment Company Act of 1940, provided the mutual fund receives certain ratings depending on its investments.

c. general obligations of the State of Minnesota and its municipalities and in any security which is a general obligation of any state or local government with taxing powers which is rated "A" or better by a national bond rating service.

d. in bankers acceptances of United States Banks, or in commercial paper issued by United States corporations or their Canadian subsidiaries that is rated in the highest quality category by two nationally recognized rating agencies and matures in 270 days or less.

e. Repurchase agreements may be entered into with:

   1. a bank qualified as a depository;

   2. any national or state bank in the United States which is a member of the Federal Reserve System and whose combined capital and surplus equals or exceeds $10,000,000;

   3. primary reporting dealer in United States government securities to the Federal Reserve Bank of New York; or

   4. a securities broker-dealer, licensed pursuant to Chapter 80A, or an affiliate of it, regulated by the Securities and Exchange Commission and maintaining a combined capital and surplus of $40,000,000 or more, exclusive of subordinated debt.

f. Securities lending agreements, and Guaranteed investment contracts.

Credit Risk

Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. It is the City's policy to invest only in securities that meet the ratings requirements set by state statute.

Note VI. Detailed Notes on All Funds (continued)

The City's exposure to credit risk as of December 31, 2017, is as follows:

Investment Type	S&P Global		Moody's Investor Service	
US Treasury Securities	AA+	$ 31,540,321	Aaa	$ 31,540,321
US Federal Agency Obligations	AAA	-	Aaa	143,550,171
	AA+	143,550,171	Aa1	-
Total US Federal Agencies		143,550,171		143,550,171
US Mortgage Obligations	AAA	745,029	Aaa	59,827,596
	AA+	59,082,567	Aa1	-
Total Mortgage Obligations		59,827,596		59,827,596
Municipal Bonds	AAA	15,783,862	Aaa	10,938,377
	AA+	11,270,251	Aa1	12,007,982
	AA	7,654,533	Aa2	20,608,770
	AA-	2,598,908	Aa3	2,310,769
	A+	1,060,731	A1	1,044,929
	Not Rated	19,477,616	Not Rated	10,935,074
Total Municipal Bonds		57,845,901		57,845,901
Government Money Market Mutual Funds	AAA-mG	1,621,610	Aaa-mf	1,621,610
Negotiable Certificates of Deposit	Collateralized - Not Rated	10,000,000	Collateralized - Not Rated	10,000,000
Total Investments		$ 304,385,599		$ 304,385,599

Custodial Credit Risk

The custodial credit risk for investments is the risk that, in the event of the failure of the counterparty to a transaction, the City will not be able to recover the value of the investment or collateral securities that are in the possession of an outside party. According to City policy, all securities purchased are held by a third-party safekeeping agent appointed as custodian (US Bank) who is also the lending agent/counterparty. Certificates of Deposit and select securities purchased from the City of St. Paul may be kept in the City's safe. The securities lending agreement, although the program is suspended, is still in place between the City and its custodian.

The City has no custodial credit risk for investments at December 31, 2017.

Concentration of Credit Risk

The concentration of credit risk is the risk of loss that may be caused by the City's investment in a single issuer. It is the City's policy that U.S. Treasury securities, U.S. Agency Securities, and obligations backed by U.S. Treasury and/or U.S. Agency securities, may be held without limit.

At December 31, 2017, the City does not have investments in any one issuer that represent 5% or more of the City's total investments portfolio and therefore, also not subject to concentration of credit risk.

Note VI. Detailed Notes on All Funds (continued)

Interest Rate Risk

Interest rate risk is the risk that changes in the market interest rates will adversely affect the fair value of an investment. The City's internal portfolio has a shorter overall weighted duration than the benchmarks established for each component portfolio. All else being equal, this would be expected to reduce the risk to adverse effects from rising interest rates.

The External Managers, as part of their mandate, have to satisfy the parameters for liquidity and risk tolerance, a maximum duration of 125% of the benchmark duration. The performance benchmark for External Managers was 80% Barclay's Intermediate Government Index/20% 15-year MBS Index.

At December 31, 2017, the City had the following investments:

Investment Type	Fair Value	Less Than 1 Year	2 - 5 Years	6 - 10 Years	More Than 10 Years
US Treasury Securities	$ 31,540,321	$ 972,397	$ 22,059,374	$ 8,508,550	$ -
US Federal Agency Obligations	143,550,171	49,671,128	22,629,826	49,069,537	22,179,680
US Mortgage Obligations	59,827,596	210,017	12,929,323	17,911,936	28,776,320
Municipal Bonds	57,845,901	2,889,695	31,236,163	19,369,087	4,350,956
Government Money Market Mutual Funds	1,621,610	1,621,610	-	-	-
Negotiable Certificates of Deposit	10,000,000	10,000,000	-	-	-
Total Investments	$ 304,385,599	$ 65,364,847	$ 88,854,686	$ 94,859,110	$ 55,306,956

Included in the total investment pool of $304,385,599 is an equity investment of the RiverCentre Convention & Visitors Authority, a component unit of the City, in the amount of $2,714,144. The remaining amount of $301,671,455 belongs to the City.

Duration

Duration is a measure of a fixed income investment's cash flows using present values, weighted for cash flows as a percentage of the investment's full price. Effective duration makes assumptions regarding the most likely timing and amounts of variable cash flows arising from such investments as callable bonds, prepayments, and variable-rate debt.

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Note VI. Detailed Notes on All Funds (continued)

As of December 31, 2017, the City had the following externally managed investments in its investment pool.

	Fair Value	Effective Duration
Nuveen	$ 29,816,693	3.74
Galliard	43,866,959	3.61
Advantus	14,712,278	3.4
RBC	43,119,889	3.77
Total Externally Managed Investments	$ 131,515,819	
Benchmark (80% Barclay's Interm Gov'V20% 15 Year MBS)		3.73

Fair Value Measurements

The City categorizes its fair value measurements within the fair value measurement guidelines established by generally accepted accounting principles. These guidelines recognize a three-tiered fair value hierarchy as follows:

- Level 1 – Quoted prices for identical investments in active markets
- Level 2 – Observable inputs other than quoted market prices; and,
- Level 3 – Unobservable inputs.

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VI. Detailed Notes on All Funds (continued)

At December 31, 2017, the City had the following recurring fair value measurements:

		Fair Value Measurement Using		
Investments By Fair Value Level	12/31/2017	Level 1	Level 2	Level 3
US Treasury Securities	$ 31,540,321	$ 31,540,321	$ -	$ -
US Federal Agency Obligations	143,550,171	-	143,550,171	-
US Mortgage Obligations	59,827,596	-	59,827,596	-
Municipal Bonds	57,845,901	-	57,164,334	681,567
Total Investments by Fair Value	$ 292,763,989	$ 31,540,321	$ 260,542,101	$ 681,567
Investments at Net Asset Value				
Government Mutual Funds	1,621,610			
Negotiable Certificates of Deposit	10,000,000			
Total Investments at Net Assets Value	11,621,610			
Total Investments	$ 304,385,599			

Debt securities classified in Level 1 are valued using a market approach quoted in active markets for those securities.

Debt securities classified in Level 2 are valued using the following approaches:

1) U.S. Federal agency obligations are valued using a market approach by utilizing quoted prices for identical securities in markets that are not active;
2) U.S. Mortgage obligations are valued using a matrix pricing based on the securities relationship to benchmark quoted prices; and
3) Municipal bonds are valued using a market approach utilizing quoted prices for similar securities in active markets.

Level 3 inputs are unobservable inputs, such as management's assumption of the default rate among the underlying security of an asset. The municipal bonds classified in Level 3 are valued using consensus data.

The City invests in government mutual funds for the benefit of liquid investments that can be readily converted into cash. Government mutual funds held by the City seek a constant net asset value (NAV) of $1.00 per share. The government mutual funds reserve the right to require one or more day's prior notice before permitting withdrawals. The City also holds negotiable certificates of deposit which will mature and be redeemed one year from issuance. The fair value is based on current market conditions. The City invests in these certificates of deposit with local financial institutions as part of its socially responsible investment fund.

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Note VI. Detailed Notes on All Funds (continued)

Recap

Deposits and investments as described above appear in the City's financial statements consistent with the following analysis:

Cash Deposits	$ 65,074,915	Cash and Investments with Treasurer	$ 307,334,568
Investments	301,671,455	Cash With Fiscal Agents	1,059,965
Imprest Funds on Hand	83,535	Cash and Investments with Trustees	32,675,030
		Imprest Funds	83,535
		Restricted Cash and Cash Equivalents	20,840,727
		Investment for Revenue Bond Future Debt Service	4,836,080
Total	$ 366,829,905	Total	$ 366,829,905

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Note VI. Detailed Notes on All Funds (continued)

B. Receivables

Summary of Receivables

Receivables as of year-end for the City's individual major governmental and enterprise funds, nonmajor, and internal service funds in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

Governmental Activities	General	Assessment Financing	Public Library General Fund	HRA General Fund	City Debt Service	HRA Debt Service	City Capital Projects	Nonmajor Governmental Funds	Total	Internal Service Funds
Receivables:										
Taxes	$ 3,188,246	$ -	$ 696,868	$109,098	$ 528,533	$ 163,225	$ -	$ 488,721	$ 5,174,691	$ -
Accounts	2,826,482	-	-	73,958	-	-	35,971	2,930,669	5,867,080	897,529
Assessments	-	28,528,517	-	-	13,354,032	-	-	19,888,440	61,770,989	-
Notes and Loans	-	-	-	10,609	-	-	-	5,937,229	5,947,838	-
Accrued Interest	1,111,716	-	-	78,975	154,476	132,100	196,446	362,473	2,036,186	-
Xcel Energy	1,022,234	-	-	-	-	-	-	-	1,022,234	-
Intergovernmental	1,899,812	-	-	-	-	-	14,104,314	13,719,085	29,723,211	257,971
Gross Receivables	10,048,490	28,528,517	696,868	272,640	14,037,041	295,325	14,336,731	43,326,617	111,542,229	1,155,500
Less: Allowance for Uncollectibles	(482,252)	-	-	-	-	-	-	(971,271)	(1,453,523)	(553,905)
Net Total Receivables	$ 9,566,238	$ 28,528,517	$ 696,868	$ 272,640	$ 14,037,041	$ 295,325	$ 14,336,731	$ 42,355,346	$ 110,088,706	$ 601,595
Amounts not expected to be collected within one year	$ -	$ 22,114,836	$ -	$ -	$ 11,068,566	$ -	$ -	$ -	$ 33,183,402	$ -

Business-Type Activities	Sewer Utility	HRA Loan	HRA Parking	Nonmajor Enterprise Funds	Total
Receivables:					
Taxes	$ -	$ -	$ 34,763	$ -	$ 34,763
Accounts	54,887	14,500	598,566	175,894	843,847
Assessments	6,202,141	13,951	-	-	6,216,092
Accrued Interest	1,632	34,506	36,100	-	72,238
Intergovernmental	32,329	-	-	91,126	123,455
Gross Receivables	6,290,989	62,957	669,429	267,020	7,290,395
Less: Allowance for Uncollectibles	(13,894)	-	-	(76,337)	(90,231)
Net Total Receivables	$ 6,277,095	$ 62,957	$ 669,429	$ 190,683	$ 7,200,164

Note VI. Detailed Notes on All Funds (continued)

Property Taxes

For property taxes collectible in 2017, Saint Paul's taxable net tax capacity (including Tax Increment Districts) was $267,945,120; the estimated fair value was $22,064,311,000; the net tax capacity was 1.21% of the estimated fair value. Estimated fair values are converted to tax capacities based on a statutory rate for each class of property.

Current property tax collections for the year ended December 31, 2017, were as follows:

	City	HRA
Dollar Amount	$ 109,959,865	$ 3,496,158
Percent of Levy Spread	98.02%	98.58%

Notes and Loans Receivable

Notes and Loans Receivable are reported as assets in the following funds at December 31, 2017:

Special Revenue Funds:	
HRA General Fund	$ 10,609
City HUD Grants	1,417,791
City Sales Tax	3,171,394
Total Special Revenue Funds	4,599,794
Capital Projects Funds:	
HRA Development	292,290
HRA Tax Increment	1,055,754
Total Capital Projects Funds	1,348,044
Total	$ 5,947,838

In addition to the above amounts reported as "Notes and Loans Receivable" on Statement 3, other long-term loans receivable are included in "Other Long-Term Receivables" in the following funds:

Enterprise Fund:	
HRA Loan Enterprise	$ 3,889,709
HRA Parking	236,250
Total Enterprise Funds	4,125,959
Internal Service Funds:	
Internal Borrowing	950,001
Public Works Engineering	3,470,469
Total Internal Service Funds	4,420,470
Total	$ 8,546,429

The amount reported for loans receivable is net of allowances for uncollectible loans. Allowances for uncollectible loans have been established for loans for which collection is doubtful or questionable. At December 31, 2017, the allowance for uncollectible loans recorded was $143,611,532.

Note VI. Detailed Notes on All Funds (continued)

C. Land Held for Resale

Land Held for Resale is reported in the following funds as an asset as of December 31, 2017:

Special Revenue Funds	
HRA General Fund	$ 325,236
City HUD Grants	4,514,620
Total Special Revenue Funds	4,839,856
Capital Projects Funds	
HRA Development Capital Projects	965,967
HRA Tax Increment Capital Projects	982,328
Total Capital Projects Funds	1,948,295
Enterprise Fund	
HRA Loan	4,125,142
Total	$ 10,913,293

D. Restricted Assets

As of December 31, 2017, the following restricted assets were reported in the following funds:

	HRA Tax Increment Capital Projects	Sewer Utility	HRA Parking
Cash for General Obligation Bond Current Debt Service	$ -	$ -	$ 2,020,700
Cash for Revenue Bond Debt Service	-	765,196	2,183,249
Cash for Revenue Bond Operations and Maintenance	-	4,862,826	27,218
Cash for Revenue Bond Construction	-	5,212,975	-
Cash for Note Debt Service	250,300	-	-
Cash for Budget and Rate Stabilization	-	5,518,263	-
Investment for Revenue Bond Future Debt Service	-	4,836,080	-
Total	$ 250,300	$ 21,195,340	$ 4,231,167

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Note VI. Detailed Notes on All Funds (continued)

E. Capital Assets

Capital asset activity for the year ended December 31, 2017, was as follows:

Governmental Activities

	Balance 1/1/17	Additions	Deductions	Balance 12/31/17
Capital Assets Not Being Depreciated:				
Land	$ 169,277,572	$ -	$ -	$ 169,277,572
Construction in Progress	106,469,573	59,119,723	(49,935,490)	115,653,806
Total Capital Assets Not Being Depreciated	275,747,145	59,119,723	(49,935,490)	284,931,378
Capital Assets Being Depreciated:				
Buildings and Structures	719,978,507	32,749,632	-	752,728,139
Improvements Other than Buildings	152,497,666	11,982,304	-	164,479,970
Equipment	141,795,135	6,322,335	(2,056,411)	146,061,059
Infrastructure	823,927,328	11,367,603	-	835,294,931
Total Capital Assets Being Depreciated	1,838,198,636	62,421,874	(2,056,411)	1,898,564,099
Less: Accumulated Depreciation for:				
Buildings and Structures	(314,195,228)	(16,532,312)	-	(330,727,540)
Improvements Other than Buildings	(70,204,297)	(5,799,593)	-	(76,003,890)
Equipment	(98,846,261)	(8,069,340)	1,712,170	(105,203,431)
Infrastructure	(326,664,081)	(14,725,100)	-	(341,389,181)
Total Accumulated Depreciation	(809,909,867)	(45,126,345)	1,712,170	(853,324,042)
Total Capital Assets Being Depreciated, Net	1,028,288,769	17,295,529	(344,241)	1,045,240,057
Governmental Activities Capital Assets, Net	$ 1,304,035,914	$ 76,415,252	$ (50,279,731)	$ 1,330,171,435

Depreciation expense was charged to the following governmental functions:

General Government	$ 13,020,046
Public Safety	4,042,549
Highways and Streets	16,531,203
Culture and Recreation	10,752,211
Housing and Economic Development	780,336
Total Governmental Activities Depreciation Expense	$ 45,126,345

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VI. Detailed Notes on All Funds (continued)

Business-Type Activities

	Balance 01/01/17	Additions	Deductions	Balance 12/31/17
Capital Assets Not Being Depreciated:				
Land	$ 31,539,972	$ -	$ -	$ 31,539,972
Construction in Progress	4,074,070	6,672,132	(9,983,887)	762,315
Total Capital Assets Not Being Depreciated	35,614,042	6,672,132	(9,983,887)	32,302,287
Capital Assets Being Depreciated:				
Buildings and Structures	115,264,593	608,309	(623,408)	115,249,494
Public Improvements	421,769,007	10,000,759	(16,872)	431,752,894
Equipment	8,138,916	398,148	(613,013)	7,924,051
Total Capital Assets Being Depreciated	545,172,516	11,007,216	(1,253,293)	554,926,439
Less: Accumulated Depreciation for:				
Buildings and Structures	(56,917,178)	(3,128,108)	411,543	(59,633,743)
Public Improvements	(150,460,373)	(5,503,964)	3,438	(155,960,899)
Equipment	(6,190,478)	(444,890)	593,379	(6,041,989)
Total Accumulated Depreciation	(213,568,029)	(9,076,962)	1,008,360	(221,636,631)
Total Capital Assets Being Depreciated, Net	331,604,487	1,930,254	(244,933)	333,289,808
Business-Type Activities Capital Assets, Net	$ 367,218,529	$ 8,602,386	$ (10,228,820)	$ 365,592,095

Depreciation expense was charged to the following business-type functions:

Sewer	$ 5,676,769
Parking Operations	3,244,400
Parks, Recreation and Athletics	155,279
Impound Lot	514
Total Business-Type Activities Depreciation Expense	$ 9,076,962

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Note VI. Detailed Notes on All Funds (continued)

F. Interfund Receivables/Payables/Advances and Transfers

The following is a schedule of interfund receivables and payables including loans made from the General Fund to other Funds as of December 31, 2017:

Due to/from Other Funds

	Payable Fund					
Receivable Fund	General	City Capital Projects	Nonmajor Governmental Funds	Nonmajor Enterprise Funds	Internal Service Funds	Total All Funds
General	$ -	$ -	$ 5,186,072	$ 11,102,689	$ 3,058,502	$ 19,347,263
Internal Service Funds	35,084	220,000	-	-	5,009	260,093
Total All Funds	$ 35,084	$ 220,000	$ 5,186,072	$ 11,102,689	$ 3,063,511	$ 19,607,356

Interfund balances resulted from the time lag between the dates that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transactions are recorded in the accounting system, and (3) payments between funds are made.

Advances to/from Other Funds

The following is a schedule of interfund advances as of December 31, 2017:

	Payable Fund									
Receivable Fund	General Fund	Assessment Financing	City Capital Projects	Nonmajor Special Revenue Funds	HRA Loan	HRA Tax Increment	HRA Development	Sewer Utility	Internal Service Funds	Total All Funds
HRA General Fund	$ -	$ -	$ -	$ -	$ -	$ 774,983	$ -	$ -	$ -	$ 774,983
Nonmajor Special Revenue Funds	-	-	-	-	-	-	9,360,000	-	-	9,360,000
HRA Development	-	515,495	-	1,750,000	250,000	2,108,384	-	-	-	4,623,879
HRA Loan	-	-	-	-	-	2,836,795	300,000	-	312,727	3,449,522
HRA Parking	-	-	-	-	564,744	-	-	-	-	564,744
HRA Tax Increment	-	-	-	-	-	-	-	44,511	-	44,511
Internal Service Funds	9,778	-	1,682,819	-	-	-	-	-	1,097,271	2,789,868
Total All Funds	$ 9,778	$ 515,495	$ 1,682,819	$ 1,750,000	$ 814,744	$ 5,720,162	$ 9,660,000	$ 44,511	$ 1,409,998	$ 21,607,507

The advances shown above are long-term amounts not due within one year. Short-term advances that are due within one year are reported as a due to/from other fund.

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Note VI. Detailed Notes on All Funds (continued)

Transfers

The following is a schedule of interfund transfers as of December 31, 2017:

	Transfers In								
Transfers Out	General	Assessment Financing	Public Library General Fund	HRA General Fund	City Debt Service	HRA General Debt Service	City Capital Projects	Nonmajor Capital Projects	Nonmajor Special Revenue Funds
General	$ -	$ -	$ -	$ -	$ 791,543	$ -	$ 60,000	$ -	$ 5,288,993
Assessment Financing	1,892,042	-	-	-	-	-	3,020,117	-	97,445
Public Library General Fund	37,674	-	-	-	104,632	-	-	-	100,000
HRA General Fund	352,478	-	-	-	-	-	-	2,061	-
City Debt Service	500,000	-	-	-	-	-	4,750,000	-	14,495,102
HRA General Debt Service	-	-	-	-	-	-	-	3,137,781	-
City Capital Projects	93,243	-	-	-	1,445,019	-	-	289,123	257,375
Nonmajor Capital Projects	-	96,695	-	76,486	2,787,265	131,019	7,114,532	-	5,000
Nonmajor Special Revenue Funds	2,325,713	414,628	175,000	-	24,782,740	-	919,984	211,249	2,758,462
Sewer Utility	442,604	-	-	-	2,250,000	-	50,000	-	1,247,177
HRA Loan	125,000	-	-	-	-	-	50,000	-	3,524,540
HRA Parking	966,000	-	-	-	-	-	-	-	1,591,946
HRA Penfield	-	-	-	-	-	-	-	-	-
Nonmajor Enterprise Funds	319,579	-	-	-	-	-	-	-	-
Internal Service Funds	2,679,403	-	-	-	2,614,550	-	-	1,922	774,866
Total Transfers In	$ 9,733,736	$ 511,323	$ 175,000	$ 76,486	$ 34,775,749	$ 131,019	$ 15,964,633	$ 3,642,136	$ 30,140,906

The total governmental and proprietary fund transfers in is $99,113,825 and the total governmental and proprietary funds transfers out is $99,113,825.

	Transfers In					
Transfers Out	Sewer Utility	HRA Loan	HRA Parking	Nonmajor Enterprise Funds	Internal Service Funds	Total Transfers Out
General	$ -	$ -	$ -	$ -	$ 57,156	$ 6,197,692
Assessment Financing	-	-	-	-	-	5,009,604
Public Library General Fund	-	-	-	-	6,316	248,622
HRA General Fund	-	-	-	-	227,960	582,499
City Debt Service	-	-	-	-	-	19,745,102
HRA General Debt Service	-	-	-	-	-	3,137,781
City Capital Projects	-	177,254	-	-	-	2,262,014
Nonmajor Capital Projects	3,300	7,458	-	-	-	10,221,755
Nonmajor Special Revenue Funds	-	194,949	-	90,380	718,810	32,591,915
Sewer Utility	-	-	-	-	-	3,989,781
HRA Loan	-	-	-	-	170,000	3,869,540
HRA Parking	-	-	-	-	-	2,557,946
HRA Penfield	-	-	2,230,970	-	-	2,230,970
Nonmajor Enterprise Funds	-	-	-	-	-	319,579
Internal Service Funds	-	-	-	-	78,284	6,149,025
Total Transfers In	$ 3,300	$ 379,661	$ 2,230,970	$ 90,380	$ 1,258,526	$ 99,113,825

Generally, transfers are used to (1) move revenues from the fund that collects them to the fund that the budget requires to expend them, (2) move receipts restricted to debt service from the funds collecting the receipts to a debt service fund, and (3) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

Note VI. Detailed Notes on All Funds (continued)

G. Long-Term Obligations

1. Changes in Long-Term Obligations

Long-term obligations activity in the year ended December 31, 2017, was as follows:

	Beginning Balance	Increases	Decreases	Ending Balance	Due Within One Year
GOVERNMENTAL ACTIVITIES					
Bonds Payable					
General Obligation Bonds					
Property Tax Supported	$ 200,845,945	$ 41,432,477	$ (17,847,458)	$ 224,430,964	$ 17,854,373
Special Assessment Debt with Governmental Commitment	25,929,055	2,302,523	(1,562,542)	26,669,036	1,575,627
HRA Tax Increment	10,990,000	-	(1,355,000)	9,635,000	710,000
Total General Obligation Bonds	237,765,000	43,735,000	(20,765,000)	260,735,000	20,140,000
Revenue Bonds					
Sales Tax Revenue	100,040,000	-	(5,465,000)	94,575,000	5,580,000
HRA Tax Increment Revenue	26,784,000	-	(2,440,000)	24,344,000	1,123,000
HRA Lease Revenue	4,045,000	-	(440,000)	3,605,000	455,000
Total Revenue Bonds	130,869,000	-	(8,345,000)	122,524,000	7,158,000
Add/(Subtract) Unamortized Premiums/(Discounts)	17,559,434	2,341,792	(1,454,963)	18,446,263	-
Total Bonds Net of Amortization	386,193,434	46,076,792	(30,564,963)	401,705,263	27,298,000
Revenue Notes Payable					
General Obligation Notes	10,066,012	-	(2,494,469)	7,571,543	2,571,543
Revenue Notes	51,575,000	1,525,000	(6,487,000)	46,613,000	6,547,750
HRA Revenue Notes	12,358,016	-	(508,140)	11,849,876	895,280
Total Revenue Notes Payable	73,999,028	1,525,000	(9,489,609)	66,034,419	10,014,573
Add/(Subtract) Unamortized Premiums/(Discounts)	256,872	-	(42,812)	214,060	-
Total Revenue Notes Net of Amortization	74,255,900	1,525,000	(9,532,421)	66,248,479	10,014,573
Capital Leases Payable					
Capital Leases	12,062,750	-	(3,427,756)	8,634,994	2,711,148
Add/(Subtract) Unamortized Premiums/(Discounts)	(65,105)	-	24,802	(40,303)	-
Total Capital Leases Net of Amortization	11,997,645	-	(3,402,954)	8,594,691	2,711,148
Other Liabilities:					
Compensated Absences	20,025,321	627,871	(1,849,963)	18,803,229	689,625
Claims and Judgments Payable	55,776,702	22,052,470	(14,039,327)	63,789,845	10,229,339
Total Other Liabilities	75,802,023	22,680,341	(15,889,290)	82,593,074	10,918,964
Total Governmental Activities Long-Term Liabilities	$ 548,249,002	$ 70,282,133	$ (59,389,628)	$ 559,141,507	$ 50,942,685

Note VI. Detailed Notes on All Funds (continued)

	Beginning Balance	Increases	Decreases	Ending Balance	Amounts Due Within One Year
BUSINESS-TYPE ACTIVITIES					
Bonds Payable:					
HRA Parking Facilities General Obligation	$ 18,150,000	$ -	$ (1,800,000)	$ 16,350,000	$ 1,850,000
Revenue Bonds					
Sewer Revenue	75,065,000	7,975,000	(5,480,000)	77,560,000	5,650,000
HRA Parking Facilities Revenue	32,060,000	28,945,000	(32,060,000)	28,945,000	1,325,000
Total Revenue Bonds	107,125,000	36,920,000	(37,540,000)	106,505,000	6,975,000
Add/(Subtract) Unamortized Premiums/(Discounts)	4,272,294	1,702,740	(449,671)	5,525,363	-
Total Bonds Net of Amortization	129,547,294	38,622,740	(39,789,671)	128,380,363	8,825,000
Revenue Notes Payable					
Sewer Revenue Notes	4,026,050	-	(1,170,141)	2,855,909	1,159,600
HRA Revenue Notes	3,880,000	-	-	3,880,000	93,856
Total Revenue Notes Payable	7,906,050	-	(1,170,141)	6,735,909	1,253,456
Other Liabilities:					
Compensated Absences	671,908	579,590	(671,908)	579,590	15,750
Total Other Liabilities	671,908	579,590	(671,908)	579,590	15,750
Total Business-Type Activities Long-Term Liabilities	$ 138,125,252	$ 39,202,330	$ (41,631,720)	$ 135,695,862	$ 10,094,206
TOTAL LONG-TERM OBLIGATIONS	$ 686,374,254	$ 109,484,462	$ (101,021,347)	$ 694,837,369	$ 61,036,891

Internal Service funds predominantly serve the governmental funds. Accordingly, their long-term liabilities are included as part of the totals reported for governmental activities. At year end, $2,164,328 of compensated absences, $3,903,599 of capital leases, $4,780,270 of net other postemployment benefits obligation and $17,405,022 of net pension liability were included in the noncurrent liabilities reported for the governmental activities.

The government-wide statement of net position includes $4,354,722 of the long-term liabilities due within one year for business-type activities in "liabilities payable from restricted assets." The remaining amount of $6,448,373 was displayed as "noncurrent liabilities due within one year" on the same statement.

Note VI. Detailed Notes on All Funds (continued)

2. Annual Requirements – Principal and Interest on Long-Term Obligations

Annual debt service requirements to maturity for general obligation bonds are as follows:

Year Ended	Governmental Activities		Business-Type Activities		Total	
December 31	Principal	Interest	Principal	Interest	Principal	Interest
2018	$ 20,140,000	$ 9,808,712	$ 1,850,000	$ 520,581	$ 21,990,000	$ 10,329,293
2019	20,440,000	9,029,077	1,855,000	455,756	22,295,000	9,484,833
2020	20,090,000	8,244,676	1,920,000	397,931	22,010,000	8,642,607
2021	20,125,000	7,528,483	1,985,000	336,916	22,110,000	7,865,399
2022	19,790,000	6,798,138	2,055,000	269,938	21,845,000	7,068,076
2023-2027	86,125,000	23,087,590	6,685,000	358,314	92,810,000	23,445,904
2028-2032	51,770,000	9,658,914	-	-	51,770,000	9,658,914
2033-2037	17,630,000	2,159,824	-	-	17,630,000	2,159,824
2038-2041	4,625,000	368,123	-	-	4,625,000	368,123
Total General Obligation Bonds Debt	$ 260,735,000	$ 76,683,537	$ 16,350,000	$ 2,339,436	$ 277,085,000	$ 79,022,973

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VI. Detailed Notes on All Funds (continued)

Revenue bond debt service requirements to maturity are as follows:

Year Ended	Governmental Activities		Business-Type Activities		Total	
December 31	Principal	Interest	Principal	Interest	Principal	Interest
2018	$ 7,158,000	$ 5,684,411	$ 6,975,000	$ 3,443,956	$ 14,133,000	$ 9,128,367
2019	7,423,000	5,492,966	6,575,000	3,404,017	13,998,000	8,896,983
2020	7,799,000	5,153,616	6,735,000	3,204,371	14,534,000	8,357,987
2021	8,230,000	4,766,287	6,400,000	2,975,076	14,630,000	7,741,363
2022	8,624,000	4,408,501	6,590,000	2,742,300	15,214,000	7,150,801
2023-2027	48,726,000	14,696,965	35,175,000	9,755,305	83,901,000	24,452,270
2028-2032	33,174,000	3,948,287	26,710,000	4,114,389	59,884,000	8,062,676
2033-2036	1,390,000	52,125	11,345,000	715,037	12,735,000	767,162
Total Revenue Bonds Debt	$ 122,524,000	$ 44,203,158	$ 106,505,000	$ 30,354,451	$ 229,029,000	$ 74,557,609

Revenue notes debt service requirements to maturity are as follows:

Year Ended	Governmental Activities		Business-Type Activities		Total	
December 31	Principal	Interest	Principal	Interest	Principal	Interest
2018	$ 10,014,573	$ 1,604,350	$ 1,253,456	$ 140,337	$ 11,268,029	$ 1,744,687
2019	9,351,628	1,437,105	2,711,085	99,887	12,062,713	1,536,992
2020	7,615,866	1,259,098	758,619	47,036	8,374,485	1,306,134
2021	2,850,000	1,150,993	99,735	20,407	2,949,735	1,171,400
2022	3,892,500	1,022,737	101,776	19,396	3,994,276	1,042,133
2023-2027	20,359,852	3,727,945	1,811,238	65,855	22,171,090	3,793,800
2028-2032	11,950,000	1,528,238	-	-	11,950,000	1,528,238
Total Revenue Notes Debt	$ 66,034,419	$ 11,730,466	$ 6,735,909	$ 392,918	$ 72,770,328	$ 12,123,384

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Note VI. Detailed Notes on All Funds (continued)

Compensated Absences

Included in the City's governmental long-term obligations is $18,803,229 of accrued compensated absences relating to employees not accounted for in proprietary funds. Governmental funds that report salaries in their statement of revenues, expenditures and changes in fund balance are charged on a proportionate basis for the actual payments made by the General Fund of the severance pay portion of the compensated absences liability. Actual payments of the vacation and compensatory time portion of the compensated absences liability are made directly from the same governmental funds that incurred the salary expenditures.

Proprietary fund accrued liabilities for compensated absences of $579,590 are also included in the City's long-term obligations and have been reported in the appropriate fund's financial statements.

Net Other Postemployment Benefits Obligation

At December 31, 2017, the net other postemployment benefits liability was $57,461,859 in the City's governmental long-term obligations. Other postemployment benefits are generally liquidated through the General Fund.

Proprietary fund accrued liabilities for net other postemployment benefits of $1,258,060 are also included in the City's long-term obligations and have been reported in the appropriate fund's financial statements.

Claims and Judgments Payable

Claim and judgment expenditures and liabilities are reported when it is probable that a loss has occurred and the amount of the loss can be reasonably estimated. These liabilities include an estimate of claims that have been incurred but not reported (IBNR). Claim expenditures relating to tort liabilities are paid from the General Fund. Workers' Compensation claim expenditures are recorded in the General Fund and are allocated to other City funds based upon a fringe benefit rate applied to each fund's actual salaries. The liability for claims and judgments is reported in the government-wide financial statements. At December 31, 2017, the claims and judgments liability was $63,789,845.

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VI. Detailed Notes on All Funds (continued)

Capital Leases

The following is a schedule by years of future minimum lease payments under these capital leases, together with the present value of the net minimum lease payments of December 31, 2017:

Capital Leases – Governmental Activity

Year Ended December 31	City Hall Annex Improvements	RiverCentre Pedestrian Link	2012 Public Works Vehicle Lease	2013 Public Works Vehicle Lease	2014 Public Works Equipment Lease	2015 Technology Equipment Lease	2015 Public Safety Equipment Lease	2015 Public Works Equipment Lease	Totals
2018	$ 531,863	$ 393,672	$ 184,175	$ 181,377	$ 185,719	$ 565,164	$ 696,549	$ 185,847	$ 2,924,366
2019	-	394,697	92,088	181,377	185,719	565,164	-	185,848	1,604,893
2020	-	390,363	-	90,688	185,719	-	-	185,847	852,617
2021	-	390,849	-	-	185,719	-	-	185,848	762,416
2022	-	390,977	-	-	-	-	-	185,848	576,825
2023 - 2027	-	1,951,231							
2028 - 2030	-	1,165,816	-	-	-	-	-	-	1,165,816
Total Minimum Lease Payments	531,863	5,077,605	276,263	453,442	742,876	1,130,328	696,549	929,238	9,838,164
Less Amount Representing Interest	(17,700)	(1,075,605)	(4,691)	(8,992)	(31,459)	(7,940)	(7,457)	(49,326)	(1,203,170)
Present Value of Future Capital Lease Payments	$ 514,163	$ 4,002,000	$ 271,572	$ 444,450	$ 711,417	$ 1,122,388	$ 689,092	$ 879,912	$ 8,634,994

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Note VI. Detailed Notes on All Funds (continued)

HRA Revenue Notes

In November 2013, a loan agreement, with a revolving line of credit, was executed between the Saint Paul Foundation (Foundation) and the HRA whereby the Foundation has made available funds in the amount of $2,500,000 to the HRA for use in its major housing initiative, the Housing 5000 Program. Any of the funds advanced under the loan agreement to the HRA by the Foundation are to be used solely for developer loans on approved housing projects. The agreement was amended in March 2016 to provide up to $2,300,000 in loans for the Model Cities Brownstone project. The HRA is to repay the principal amount of the advances to the Foundation as the developer loans are repaid to the HRA. Simple interest of one percent on the outstanding Foundation advances is payable on each December 31 starting with 2016. December 1, 2026, is the final maturity date under the loan agreement.

Long term loans in the amount of $1,580,000 were obtained from the LAAND Initiative Fund of the Metropolitan Council and the Family Housing Fund to purchase two parcels of land along the Central Corridor route. This land is to be developed for affordable housing use. Sales of the land parcels will be used to retire the loans. The total principal amount of the long-term portion of the loans at December 31, 2017, was $1,580,000.

Bond Issues

On April 6, 2017, the City issued General Obligation Capital Improvement Bonds, Series 2017A in the amount of $9,960,000. The proceeds were used to provide financing for capital improvement projects identified in the City's approved Capital Improvement Budget for the years 2017 through 2021.

On April 6, 2017, the City issued General Obligation Public Safety Bonds, Series 2017B in the amount of $23,405,000. The proceeds were used to crossover refund the City's General Obligation Public Safety Bonds, Series 2008C and provide financing for the Public Safety Project.

On April 6, 2017, the City issued Sewer Revenue Bonds, Series 2017C (Green Bonds) in the amount of $7,975,000. The proceeds were used to finance capital improvements to the City's sewer system that are environmentally friendly.

On July 27, 2017, the City issued General Obligation Variable Rate Street Improvement Special Assessment Bonds, Series 2017D in the amount of $11,575,000 of which $8,875,000 was drawn in 2017. The remaining $2,700,000 was drawn in 2018. In addition, the remaining $1,495,000 of the $10,520,000 Series 2016C Bond was drawn in 2017. The proceeds were used to fund certain improvement and rehabilitation projects for 2016 and 2017.

On September 28, 2017, the City's Housing and Redevelopment Authority issued Parking Revenue Refunding Bonds, Series 2017A in the amount of $26,315,000 and Parking Revenue Refunding Bonds, Taxable Series 2017B in the amount of $2,630,000. The proceeds were used to current refund the Parking Revenue Refunding Bonds, Series 2010B and advance refund the Parking Revenue Refunding Bonds, Series 2010A. The difference between the reacquisition price and the net carrying amount of the advance refunded debt was $999,606, resulting in deferred outflows of resources. The net present value cash flow savings of refunding the Series 2010A and Series 2010B bonds was $3,995,897. The refunding resulted in an economic gain of $5,901,663 over the life of the Series 2017A and Series 2017B bonds.

Note Issue

On February 22, 2017, the City issued Recycling Note (Recycling Cart Project) Series 2017 in the amount of $1,525,000 for the costs of acquisition and distribution of the recycling carts.

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VI. Detailed Notes on All Funds (continued)

3. Bonds Payable - by Issue

Bonds payable at December 31, 2017, are composed of the following individual issues:

	Interest Rates	Interest Dates	Issue Date	Final Maturity Date	Authorized and Issued	Outstanding as of 12/31/2017
GENERAL OBLIGATION BONDS						
Property Tax Supported						
Capital Improvement						
Series 2008A	2.00 to 3.50%	(3/1; 9/1)	3/1/08	3/1/18	$ 6,330,000	$ 390,000
Series 2009A	2.00 to 3.25%	(3/1; 9/1)	6/1/09	3/1/19	4,500,000	780,000
Series 2010B	2.00 to 3.00%	(3/1; 9/1)	3/11/10	3/1/20	7,350,000	855,000
Series 2010F	3.224 to 5.096%	(4/1;10/1)	10/1/10	10/1/30	4,675,000	4,675,000
Series 2010G	2.583 to 5.096%	(4/1;10/1)	10/1/10	10/1/30	7,765,000	7,070,000
Series 2011A	2.00 to 3.25%	(3/1; 9/1)	9/1/11	3/1/21	15,040,000	4,265,000
Series 2012A	2.00 to 4.00%	(3/1; 9/1)	4/2/12	3/1/22	5,735,000	2,920,000
Series 2013B	2.00 to 3.00%	(3/1; 9/1)	4/8/13	3/1/23	6,325,000	3,950,000
Series 2013E	3.92%	(6/1;12/1)	12/17/13	12/1/39	8,500,000	7,955,000
Series 2014A	2.00 to 5.00%	(3/1; 9/1)	4/30/14	9/1/24	14,655,000	7,800,000
Series 2015A	2.00 to 5.00%	(3/1; 9/1)	5/5/15	3/1/25	11,475,000	8,260,000
Series 2016A	2.00 to 5.00%	(3/1; 9/1)	4/14/16	9/1/26	10,255,000	9,385,000
Series 2016E	.80 to 5.00%	(6/1;12/1)	12/15/16	12/1/31	8,580,000	7,500,000
Series 2017A	3.00 to 5.00%	(3/1; 9/1)	4/6/17	3/1/27	9,960,000	9,960,000
					121,145,000	75,765,000
Taxable Library RZEDs						
Series 2010H	5.196%	(4/1;10/1)	10/1/10	10/1/35	3,700,000	3,700,000
Saint Paul Public Library						
Series 2014C	2.00 to 5.00%	(3/1; 9/1)	4/30/14	3/1/33	14,830,000	11,180,000
Public Safety						
Series 2008C	3.00 to 4.375%	(5/1;11/1)	3/1/08	5/1/33	10,510,000	7,760,000
Series 2009D	3.00 to 3.50%	(6/1;12/1)	6/2/09	12/1/21	5,575,000	2,090,000
Series 2009E	5.336 to 6.032%	(6/1;12/1)	6/2/09	12/1/34	9,275,000	9,275,000
Series 2011H	2.00 to 3.00%	(6/1;12/1)	12/13/11	12/1/23	14,605,000	5,875,000
Series 2017B	2.50 to 5.00%	(6/1;12/1)	4/6/17	12/1/41	23,405,000	22,790,000
					63,370,000	47,790,000
Street Improvement						
Series 2008B	5.00%	(5/1;11/1)	3/1/08	5/1/28	9,014,221	5,828,597
Series 2009B	3.00 to 5.00%	(5/1;11/1)	6/1/09	5/1/29	7,557,911	5,052,157
Series 2011B	2.00 to 4.25%	(5/1;11/1)	4/4/11	11/1/31	9,624,750	7,083,815
Series 2012B	2.00 to 4.50%	(5/1;11/1)	4/2/12	5/1/32	6,971,774	5,444,588
Series 2013C	2.00 to 3.125%	(5/1;11/1)	4/8/13	5/1/33	8,932,482	7,229,255
Series 2014B	3.00 to 5.00%	(5/1;11/1)	4/30/14	11/1/34	19,731,655	16,763,955
Series 2015C	.35 to 3.75%	Monthly	7/8/15	5/1/25	18,625,200	15,669,429
Series 2016C	.80 to 2.75%	Monthly	7/21/16	5/1/36	7,854,020	6,883,466
Series 2016F	4.00 to 5.00%	Monthly	12/15/16	5/1/29	9,089,361	9,089,361
Series 2017D	.95 to 3.20%	Monthly	7/27/17	5/1/37	6,951,341	6,951,341
					104,352,715	85,995,964
Total General Obligation Bonds - Property Tax Supported					$ 307,397,715	$ 224,430,964
Special Assessment Debt with Governmental Commitment						
Assessed Reconstruction Work						
Series 2008B	5.00%	(5/1;11/1)	3/1/08	5/1/28	$ 2,530,779	$ 1,636,403
Series 2009B	3.00 to 5.00%	(5/1;11/1)	6/1/09	5/1/29	2,667,089	1,782,843
Series 2011B	2.00 to 4.25%	(5/1;11/1)	4/4/11	11/1/31	2,875,250	2,116,185
Series 2012B	2.00 to 4.50%	(5/1;11/1)	4/2/12	5/1/32	2,318,226	1,810,412
Series 2013C	2.00 to 3.00%	(5/1;11/1)	4/8/13	5/1/33	2,867,518	2,320,745
Series 2014B	3.00 to 5.00%	(5/1;11/1)	4/30/14	11/1/34	8,643,345	5,531,045
Series 2015C	.35 to 3.75%	Monthly	7/8/15	5/1/25	4,199,800	4,340,571
Series 2016C	.80 to 2.75%	Monthly	7/21/16	5/1/36	2,665,980	2,336,534
Series 2016F	4.00 to 5.00%	Monthly	12/15/16	5/1/29	2,870,639	2,870,639
Series 2017D	.95 to 3.20%	Monthly	7/27/17	5/1/37	1,923,659	1,923,659
Total General Obligation Bonds - Special Assessment Debt with Governmental Commitment					$ 33,562,285	$ 26,669,036

Note VI. Detailed Notes on All Funds (continued)

	Interest Rates	Interest Dates	Issue Date	Final Maturity Date	Authorized and Issued	Outstanding as of 12/31/2017
HRA Tax Increment Fund						
Koch Mobil Tax Increment Series 2010A	2.00 to 4.00%	(3/1; 9/1)	2/25/10	3/1/31	$ 2,670,000	$ 1,915,000
US Bank Tax Increment Taxable Refunding Bonds Series 2011G	2.00 to 4.00%	(2/1; 8/1)	8/15/11	8/1/28	8,870,000	7,720,000
Total General Obligation Bonds - HRA Tax Increment Bonds					$ 11,540,000	$ 9,635,000
HRA Parking Facilities Enterprise Fund						
Block 39 Tax Increment Series 2009G Tax Exempt Refunding	3.125 to 4.00%	(2/1; 8/1)	10/19/09	2/1/25	$ 20,695,000	$ 16,350,000
Total General Obligation Bonds - HRA Parking Facilities Enterprise Fund Bonds					$ 20,695,000	$ 16,350,000
TOTAL GENERAL OBLIGATION BONDS					$ 373,195,000	$ 277,085,000

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Note VI. Detailed Notes on All Funds (continued)

	Interest Rates	Interest Dates	Issue Date	Final Maturity Date	Authorized and Issued	Outstanding as of 12/31/2017
REVENUE BONDS						
Sewer Utility Enterprise Fund						
Sewer Revenue Bonds - Series 2009I Refunding	2.00 to 4.00%	(6/1; 12/1)	10/1/09	12/1/18	$ 2,820,000	$ 590,000
Sewer Revenue Bonds - Series 2010D	3.00 to 4.00%	(6/1; 12/1)	3/3/10	12/1/29	8,610,000	6,010,000
Sewer Revenue Bonds - Series 2011C	2.00 to 4.25%	(6/1; 12/1)	4/4/11	12/1/30	8,900,000	6,590,000
Sewer Revenue Bonds - Series 2012C	2.00 to 4.00%	(6/1; 12/1)	4/2/12	12/1/31	8,815,000	6,925,000
Sewer Revenue Bonds - Series 2013D	2.00 to 4.00%	(6/1; 12/1)	4/8/13	12/1/32	11,515,000	8,180,000
Sewer Revenue Bonds - Series 2014E	2.25 to 4.00%	(6/1; 12/1)	8/4/14	12/1/33	8,000,000	6,960,000
Sewer Revenue Bonds - Series 2015B	2.00to 4.00%	(6/1; 12/1)	5/5/15	12/1/34	8,700,000	7,965,000
Sewer Revenue Bonds - Series 2016B	2.00 to 5.00%	(6/1; 12/1)	4/14/16	12/1/35	7,715,000	7,440,000
Sewer Revenue Bonds - Series 2016D	2.50 to 5.00%	(6/1; 12/1)	12/1/16	12/1/28	21,225,000	19,310,000
Sewer Revenue Bonds - Series 2017C	3.00 to 3.375%	(6/1; 12/1)	4/6/17	12/1/36	7,975,000	7,590,000
					$ 94,275,000	$ 77,560,000
City Revenue Bonds and Other Long-Term Debt – Debt Service Fund						
Taxable Sales Tax Revenue Bonds - Series 2009 Refunding	5.23%	(11/1)	4/3/09	11/1/25	$ 65,455,000	$ 42,285,000
Sales Tax Revenue Bonds - Taxable Series 2014F	1.375 to 3.40%	(5/1; 11/1)	12/9/14	11/1/23	8,070,000	5,100,000
Sales Tax Revenue Bonds - Tax-Exempt Series 2014G	3.75 to 5.00%	(5/1; 11/1)	12/9/14	11/1/33	28,195,000	28,195,000
Subordinate Sales Tax Revenue Refunding Bonds - Series 2016G	1.32 to 2.03%	(5/1; 11/1)	12/16/16	11/1/30	10,380,000	10,275,000
Taxable Subordinate Sales Tax Revenue Refunding Bonds - Series 2016H	1.71 to 2.65%	(5/1; 11/1)	12/16/16	11/1/25	9,910,000	8,720,000
					$ 122,010,000	$ 94,575,000

Note VI. Detailed Notes on All Funds (continued)

	Interest Rates	Interest Dates	Issue Date	Final Maturity Date	Authorized and Issued	Outstanding as of 12/31/2017
HRA General Debt Service Fund						
HRA Tax Increment Revenue Bonds -						
North Quadrant Tax Increment						
Refunding Bonds						
Series 2002	7.50%	(2/15; 8/15)	5/1/02	2/15/28	$ 1,089,000	$ 805,000
Phase II Bonds						
Series 2002	7.00%	(2/15; 8/15)	6/13/02	2/15/28	1,140,000	946,000
Upper Landing Tax Increment						
Bonds - Series 2012 HRA	5.00%	(3/1; 9/1)	12/20/12	3/1/29	15,790,000	13,105,000
Drake Marble Tax Increment						
Bonds -Series 2002A	6.75%	(3/1; 9/1)	11/15/02	3/1/28	1,800,000	811,000
9th St Lofts Tax Increment						
Bonds, Series 2004	6.375%	(2/15; 8/15)	4/14/04	2/15/28	1,335,000	963,000
JJ Hill Tax Increment Bonds						
Series 2004	6.25%	(3/1; 9/1)	11/30/04	3/1/29	3,660,000	2,639,000
Emerald Gardens Tax Increment Bonds - Series 2010	5.00 to 6.50%	(3/1)	7/15/10	3/1/29	6,595,000	5,075,000
Total HRA Tax Increment Revenue Bonds					$ 31,409,000	$ 24,344,000

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VI. Detailed Notes on All Funds (continued)

	Interest Rates	Interest Dates	Issue Date	Final Maturity Date	Authorized and Issued	Outstanding as of 12/31/2017
HRA Lease Revenue Bonds						
RiverCentre Parking Ramp Improvement	3.00 to 4.50%	(5/1; 11/1)	5/5/09	5/1/24	$ 6,790,000	$ 3,605,000
Total HRA General Debt Service Fund					$ 38,199,000	$ 27,949,000
HRA Parking System Revenue Bonds						
Refunding Bonds						
Series 2017A	3.00 to 5.00%	(2/1; 8/1)	9/28/17	8/1/35	$ 26,315,000	$ 26,315,000
Series 2017B	1.68 to 2.08%	(2/1; 8/1)	9/28/17	8/1/20	2,630,000	2,630,000
Total HRA Parking System Revenue Bonds					$ 28,945,000	$ 28,945,000
TOTAL REVENUE BONDS					$ 283,429,000	$ 229,029,000
TOTAL BONDS PAYABLE					$ 656,624,000	$ 506,114,000

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Note VI. Detailed Notes on All Funds (continued)

H. Operating Lease

From 1998 through 2017, the City entered into noncancelable operating leases for personal computers. Total payments made for the leases during 2017 were $1,124,409. The following schedule presents the future minimum rental payments for these operating leases:

Year Ending December 31	
2018	$ 920,690
2019	602,752
2020	259,870
2021	73,080
2022	6,514
Total Minimum Payments Required	$ 1,862,906

I. Deferred Inflows of Resources – Unavailable Revenue

Governmental Activities	General	Assessment Financing	Public Library General Fund	HRA General Fund	City Debt Service	HRA Debt Service	City Capital Projects	Other Governmental Funds	Total
Deferred Inflows of Resources:									
Property Taxes	$ 1,866,998	$ -	$ 416,861	$ 53,178	$ 313,489	$ 37,621	$ -	$ 60,905	$ 2,759,032
Operating Grants & Contributions	-	-	-	-	-	-	-	1,800,517	1,800,517
Accounts Receivable	233,998	-	-	4,458	-	-	947,817	2,956,705	4,142,978
Accrued Interest Receivable	306,852	-	-	21,799	34,980	60,394	52,453	181,261	657,739
Notes and Loans Receivable	-	-	-	10,609	-	-	-	4,519,437	4,530,046
Special Assessments	-	28,349,391	-	-	13,306,129	-	-	14,239,347	55,894,867
Capital Grants	-	-	-	-	-	-	12,530,625	-	12,530,625
Total Deferred Inflows of Resources	$ 2,427,848	$ 28,349,391	$ 416,861	$ 90,044	$ 13,654,578	$ 98,015	$ 13,530,895	$ 23,758,172	$ 82,325,804

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VI. Detailed Notes on All Funds (continued)

J. Fund Balance Classifications

Fund balances for governmental funds are reported in classifications that comprise a hierarchy based primarily on the extent to which the government is bound to honor constraints on the specific purposes for which amounts in those funds can be spent. The December 31, 2017, fund balances are as follows:

		Major Special Revenue Funds							
Fund Balances:	City General Fund	Assessment Financing Fund	SPPL General Fund	HRA General Fund	City Debt Service Fund	HRA Debt Service Fund	City Capital Projects	Nonmajor Governmental Funds	Total
Nonspendable:									
Corpus of Permanent Funds	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ 35,000	$ 35,000
Total	-	-	-	-	-	-	-	35,000	35,000
Restricted For:									
General Government	-	-	-	-	-	-	31,413,061	265,069	31,678,130
Highways and Streets	-	-	-	-	-	-	13,647,142	522,622	14,169,764
Sanitation	-	-	-	-	-	-	-	18,841	18,841
Culture and Recreation	-	-	-	-	-	-	10,724,239	3,674,658	14,398,897
Housing and Economic Development	-	-	-	-	-	-	-	26,274,911	26,274,911
Debt Service	-	-	-	-	57,023,905	8,409,566	-	-	65,433,471
Total	-	-	-	-	57,023,905	8,409,566	55,784,442	30,756,101	151,974,014
Committed To:									
General Government	-	-	-	-	-	-	-	626,105	626,105
Public Safety	-	-	-	-	-	-	-	115,010	115,010
Culture and Recreation	-	-	1,831,942	-	-	-	-	1,077,951	2,909,893
Housing and Economic Development	-	-	-	6,001,576	-	-	-	25,622,563	31,624,139
Total	-	-	1,831,942	6,001,576	-	-	-	27,441,629	35,275,147
Assigned:									
General Government	-	3,910,840	-	-	-	-	-	1,081,755	4,992,595
Public Safety	-	-	-	-	-	-	-	110,612	110,612
Highways and Streets	-	-	-	-	-	-	-	3,228,385	3,228,385
Sanitation	-	-	-	-	-	-	-	3,509,673	3,509,673
Culture and Recreation	-	1,552,002	438,209	-	-	-	-	1,971,280	3,961,491
Housing and Economic Development	-	-	-	4,536,574	-	-	-	3,099,809	7,636,383
Total	-	5,462,842	438,209	4,536,574	-	-	-	13,001,514	23,439,139
Unassigned	52,668,693	-	-	-	-	-	(11,892,074)	(4,157,428)	36,619,191
Total	$ 52,668,693	$ 5,462,842	$ 2,270,151	$ 10,538,150	$ 57,023,905	$ 8,409,566	$ 43,892,368	$ 67,076,816	$ 247,342,491

Note VI. Detailed Notes on All Funds (continued)

K. Tax Abatements – Pay-As-You-Go Tax Increment Notes

The HRA provides tax abatements pursuant to Minnesota Statutes 469.174 to 469.1794 (Tax Increment Financing) through a pay-as-you-go note program. Tax increment financing (TIF) can be used to encourage private development, redevelopment, renovation and renewal, growth in low-to-moderate-income housing, and economic development within the City. TIF captures the increase in tax capacity and property taxes from development or redevelopment to provide funding for the related project.

The notes are payable only after the HRA has received tax increment revenue from the districts that follow and can only be paid using that tax increment as the financing source. No liability is recognized at December 31, 2017, since all scheduled note payments have been made from the available tax increment. All expenditures under the notes are reported in the HRA Tax Increment Capital Projects Fund.

The HRA has issued pay-as-you-go tax increment notes to finance development in the following tax increment financing districts as of December 31, 2017. The agreements are not a general obligation of the HRA and are payable solely from available tax increment revenues. Accordingly, these agreements are not reflected in the financial statements of the HRA.

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VI. Detailed Notes on All Funds (continued)

No.	Tax Increment Financing District – Project	Date Issued	Note Amount	Note Principal Balance 12/31/2016	Note Principal Balance 12/31/2017	Total Amount Expended (Principal & Interest) Under Notes for the Year Ended 12/31/2017
193	Hubbard Site	7/31/1999	$ 1,259,924	$ -	$ -	$ -
194	1919 University	11/7/1997	1,357,000	1,357,000	1,357,000	-
212	Block 4-TIR Note, Series 2004	5/6/2004	17,800,000	14,663,002	13,609,908	1,881,965
212	Block 4-Taxable TIR Note, Series 2004	5/6/2004	2,975,838	-	-	-
215	Superior Street Cottages Series 1998	7/16/1998	311,341	-	-	-
215	Superior Street Cottages Series 2016	5/6/2016	205,000	190,983	159,305	39,031
228	Emerald Park Owner Occ. Ph I	2/26/2003	3,067,000	-	-	-
232	Straus Building	12/26/2002	600,000	596,964	596,964	42,344
234	Phalen Village Cub Foods Project	3/1/2008	3,100,000	2,582,306	2,416,770	318,078
237	Osceola Park Senior Housing	11/4/2002	950,000	950,000	950,000	80,298
240	Bridgecreek Senior Place Project	6/30/2004	2,398,952	2,398,952	2,398,952	130,689
241	Lyons Court Rental Project	4/14/2004	682,000	682,000	682,000	40,576
243	Shepard-Davern Ownership Housing	11/1/2006	3,257,067	2,653,114	2,593,317	231,427
244	Shepard Davern Rental Housing	3/28/2006	4,820,000	3,032,052	2,581,616	599,797
245	Shepard-Davern Gateway Senior	12/2/2003	1,353,286	1,334,964	1,303,148	111,393
248	Koch Mobil-Schmidt Rathskeller	12/22/2017	1,290,260	-	1,290,260	-
257	Phalen Senior Lofts Project	2/10/2005	925,000	908,750	908,750	35,378
260	North Quadrant Rental Phase I	2/1/2001	2,140,000	2,140,000	2,140,000	181,454
266	Emerald Park-Commercial/Metro	6/21/2005	1,225,000	-	-	-
267	Emerald Park Owner Occ. Ph II	4/12/2005	2,074,000	-	-	-
267	Emerald Park Rental	10/16/2002	3,110,000	2,679,800	2,352,522	523,232
268	North Quadrant Rental Phase II	2/28/2002	1,500,000	1,500,000	1,500,000	155,641
268	North Quadrant Shortfall TIR, Note II*	6/20/2002	179,781	179,781	-	-
269	Phalen Village Ames Lake	8/1/2003	418,000	418,000	418,000	13,857
271	Carlton Lofts	10/1/2005	2,358,660	2,358,660	2,358,660	137,372
278	River Pointe Lofts Project	12/27/2007	1,829,000	1,433,981	1,294,399	213,314
279	Minnesota Building	6/9/2010	936,000	936,000	936,000	64,234
291	Carondelet Village	8/12/2010	3,104,000	3,104,000	3,104,000	222,619
299	Cosseta	11/4/2011	388,000	336,804	285,023	72,860
301	Penfield	6/22/2012	8,295,500	-	-	-
302	Pioneer-Endicott Note #1	10/31/2012	2,500,000	2,500,000	2,500,000	344,053
302	Pioneer-Endicott Note #2 (MMAA)	12/15/2017	900,000	-	900,000	-
304	Schmidt Brewery	11/16/2012	3,770,000	3,770,000	3,770,000	194,290
305	West Side Flats	11/19/2012	3,800,000	3,800,000	3,695,631	336,650
313	Hamline Station East	12/12/2014	530,000	530,000	530,000	21,008
314	Hamline Station West	12/12/2014	1,559,000	1,559,000	1,559,000	33,033
317	Custom House/Post Office	11/12/2014	5,800,000	5,800,000	5,800,000	82,599
318	East 7th-Bates Senior Housing	6/2/2015	2,291,000	2,291,000	2,291,000	66,107
319	2700 University at Westgate Station	6/29/2015	7,865,000	7,865,000	7,865,000	64,152
321	Schmidt Keg House	3/8/2017	1,700,000	-	1,700,000	-
324	Wilson II Housing Project	10/31/2016	1,720,000	1,720,000	1,720,000	-
	Total		$ 106,345,609	$ 76,272,113	$ 77,567,225	$ 6,237,451

Note VII. Discretely Presented Component Units

A. Basis of Presentation and Basis of Accounting

The RiverCentre Convention & Visitors Authority (RCVA), Saint Paul Regional Water Services (Regional Water Services) and the Port Authority of the City of Saint Paul (Port Authority) are accounted for as proprietary fund types. Proprietary fund types are reported on the full accrual basis of accounting. Revenues are recorded when earned, and expenses are recorded when a liability is incurred.

Financial information is presented as a discrete column in the statement of net position and statement of activities.

B. Deposits and Investments

RiverCentre Convention & Visitors Authority:

Certain balances of the RiverCentre Convention & Visitors Authority's deposits are managed by the City's Office of Financial Services, Treasury Section. City policies are applied to this portfolio of deposits and investments. Deposits are maintained in accordance with Minnesota §118A.02 and §118A.04. Investments are governed by the City's Investment Policy. (See Note VI.A Deposits, Investments and Securities Lending).

Deposits

The RCVA places its cash with several financial institutions. As of December 31, 2017, the RiverCentre Convention & Visitors Authority's deposits in checking and interest bearing accounts total $5,596,816. The RCVA's policy in managing the custodial credit risk is by depositing their cash in large, stable banking institutions.

Investments

The RCVA reports investments at fair value, based on quoted market prices. Investment income and realized and unrealized gains and losses are reflected on the statement of activities as investment income. Certain balances are invested in the cash and investments pool managed and maintained by the City. Earnings from this pool are allocated to the RCVA based on averaged monthly cash balances. The City invests available cash in various securities in accordance with the requirements set forth in Minnesota Statutes.

At December 31, 2017, RCVA's investments include the following:

Type of Investment	Fair Value
Marketable Certificates of Deposit	$ 267,028
Mutual Fund Equities	242,970
Investments with the City's Cash and Investments Pool	2,714,144
Total	$ 3,224,142

Note VII. Discretely Presented Component Units (continued)

Recap

Deposits	$ 5,596,816	Cash and Investments	$ 4,038,602
Investments	3,224,142	Investments	1,160,100
		Restricted Investments	3,622,256
Total	$ 8,820,958	Total	$ 8,820,958

Regional Water Services:

Regional Water Services deposit and investment functions are managed by the City's Office of Financial Services, Treasury Section. City policies are applied to the Regional Water Services portfolio of deposits and investments. Deposits are maintained in accordance with Minnesota §118A.02 and §118A.04. Investments are governed by the City's Investment Policy. (See Note VI.A Deposits, Investments and Securities Lending).

Deposits

As of December 31, 2017, the Regional Water Services deposits in checking and interest bearing accounts and certificates of deposits total $32,859,326. The deposits are covered with insurance or pledged collateral at 110% of deposits that is held in the City's name at a third-party institutions, and therefore are not exposed to custodial credit risk.

Custodial Credit Risk

Custodial credit risk is the risk that, in the event of a financial institution failure, the Regional Water Services deposits may not be returned to it. As of December 31, 2017, the Regional Water Services deposits were not exposed to custodial credit risk. All pledged collateral is held in the City's name at third party institutions, pledged at 110% of deposits not covered by insurance or bonds.

Investments

Credit Risk

Generally, credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally-recognized statistical rating organization. It is the City's policy to invest only in securities that meet the ratings requirements set by state statute.

The Regional Water Services exposure to credit risk as of December 31, 2017, is as follows:

Rating Agency	Rating	Fair Value
Moody's	Aaa	$ 16,756,680

Note VII. Discretely Presented Component Units (continued)

Custodial Credit Risk

The custodial risk for investments is the risk that, in the event of the failure of the counterparty to a transaction, a government will not be able to recover the value of investment or collateral securities that are in the possession of an outside party. At December 31, 2017, all investment securities were in the City's name and were held in the custody of US Bank under the City's name and, therefore, are not subject to custodial credit risk.

Concentration of Credit Risk

The concentration of credit risk is the risk of loss that may be caused by the City's investment in a single issuer. It is the City's policy that U.S. Treasury Securities, U.S. Agency Securities and obligations backed by U.S. Treasury and/or U.S. Agency Securities, may be held without limit.

At December 31, 2017, the City does not have investments in any one issuer that represent 5% or more of the City's total investments portfolio and, therefore, also not subject to concentration of credit risk.

Interest Rate Risk

Interest rate risk is the risk that changes in the market interest rates will adversely affect the fair value of an investment. The City's internal portfolio has a shorter overall weighted duration than the benchmarks established for each component portfolio. All else being equal, this would be expected to reduce the risk to adverse effects from rising interest rates.

At December 31, 2017, Regional Water Services had the following investments:

Investment Type	Fair Value	Less Than 2 years	2-5 Years	6-10 Years	Over 10 Years
U.S. Agencies	$ 16,756,680	$ -	$ 983,440	$ 12,870,020	$ 2,903,220

Fair Value Measurements

Regional Water measures and records its investments using fair value measurement guidelines established by generally accepted accounting principles. These guidelines recognize a three-tiered fair value hierarchy, as follows:

Level 1: Quoted prices for identical investments in active markets;

Level 2: Observable inputs other than quoted market prices; and

Level 3: Unobservable inputs

At December 31, 2017, Regional Water Services had a total fair value investments of $16,756,680. These are all invested in U.S. Agencies and had a fair value measurements classification of Level 2 using a market approach by utilizing quoted prices for identical securities in market that are not active.

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
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Note VII. Discretely Presented Component Units (continued)

Recap

Deposits	$ 32,859,326	Cash and Investments	$ 27,817,037
Investments	16,756,680	Investments	9,835,379
Departmental Cash	46,015	Departmental Cash	46,015
Imprest Funds on Hand	2,000	Imprest Funds	2,000
		Restricted Cash and Investments	11,963,590
Total	$ 49,664,021		$ 49,664,021

Port Authority:

Deposits

In accordance with applicable Minnesota State Statutes, the Port Authority maintains deposits at financial institutions authorized by the Board of Commissioners. All such depositories are members of the Federal Reserve System. Minnesota Statutes require that all deposits be protected by insurance, surety bond, or collateral. The market value of collateral pledged must equal 110% of the deposits not covered by insurance or corporate surety bonds. Minnesota Statutes require securities pledged as collateral held in safekeeping in a restricted account at the Federal Reserve Bank or at an account at a trust department of a commercial bank or other financial institution not owned or controlled by the depository.

Custodial Credit Risk

Minnesota statutes require that all deposits with financial institutions be collateralized in an amount equal to 110% of deposits in excess of FDIC insurance (140% if collateralized with notes secured by first mortgages). The Port Authority's accounts were maintained at depositories and consisted of checking, savings, certificates of deposit and money market accounts.

Investments

Statutes authorize the Port Authority to invest in certain securities which are direct obligations, guaranteed, or insured issues of the United States, its agencies, its instrumentalities or organizations created by acts of Congress. Also authorized are investments in certain state and local securities, commercial paper with maturities of less than 270 days, guaranteed investment contracts, bankers' acceptances, time deposits, repurchase agreements, securities lending agreements and authorized mutual funds with final maturities no longer than 13 months. The investments for Capital City Properties (CCP), the Port Authority's component unit, are managed by the Port Authority. The Port Authority's investment policy is limited to those investments authorized by statute.

Credit Risk

As a means of managing its exposure that an issuer of a debt security will not fulfill its obligation, it is the Port Authority's practice to follow state law, which limits investments in authorized securities to certain credit risk ratings and maturities. It is the Port Authority's policy that securities must carry an A- or higher long-term rating

Note VII. Discretely Presented Component Units (continued)

by one rating agency or the highest quality short term rating (without regard to modifiers) by two of the following rating agencies: Standard & Poor's, Fitch or Moody's. The Port Authority's investments at December 31, 2017, carried the following ratings:

Rating	Fair Value
AAA/Aaa	$ 12,367,805
AA/Aa	716,406
Not Rated	1,943,441
Total	$ 15,027,652

Custodial Credit Risk

For an investment, the custodial credit risk is that, in the event of the failure of the counterparty (e.g., broker-dealer) to a transaction, the Port Authority will not be able to recover the value of its investments that are in the possession of another party. The Port Authority requires all securities purchased to be made in such a manner so that the securities are registered in the Port Authority's name or are in the possession of the Port Authority or a third-party custodian in the Port Authority's name.

Concentration of Credit Risk

The Port Authority diversifies its portfolio in order to minimize the impact of losses from any one individual issuer. It is the Port Authority's policy to limit the amount invested in any one issuer at the time of the purchase, excluding securities of the U.S. Government and government sponsored enterprise securities. There were no violations of the policy during the year. It is the Port Authority's general practice to limit the amount the Port Authority may invest in any one issuer at the time of purchase to no more than 5% of the total investments managed by the Port Authority.

At December 31, 2017, more than 5% of the Port Authority's and Capital City Properties (CCP)'s investments are in the following issuers:

Issuer	Percent of Investments
Federal National Mortgage Association (Fannie Mae)	25.2%
Federal Home Loan Mortage Corporation (Freddie Mac)	10.7%
Federal Home Loan Bank	7.6%

CITY OF SAINT PAUL, MINNESOTA
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Note VII. Discretely Presented Component Units (continued)

Interest Rate Risk

As a means of managing its exposure to fair value losses arising from increasing interest rates, it is the Port Authority's practice to match maturities to its liquidity needs. The Port Authority establishes benchmarks that reflect its expected cash flow needs and minimize interest rates that are materially longer or shorter than those established by the benchmarks chosen. Maximum duration of the portfolio is 120% of the benchmark duration.

The schedule of the average maturities by investment type as of December 31, 2017, is as follows:

Investment Type	Fair Value	Less Than 1 year	1-5 Years	6-10 Years	Over 10 Years
Federal Home Loan Mortgage Corp (Freddie Mac)	$ 1,606,739	$ 695,664	$ 822,188	$ 35,369	$ 53,518
Federal National Mortgage Assoc. (Fannie Mae)	3,793,177	808,157	1,289,569	1,521,057	174,394
Federal Agri Mort Corp (Farmer Mac)	-	-	-	-	-
Governmental National Mortgage Assoc (Ginnie Mae)	9,771	-	-	9,771	-
Guaranteed Investment Contracts	-	-	-	-	-
Federal Home Loan Bank	1,142,756	-	1,142,756	-	-
Negotiable Certificates of Deposit	100,000	100,000	-	-	-
State & Local Obligations:					
Municipal Bonds	1,300,578	645,540	655,038	-	-
Tennessee Valley Authority	-	-	-	-	-
US Dept Agriculture Loan Certificates	-	-	-	-	-
US Treasury Notes	$ 7,074,631	149,649	4,265,905	2,659,077	-
Total	$ 15,027,652	$ 2,399,010	$ 8,175,456	$ 4,225,274	$ 227,912

Recap

Deposits	$ 23,634,726	Cash and Investments	$ 1,339,772
Investments	15,027,652	Investments	7,895,296
		Restricted Cash	22,294,954
		Restricted Investments	7,132,356
Total	$ 38,662,378	Total	$ 38,662,378

Note VII. Discretely Presented Component Units (continued)

C. Capital Assets

Summary of Changes in Capital Assets of RiverCentre Convention & Visitors Authority:

	Balance 01/01/17	Additions	Deductions	Balance 12/31/17
Capital Assets Not Being Depreciated:				
Land	$ -	$ -	$ -	$ -
Construction in Progress	-	-	-	-
Total Capital Assets Not Being Depreciated	-	-	-	-
Capital Assets Being Depreciated:				
Buildings and Structures	-	-	-	-
Public Improvements	-	-	-	-
Equipment	417,820	-	-	417,820
Total Capital Assets Being Depreciated	417,820	-	-	417,820
Less: Accumulated Depreciation for:				
Buildings and Structures	-	-	-	-
Public Improvements	-	-	-	-
Equipment	(244,815)	(46,771)	-	(291,586)
Total Accumulated Depreciation	(244,815)	(46,771)	-	(291,586)
Total Capital Assets Being Depreciated, Net	173,005	(46,771)	-	126,234
Capital Assets, Net	$173,005	$ (46,771)	$ -	$126,234

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VII. Discretely Presented Component Units (continued)

Summary of Changes in Capital Assets of Regional Water Services:

	Balance 01/01/17	Additions	Deductions	Balance 12/31/17
Capital Assets Not Being Depreciated:				
Land	$ 4,061,766	$ -	$ -	$ 4,061,766
Construction in Progress	13,878,140	19,366,383	(15,146,881)	18,097,642
Total Capital Assets Not Being Depreciated	17,939,906	19,366,383	(15,146,881)	22,159,408
Capital Assets Being Depreciated:				
Buildings and Structures	57,586,478	16,760	-	57,603,238
Public Improvements	382,324,816	13,700,955	(2,097,981)	393,927,790
Equipment	56,853,568	1,571,261	(589,461)	57,835,368
Total Capital Assets Being Depreciated	496,764,862	15,288,976	(2,687,442)	509,366,396
Less: Accumulated Depreciation for:				
Buildings and Structures	(23,713,066)	(2,153,149)	-	(25,866,215)
Public Improvements	(134,611,310)	(6,598,587)	1,706,184	(139,503,713)
Equipment	(32,234,868)	(1,259,137)	550,180	(32,943,825)
Total Accumulated Depreciation	(190,559,244)	(10,010,873)	2,256,364	(198,313,753)
Total Capital Assets Being Depreciated, Net	306,205,618	5,278,103	(431,078)	311,052,643
Capital Assets, Net	$ 324,145,524	$ 24,644,486	$ (15,577,959)	$ 333,212,051

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Note VII. Discretely Presented Component Units (continued)

Summary of Changes in Capital Assets of Port Authority:

	Balance 01/01/17	Additions	Deductions	Balance 12/31/17
Capital Assets Not Being Depreciated:				
Land	$ 8,029,466	$ -	$ (900)	$ 8,028,566
Construction in Progress	9,512,621	9,895,530	(4,835,654)	14,572,497
Total Capital Assets Not Being Depreciated	17,542,087	9,895,530	(4,836,554)	22,601,063
Capital Assets Being Depreciated:				
Buildings	59,096,998	4,917,266	-	64,014,264
Equipment	3,922,607	94,301	-	4,016,908
Total Capital Assets Being Depreciated	63,019,605	5,011,567	-	68,031,172
Less: Accumulated Depreciation for:				
Buildings	(35,056,250)	(1,266,791)	-	(36,323,041)
Equipment	(2,249,131)	(175,476)	-	(2,424,607)
Total Accumulated Depreciation	(37,305,381)	(1,442,267)	-	(38,747,648)
Total Capital Assets Being Depreciated, Net	25,714,224	3,569,300	-	29,283,524
Capital Assets, Net	$ 43,256,311	$ 13,464,830	$ (4,836,554)	$ 51,884,587

D. Long-Term Obligations

RiverCentre Convention & Visitors Authority:

At December 31, 2017, long-term obligations of the RiverCentre Convention & Visitors Authority are listed below.

	Beginning Balance	Increases	Decreases	Ending Balance	Amounts Due Within One Year
Revenue Notes	$ 99,898	$ -	$ 17,526	$ 82,372	$ 19,677

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VII. Discretely Presented Component Units (continued)

Regional Water Services:

At December 31, 2017, long-term obligations of Regional Water Services consisted of:

	Beginning Balance	Increases	Decreases	Ending Balance	Amounts Due Within One Year
Revenue Bonds	$ 13,781,616	$ -	$ 2,837,341	$ 10,944,275	$ 2,625,000
Revenue Notes	25,310,416	4,734,462	1,270,516	28,774,362	1,634,067
Compensated Absences	1,713,155	889,770	853,211	1,749,714	39,438
Claims and Judgments	3,630,346	1,815,990	516,015	4,930,321	641,126
Total	$ 44,435,533	$ 7,440,222	$ 5,477,083	$ 46,398,672	$ 4,939,631

Port Authority:

At December 31, 2017, long-term obligations of Port Authority consisted of:

	Beginning Balance	Increases	Decreases	Ending Balance	Amounts Due Within One Year
General Obligation Bonds	$ 36,744,081	$ -	$ 2,280,191	$ 34,463,890	$ 2,310,000
Revenue Bonds	56,501,831	14,528,863	5,075,334	65,955,360	35,011,571
Revenue Notes	8,690,401	27,380,564	610,722	35,460,243	4,156,984
Total	$ 101,936,313	$ 41,909,427	$ 7,966,247	$ 135,879,493	$ 41,478,555

E. Principal and Interest Requirements on Long Term Obligations - Bonds and Notes

Regional Water Services:

Total principal and interest requirements relating to outstanding revenue bonds and notes at December 31, 2017, were as follows:

	Principal	Interest	Total
Revenue Bonds	$ 10,525,000	$ 836,300	$ 11,361,300
Revenue Notes	28,774,362	3,668,222	32,442,584
Total	$ 39,299,362	$ 4,504,522	$ 43,803,884

Note VII. Discretely Presented Component Units (continued)

Port Authority:

Total principal and interest requirements relating to outstanding revenue bonds and notes at December 31, 2017, were as follows:

	Principal	Interest	Total
General Obligation Bonds	$ 33,885,000	$ 6,761,173	$ 40,646,173
Revenue Bonds	65,240,049	15,257,160	80,497,209
Revenue Notes	35,460,243	5,893,770	41,354,013
Total	$ 134,585,292	$ 27,912,103	$ 162,497,395

The Port Authority has issued debt obligations to finance numerous development projects. The debt is secured by the related amounts to be received under leases, loan agreements and ad valorem property taxes. These obligations are not secured by the credit of the Authority, and the Authority is not obligated in any manner for repayment of the debt. Accordingly, this no-commitment debt is not reported as a liability in the Port Authority's financial statements. At December 31, 2017, outstanding no-commitment debt totaled $276 million.

F. Net Position – Restricted

As of December 31, 2017, net position was restricted for the following purposes:

	RiverCentre Convention and Convention Visitors	Regional Water Services	Port Authority	Total
For Economic Development	$ -	$ -	$ 3,344,623	$ 3,344,623
For Debt Service	-	11,900,846	3,711,152	15,611,998
Total	$ -	$ 11,900,846	$ 7,055,775	$ 18,956,621

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VII. Discretely Presented Component Units (continued)

G. Condensed Financial Information

The following provides component unit condensed financial information for the year ended December 31, 2017:

CONDENSED STATEMENT OF NET POSITION

	RiverCentre Convention and Visitors Authority	Regional Water Services	Port Authority	Total
ASSETS				
Current Assets	$ 7,013,558	$ 54,756,275	$ 41,823,584	$ 103,593,417
Restricted Assets	3,227,491	6,921,301	-	10,148,792
Other Assets	-	91,095	115,741,285	115,832,380
Capital Assets, Net	126,234	333,212,051	51,884,587	385,222,872
Total Assets	10,367,283	394,980,722	209,449,456	614,797,461
DEFERRED OUTFLOWS OF RESOURCES				
Deferred Loss on Debt Refunding	-	-	354,545	354,545
Deferred Pension Outflows	-	3,813,972	334,319	4,148,291
Total Deferred Outflows of Resources	-	3,813,972	688,864	4,502,836
LIABILITIES				
Current Liabilities	1,894,582	17,054,933	90,872,103	109,821,618
Noncurrent Liabilities	62,695	61,841,351	96,355,068	158,259,114
Total Liabilities	1,957,277	78,896,284	187,227,171	268,080,732
DEFERRED INFLOWS OF RESOURCES				
Deferred Pension Inflows	-	2,963,272	382,111	3,345,383
NET POSITION				
Net Investment in Capital Assets	126,234	293,493,414	15,473,263	309,092,911
Restricted	-	11,900,846	7,055,775	18,956,621
Unrestricted	8,283,772	11,540,878	-	19,824,650
TOTAL NET POSITION	$ 8,410,006	$ 316,935,138	$ 22,529,038	$ 347,874,182

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Note VII. Discretely Presented Component Units (continued)

CONDENSED STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION

	RiverCentre Convention and Visitors Authority	Regional Water Services	Port Authority	Total
Operating Revenues	$ 12,837,069	$ 62,445,006	$ 21,278,397	$ 96,560,472
Operating Expenses	20,315,908	40,943,100	32,280,652	93,539,660
Depreciation	46,711	9,441,217	1,442,267	10,930,195
Operating Income (Loss)	(7,525,550)	12,060,689	(12,444,522)	(7,909,383)
Total Nonoperating Revenues (Expenses)	2,378,542	941,799	8,937,524	12,257,865
Capital Contributions	2,843,633	667,490	1,250,000	4,761,123
Changes in Net Position	(2,303,375)	13,669,978	(2,256,998)	9,109,605
Net Position, January 1	10,713,381	303,265,160	24,786,036	338,764,577
Net Position, December 31	$ 8,410,006	$ 316,935,138	$ 22,529,038	$ 347,874,182

H. Pension Plans

RiverCentre Convention & Visitors Authority:

The RiverCentre Convention & Visitors Authority (RCVA) has a defined contribution 401(k) retirement plan that covers substantially all employees meeting certain eligibility requirements. The RCVA has the option to contribute discretionary amounts to the plan. The RCVA makes matching contributions of up to 5% of compensation. During 2004, an additional discretionary contribution of 2% of each participant's salary was approved by the Board. No discretionary contributions have been made in 2017 or 2016. Retirement plan contribution expense was $37,998 and $34,960 for 2017 and 2016 respectively.

Regional Water Services:

Regional Water Services employees are employees of the City of Saint Paul and are covered by defined benefit pension plans administered by the Public Employees Retirement Association (PERA). See Note VIII.A for information on PERA.

Regional Water Services total contributions for the General Employees Retirement Plan for the year ended December 31, 2017, were $1,184,859. The contributions are equal to the contractually required contributions as set by state statute PERA pension plan.

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
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Note VII. Discretely Presented Component Units (continued)

Pension Costs

At December 31, 2017, Regional Water reported a liability of $15,439,693 for its proportionate share of the General Employees Retirement Plan's net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. Regional Water's proportion of the net pension liability was based on Regional Water's contributions received by PERA during the measurement period for employer payroll paid dates from July 1, 2016, through June 30, 2017, relative to the total employer contributions received from all of PERA's participating employers. At June 30, 2017, Regional Water's proportion was 0.2419%. It was 0.2410% measured as of June 30, 2016. Regional Water recognized pension expense of $2,213,907 for its proportionate share of the General Employees Retirement Plan's pension expense.

Regional Water also recognized $5,607 as revenue, which results in a reduction of the net pension liability for its proportionate share of the State of Minnesota's contributions to the General Employees Retirement Plan, which qualifies as a special funding situation. Legislation required the State of Minnesota to contribute $6 million to the General Employee Retirement Plan for the fiscal year ended June 30, 2017.

Regional Water's proportionate share of the net pension liability	$ 15,439,693
State of Minnesota's proportionate share of the net position liability associated with Regional Water	194,141
Total	$ 15,633,834

Regional Water reported its proportionate share of the General Employees Retirement Plan's deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual economic experience	$ 508,845	$ 993,117
Changes in actuarial assumptions	2,554,773	1,547,831
Difference between projected and actual investment earnings	99,532	-
Changes in proportion	49,120	422,324
Contributions paid to PERA subsequent to the measurement date	601,702	-
Total	$ 3,813,972	$ 2,963,272

Note VII. Discretely Presented Component Units (continued)

The $601,702 reported as deferred outflows of resources related to pensions resulting from Regional Water contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2018. Other amounts reported as deferred outflows and inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31	Pension Expense Amount
2018	$ 320,611
2019	862,147
2020	(278,375)
2021	(655,385)

Pension Liability Sensitivity

The following presents the Regional Water's proportionate share of the net pension liability calculated using the discount return of 7.5%, as well as what its proportionate share of the net pension liability would be if it were calculated using a discount rate 1.0 percentage point lower or 1.0 percentage point higher than the current discount rate:

	1% Decrease in Discount Rate (6.5%)	Current Discount Rate (7.5%)	1% Increase in Discount Rate (8.5%)
Proportionate share of the General Employees Retirement Plan net pension liability	$ 23,948,111	$ 15,439,693	$ 8,474,007

Port Authority:

All employees hired after June 30, 2003, as well as certain other employees, are participants in the General Employees Retirement Plan, which is a cost sharing, multiple employer retirement plan. All other full-time employees are required to participate in a Port Authority-sponsored Section 414(d) employee benefit plan. The following is a description of these plans.

Port Authority 414(d) Plan: The Port Authority sponsors a Section 414(d) employee benefit plan covering all full-time employees who were hired prior to June 30, 2003, and did not elect to participate in the GERF. Employee participation in the plan is mandatory, and employees are required to contribute 6.50% of their salary. The Port Authority provides a contribution of 7.5%. Total contributions were $36,747 in 2017.

CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
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Note VII. Discretely Presented Component Units (continued)

General Employees Retirement Plan: All full-time employees of the Port Authority who were hired after June 30, 2003, as well as certain other employees who elected to participate in the General Employees Retirement Plan, are covered by defined benefit plans administered by the Public Employees Retirement Association of Minnesota (PERA). PERA administers the General Employees Retirement Plan, which is a cost-sharing, multiple-employer retirement plan. This plan is established and administered in accordance with Minnesota Statutes, Chapters 353 and 356. See Note VIII.A for information on PERA.

The Port Authority contributed $105,054 in 2017. The contributions are equal to the contractually required contributions as set by state statute PERA pension plan.

Pension Costs

At December 31, 2017, the Port Authority a liability of $1,353,394 for its proportionate share of the General Employees Retirement Plan's net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The Port Authority's proportion of the net pension liability was based on the Port Authority's contributions received by PERA during the measurement period for employer payroll paid dates from July 1, 2016, through June 30, 2017, relative to the total employer contributions received from all of PERA's participating employers. At June 30, 2017, the Port Authority's proportion was 0.0212%. It was 0.0237% measured as of June 30, 2016. The Port Authority recognized pension expense of $131,636 for its proportionate share of the General Employees Retirement Plan's pension expense.

The Port Authority reported its proportionate share of the General Employees Retirement Plan's deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual economic experience	$ 44,604	$ 87,067
Changes in actuarial assumptions	224,693	135,678
Difference between projected and actual investment earnings	8,741	-
Changes in proportion	-	159,366
Contributions paid to PERA subsequent to the measurement date	56,281	-
Total	$ 334,319	$ 382,111

Note VII. Discretely Presented Component Units (continued)

The $56,281 reported as deferred outflows of resources related to pensions resulting from Port Authority contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2018. Other amounts reported as deferred outflows and inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31	Pension Expense Amount
2018	$ (11,474)
2019	25,780
2020	(60,930)
2021	(57,449)

Pension Liability Sensitivity

The following presents the Port Authority's proportionate share of the net pension liability calculated using the discount return of 7.5%, as well as what its proportionate share of the net pension liability would be if it were calculated using a discount rate 1.0 percentage point lower or 1.0 percentage point higher than the current discount rate:

	1% Decrease in Discount Rate (6.5%)	Current Discount Rate (7.5%)	1% Increase in Discount Rate (8.5%)
Proportionate share of the General Employees Retirement Plan net pension liability	$ 2,099,215	$ 1,353,394	$ 742,804

I. Postemployment Benefits Other than Pension

RiverCentre Convention & Visitors Authority:

The RiverCentre Convention & Visitors Authority does not provide other postemployment benefits.

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CITY OF SAINT PAUL, MINNESOTA
NOTES TO THE FINANCIAL STATEMENTS
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Note VII. Discretely Presented Component Units (continued)

Regional Water Services:

Plan Description

In addition to providing the pension benefits described in Note VII.H Regional Water Services, through the City of Saint Paul (City) provides other postemployment health care and life insurance benefits (OPEB) for retired employees through a single employer defined benefit plan. The authority to provide these benefits is established in Minnesota Statutes §471.61, Subd. 2a. The plan is not accounted for as a trust fund, as an irrevocable trust has not been established to account for the plan. The plan does not issue a separate report.

Benefits Provided

Eligibility requirements and contribution levels vary substantially between the 11 bargaining agreements. The typical eligibility requirements are 20 years of service and currently receiving a public employee pension. This coverage may also extend to the retiree's family. The benefits, benefit levels, employee contributions and employer contributions are governed by the City and can be amended by the City through the City's collective bargaining agreements with employee groups. Benefits include general inpatient and outpatient medical services; mental and substance abuse care; vision care; preventative dental; and prescriptions.

Retirees under the age of 65 (early retirees) are included in the pool with active employees. Each year during open enrollment, active employees and early retirees select from three options with the City's health insurance carrier. Retirees over 65 (regular retirees) have two plan options under a separate policy. Medicare becomes the primary insurer and the City's plan becomes secondary. Life insurance in the amount of $5,000 to $20,000 is provided to some early retirees, depending upon collective bargaining agreements.

The majority of employees benefit amounts have been capped. The benefit amount varies depending upon employment date and bargaining unit agreement as indicated in the following:

Health Care Benefit

	Under Age 65 (early retiree)	Over Age 65 (regular retiree)
Employees who retired before January 1, 1996	Not Applicable	100%
Employees hired before January 1, 1996 and after retiring after January 1, 1996	$350 per month	$550 per month
Employees hired after January 1, 1996	$300 per month	$300 per month

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Note VII. Discretely Presented Component Units (continued)

Membership

As of the actuarial valuation date of December 31, 2016, the membership consisted of:

	Family Coverage	Single Coverage	Total
Retired Participants and Beneficiaries			
Under Age 65 (Early Retirees)	0	19	19
Over Age 65 (Regular Retirees)	29	105	134
Total Retired Participants	29	124	153
Active Participants			
Eligible to receive benefits	96	119	215
Total Active Participants			
Total Participants	125	243	368

Funding Policy

Retiree health care benefits are currently funded based on the benefit disclosed above on a pay-as-you-go basis. Regional Water may change the funding policy at any time. The average monthly premium contributions for 2017 were as follows:

	Age	Average Monthly Regional Water Contribution	Average Monthly Retiree Contribution
Health Insurance	Less than 65	$343	$258
	65 and older	$320	$16
Life Insurance	Less than 65	$ -	Not applicable
	65 and older	Not applicable	Not applicable

These plans are fully insured.

The expenses for these post-employment benefits are recognized as premiums and are paid to the insurers. For Regional Water, the 2017 expense totaled $630,529 for approximately 163 retirees. Retirees contributed $83,939; active employees do not contribute to the plan until retirement.

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Note VII. Discretely Presented Component Units (continued)

Annual OPEB Costs and Net OPEB Obligation

Regional Water had an actuarial valuation performed for the plan as of December 31, 2016, to determine the funded status of the plan as of that date as well as the employer's annual required contribution (ARC) for the fiscal year ended December 31, 2017. Regional Water's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for 2017 and the two preceding years were as follows:

Fiscal Year Ended	Annual OPEB Cost	Employer Contribution	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
December 31, 2015	$ 1,032,345	$ 743,605	72.03%	$ 4,422,010
December 31, 2016	1,034,283	736,139	71.17%	4,720,154
December 31, 2017	905,996	683,533	75.45%	4,942,617

The net OPEB obligation (NOPEBO) as of December 31, 2017, was calculated as follows:

Annual Required Contribution (ARC)	$ 997,432
Interest on Net OPEB Obligation	165,205
Adjustment to Annual Required Contribution	(256,641)
Annual OPEB cost	905,996
Contributions Made	
Direct	630,529
Indirect Implicit Subsidy	53,004
Total Contributions Made	683,533
Increase (Decrease) in Net OPEB Obligation	222,463
Net OPEB Obligation Beginning of Year	4,720,154
Net OPEB Obligation End of Year	$ 4,942,617

Funded Status and Funding Progress

The actuarial accrued liability for benefits, as of December 31, 2016, the most recent actuarial valuation date, was $14,237,369. This liability will be phased in over 30 years based on the requirements of the Governmental Accounting Standards Board Statement No. 45 *Accounting and Financial Reporting by Employers for Postemployment Benefits Other than Pensions.*

As of the actuarial valuation date of December 31, 2016, the funded status of the plan was as follows:

Actuarial Valuation Date	Actuarial Value of Plan Assets	Actuarial Accrued Liability (AAL)	Unfunded Actuarial Accrued Liability Liability (UAAL)	Funded Ratio	Covered Payroll Active Members	UAAL as a Percentage o Covered Payroll
December 31, 2016	$ -	$ 14,237,369	$ 14,237,369	0.00%	$ 15,057,192	94.6%

Note VII. Discretely Presented Component Units (continued)

Actuarial valuation of an ongoing plan involves estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the December 31, 2016, actuarial valuation, the Entry Age Normal level percent of pay actuarial cost method was used. The actuarial assumptions included 3.50% discount rate and an annual healthcare cost trend rate of beginning at 6.80% for fiscal year 2017 for Non-Medicare eligible retirees and 6.80% for Medicare eligible retirees and declining over 5 years to 5.2%. Both rates include a 2.75% inflation assumption. The actuarial value of assets was $ 0, as Regional Water has not advance-funded its obligation. The plan's unfunded actuarial accrued liability is being amortized as a level dollar amount over a 30-year open amortization period (30-year period restarted with each valuation).

Port Authority:

Plan Description

The Port Authority employees hired prior to January 1, 2002, and retiring after 20 or more years of service are eligible for up to $300 per month toward the cost of health insurance. Employees retiring prior to 1996 are reimbursed for 100 percent of the cost of health insurance for themselves and their spouse. At December 31, 2017, there were 11 beneficiaries receiving benefits. In addition, there are 6 current employees that may become eligible for benefits in the future. The plan does not issue a stand-alone financial report.

Funding Policy

Retiree health care benefits are currently funded based on the benefit disclosed above on a pay-as-you-go basis. The Board of Commissioners may change the funding policy at any time.

Annual OPEB Cost and Net OPEB Obligation

The Port Authority's annual other postemployment benefit (OPEB) expense is calculated based on the annual required contribution (ARC). The Port Authority has elected to calculate the ARC and related information using the alternative measurement permitted by GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover the normal cost each year and amortize any unfunded actuarial accrued liabilities (UAAL) over a 30-year period.

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Note VII. Discretely Presented Component Units (continued)

The following table shows the components of the annual OPEB cost, the amount actually contributed to the plan, and changes in the OPEB obligation to the Retiree Healthcare Benefit Program:

Annual Required Contribution (ARC)	$	47,083
Interest on Net OPEB Obligation		1,000
Adjustment to Annual Required Contribution		(12,954)
Annual OPEB cost		35,129
Contributions Made		45,904
Increase (Decrease) in Net OPEB Obligation		(10,775)
Net OPEB Obligation Beginning of Year		611,511
Net OPEB Obligation End of Year	$	600,736

The beginning balance was restated by $522,590.

The Port Authority's annual OPEB cost, the percentage of the annual OPEB cost contributed to the plan, and the net OPEB obligations for 2017:

Fiscal Year Ended	Annual OPEB Cost	Percentage Of Cost Contributed Cost	Net OPEB Obligation
December 31, 2015	$ 43,900	84.8%	$ 606,541
December 31, 2016	45,114	89.0%	611,511
December 31, 2017	35,129	130.7%	600,736

Funded Status and Funding Progress

The actuarial accrued liability for benefits as of December 31, 2017, the most recent actuarial valuation date, was $600,736. The annual payroll for active employees covered by the plan was $1,836,573, for a ratio of UAAL to covered payroll of 32.7%. This liability will be phased in over 30 years based on the requirements of GASB Statement No. 45.

Actuarial Accrued Liability (AAL)	$	600,736
Actuarial Value of Plan Assets		-
Unfunded Actuarial Accrued Liability (UAAL)	$	600,736
Funded Ratio (Actuarial Value of Plan Assets/AAL)		0.00%
Active Members Covered Payroll	$	1,836,573
UAAL as a Percentage of Covered Payroll		32.71%

Note VII. Discretely Presented Component Units (continued)

Methods and Assumptions

The projection of future benefit payments for an ongoing plan involves estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality and the health care cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future.

The Port Authority has estimated the liability associated with this benefit using an alternative valuation method which takes into account the existing age of the individuals, their years of service and life expectancy, probability of receiving a benefit, a health care cost trend factor of 6.3% and a 3% present value assumption. Alternative measurement calculations assume a level of percentage projected payroll 30-year open amortization period.

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Note VIII. Other Information

A. Defined Benefit Pension Plans

1. Defined Benefit Plans: Public Employees Retirement Association

a. Plan Description

All full-time and certain part-time employees of the City of Saint Paul are covered by defined benefit pension plans administered by the Public Employees Retirement Association of Minnesota (PERA). PERA administers the General Employees Retirement Plan and the Public Employees Police and Fire Plan, which are cost-sharing multiple-employer retirement plans. These plans are established and administered in accordance with Minn. Stat. chs. 353 and 356. PERA's defined benefit pension plans are tax qualified plans under Section 401(a) of the Internal Revenue Code.

The General Employees Retirement Plan (accounted for in the General Employees Fund) has multiple benefit structures with members belonging to the Coordinated Plan, the Basic Plan, or The Minneapolis Employees Retirement Fund. Coordinated Plan members are covered by Social Security and Basic Plan and Minneapolis Employee Retirement Fund members are not. The Basic Plan was closed to new members in 1967. The Minneapolis Employees Retirement Fund was closed to new members during 1978 and merged into the General Employees Retirement Plan in 2015. All new members must participate in the Coordinated Plan, for which benefits vest after five years of credited service.

Police officers, firefighters, and peace officers who qualify for membership by statute are covered by the Public Employees Police and Fire Plan (accounted for in the Police and Fire Fund). For members first hired after June 30, 2010, but before July 1, 2014, benefits vest on a prorated basis starting with 50% after 5 years and increasing 10% for each year of service until fully vested after 10 years. Benefits for members first hired after June 30, 2014, vest on a prorated basis from 50% after 10 years and increasing 5% for each year of service until fully vested after 20 years.

b. Benefits Provided

PERA provides retirement benefits as well as disability benefits to members and benefits to survivors upon death of eligible members. Benefit provisions are established by state statute and can be modified only by the state legislature. Benefit increases are provided to benefit recipients each January. Increases are related to the funding ratio of the plan. General Employees Retirement Plan and Public Employees Police and Fire Plan benefit recipients receive a future annual 1.0% for the post-retirement benefit increase. If the funding ratio reaches 90% for two consecutive years, the benefit increase will revert to 2.5%. If, after reverting to a 2.5% benefit increase, the funding ratio declines to less than 80% for one year or less than 85% for two consecutive years, the benefit increase will decrease to 1.0%.

The benefit provisions stated in the following paragraph of this section are current provisions and apply to active plan participants. Vested, terminated employees who are entitled to benefits but are not yet receiving them are bound by the provisions in effect at the time they last terminated their public service.

Note VIII. Other Information (continued)

Benefits are based on a member's highest average salary for any five successive years of allowable service, age, and years of credit at termination of service. Two methods are used to compute benefits for General Employees Retirement Pan Coordinated and Basic Plan members. Members hired prior to July 1, 1989, receive the higher of a step-rate benefit accrual formula (Method 1) or a level accrual formula (Method 2). Under Method 1, the annuity accrual rate for a Basic Plan member is 2.2% of average salary for each of the first ten years of service and 2.7% for each remaining year. The annuity accrual rate for a Coordinated Plan member is 1.2% of average salary for each of the first ten years of service and 1.7% for each remaining year. Under Method 2, the annuity accrual rate is 2.7% of average salary for Basic Plan members and 1.7% for Coordinated Plan members for each year of service. Only Method 2 is used for members hired after June 30, 1989. Minneapolis Employees Retirement Fund members have an annuity accrual rate of 2.0% of average salary for each of the first ten years of service and 2.5% for each remaining year. For Public Employees Police and Fire Fund members, the annuity accrual rate is 3.0% of average salary for each year of service.

For General Employees Retirement Plan members hired prior to July 1, 1989, a full annuity is available when age plus years of service equal 90, and normal retirement age is 65. For members hired on or after July 1, 1989, normal retirement age is the age for unreduced Social Security benefits capped at 66. For Public Employees Police and Fire Plan members, normal retirement age is 55, and for members who were hired prior to July 1, 1989, a full annuity is available when age plus years of service equal 90. Disability benefits are available for vested members and are based on years of service and average high-five salary.

c. Contributions

Pension benefits are funded from member and employer contributions and income from the investment of fund assets. Rates for employer and employee contributions are set by Minn. Stat. ch. 353. These statutes are established and amended by the state legislature. General Employees Retirement Plan Basic members, Coordinated members, and Minneapolis Employees Retirement Fund members were required to contribute 9.10%, 6.50%, and 9.75%, respectively, of their annual covered salary in 2017. Public Employees Police and Fire Plan members were required to contribute 10.80% of their annual covered salary in 2017.

In 2017, the City was required to contribute the following percentages of annual covered salary:

General Employees Retirement Plan	
Basic Plan members	11.78%
Coordinated Plan members	7.50%
Minneapolis Employees Retirement Fund members	9.75%
Public Employees Police and Fire Plan	16.20%

The employee and employer contribution rates did not change from the previous year.

The City's contributions for the year ended December 31, 2017, to the pension plans were:

General Employees Retirement Plan	$ 7,775,599
Public Employees Police and Fire Plan	14,685,894

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Note VIII. Other Information (continued)

The contributions are equal to the contractually required contributions as set by state statute.

d. Pension Costs

General Employees Retirement Plan

At December 31, 2017, the City reported a liability of $101,322,460 for its proportionate share of the General Employees Retirement Plan's net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The City's proportion of the net pension liability was based on the City's contributions received by PERA during the measurement period for employer payroll paid dates from July 1, 2016, through June 30, 2017, relative to the total employer contributions received from all of PERA's participating employers. At June 30, 2017, the City's proportion was 1.5871%. It was 1.5819% measured as of June 30, 2016. The City recognized pension expense of $5,077,964 for its proportionate share of the General Employees Retirement Plan's pension expense.

The City also recognized $36,796 as revenue, which results in a reduction of the net pension liability, for its proportionate share of the State of Minnesota's contribution to the General Employees Retirement Plan, which qualifies as a special funding situation. Legislation required the State of Minnesota to contribute $6 million to the General Employees Retirement Plan for the fiscal year ending June 30, 2017.

City of Saint Paul's proportionate share of the net pension liability	$ 101,322,460
State of Minnesota's proportionate share of the net pension liability associated with the City of Saint Paul	1,274,040
Total	$ 102,596,500

The City reported its proportionate share of the General Employees Retirement Plan's deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual economic experience	$ 3,339,280	$ 6,517,294
Changes in actuarial assumptions	16,765,610	10,157,586
Difference between projected and actual investment earnings	653,174	-
Changes in proportion	322,347	2,771,484
Contributions paid to PERA subsequent to the measurement date	3,948,648	-
Total	$ 25,029,059	$ 19,446,364

The $3,948,648 reported as deferred outflows of resources related to pensions resulting from contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2018. Other amounts reported as deferred outflows and inflows of resources related to pensions will be recognized in pension expense as follows:

Note VIII. Other Information (continued)

Year Ended December 31	Pension Expense Amount
2018	$ 2,104,012
2019	5,657,810
2020	(1,826,830)
2021	(4,300,945)
Total	$ 1,634,047

Public Employees Police and Fire Plan

At December 31, 2017, the City reported a liability of $118,445,940 for its proportionate share of the Public Employees Police and Fire Plan's net pension liability. The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of that date. The City's proportion of the net pension liability was based on the City's contributions received by PERA during the measurement period for employer payroll paid dates from July 1, 2016, through June 30, 2017, relative to the total employer contributions received from all of PERA's participating employers. At June 30, 2017, the City's proportion was 8.773%. It was 9.058% measured as of June 30, 2016. The City recognized pension expense of $14,592,204 for its proportionate share of the Public Employees Police and Fire Fund's pension expense.

The City also recognized $789,570 as revenue, which results in a reduction of the net pension liability, for its proportionate share of the State of Minnesota's on-behalf contribution to the Public Employees Police and Fire Plan. Legislation requires the State of Minnesota to contribute $9 million to the Police and Fire Plan each year, starting in fiscal year 2014, until the plan is 90% funded.

The City reported its proportionate share of the Public Employees Police and Fire Plan's deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual economic experience	$ 2,726,385	$ 32,921,618
Changes in actuarial assumptions	160,045,802	168,163,847
Difference between projected and actual investment earnings	3,104,489	-
Changes in proportion	901,834	11,593,363
Contributions paid to PERA subsequent to the measurement date	7,456,833	-
Total	$ 174,235,343	$ 212,678,828

The $7,456,833 reported as deferred outflows of resources related to pensions resulting from contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2018. Other amounts reported as deferred outflows and inflows of resources related to pensions will be recognized in pension expense as follows:

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Note VIII. Other Information (continued)

Year Ended December 31	Pension Expense Amount
2018	$ 1,439,193
2019	1,439,193
2020	(3,145,792)
2021	(10,538,831)
2022	(35,094,081)
Total	$ (45,900,318)

Total Pension Expense

The total pension expense for all plans recognized by the City for the year ended December 31, 2017, was $19,670,168.

e. Actuarial Assumptions

The total pension liability in the June 30, 2017, actuarial valuation was determined using the individual entry-age normal actuarial cost method and the following additional actuarial assumptions:

Inflation	2.50 % per year
Active member payroll growth	3.25 % per year
Investment rate of return	7.50 %

Salary increases were based on a service-related table. Mortality rates for active members, retirees, survivors, and disabilitants for all plans were based on RP-2014 tables for males or females, as appropriate, with slight adjustments. For the General Employees Retirement Plan and the Public Employees Police and Fire Plan, cost of living benefit increases for retirees are assumed to be 1.0% through 2044 and 2064, respectively, and 2.5% thereafter.

Actuarial assumptions used in the June 30, 2017, valuation were based on the results of actuarial experience studies. The experience study in the General Employees Retirement Plan was dated June 30, 2015. The experience study for the Public Employees Police and Fire Plan was dated August 30, 2016.

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Note VIII. Other Information (continued)

The long-term expected rate of return on pension plan investments is 7.5%. The State Board of Investment, which manages the investments of PERA, prepares an analysis of the reasonableness of the long-term expected rate of return on a regular basis using a building-block method in which best-estimate ranges of expected future rates of return are developed for each major asset class. These ranges are combined to produce an expected long-term rate of return by weighting the expected future rates of return by the target asset allocation percentages. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Domestic stocks	39%	5.10%
International stocks	19	5.30
Bonds	20	0.75
Alternative assets	20	5.90
Cash	2	0.00

f. Discount Rate

The discount rate used to measure the total pension liability was 7.50% in 2017 which remained consistent with 2016. The projection of cash flows used to determine the discount rate assumed that employee and employer contributions will be made at the rate specified in statute. Based on that assumption, the fiduciary net position of the General Employees Retirement Plan and the Public Employees Police and Fire Plan were projected to be available to make all projected future benefit payments of current and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

g. Changes in Actuarial Assumptions

The following changes in actuarial assumptions occurred in 2017:

1. General Employees Retirement Plan
   A. The Combined Service Annuity (CSA) loads were changed from 0.8% for active members and 60% for vested and non-vested deferred members (30% for deferred Minneapolis Employees Retirement Fund members). The revised CSA loads are now 0.0% for active member liability, 15% for vested deferred member liability, and 3.0% for non-vested deferred member liability.
   B. The assumed post-retirement benefit increase rate was changed from 1.0% per year for all future years to 1.0% per year through 2044 and 2.5% per year thereafter.
   C. Minneapolis Employees Retirement Fund plan provisions change the employer supplemental contribution to $21,000,000 in calendar years 2017 and 2018 and returns to $31,000,000 through calendar year 2031. The State's required contribution is $16,000,000 in PERA's fiscal years 2018 and 2019 and returns to $6,000,000 annually through calendar year 2031.

CITY OF SAINT PAUL, MINNESOTA
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Note VIII. Other Information (continued)

2. Public Employees Police and Fire Plan
   A. The assumed salary increases were changed as recommended in the June 30, 2016, experience study. The net effect is proposed rates that average 0.34% lower than the previous rates.
   B. The assumed rates of retirement were changed, resulting in fewer retirements.
   C. The CSA load was 30% for vested and non-vested, deferred members. The CSA has been changed to 33% for vested members and 2.0% for non-vested members.
   D. The base mortality table for healthy annuitants was changed from the RP-2000 fully generational table to the RP-2014 fully generation table (with a base year of 2006), with male rates adjusted by a factor of 0.96. The mortality improvement scale was changed from Scale AA to Scale MP-2016. The base mortality table for disabled annuitants was changed from the RP-2000 disabled mortality table assumed for healthy retirees.
   E. The assumed termination rates were decreased to 3.0% for the first three years of service. Rates beyond the select period of three years were adjusted, resulting in more expected terminations overall.
   F. The assumed percentage of married female members was decreased from 65% to 60%.
   G. The assumed age difference was changed from separate assumptions for male members (wives assumed to be three years younger) and female members (husbands assumed to be four years older) to the assumption that males are two years older than females.
   H. The assumed percentage of female members electing joint and survivor annuities was increased.
   I. The assumed post-retirement benefit increase rate was changed from 1.0% for all years to 1.0% per year through 2064 and 2.5% thereafter.
   J. The single discount rate was changed from 5.60% per annum to 7.50% per annum.

h. Pension Liability Sensitivity

The following presents the City's proportionate share of the net pension liability calculated using the discount rate disclosed, as well as what the City's proportionate share of the net pension liability would be if it were calculated using a discount rate 1.0 percentage point lower or 1.0 percentage point higher than the current discount rate:

	Proportionate Share of the			
	General Employees Retirement Plan		Public Employees Police and Fire Plan	
	Discount Rate %	Net Pension Liability	Discount Rate %	Net Pension Liability
1% Decrease	6.50	$ 157,158,664	4.60	$ 223,068,264
Current	7.50	101,322,460	5.60	118,445,940
1% Increase	8.50	55,610,385	6.60	32,074,439

i. Pension Plan Fiduciary Net Position

Detailed information about the pension plan's fiduciary net position is available in a separately issued PERA financial report that includes financial statements and required supplementary information. That report may be obtained on the internet at www.mnpera.org; by writing to PERA at 60 Empire Drive, Suite 200, St. Paul, Minnesota 55103-2088; or by calling (651) 296-7460 or 1-800-652-9026.

Note VIII. Other Information (continued)

B. Postemployment Benefits Other than Pension

1. Plan Description

In addition to the pension benefits described in Note VIII.A, the City provides other postemployment health care and life insurance benefits (OPEB) for retired employees through a single employer defined benefit plan. The authority to provide these benefits is established in Minnesota Statutes Section 471.61, Subd. 2a. The benefit levels, employee contributions and employer contributions are governed by the City and can be amended by the City through the City's collective bargaining agreements with employee groups. The plan is not accounted for as a trust fund, as an irrevocable trust has not been established to account for the plan. The plan does not issue a separate report. The activity of the plan is allocated as part of the City's fringe benefit charge.

2. Benefits Provided

The City provides postemployment health care and life insurance benefits to its retirees. To be eligible for benefits, an employee must be collecting a state retirement pension and have been employed by the City for a minimum of 20 years. This coverage may also extend to the retiree's family. Benefits include general inpatient and outpatient medical services; mental and substance abuse care; vision care; preventative dental; and prescriptions.

Life insurance in the amount of $5,000 to $20,000 is provided to some under age 65 (early retirees), depending upon collective bargaining agreements. A few over age 65 retirees have varying amounts of life insurance that had been continued due to disability.

The majority of employees benefit amounts have been capped. The benefit amount varies depending upon employment date and bargaining unit agreement as indicated below:

Health Care Benefit

	Under Age 65 (early retiree)	Over Age 65 (regular retiree)
Employees who retired before January 1, 1996	$250 per month	100%
Employees hired before January 1, 1996 and retiring after January 1, 1996	$350 per month	$550 per month
Employees hired after January 1, 1996	$300 per month	$300 per month

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Note VIII. Other Information (continued)

This benefit has been discontinued for Police officers hired after July 1, 2005 and for Tri-Council employees hired after January 1, 1996.

Life Insurance Benefit

Retirees are eligible to continue on the City's life insurance program until age 65 in amounts that range from $5,000 - $20,000.

3. Membership

As of December 31, 2017, the membership consisted of:

	Family Coverage	Single Coverage	Total
Retired Participants and Beneficiaries			
Under Age 65 (Early Retirees)	92	401	493
Over Age 65 (Regular Retirees)	505	1,184	1,689
Total Retired Participants	597	1,585	2,182
Total Active Participants	1,476	546	2,022
Total Participants	2,073	2,131	4,204

4. Funding Policy

The City negotiates the contribution between the City and employees through 16 employee group agreements. The City currently finances this plan on a pay as you go basis. Early retirees (under age 65) contribute to the health care plan at the same rate as active employees. This results in the early retirees receiving an implicit rate subsidy. For the fiscal year ending December 31, 2017, retirees contributed $2,529,282 and the City contributed $8,783,269. Active employees do not contribute to the plan until retirement.

The average monthly premium contributions for 2017 were as follows:

	Age	Average Monthly City Contribution [1]	Average Monthly Retiree Contribution[2]
Health Insurance	Less than 65	$ 233,368 [1]	$ 169,286 [2]
	65 and older	$ 498,410 [1]	$ 41,488 [2]
Life Insurance	Less than 65	$ 155 [3]	Not applicable
	65 and older	$ 6 [3]	Not applicable

(1) The average monthly City contribution for health insurance for retirees less than 65 is $473 and $295 for retirees 65 and older.
(2) The average monthly retiree contribution for health insurance for retirees less than 65 is $343 and $25 for retirees 65 and older.
(3) The average monthly City contribution for life insurance for retirees less than 65 is $1.

Note VIII. Other Information (continued)

5. Annual OPEB costs and Net OPEB Obligation

The City had an actuarial valuation performed for the plan as of December 31, 2016, to determine the funded status of the plan as of that date as well as the employer's annual required contribution (ARC) for the fiscal year ended December 31, 2017. The City's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for 2017 and the two preceding years were as follows:

Fiscal Year Ended	Annual OPEB Cost	Employer Contribution	Percentage of Annual OPEB Cost Contributed	Net OPEB Obligation
December 31, 2015	$ 15,106,436	$ 8,861,540	58.66%	$ 46,885,083
December 31, 2016	15,226,226	9,236,969	60.66%	52,874,340
December 31, 2017	15,710,981	9,865,402	62.79%	58,719,919

The net OPEB obligation (NOPEBO) as of December 31, 2017, was calculated as follows:

Annual Required Contribution (ARC)	$ 16,735,227
Interest on Net OPEB Obligation	1,850,602
Adjustment to Annual Required Contribution	(2,874,848)
Annual OPEB cost	15,710,981
Contributions Made	
Direct	8,227,544
Indirect Implicit Subsidy	1,637,858
Total Contributions Made	9,865,402
Increase (Decrease) in Net OPEB Obligation	5,845,579
Net OPEB Obligation Beginning of Year	52,874,340
Net OPEB Obligation End of Year	$ 58,719,919

6. Funded Status and Funding Progress

As of the actuarial valuation date of December 31, 2017, the funded status of the plan was as follows:

Actuarial Accrued Liability (AAL)	$ 215,106,787
Actuarial Value of Plan Assets	-
Unfunded Actuarial Accrued Liability (UAAL)	$ 215,106,787
Funded Ratio (Actuarial Value of Plan Assets/AAL)	0.00%
Active Members Covered Payroll	$ 210,907,706
UAAL as a Percentage of Covered Payroll	101.99%

Note VIII. Other Information (continued)

7. Actuarial Methods and Assumptions

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information, following the notes to the financial statements, will present multi-year trend information as it becomes available. The schedule will show whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Actuarial methods and assumptions, projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the December 31, 2016, actuarial valuation, the Entry Age Normal level percent of pay actuarial cost method was used. The actuarial assumptions included 3.50% discount rate and an annual healthcare cost trend rate of beginning at 6.80% for fiscal year 2017 for Non-Medicare eligible retirees and 6.80% for Medicare eligible retirees and declining over 5 years to 5.20%. Both rates include a 2.75% inflation assumption. The actuarial value of assets was $0, as the City has not advance-funded its obligation. The plan's unfunded actuarial accrued liability is being amortized as a level dollar amount over a 30-year open amortization period (30-year period restarted with each valuation).

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Note VIII. Other Information (continued)

C. Risk Management

The City is exposed to various risks of losses related to torts; theft of, damage to and destruction of assets; errors and omissions; injuries to employees and natural disasters. The City accounts for and finances its risk management activities in the Central Services Internal Service Fund. Claim expenditures and liabilities are reported when it is probable that a loss has occurred and the amount of that loss can be reasonably estimated. These losses include an estimate of claims that have been incurred but not reported. Claim expenditures relating to tort liabilities are paid from the General Fund and other funds responsible for losses as determined by the tort claim manager. Workers' compensation claim expenditures are directly charged to department funds responsible for the employee at time of injury. The following discloses the change in the balance of the claims liability during fiscal years 2016 and 2017.

	Year Ended December 31, 2017	Year Ended December 31, 2016
Beginning of Fiscal Year Liability	$ 55,776,702	$ 48,637,082
Current Year Claims and Changes in Estimates	22,052,470	16,878,659
Claim Payments	(14,039,327)	(9,739,039)
End of Fiscal Year Liability	$ 63,789,845	$ 55,776,702

Minnesota Statutes Section 466.04 limits the City's tort financial exposure for claims arising from general liability or vehicle liability exposures. The limits are $300,000 per individual and $750,000 per accident for any number of claims arising out of a single occurrence for claims arising on or after January 1, 1998, and before January 1, 2000. For claims arising on or after January 1, 2000, and before January 1, 2008, the limit per accident for any number of claims arising out of a single occurrence is $1,000,000 and $300,000 per individual. For claims arising on or after January 1, 2008 and before July 1, 2009, the limit per accident for any number of claims arising out of a single occurrence is $1,200,000 and $400,000 per individual. For claims arising on or after July 1, 2009, the limit per accident for any number of claims arising out of a single occurrence is $1,500,000 and $500,000 per individual. The limits double when the claim arises out of the release or threatened release of a hazardous substance. The City does not carry commercial liability and collision insurance for City-owned vehicles.

The HRA acquired in 2009 a site with existing pollution which will require remediation. To address its exposure to risk of loss related to pollution liability torts, the HRA has purchased a Premises Pollution Liability Insurance policy. The limit of this coverage is $20,000,000.

The City has purchased all risk property insurance coverage of $1.8 billion for its real and personal property throughout the City. The deductible for each occurrence of damage or loss of property is $250,000. Each City department participating in the risk retention program is charged a yearly amount based upon pro rata shares of the property insurance coverage, and contributions are made to a risk retention pool to address potential losses not covered by insurance. The City department is responsible for the first $10,000 of each loss. Losses that exceed $10,000 are reimbursed by the risk retention pool. There were no significant reductions in insurance from the previous year or settlements in excess of insurance coverage for any of the past three years.

The City purchases coverage for employee health and life insurance benefits. These benefit plans are fully insured. The contributions required by employees to the health and life insurance programs are dependent upon an employee's bargaining unit. There were no significant reductions in insurance from the previous year or settlements in excess of insurance coverage for any of the past three fiscal years.

Note VIII. Other Information (continued)

The City self-insures its liability for unemployment compensation benefits and City funds are directly charged for the actual costs incurred.

The City's Risk Management Division provides direction, management, coordination and planning services for risk and insurance programs. Human Resources staff conducts an audit and actuarial analysis to ensure proper premium, retention and administrative charges related to employee benefit programs. Tort liability, workers' compensation and unemployment compensation programs are administered internally by risk management staff including a professional claim manager and adjusters. Litigated tort claims (both general liability and vehicle liability) are handled by the City Attorney's Office and its staff.

D. Construction and Other Significant Commitments

At December 31, 2017, the City had commitments for the following major construction projects:

Project Title	Remaining Construction Committed
Kellogg Bridges	$ 515,376
Grand Rounds	732,081
Snelling Ave S Medians 8-80	904,559
Total	$ 2,152,016

Major League Soccer Stadium

1. Ground Lease with Metropolitan Council
   a. The City, St. Paul Port Authority (SPPA) and Metropolitan Council negotiated a ground lease for the property known as the Bus Barn Site. The lease has a term of approximately 52 years, depending on the date the team plays its first major league game at the stadium.
   b. Rent payments are $556,620 annually. The site will be subleased to the Minnesota United (hereafter, referred to as "Team"), meaning that rent be paid by the team, with the City as a pass through to the Metropolitan Council.
2. Environmental Impact Agreement
   a. This is an agreement between the City, SPPA, Met Council and the Team that allocates cost of environmental remediation of the Stadium Site among all parties.
   b. The City has agreed to pay the first $1.5 million of remediation. The Met Council is responsible for the next $4.5 million, plus more in the event of a shortfall. Team is responsible for up to $1.5 million for environmental cleanup of acquired property adjacent to the Bus Barn Site to complete the stadium site, to the extent that such costs are not covered by grants or other sources.
3. Development Agreement
   a. The Team is responsible for the design, construction and equipping of the stadium, including its full cost.
   b. The City is responsible for the cost of standard grade Public Infrastructure in the amount of $16.1 million, plus an additional $800,000 for contingent costs.

Note VIII. Other Information (continued)

4. Stadium ownership
   a. The Bus Barn Property is owned by the Metropolitan Council. The City shall own the Stadium, the Adjacent Areas, and the Stadium Site other than the Bus Barn Property, excluding however the Club Personal Property and the Transit Components, subject to the Net Ground Lease and any lease applicable to the Team-Acquired Property.

E. Interest Rate Swap Agreements

Summary of Notional Amounts and Fair Values

The City enters into contracts to hedge its exposure to fluctuating interest rates. These contracts are evaluated pursuant to GASB Statement No. 53 - *Accounting and Financial Reporting for Derivative Instruments*, to determine whether they meet the definition of derivative instruments, and, if so, whether they effectively hedge the expected cash flows associated with interest rate exposures.

The City applies hedge accounting for derivatives that are deemed effective hedges. Under hedge accounting, the increase (decrease) in the fair value of a hedge is reported as a deferred outflow of resources (derivative instrument interest swap liability) in the statement of net position. For the reporting period, all of the City's derivatives meet the effectiveness tests.

For interest rate derivatives, the City contracted with Springsted Investment Advisors, Inc., an independent mark-to-market service, to estimate fair value based upon the market close rate data provided by Bloomberg Financial.

The following is a summary of the fair values and notional amounts of derivative instruments outstanding as of December 31, 2017 (gains shown as positive amounts, losses as negative).

Governmental Activities	2017 Change in Fair Value		Fair Value at December 31, 2017		
	Classification	Amount	Classification	Amount	Notional
Effective Cash Flow hedges					
Interest Rate Derivatives:					
Pay-fixed swaps, interest rate	Deferred Outflow	$ 1,779,864	Derivative	$ (6,307,826)	$ 42,285,000

Objective and Terms of Hedging Derivative Instruments

In November 2007, the City entered into two interest rate swap agreements for $32,727,500 each, for a total notional amount of $65,455,000 with Piper Jaffray Financial Products, Inc., and Royal Bank of Canada relating to the 1999 Taxable Sales Tax Revenue Bonds. These interest rate swap agreements took place in November 2007 and will end on November 1, 2025. On May 1, 2009, the 1999 Taxable Sales Tax Revenue Bonds were refunded through the issuance of taxable variable rate bonds. The objective of this agreement is to be able to refund the bonds at a lower estimated total synthetic interest rate of 5.58% compared to the present interest rates of 6.44% through 7.09% on the original bonds payable from 2009 through 2025.

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Note VIII. Other Information (continued)

Risks of Derivative Instruments

1. Credit Risk

Credit risk is the risk of loss due to a counterparty defaulting on its obligations. The City seeks to minimize credit risk by transacting with creditworthy counterparties. Interest rate swap counterparties are evaluated at the time of transaction execution.

2. Termination Risk

Termination risk is the risk that a derivative will terminate prior to its scheduled maturity due to a contractual event. Contractual events include bankruptcy, illegality, default, and mergers in which the successor entity does not meet credit criteria. One aspect of termination risk is that the City would lose the hedging benefit of a derivative that becomes subject to a termination event. Another aspect of termination risk is that, if at the time of termination the mark-to-fair value of the derivative was a liability to the City, the City could be required to pay that amount to the counterparty. Termination risk is associated with the City's derivative up to the fair value amount.

3. Hedged Debt

Net cash flows for the City's synthetic fixed-rate debt are shown on the following table. These amounts assume that the interest rates of the bonds and the reference rates of the hedging derivative instruments remain at December 31, 2017 levels. These rates will vary and, as they do, interest payments on the variable-rate bonds and net receipts/payments on the interest rate swaps will vary. The table shows only the City's effectively hedged synthetic fixed-rate debt, which is a subset of the City's total debt. As of December 31, 2017, all of the City's variable-rate debt is effectively hedged.

Year Ending December 31, 2017	Principal	Interest	Net Payment on Derivatives	Total
2018	$ 3,395,000	$ 654,574	$ 1,527,339	$ 5,576,913
2019	3,580,000	600,822	1,401,919	5,582,741
2020	3,780,000	544,129	1,269,635	5,593,764
2021	3,990,000	484,272	1,129,968	5,604,240
2022	4,210,000	421,093	982,551	5,613,644
2023-2025	23,330,000	753,617	1,758,440	25,842,057
Totals	$ 42,285,000	$ 3,458,507	$ 8,069,852	$ 53,813,359

F. Contingent Liabilities

Litigation

The City, in connection with the normal conduct of its affairs, is involved in various disputes, claims and lawsuits; it is expected that the final resolution of these matters will not materially affect the financial statements of the City.

Note VIII. Other Information (continued)

University Enterprise Laboratory Project

The City of Saint Paul entered into a $6 million guaranty of principal and interest with Wells Fargo on January 21, 2005, to help secure financing for the $24.2 million University Enterprise Laboratory (UEL) Project at 1000 Westgate Drive in St. Paul, Minnesota.

In January 2012, the original 2005 debt was refinanced through various funds, including the proceeds of a loan from US Bank for $9.4 million. The effect of the refunding was to reduce the City's guaranty to $4 million. Going forward, the City's contingent liability will drop further, as the City's guaranty automatically declines as the mortgage is paid down. The current guaranty encumbrance is against the General Fund.

Regions Hospital Parking Ramp Contingent Lease

During 2006, the Port Authority of the City of Saint Paul (Port) issued revenue bonds to finance construction of a parking ramp at the Regions Hospital complex. The bonds are 30 year bonds with final scheduled retirement in 2036. The Port will lease the ramp for years 2008 through 2030 to Regions Hospital after construction is completed. The HRA agreed to a lease commitment in an amount equal to the annual debt service on the Port bonds for the years 2031 through 2036. The scheduled principal balance on the bonds is $6,045,000 in 2031 prior to the 2031 through 2036 debt payments. The HRA lease is not triggered and no payments are made by the HRA if any one of the following takes place:

1. Regions Hospital continues to need the ramp for their business and extends the lease with the Port from 2031 through 2036.
2. Sometime during the period of 2008 through 2030, Regions Hospital elects to purchase the ramp for the greater of the outstanding debt or fair market value of the ramp.
3. Regions Hospital defaults on the Port lease and the bond trustee determines on behalf of the bondholders to sell the ramp to a third party and cancels the HRA lease commitment.

Cleanup of Hazardous Materials

Properties owned by the HRA and the City may have certain contingent liabilities associated with them due to potential contamination from hazardous materials or difficulty in securing vacant structures located on them. It is not expected that these contingencies will have a material effect on the financial statements of the City.

The following properties have been identified as possible sites of pollution or contamination:

1. Capp Road (Catholic Charities) - Possible pollution or contamination
2. Koch/Mobil - Remediation has already been completed
3. Rivoli Street Properties - Remediation has already been completed by the original polluter
4. Willow Reserve Property - Contamination

In 2009, the Exxon-Mobil property site was purchased which was polluted and required pollution remediation. This site was a former petroleum storage tank farm, built in the 1950's which had suffered some leakage of petroleum. The purchase agreement requires the HRA to remediate the pollution and restricts the future use of the land to specific uses. The land was purchased for $1, and in addition, the seller donated $5,000,000 to the HRA for pollution remediation and park features. This donation is identified as unearned revenue in the Governmental Funds Balance Sheet, in the HRA Development Capital Projects Fund. Because the land has no fair value before remediation, it is valued at its purchase price in the Governmental Activities Capital Assets. On March 27, 2017, the HRA received a letter from the Minnesota Pollution Control Agency stating that the HRA has adequately addressed the petroleum tank release for the Exxon Mobil site and that such

Note VIII. Other Information (continued)

case file has been closed. In response to the letter received on March 27, 2017, from the Minnesota Pollution Control Agency the estimated maximum future cost of $50,000 is included with the Pollution Remediation Obligation identified on the Government-wide Statement of Net Position. This pollution remediation obligation is an estimate and subject to changes resulting from price increases or reductions, technology, or changes in applicable laws or regulations.

The Willow Reserve property is comprised of 11 single family homes, to be constructed by Habitat for Humanity, a public alley, and public space. The public alley and space is in the HRA's possession. During excavation in 2017, construction debris was discovered and excavation stopped. The former use of the site included a greenhouse/garden center, out buildings and one or more residential structures. Several additional borings were conducted by Habitat for Humanity in 2017 and contaminants discovered include asbestos containing waste materials, buried debris and solid waste, arsenic, lead and benzo(a)pyrene (a carcinogen). Habitat for Humanity conducted the site investigation, development of a Phase I and Phase II report, and Response Action Plan. The method of investigation and the proposed course of action have been approved by the Minnesota Pollution Control Agency. The investigation covers the entire site and has been done, in part, on behalf of the HRA. The estimated costs for cleanup for the homes, public alley, and public space are $700,000. The HRA portion of the costs is estimated to be $350,000 and is included with the Pollution Remediation Obligation identified on the Government-wide Statement of Net Position. This pollution remediation obligation is an estimate and subject to changes resulting from price increases or reductions, technology, or changes in applicable laws or regulations.

G. Subsequent Events

Bond Issues

On May 16, 2018, the City issued General Obligation Various Purpose Bonds, Series 2018A in the amount of $12,765,000. The proceeds were used to: (i) provide financing for capital improvement projects identified in the City's approved Capital Improvement Budget for the years 2018 through 2022; and (ii) provide financing for certain equipment, including, but not limited to, public safety vehicles and other capital equipment.

On May 16, 2018, the City issued General Obligation Street Improvement Special Assessment Refunding Bonds, Series 2018B in the amount of $26,120,000. The proceeds were used to current refund (i) the City's General Obligation Variable Rate Street Improvement Special Assessment Bonds, Series 2015C, issued in the original aggregate principal amount of $22,825,000 and outstanding as of May 1, 2018, in the amount of $18,845,000; and (ii) the General Obligation Variable Rate Street Improvement Special Assessment Bonds, Series 2016C, issued in the original aggregate principal amount of $10,520,000 and outstanding as of May 1, 2018, in the amount of $8,750,000.

On May 16, 2018, the City issued General Obligation Tax Increment Refunding Bonds, Series 2018C in the amount of $13,175,000. The proceeds were used to current refund the City's General Obligation Tax Increment Refunding Bonds, Series 2009G, issued in the original aggregate principal amount of $20,695,000 and outstanding in the amount of $14,500,000.

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Note VIII. Other Information (continued)

RiverCentre Parking Ramp

In mid-May 2018, some debris came loose from the ceiling on one of the levels of the RiverCentre parking ramp. As a precautionary measure, the City made the decision to close the ramp. Management of the RiverCentre Convention & Visitors Authority engaged a contractor to undertake a detailed inspection of the ramp and to determine what repairs or improvements are needed for the safe operation of the ramp. Management is currently evaluating the proposed plans. Accordingly, there is uncertainty as to the length of time the ramp will be closed.

H. Future Change in Accounting Standard

Effective for financial statements for the year ending December 31, 2018, the City will be implementing Governmental Accounting Standards Board (GASB) Statements No. 75.

GASB Statement No. 75 - *Accounting and Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans* will do to Other Post Employment Benefits (OPEB) what GASB Statement 68 did for pensions.

GASB Statement No. 75 establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expenses, and will include new note disclosures and required supplementary information for OPEB plans. GASB Statement No. 75 affects the City as it provides OPEB and reports a liability related to these benefits.

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CITY OF SAINT PAUL, MINNESOTA
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCE - BUDGET AND ACTUAL
GENERAL FUND
YEAR ENDED DECEMBER 31, 2017

	Budgeted Amounts		Actual	Variance With
	Original	Final	Amounts	Final Budget
REVENUES				
Taxes				
Property Taxes	$ 80,988,299	$ 80,988,299	$ 81,588,131	$ 599,832
Gross Earnings Franchise Fees	25,466,879	25,466,879	26,329,251	862,372
Hotel-Motel Tax	1,770,800	1,770,800	1,942,319	171,519
Other Taxes	500,000	500,000	5,079	(494,921)
Total Taxes	108,725,978	108,725,978	109,864,780	1,138,802
Licenses and Permits	11,752,899	11,752,899	13,300,099	1,547,200
Intergovernmental Revenue	74,583,282	74,583,282	74,837,972	254,690
Fees, Sales and Services	42,798,359	42,933,614	45,223,221	2,289,607
Assessment Financing	77,000	77,000	140,293	63,293
Investment Income				
Interest Earned On Investments	2,365,034	2,365,034	2,988,722	623,688
Increase (Decrease) in Fair Value of Investments	-	-	(532,434)	(532,434)
Interest Earned - Other	-	-	(40,136)	(40,136)
Miscellaneous Revenue	702,864	975,571	967,881	(7,690)
Total Revenues	241,005,416	241,413,378	246,750,398	5,337,020
EXPENDITURES				
Current				
General Government				
City Council	3,436,051	3,447,602	3,315,185	132,417
Mayor	1,943,290	1,959,123	2,004,592	(45,469)
City Attorney	8,264,478	8,322,116	7,940,272	381,844
Financial Services	4,049,174	4,142,306	3,618,728	523,578
Human Resources	4,730,209	4,327,954	4,371,076	(43,122)
Human Rights	2,331,985	2,338,674	2,091,296	247,578
Technology	11,573,572	12,424,223	11,613,775	810,448
Other	10,410,338	9,393,250	10,607,080	(1,213,830)
Total General Government	46,859,197	46,355,448	45,562,004	793,444
Public Safety				
Police	90,146,089	89,826,864	90,542,368	(715,504)
Fire and Safety Services	60,114,617	60,725,965	61,334,477	(608,512)
Safety and Inspection	18,930,630	18,982,600	18,645,371	337,229
Emergency Management	428,046	428,046	458,180	(30,134)
Total Public Safety	169,619,382	169,963,475	170,980,396	(1,016,921)
Highways and Streets	3,193,024	2,384,024	2,250,027	133,997
Culture and Recreation	30,910,152	29,679,212	29,381,549	297,663
Capital Outlay	416,248	825,044	657,907	167,137
Debt Service				
Principal - Other Debt	62,926	62,926	-	62,926
Interest - Other Debt	4,011	4,011	2,009	2,002
Total Expenditures	251,064,938	249,274,140	248,833,892	440,248
Excess (Deficiency) of Revenues Over (Under) Expenditures	(10,059,522)	(7,860,762)	(2,083,494)	5,777,268
OTHER FINANCING SOURCES (USES)				
Transfers In	9,106,206	9,106,206	9,733,736	627,530
Transfers Out	(1,826,529)	(6,197,323)	(6,197,692)	(369)
Sale of Capital Assets	2,274,000	2,274,000	2,270,890	(3,110)
Total Other Financing Sources (Uses)	9,553,677	5,182,883	5,806,934	624,051
Net Change in Fund Balance	(505,845)	(2,677,879)	3,723,440	6,401,319
FUND BALANCE, January 1	48,945,253	48,945,253	48,945,253	-
FUND BALANCE, December 31	$ 48,439,408	$ 48,267,374	$ 52,668,693	$ 6,401,319

The notes to the required supplementary information are an integral part of this schedule.

CITY OF SAINT PAUL, MINNESOTA
REQUIRED SUPPLEMENTARY INFORMATION
COMBINING SCHEDULE OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCES - BUDGET AND ACTUAL
ANNUALLY BUDGETED MAJOR SPECIAL REVENUE FUNDS
YEAR ENDED DECEMBER 31, 2017

	Assessment Financing				Public Library General Fund				HRA General Fund			
	Budgeted Amounts		Actual	Variance With	Budgeted Amounts		Actual	Variance With	Budgeted Amounts		Actual	Variance With
	Original	Final	Amounts	Final Budget	Original	Final	Amounts	Final Budget	Original	Final	Amounts	Final Budget
REVENUES												
Property Taxes												
Current Taxpayer	$ -	$ -	$ -	$ -	$ 17,368,694	$ 17,368,694	$ 17,329,651	$ (39,043)	$ 3,475,665	$ 3,475,665	$ 3,496,158	$ 20,493
Delinquent Taxpayer	-	-	-	-	19,412	19,412	185,876	166,464	-	-	10,183	10,183
Total Property Taxes	-	-	-	-	17,388,106	17,388,106	17,515,527	127,421	3,475,665	3,475,665	3,506,341	30,676
Intergovernmental Revenue	-	-	-	-	-	-	18,401	18,401	-	-	-	-
Fees, Sales and Services	-	-	-	-	-	-	-	-	1,632,149	1,632,149	3,011,924	1,379,775
Assessment Financing	6,720,000	6,720,000	6,990,135	270,135	-	-	-	-	-	-	-	-
Investment Income												
Interest Earned on Investments	-	-	-	-	-	-	-	-	280,000	280,000	265,649	(14,351)
Increase (Decrease) in Fair Value of Investments	-	-	-	-	-	-	-	-	-	-	31,396	31,396
Miscellaneous - Other	-	-	-	-	261,000	261,000	8,595	(252,405)	-	-	-	-
Total Revenues	6,720,000	6,720,000	6,990,135	270,135	17,649,106	17,649,106	17,542,523	(106,583)	5,387,814	5,387,814	6,815,310	1,427,496
EXPENDITURES												
Current												
General Government	2,077,620	2,077,620	1,828,967	248,653	-	-	-	-	-	-	-	-
Public Safety	472,800	620,004	376,152	243,852	-	-	-	-	-	-	-	-
Culture and Recreation	-	-	-	-	17,623,595	17,648,709	17,473,366	175,343	-	-	-	-
Housing and Economic Development	-	-	-	-	-	-	-	-	5,878,192	8,098,192	7,184,987	913,205
Total Expenditures	2,550,420	2,697,624	2,205,119	492,505	17,623,595	17,648,709	17,473,366	175,343	5,878,192	8,098,192	7,184,987	913,205
Excess (Deficiency) of Revenues Over (Under) Expenditures	4,169,580	4,022,376	4,785,016	762,640	25,511	397	69,157	68,760	(490,378)	(2,710,378)	(369,677)	2,340,701
OTHER FINANCING SOURCES (USES)												
Transfers In	472,798	472,798	511,323	38,525	2,500	2,500	175,000	172,500	-	-	76,486	76,486
Transfers Out	(6,026,930)	(6,026,930)	(5,009,604)	1,017,326	(43,990)	(43,990)	(248,622)	(204,632)	(2,823,959)	(603,959)	(582,499)	21,460
Total Other Financing Sources (Uses)	(5,554,132)	(5,554,132)	(4,498,281)	1,055,851	(41,490)	(41,490)	(73,622)	(32,132)	(2,823,959)	(603,959)	(506,013)	97,946
Net Change in Fund Balances	(1,384,552)	(1,531,756)	286,735	1,818,491	(15,979)	(41,093)	(4,465)	36,628	(3,314,337)	(3,314,337)	(875,690)	2,438,647
FUND BALANCES, January 1 - as restated (Note III.C.13.)	5,176,107	5,176,107	5,176,107	-	2,274,616	2,274,616	2,274,616	-	11,413,840	11,413,840	11,413,840	-
FUND BALANCES, December 31	$ 3,791,555	$ 3,644,351	$ 5,462,842	$ 1,818,491	$ 2,258,637	$ 2,233,523	$ 2,270,151	$ 36,628	$ 8,099,503	$ 8,099,503	$ 10,538,150	$ 2,438,647

The notes to the required supplementary information are an integral part of this schedule.

CITY OF SAINT PAUL, MINNESOTA
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF FUNDING PROGRESS
OTHER POSTEMPLOYMENT BENEFITS PLAN
YEAR ENDED DECEMBER 31, 2017

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) (b)	Funded Ratio (a/b)	Unfunded Actuarial Accrued Liability (UAAL) (b-a)	Active Members Covered Payroll (c)	UAAL As a Percentage of Covered Payroll ((b-a)/c)
September 30, 2006	$ -	$ 165,012,188	0.00%	$ 165,012,188	$ 148,007,987	111.49%
September 30, 2008	-	167,566,226	0.00%	167,566,226	145,877,064	114.87%
September 30, 2010	-	188,664,971	0.00%	188,664,971	162,301,913	116.24%
September 30, 2012	-	156,415,280	0.00%	156,415,280	170,535,057	91.72%
September 30, 2014	-	188,696,789	0.00%	188,696,789	198,247,110	95.18%
December 31, 2016	-	215,106,787	0.00%	215,106,787	210,907,706	101.99%

The notes to the required supplementary information are an integral part of this schedule.

CITY OF SAINT PAUL, MINNESOTA
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF EMPLOYER CONTRIBUTIONS
OTHER POSTEMPLOYMENT BENEFITS PLAN
YEAR ENDED DECEMBER 31, 2017

Fiscal Year Ended December 31,	Employer Contributions	Annual Required Contribution (ARC)	Percentage Contributed
2009	$ 9,559,747	$ 14,436,251	66.22%
2010	8,951,951	14,749,946	60.69%
2011	9,299,062	16,045,762	57.95%
2012	8,807,003	16,446,256	53.55%
2013	8,602,504	12,646,139	68.02%
2014	7,845,228	12,785,408	61.36%
2015	8,861,540	15,772,592	56.18%
2016	9,236,969	15,994,745	57.75%
2017	9,865,402	16,735,227	58.95%

The notes to the required supplementary information are an integral part of this schedule.

CITY OF SAINT PAUL, MINNESOTA
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF SAINT PAUL'S CONTRIBUTIONS
PUBLIC EMPLOYEES GENERAL EMPLOYEES RETIREMENT PLAN
YEAR ENDED DECEMBER 31, 2017

Schedule of Saint Paul's Contributions
Public Employees General Employees Retirement Plan
Required Supplementary Information (Last Ten Years*)

Fiscal Year Ending	Statutorily Required Contributions (a)	Actual Contributions in Relation to the Statutorily Required Contributions (b)	Contribution Deficiency (Excess) (a-b)	Covered Payroll** (d)	Actual Contributions as a Percentage of Covered Payroll (b/d)
December 31, 2015	$7,169,220	$7,169,220	$ -	$95,589,596	7.50%
December 31, 2016	7,518,515	7,518,515	-	100,246,862	7.50%
December 31, 2017	7,775,599	7,775,599	-	103,674,650	7.50%

* This schedule is presented prospectively beginning with the fiscal year ended December 31, 2015.
**For purposes of this schedule, covered payroll is defined as "pensionable wages."

The notes to the required supplementary information are an integral part of this schedule.

CITY OF SAINT PAUL, MINNESOTA
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF SAINT PAUL'S PROPORTIONATE SHARE OF NET PENSION LIABILITY
PUBLIC EMPLOYEES GENERAL EMPLOYEES RETIREMENT PLAN
YEAR ENDED DECEMBER 31, 2017

Schedule of City of Saint Paul's Proportionate Share of Net Pension Liability
Public Employees General Employees Retirement Plan
Required Supplementary Information (Last Ten Years*)

Fiscal Year Ending	Employer's Proportion of the Net Pension Liability (Asset)	Employer's Proportionate Share of the Net Pension Liability (Asset) (a)	State's Proportionate Share of the Net Pension Liability Associated with the City of Saint Paul (Asset) (b)	Employer's Proportionate Share of the Net Pension Liability and the State's Related Share of the Net Pension Liability (Asset) (a+b)	Covered Payroll** (c)	Employer's Proportionate Share of the Net Pension Liability (Asset) as a Percentage of Covered Payroll (a/c)	Plan Fiduciary Net Position as a Percentage of the Total Pension Liability
June 30, 2015	1.6100%	$83,440,197	N/A	$83,440,197	$94,660,723	88.15%	78.19%
June 30, 2016	1.5819%	128,666,775	1,677,451	130,344,226	98,053,179	131.22%	68.91%
June 30, 2017	1.5871%	101,322,460	1,274,040	102,596,500	102,173,596	99.17%	75.90%

* This schedule is provided prospectively beginning with the fiscal year ended December 31, 2015.
**For purposes of this schedule, covered payroll is defined as "pensionable wages."

The notes to the required supplementary information are an integral part of this schedule.

CITY OF SAINT PAUL, MINNESOTA
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF SAINT PAUL'S CONTRIBUTIONS
PUBLIC EMPLOYEES POLICE AND FIRE PLAN
YEAR ENDED DECEMBER 31, 2017

Schedule of Saint Paul's Contributions
Public Employees Police and Fire Plan
Required Supplementary Information (Last Ten Years*)

Fiscal Year Ending	Statutorily Required Contributions (a)	Actual Contributions in Relation to the Statutorily Required Contributions (b)	Contribution (Deficiency) Excess (a-b)	Covered Payroll** (d)	Actual Contributions as a Percentage of Covered Payroll (b/d)
December 31, 2015	$13,934,513	$13,934,513	$ -	$86,015,512	16.20%
December 31, 2016	14,421,492	14,421,492	-	89,021,556	16.20%
December 31, 2017	14,685,894	14,685,894	-	90,653,667	16.20%

* This schedule is presented prospectively beginning with the fiscal year ended December 31, 2015.
**For purposes of this schedule, covered payroll is defined as "pensionable wages."

The notes to the required supplementary information are an integral part of this schedule.

CITY OF SAINT PAUL, MINNESOTA
REQUIRED SUPPLEMENTARY INFORMATION
SCHEDULE OF SAINT PAUL'S PROPORTIONATE SHARE OF NET PENSION LIABILITY
PUBLIC EMPLOYEES POLICE AND FIRE PLAN
YEAR ENDED DECEMBER 31, 2017

Schedule of City of Saint Paul's Proportionate Share of Net Pension Liability
Public Employees Police and Fire Plan
Required Supplementary Information (Last Ten Years*)

Fiscal Year Ending	Employer's Proportion of the Net Pension Liability (Asset)	Employer's Proportionate Share of the Net Pension Liability (Asset) (a)	Employer's Covered Payroll** (b)	Employer's Proportionate Share of the Net Pension Liability (Asset) as a Percentage of Covered Payroll (a/b)	Plan Fiduciary Net Position as a Percentage of the Total Pension Liability
June 30, 2015	9.264%	$105,260,718	$84,662,776	124.31%	86.61%
June 30, 2016	9.058%	363,513,301	87,109,086	417.31%	63.88%
June 30, 2017	8.773%	118,445,940	89,946,790	131.68%	85.43%

* This schedule is provided prospectively beginning with the fiscal year ended December 31, 2015.
**For purposes of this schedule, covered payroll is defined as "pensionable wages."

The notes to the required supplementary information are an integral part of this schedule.

NOTES TO REQUIRED SUPPLEMENTARY INFORMATION
For the Fiscal Year Ended December 31, 2017

Budgetary Information

A budgetary comparison for the City's General Fund and the annually budgeted Assessment Financing Fund, the Public Library General Fund and the HRA General Fund are required supplementary information.

All annually budgeted funds including the General Fund, the Assessment Financing Fund, the Public Library General Fund and the HRA General Fund are adopted on a basis consistent with generally accepted accounting principles. The legal level of budgetary control for the General Fund is at the department/office level and at the fund level for the HRA General Fund.

The General Fund did not exceed total appropriations at the fund level, however total expenditures exceeded appropriations in Mayor ($45,469), Human Resources ($43,122), Other ($1,213,830), Police ($715,504), Fire and Safety Services ($608,512), and Emergency Management ($30,134).

The Assessment Financing Fund, the Public Library General Fund and the HRA General Fund did not exceed total appropriations at the fund level.

Defined Benefit Pension Plans - Changes in Significant Plan Provisions, Actuarial Methods, and Assumptions

The following changes were reflected in the valuation performed on behalf of the Public Employees Retirement Association for the year ended June 30, 2017:

General Employees Retirement Plan

2017

The Combined Service Annuity (CSA) loads were changed from 0.8% for active members and 60% for vested and non-vested deferred members (30% for deferred Minneapolis Employees Retirement Fund members). The revised CSA loads are now 0.0% for active member liability, 15% for vested deferred member liability, and 3.0% for non-vested deferred member liability.

The assumed post-retirement benefit increase rate was changed from 1.0% per year for all future years to 1.0% per year through 2044 and 2.5% per year thereafter.

Minneapolis Employees Retirement Fund plan provisions change the employer supplemental contribution to $21,000,000 in calendar years 2017 and 2018 and returns to $31,000,000 through calendar year 2031. The state's required contribution is $16,000,000 in PERA's fiscal years 2018 and 2019 and returns to $6,000,000 annually through calendar year 2031.

2016

The assumed post-retirement benefit increase rate was changed from 1.00% per year through 2035 and 2.50% per year thereafter, to 1.00% for all future years.

The assumed investment rate was changed from 7.90% to 7.50%. The single discount rate was also changed from 7.90% to 7.50%.

Other assumptions were changed pursuant to the experience study dated June 30, 2015. The assumed payroll growth and inflation were decreased by 0.25 percent. Payroll growth was reduced from 3.50% to 3.25%. Inflation was reduced from 2.75% to 2.50%.

CITY OF SAINT PAUL, MINNESOTA
FOR THE FISCAL YEAR ENDED DECEMBER 31, 2017

Public Employees Police and Fire Plan

2017

The assumed salary increases were changed as recommended in the June 30, 2016, experience study. The net effect is proposed rates that average 0.34% lower than the previous rates.

The assumed rates of retirement were changed, resulting in fewer retirements.

The CSA load was 30% for vested and non-vested, deferred members. The CSA has been changed to 33% for vested members and 2.0% for non-vested members.

The base mortality table for healthy annuitants was changed from the RP-2000 fully generational table to the RP-2014 fully generation table (with a base year of 2006), with male rates adjusted by a factor of 0.96. The mortality improvement scale was changed from Scale AA to Scale MP-2016. The base mortality table for disabled annuitants was changed from the RP-2000 disabled mortality table to the mortality table assumed for healthy retirees.

The assumed termination rates were decreased to 3.0% for the first three years of service. Rates beyond the select period of three years were adjusted, resulting in more expected terminations overall.

The assumed percentage of married female members was decreased from 65% to 60%.

The assumed age difference was changed from separate assumptions for male members (wives assumed to be three years younger) and female members (husbands assumed to be four years older) to the assumption that males are two years older than females.

The assumed percentage of female members electing joint and survivor annuities was increased.

The assumed post-retirement benefit increase rate was changed from 1.0% for all years to 1.0% per year through 2064 and 2.5% thereafter.

The single discount rate was changed from 5.60% per annum to 7.50% per annum.

2016

The assumed post-retirement benefit increase rate was changed from 1.00% per year through 2037 and 2.50% per year thereafter, to 1.00% for all future years.

The assumed investment rate was changed from 7.90% to 7.50%. The single discount rate was also changed from 7.90% to 5.60%.

The assumed payroll growth and inflation were decreased by 0.25%. Payroll growth was reduced from 3.50% to 3.25%. Inflation was reduced from 2.75% to 2.50%.